

Pricol (PRICOLLTD)

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Call: Aug 2022

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PL/SEC/TGT/2022-23/048
Monday, 8th August, 2022
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Script Code: PRICOLLTD Script Code: 540293
Dear Sir,
Sub: Con-call Transcript
Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements)
Regulations , 2015, we herewith submit the Transcript for the Con-call held on 5th August
2022 on the unaudited financial results for the quarter ended 30th June 2022.
This is for you information and records.
Thanking you
Yours faithfully,
For Pricol Limited ' . ~
T.G .Thamizhanban
Company Secretary
ICSI M.No: F7897
Encl: as above

Page 1 of 12 Pricol Limited
Earnings Conference Call
August 05, 2022

Moderator: Ladies and gentlemen, Good day and welcome to the Q1 FY23 Earnings Conference Call of Pricol Limited. As a reminder, all participant lines will be in the listen-only mode and there would be opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal the operator by pressing '**then '0' on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Anuj Sonpal from Valorem Advisors. Thank you and over to you, Sir.

Anuj Sonpal : Thank you. Good afternoon everyone and very warm welcome to you all. My name is Anuj Sonpal from Valorem Advisors. We represent the Investor Relations of Pricol Limited. On behalf of the company I would like to thank you all for participating in the company's earnings call for the first quarter of financial year 2023. Before we begin, let me mention a short cautionary statement. Some of the statements made in today's earnings call maybe forward looking in nature. Such forward looking statements are subject to risk and uncertainties which could cause actual results to differ from those anticipated. Such statements are based on management's belief as well as assumptions made by an information currently available to management. Audiences are cautioned not to place any undue reliance on these forward looking statements in making any investment decisions. The purpose of today's earnings call is purely to educate and bring awareness about the company's fundamental business and financial quarter under review. Now let me introduce you to the management participating with us in today's earnings call and hand it over to them for opening remarks. First we have with us Mr. Vikram Mohan – Managing Director, Mr. P M Ganesh – Chief Executive Officer and Executive Director, Mr. Siddharth Manoharan – Chief Strategy Officer and Ms. Vidya who is our Chief Financial Officer. Without any further delay, I now hand over the call now to Mr. Vikram Mohan for his opening remarks. Thank you and over to you, Sir.

Vikram Mohan : Thank Anuj for the introduction and very good afternoon to our investors participating in this call today. We apologize for the slight delay in starting the call because of some technical issues and thank you for your patience. I would like to once again introduce my colleagues on the call today we have with us our colleagues Ganesh who is our CEO and Executive Director and Member of the board. We have Siddharth Manoharan who is our Director of Strategy and Head

of special projects and Vidya Venkatachalam our Financial Controller, our CFO who could not make the call today as he has had grievement in his immediate family and is busy with the ceremony.

Page 2 of 12 I do hope all of you hav

e had an opportunity to look at the presentation that has already been uploaded. I will go straight into some of the key parts of the presentation which I would like to develop on. From industry partnership that we have entered into in the last few months has been with Sibros a company that is based in the silicon valley which is going to help us strengthen our presence in the driver information system and telematics by offering end-to-end solutions and helping us grow our software presence in the driver information system space. We have recently entered into an agreement with BMS PowerSafe, a part of startup group based in Europe. This is a new product that will help us increase our place in the EV portfolio products in the coming years.

So, those of who are not familiar with what BMS is. A BMS is eventually going to play the role of an engine in a vehicle in a EV because the fuel is provided by the batteries. The battery management system which is hardware plus software put together will come on in control with vehicle. We have also created a center of excellence with PSG College of Technology, institution of repute and ranked among the top engineering institutions in the country. To develop high efficiency, micro motors and robotics and artificial intelligence to bolster our manufacturing engineering capabilities as well as to help with your actuation and fluid control system vertical of the company. We have also partnered with Candera CGI studio which will help us improve our HMI solutions because as our driver information systems are getting more digital, we need to have better human mission interface between the vehicle and the driver and our partnership with Candera will help us go that way.

` So, as I have mentioned earlier in my earnings call we are working towards becoming more of the technology driven company and technology company to help in the automotive industry rather than a competitive manufacturing company and all of these partnerships that we have entered into so far are helping move us in that direction. Having said so, we continue to invest nearly 4.7% of our sales on both product and process technology and about 60% of our while collar cost continues to be spent on product and process technology which will help keep us ahead of our competition in terms of offering technological solutions and not just products or components to our customers. Some of the key highlights were winning the Suzuki Motorcycle vendor of the year award which is received by our Executive Director and CEO in June. Cutting to the financials which most of you would be interested in. We have at a consolidated level reduced our borrowing significantly to 65 crores compared to the same time last year as of 30th June excluding ECLGS borrowings, the long-term borrowings stands at 65 crores and as a management team we are parallel confident of extinguishing this and bringing it to a zero in the next few months. We have a healthy EBITDA and healthy EBITDA margins. EBITDA margin of course could have been higher if not for the supply chain constraints that we have been facing on account of our IC shortages. We continue to buy ICs at premium prices and also by being expediting fees part of these cost are offset and compensated by our customers and part of this cost are being observed by the company which has resulted in an EBITDA margin of only 11.8% on a standalone basis and 13.06% on a consolidated basis.

Page 3 of 12 These problems will continue to occur for another two to three quarters as per expert opinions till supply chain come back to normal and demand come back to normal until which the EBITDA improvement where the team is working on is going to be a little difficult. Our revenue from operations on a quarter-to-quarter comparison between Quarter 1 FY22 and Quarter 1 FY23 has seen a 41.61% increase. This is also on account of Quarter 1 in FY22 having the second wave of COVID and result

ing in partial lockdown at that point in time. Our cash profit for the period has increased again on a quarter-on-quarter comparison between FY22 and FY23 by 48.63%. Profit before tax has increased substantially and so has profit after tax.

On a consolidated basis again, the numbers are similarly significantly higher. Our EBITDA for the first quarter for a standalone basis stands at 11.8% and our total borrowing including working capital is at 138 crores of which 65 crores are long term borrowings. We have further reduced these long-term borrowings by about 40 crores in July. So, our long-term borrowings as of today stands at 25 crores and the management team is very confident of extinguishing the same in the next few months the cash generated from operation. On a consolidated basis we have generated an EBITDA of about 13% and borrowings continue to be on a similar note. We do not have any borrowings at any of our subsidiaries. One of our subsidiaries are cash accruing.

Some of the recent product launches has been the TFT cluster for the IQ which has been a runaway success for TVS to be launched by TVS roll in and some industrial export products and for the first Tata Motors EV Commercial Vehicle we have been collected to be the supplier as well. Thank you very much and we would be happy to entertain any questions. Our humble

request in order to allow everyone a chance to have their questions we will request participants to take one question at a time as one question is over to join the question queue if they have further questions. Thank you very much.

Moderator : Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Jinesh Shah from Kongu Commodities. Please go ahead.

Jinesh Shah : I just had couple of questions regarding our order book and a utilization levels?

P M Ganesh : Jinesh actually what we do is the capacity is created based on the customer requirement, how we generally work is on a two-year horizon in terms of capacity planning. So, what customer gives us is the indication for on a rolling basis for 24 months. Based on that capacity is planned, capacity is based on the final assembly operations is what we do. In terms of backward integration because it is a very largely backward integrated company depending on certain fluctuations in demand if the demand is going to be high during the festival season then we can contract it outside to our suppliers.

Jinesh Shah : And regarding our order book?

Page 4 of 12 P M Ganesh : See it is difficult to say what was the order book as such because OEM does not work that way. It is always on a rolling schedule that whatever they give it to. So, there generally a one year month-on-month requirement on a rolling basis for the month-on-month period for our material planning that is how the OEMs works. So, there is nothing called as a specific order book position, but as we speak the demand has been quite robust and you can see the results in Q1 we have done more than 430 crores.

Vikram Mohan : I would like to further supplement what my colleague Ganesh has said I hope I am audible now Mr. Shah. We have a very healthy order pipeline and a healthy pipeline of new products which has been confirmed as LOI from our customers which will have part of production in various timeframe over the next couple of quarters. So, in terms of a new product pipeline and confirmed LOI from customers we have a very healthy pipeline. The headwinds that we are facing in the industry which is the supply chain headwinds and logistic headwind will continue to hamper our optimal output not just from us and OEMs. I believe we will be producing 10% less than what the demand were seen in Quarter 1 those demand is higher purely because of these headwinds faced by our ultimate customers which is our OEMs as well as ourselves and these headwinds are expected to ease off in between 6 to 9 months for industry e

xports.

Jinesh Shah : I would also like to understand the recent partnerships that we have got with BMI and Sibros when can we expect products in partnership with them to come into production, can you just throw some more light on these partnerships?

Vikram Mohan : With regard to the growth the first set of joint product will be ready this month and from next month we will start the road show with the customers. With A customers whom I would not like to name, but a very large OEM we have already got an LOI which will go into production in about 12 months' time, but the real power of this partnership and in terms of significant numbers which will start firing on all cylinders in about 24 months. With regard to BMS PowerSafe the first visit to the customers will start taking place now and the real benefit of this partnership and this is a very mission critical product that I said it is going to be the heart of the automobile of the EV vehicle. So, the first revenue will not be expected before 34 to 30 months coming out of this partnership. The Center of Excellence launched with ESG and we have one more Center of Excellence with another engineering institution of repute in the angle which will be allowed shortly. So, these are to only boost our development capabilities both on product and process.

Moderator : Thank you. The next question is from the line of Vipul Kumar Anopchand Shah from Sumangal Investment. Please go ahead.

Vipul Kumar Anopchand : So, my question is what percentage of our turnover comes from driver information and connected vehicle solution segment and actuation control and fluid management systems?

Page 5 of 12 Vikram Mohan : 55% of our turnover comes from driver information system 50% to 55% based on the product mix and above 30% from the actuation and fluid control systems. Ganesh correct me if I am wrong.

P M Ganesh : Yes Vikram I think that is the right number.

Vipul Kumar Anopchand : So, sir this actuation control and fluid management system mostly will be in IC engine right?

Vikram Mohan : Yes it is in IC engine, but we are focusing more on the off-road vehicle, construction equipment heavy duty engines which are not going to be disrupted by EV vehicles and exports. We do have a portfolio of about 130 crores which are to the two-wheeler IC engines in the fluid management systems which over the 5 to 7 years we will phase out, but the new product growth for the other segment in that vertical will far outweigh the loss of this business.

Vipul Kumar Anopchand : Can you comment on the margin for a two segment they are same or they are different?

Vikram Mohan : On a normal basis the margin for the driver information system is higher and for the actuation and fluid control system is lower on a normal basis, but for the past one year the situation has been slightly robust because one of the key raw materials for the driver information systems is IC and electronic components which are seeing massive shortages so we are paying previous priceless to get raw material as well as premium freights and expedite increase. So, today scale

have slightly dipped, but on a normalized basis the margins in the DIL segment are higher than the fluid control system which is a little more commoditized.

Vipul Kumar Anopchand : And lastly what percentage of our turnover comes from two-wheeler and what percentage it comes from four wheelers and other vehicles?

Vikram Mohan : I will let my colleague Ganesh to answer that question. Ganesh over to you.

P M Ganesh : About 65% of our total revenue comes from the two-wheel front, about 25% of our revenues comes from the ORV and the tractor segment and the remaining comes from the personal passenger vehicle segment.

Vipul Kumar Anopchand : Sir 20% is from tractor and which other segment you said sir?

P M Ganesh : Off road vehicles, commercial vehicles and tractors. I will just repeat Vipul if I am not audible 65% comes from the two-wheel

front, 15% comes from the commercial vehicle, about 10%

comes from the tractor and ORV segment and the remaining comes from passenger vehicle segment.

Moderator: Thank you. The next question is a follow up from the line of Vipul Kumar Anopchand Shah from Sumangal Investment. Please go ahead.

Page 6 of 12 Vipul Kumar Anopchand : So, sir can you comment on the CAPEX required for your recent partnerships, what is the

scalability and means what type of margin we can seek from this products competitive intensity then it will be really very helpful sir?

Vikram Mohan : We have estimated a CAPEX of about 350 crores to 400 crores over the next 34 to 30 months in order to meet our FY26 goals or vision 2025 as we progress within the company which will take care of all our new product launches and alliances. In terms of margins, we believe normalized margins for our business for this family or product should be between 14.5% EBITDA as against 11.5% that we are seeing today. The erosion in EBITDA will continue to be there for another year or at least 9 months before it improves and as the new technology products also kick in the margins improve. So, that answers your question in terms of anticipated CAPEX and this was CAPEX and also in terms of growth and in terms of margins. Some of the commoditized products like B2B oil pumps, and chain tensioners the lower margin products as they keep going out of our portfolio and be more high technology product like the TFT clusters where we start replacing the mechanical clusters the margins are going to also go up which is why I felt when the supply chain pressure ease and normalized supply demand and electronic components and as we keep moving after technology along with our customers our margins will normalize at around 14% to 14.5%.

Vipul Kumar Anopchand : So regarding this battery management system tie-up, so what exactly we will be supplying, we will be supplying battery pack or we will be supplying components means I am little confuse so please clarify?

Vikram Mohan : We have mentioned what is a BMS? A BMS is not a battery, a BMS is not a charger, but it is piece of hardware and software which manages the entire vehicle propulsion system. So, it is hardware plus software put together which sits on top of the battery, the charger, the motor, the price etcetera which manages all of the system and hence to the propulsion to the vehicle. So, basically hardware plus software put together which will manage the vehicle propulsion.

Vipul Kumar Anopchand : So, this BMS will be selling to two wheelers, four wheelers or we will be selling to all vehicle manufacturers and what type of content per vehicle we can expect?

Vikram Mohan : We are starting with the two-wheeler segment, but this will cut across all vehicle segments a BMS.

Vipul Kumar Anopchand : So, in BMS what type of content per vehicle we can expect from this business once it becomes fully operational?

Vikram Mohan : We will be able to give you the figures a little bit later in the day because we have just started work on the product along with BMS.

Page 7 of 12 Vipul Kumar Anopchand : It looks very promising sir I would like at your opportune time your company looks very

interesting to me I would like to meet you so when should I contact because I have lot of questions which cannot be asked over call so when should I contact?

Vikram Mohan : Please do get in touch with our Head of Corporate Communication who is also on this call Mr. Siddharth Manoharan who is also our Head of Strategy and Project and he will be able to concentrate in personal meeting at a mutually convenient data with the leadership team.

Moderator : Thank you. The next question is from the line of Vishal Chandiramani from Motilal Oswal. Please go ahead.

Vishal Chandiramani : My question was regarding the CAPEX plan you mentioned that you are going for a CAPEX of 350 to 400 crore in the next three years as a company has b

een shortlisted in the PLI scheme

that is offered by the government, so is the entire CAPEX be classified as PLI CAPEX or how does it work out?

Vikram Mohan : I will request my colleague our Directory Strategy and Head of Project Siddharth to take that

question because he handles that function?

Siddharth Manoharan : Vishal as part of the PLI application yes we have been approved and the 300 crores of CAPEX what our Managing Director mentioned will be staggered over the years and depending on the product maturity as well and many of this product is already applied as part of the PLI application will be qualifying for the PLI scheme, but we will not be able to quantify the exact values as we stand.

Vishal Chandiramani : Sir we have been doing a PAT on roll over basis of around 2, so we will continue to do a PAT of 2 or will we be increasing our PAT upon our sequential year-on-year basis?

Vikram Mohan : We will be increasing because historically we had high amount of borrowings which have reduced our interest cost was high which has now reduced. The long-term borrowing now inching near zero on the next couple of months it will improve even between Q1 of FY22 the Q1 of FY23 as we have seen on the presentation there has been a significant increase. I would like to draw your attention to is free cash flow and cash from operations which has also seen a significant increase and almost all of this CAPEX that has been planned will be funded from internal accruals with the next to go external borrowing for the same.

Moderator : Thank you. The next question is from the line of Amit Mehta from Sunidhi Securities. Please go ahead.

Amit Mehta : You mentioned that you have a term loan of 65 crore and working capital loan of 74 crores on the consolidation basis, you also report the cash balance you know during half yearly number, so can I know what is the cash balance so we know what is the net debt in the books?

Page 8 of 12 Vikram Mohan : Mr. Mehta actually as we stand today as I mentioned earlier the term loan is not 65 because the retired term loan in the month of July also stands at 25 crores.

Amit Mehta : Now it is 25 crores?

Vikram Mohan : It is 25 crores as on today because we have further retired term loans. The cash balances on the books I do not have to figure today I will request my colleagues Vidya to come to this call to answer that question.

Vidya Venkatachalam : As far as cash balance on books on consolidated levels it will be net off long term borrowing will be nil. We will be having a positive cash reserves on a consolidated basis, but as regards the working capital we are having working capital borrowing to run the show so that will be around 70 crores.

Amit Mehta : So, can I assume that your net debt is only 70 crores?

Vidya Venkatachalam : Yes short term including working capital borrowings.

Amit Mehta : Regarding the CAPEX you mentioned that you plan to spend about 350 crores to 400 crore for the new products so that will take about two years in a phase manner, so how much revenue this CAPEX can generate approximately?

Vikram Mohan : We currently have a capacity of about 2,200 crores for varying products which could come as low as 2,000 it could go as high as 2,400 crores Mr. Mehta based on the call which is our current capacity. If we invest this 350 to 400 crores give or take that will put us closer to a capacity of 2,500 crores.

Amit Mehta : 3,500 crores.

Vikram Mohan : 3,500 to 3,600 crores capacity.

Amit Mehta : Currently though you have a capacity to do about 2,200 crore of the revenue, but still we have seen a 1,800 crore kind of range, so when do we see that we can go to the optimal level of capacity from our existing capacity available?

Vikram Mohan : Well possibly a war in Ukraine is over and things are normal in finance. Actually like I mentioned earlier the demand is higher than what we are able to supply. We are losing at least about 10% production eve

ry month which means our OEMs are also losing that production. So, the demand actually that are there today the current run rate of demand is closer to about 155 crores or 170 crores whereas we are producing only about 150 crores. So, we can reach our capacity well certain normalcy comes back into supply chain which is going to take between 6 to 9 months that is why we are now planning for the new wave of CAPEX in order to enable our Page 9 of 12 view product launches in enhancing capacities for all the new businesses that we have won which are growing to go into production in FY24, FY25.

Amit Mehta : We have read that the availability of the chip size little bit improve the problem was severe 6 months back, but now there is little ease of the availability of this chip, so is that true?

Vikram Mohan : No, actually if you ask me even yesterday at the board meeting my team and I was telling our directors probably we are at the worst at this point of time. Q2 is possibly to be the worst quarter substance availability for the automobile dependency. Ship availability has improved for the non automobile segment like computers and telecommunication industry, but I think the automotive industry either reached its peak at this point in time. In fact we are literally running on one ships or two ships raw material availability of ships.

Vidya Venkatachalam : This is Vidya here let me clarify the borrowing position again. See at a consolidated basis we are currently long-term debt free now because we have cash reserves which can nullify the current long term debt what we have as on 31st of July in the consolidated level and with regard to working capital as your other repo rate or increasing so we are exploring ways and

not to utilize our borrowing instead of borrowing we are exploring ways to go for some saturation or discounting facilities with the customers. So, whereby we are planning to reduce our borrowings short term borrowings also hope it is clear now.

Amit Mehta : So, this working capital loan of 74 crore which is a drawn limit?

Vidya Venkatachalam : No, the drawn limit will be around 25 crores now since the repo rates were going higher. We are just going in for some working capital demand loan at very low competitive rate whereas the working capital funding as such including our factoring facility with the customers and discounting facility with the customers will be around 70 crores. So, in the financial as such we will be showing only around 20 to 25 crores as working capital borrowing whereas the working capital funding will be around 70 crore.

Amit Mehta : So, when the company plans to become a debt free so probably the next quarter you will have a term loan debt free and the working capital loan will fluctuate depending on the volume of the business, is that assessment correct?

Vikram Mohan : Yes Mr. Mehta I have always maintained that by March 2023 we will be long term debt.

Amit Mehta : Sir you will be before that now because now as we speak you are only 25 crore term loan?

Vikram Mohan : In my earlier earning call I had promised that as a team we are working towards the goal of becoming long term debt free by March 2023. So, we are ahead in our cash generation.

Amit Mehta : But I am telling you will be much before that?

Page 10 of 12 Vikram Mohan : On the net debt basis with cash balances, we are already on a consolidated basis, we have no long term debt, but the 25 crores debt which is there on the books also will look at retire to the next couple of months.

Amit Mehta : Madam what is the interest cost currently what we are paying on our working capital loan?

Vidya Venkatachalam : Yes, on working capital borrowings as such we are at 6.25% percentage, but you might have seen there is another repo rate increase today. So, we need to wait and see how it may increase. As far as the other working capital funding per se it is around 7 percentage now and we also have one ECLG

S loans that is at around 8 percentage that is also towards the working capital.

Moderator : Thank you. The next question is from the line of Jayesh Parekh from JMP Capital. Please go ahead.

Jayesh Parekh : I have two questions one is that we have research technology center at Coimbatore?

Vikram Mohan : We are unable to hear you can I request you to be a little louder.

Jayesh Parekh : We have a research center at Coimbatore were around 300 engineers are working and they are spending almost 5% of our revenue size, so I just wanted to understand from you how this research center is contributing towards an operational material efficiency as well as how this research center will contribute to expand our presence in field other than two and three wheelers?

Vikram Mohan : Let me correct you on that it is engineering and technology center for product and process development and the exact number of people working there are 380 people out of a total white collar spent in 850 people out of the total white collar compensation about 60% is used for both product and process development. All of our new business wins with Tata Motors or TVS or Bajaj or Hero Motors has been because of the efficiency of this technology center, any of our Indian peer who are dependent on foreign partners for technology or MNC companies that are dependent on their own country technology centers we are able to do it very strongly that is why our market share is at the high and we are not restricted only to two wheeler we also having commercial vehicle at 80% market share and we have now started entering the personal passenger vehicle segment also with the business with Tata Motors, business with citroen etcetera.

Jayesh Parekh : My point was that we have 65% content of our revenue is coming from two-wheeler and then rest were there in all the segments, but 10% odd were there. So, as a long-term planning I mean will you think that going forward this 10% presence can be double in next five years I mean my point is that like CV if we are there in CV as 10% which is approximately 150 crore so this kind of presence in four wheeler, CV, tractor and off road vehicles can be double in next five years?

Page 11 of 12 Vikram Mohan : We understand two wheelers are continuing to grow, ORGs are continuing to grow, CVs are continuing to grow, in two wheelers we are the world second largest in off road vehicles, commercial vehicles we are amongst the world top five, so we will continue to maintain that leadership position. In passenger vehicle we are growing, but we will not be among the top player India for strategy because for Jacuzzi, European car makers tend to work with European suppliers like visteon and Continental. The Japanese car makers will have suppliers like Nippon Seiki or Denso because they launch the same platform in about 20 factories in about 9 different countries. It is impossible for Pricol being Indian company to supply across so many factories in so many countries. So, we are focusing on such car makers where we can have a practical advantages. So, our focus will remain on these products verticals, our focus will remain on two wheeler or off road vehicle and commercial vehicle segments and practical customers in the passenger vehicle segment first for passenger vehicle, four wheeler segment.

Moderator : Thank you. The next question is from the line of Raghvendra Goyal from ICICI Securities. Please

go ahead.

Raghvendra Goyal : Sir I want a clarification like back in Quarter 3 when you disclose about your technical tie up with Hydrus technology, so at that time you said your CAPEX plan would be somewhere around 600 crores that would be funded through a mix of getting equity, so I just wanted an update or any clarification whether there is any change of plan with respect to the same?

Vikram Mohan : There has been no change of plan Mr. Goyal, but 350 crore to 400 crore is on a standalone. We are working on two j

oint ventures if that culminate then that will also entail in the renewals, but we are not still discussing what is going to be the partnership, what is going to be the investment, what is going to be the contribution by the joint venture partner. We are now talking of 350 crores to 400 crores in the next 24 months to 30 months which will be spent by Pricol outside of these joint ventures that are being envisaged because that is still not compromised.

Moderator : The next question is from the line of Vipul Kumar Anopchand Shah from Sumangal Investment. Please go ahead.

Vipul Kumar Anopchand : Sir we are already manufacturing driver information systems. So, what value this Sibros partnership will add, so can you elaborate?

Vikram Mohan : I would request you to go into the presentation and read a little bit more about what the Sibros partnership because it is very clearly mentioned in the investor presentation and since you have asked for a personal meeting my team can explain more clearly because I do not want to get this into a technology product.

Vipul Kumar Anopchand : Four or five lines have been written, but still, I could not understand that question if you want I can take it offline also?

Page 12 of 12 Vikram Mohan : Because if we could get into heavily into technology basically we are an hardware and they are

in software and power of both are considered better to develop a better result.

Moderator : Thank you. The next question is from the line of Tanvi Poddar from Mount Infra Finance. Please go ahead.

Tanvi Poddar : Sir, would it be possible for you to give some light on the kind of order book which you have currently?

Vikram Mohan : I think this was answered ma'am by CEO and Executive Director, but nicely said so we are capable of producing about 2,200 crores of business right now and we are in little profitable right now and we are creating capacity to go to about 3,500 crores over the next two and half years and this is based on future LOI and pipelines as I think indicated by our customers I think definitely with regard to the order book the CEO had answered the question earlier, how these pipelines work and how order book work in automobile industries.

Moderator : Thank you. As there are no further questions from the participants. I now hand the conference over to the management for closing comments.

Vikram Mohan : May I request our Director Strategy to close this conference call please.

Siddharth Manoharan : Thank you. On behalf of the management we would like to thank all the investors and the analyst who has joined in today's call. We look forward to connect with you and in the future and any queries if you have please reach out to us directly or to our investor relation partner Valorem Advisors for any clarifications. Thank you once again for joining the call today.

Moderator : Thank you. On behalf of Pricol Limited that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Nov 2022

PL/SEC/TGT/202 2-2023/069
Monday , 14th November 2022

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Dear Sir,

Sub: Con-call Transcript
Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulation s, 2015, we herewith submit the Transcript for the Con - call held on 10th November 2022 on the un audited finan cial results for the quarter and half year ended 30th September 2022 .

This is f or you information and records.

Thanking you

Yours faithfully,
For Pricol Limited

T.G.Thamizhanban
Company Secretary
ICSI M.No: F7897 >X<pncal PR/COL LIMITED
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Page 1 of 16 Pricol Limited
Q2 FY23 Earnings Conference Call
10 November 2022

Moderator: Good day ladies and gentlemen, and welcome to the Q2 FY 23 Earnings Conference Call of Pricol Limited.

As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" the n "0" on your touchtone phone. Please note that this conference is being recorded.

At this time, I would now like to hand the conference over to Mr. Anuj Sonpal from Valorem Advisors. Thank you and over to you sir.

Anuj Sonpal: Thank you Michelle. Good aft ernoon everyone and a very warm welcome to you all. My name is Anuj Sonpal from Valorem Advisors. We represent the investor relations for Pricol Limited. On behalf of the company, I would like to thank you all for participating in the company's earnings ca ll for the second quarter and our financial year 2023. Before we begin, let me mention a short cautionary statement. Some of the statements made in today's con call may be forward looking in nature. Such forward looking statements are subject to risks and uncertainties which could cause actual results to differ from those anticipated. Such statements which are

based on management's beliefs as well as assumptions made by an information currently available to management. Audiences are cautioned not to place any undue reliance on these forward-looking statements and to make any investment decisions.

The purpose of today's earnings call is purely to educate and bring awareness about the company's fundamental business and financial quarter under review.

Let me now introduce you to the management participating with us in today's earnings call and hand it over to them for opening remarks. We have with us Mr. P. M. Ganesh - Chief Executive Officer and Executive Director, Mr. Siddharth Manoharan - Director of Strategy and Mr. Priyadarsi Bastia - Chief Financial Officer.

Without any further delay, I request Mr. P. M. Ganesh to start with his opening remarks. Thank you, and over to you, sir.

Page 2 of 16 P. M. Ganesh: Good afternoon to all of you and welcome to the Earnings Conference Call for Q2 FY 23. I will go straight into the financials of Q2 of FY23. The operations have been at the height ever you in the history of Pricol at INR 480.17 Cr. for Q2 of FY23. The EBITA stood at INR 55.01 Cr., and in terms of percentage it was 11.46%. We have to mention here that the strong headwinds continue to be there in Q2 as well with the FOREX going to as high as INR 82 and you know that many of components used by Pricol are import dependent. So, we have strong headwinds because of FOREX de

preciation and the semiconductor shortage continues in Q2 as well. We expect the same trend to continue for a few more quarters as well.

Barring that we have done 11.46%. On a consolidated basis, we have crossed the INR 500 crore mark, we are at INR 501. EBITA stood at INR 65 Cr. and the EBITA margin on the consolidated level worth 12.97%. At the consolidated level long term borrowing was nil, inclusive of FY23.

During the same period of last year, it was at INR 142.45 Cr..

The key financial highlights for Q2FY23 have been that when compared to the previous year same time we have grown by 27.70% on a standalone basis. The PBT has grown by 61.41%. The cash profit has doubled when compared to the same period last year, and the profit after tax has grown by close to 150%. On a consolidated basis, the similar percentage of growth you can see that 26.64% was the growth when compared to the last year. The profit before tax was at 81.34%. The cash profit has doubled again here and was at 104.51% and profit after tax was at 157.53%. These are the details we have highlighted for you on the quarter ended Q2, and also the half year of this year where we stand. A half year where we stand we are at the total revenue of INR 922 Cr. of sales, and EBITA stood at INR 103.93 Cr. for the half year and INR 55.01 during the quarter ended September. As the percentage EBITA has been at 11.46% for the quarter ended and at half yearly we are at 11.62%

The cash profit for H1 has been INR 97.22 Cr. and for the quarter ended has been at INR 61.98 Cr. on the standalone basis. I just touch upon the cash profit on the consolidated basis, it has been at INR 112.42 Cr. for the H1 and the quarter ended it has been at INR 69.83 Cr.

I will just highlight some of the Select launches which has happened. You would have been in the media and press reports that we have launched state of art, Driven Information System, first of its kind in the industry with Hero MotoCorp and which was one big recognition for Pricol.

Even two days back there was a ceremony, where Pawan Munjal has awarded the Best Technology Award for Pricol for making the state of art, Driver Information System for the first ever EV scooter. We also had a few of launches during the last quarter wherein we launched

new product For TVS, Apache, Bajaj Pulsar and also our new touchscreen TFT type of clusters for TVS Motor. I think that ends my presentation and now we are open for questions.

Moderator: Thank you very much. We will now begin the question-and-answer session. We have the first question from the line of Jinesh Gandhi from Motilal Oswal Financial Services. Please go ahead.

Page 3 of 16 Jinesh Gandhi: Hi Sir. A few questions from my side. Firstly, how has been trending our exports, we hear about abroad based pressures on exports across, players in auto components as well as auto OEM side, are we also seeing similar trends?

P. M. Ganesh: Jinesh our export has been at 10% of the total revenue quarter on quarter. Of course, we are seeing some slowdown in the US and Europe, thereby it has impacted the export in a very minor way, but not to be really concerned at this point of time, because we have been winning lots of export business as well. We have highlighted during last call that we have started the production for Caterpillar, which has been supporting us to offset some of the slowdown in the industry, both in the US and Europe market. We are confident that we will be able to sustain this 10% and grow up to 20% in the next two years' time.

Jinesh Gandhi: Okay, so the 10% growth in exports will be in second quarter or first half?

P. M. Ganesh: No it is not the 10% growth...

Jinesh Gandhi: Oh 10% of sales...

P. M. Ganesh: The overall revenue, 10% contributes to our export sales.

Jinesh Gandhi: Right and this you expect to increase to 20% in the next two to three years?

P. M. Ganesh: Yeah, but it all dep

ends upon again the industry situation as you know that US and Europe has gone into a little bit of slowdown at this point of time. So, we anticipate that there could be some delays happening because of the start of new programs, but the mission of

the company

is that we should be at a 20% export in the next two to three years' time .

Jinesh Gandhi: With respect to imports, how imports will be as a percentage of sales for us?

P. M. Ganesh: Sorry Jinesh, can you just repeat?

Jinesh Gandhi: Imports, can you give clear of imports as a percentage of sales, how much it will be for us?

P. M. Ganesh: Imports?

Jinesh Gandhi: Yeah.

P. M. Ganesh: Okay, so I will break it down into two. We have two categories of products; one is the Driver Information System and the second category of the product is pumps and mechanical products or we now call as actuation and fluid controls. The actuation and fluid controls have very minimal inputs. It is a very small number, but the Driver Information System, where it is becoming more electronic that is where there has been more import content and import content has been increasing. Primarily the screens, the semiconductors, those things are not Page 4 of 16 available today in India and have to be imported. The percentage would be very difficult for me to say because it varies from product to product, but overall, there has been an increasing trend in terms of imports primarily because of the electronic content which is there in the Driven Integration System.

Jinesh Gandhi: Okay, and how does the pricing of FOREX volatility work for imported components for us...

P. M. Ganesh: Can I please request that if you could restrict your question to one because there are others in the call, I will request that each one should get chance...

Jinesh Gandhi: Sure I shall call back in queue.

Moderator: Mr. Gandhi, please rejoin the queue. Ladies and gentlemen, in order to ensure that the management will be able to answer questions from all participants, please limit your questions to two per participant. Should you have a follow up question, please rejoin the queue. Thank you. Participants may press "*" and "1" to ask a question.

We have the next question from the line of Vipul Shah from Sumangal Investment. Please go ahead.

Vipul Shah: Hi sir. Congratulations, for the good set of numbers. So, my question is related to vertical Driver Information System and actuation control and fluid management. So, can you split the turnover between the two if that is possible?

P. M. Ganesh: Yeah, it is approximately 70 and 30, 70% is from the Driver Information System and 30% is from the fluid control and actuation.

Vipul Shah: What will be the margin profile for both the vertical?

P. M. Ganesh: Fluid control systems or more into the exports. Their margins would be little better than the Driver Information System which is predominantly into the domestic

Vipul Shah: Okay sir. I have further questions, but I will join the queue. Thank you.

P. M. Ganesh: Thank you.

Moderator: Thank you. A reminder all the participants anyone who wishes to ask a question may please press "*" and "1" now.

We have the next question from the line of Mr. Naidu, an individual investor. Please go ahead.

Mr. Naidu: Yeah, sir. I have two questions. One is on the other expenditure, which have gone up from INR 20 Cr. to INR 30 Cr., are there any one-time items in this or it's the general uptrend, that is my Page 5 of 16 first question. Second question is you said that change of tax regime have made a change of INR 15-1/2 Cr. difference in the tax expenditure. Can you break that into current tax and deferred tax?

P. M. Ganesh: Yeah, Mr. Naidu I request to my colleague, Mr. Priyadarsi, CFO to answer both your questions.

Mr. Priyadarsi Bastia: Mr. Naidu to answer your first question on another expenditure, there is no one-time nature of expenditure, which has

been captured in the quarter. It is all in the regular nature. The

second question which is on the tax, the tax impact of INR 15.5 Cr. which you said that we have shown in Q2, that is, the majority of it is coming from deferred tax because of the tax regime change and the balance is the current year

Mr. Naidu: My first question still portion is there, 20 Cr. to 30 Cr. is a 50% increase? So what could be the reason for the 50% increase in that item?

Mr. Priyadarsi Bastia: Mr. Naidu there are multiple items, you can get a detailed break up from our company on that. Most of these expenditures are of recurring nature, the regular nature expenditure, there is no one-time expenditure booked in other expense.

Mr. Naidu: Okay, thank you.

Moderator: Thank you. A reminder to all the participants anyone who wishes to ask a question may please press "*" and "1" now. We have the next question from the line of Nidhi Babaria from Envision Capital. Please go ahead.

Nidhi Babaria: Hi and thank you for taking my question. So the exceptional item in this year which we have booked is there any more part of the erstwhile subsidiary which is expected to come in the coming quarters?

P. M. Ganesh: I will ask Siddharth, Director of Strategy to answer the question please.

Siddharth Manoharan: Thank you. Miss Nidhi, I think we have recovered almost all the claims that are due to us and I think at this point in time, we don't see any more exceptional items coming in the upcoming quarter.

Nidhi Babaria: Okay, and if you can quantify the opportunity for PS A and Caterpillar Book which we have got, orders which we are expecting like the production which have started in this quarter.

Siddharth Manoharan: May be it would be difficult for us to quantify the exact numbers, but we know that Caterpillar is a global leader, and the off- road vehicle and the orders is quite sizable, since we have an NDA with Caterpillar, we are not able to disclose the exact value, but it will be quite significant as we are going along.

Page 6 of 16 Nidhi Babaria: Does this order have the opportunity for us to increase our exports 10% to 20%, can it grow in like 60% to 70% kind of growth numbers from current number?

Siddharth Manoharan: Yeah that it right, you are right, because Caterpillar is a very big ticket account for us so we see that there would be good growth in the next 2 to 3 years' time because there are multiple opportunities that we are working with them in the development of pumps and actuation.

Nidhi Babaria: Okay then what about the balanced export contract which we have with the other players like how does their growth aspects look like?

Siddharth Manoharan: See we have been growing consistently with majority of our existing portfolio also. For example, Polaris has been our customer for several years, so we have been continuously growing with them, and there are new opportunities that we are working with them as well .

There are many of the recreation vehicle and then the higher cc motorcycles that like KTM, Ducati, Harley Davidson, where we have been traditionally working with them for many years.

So, we see a lot of growth opportunity with them in the next few years.

Nidhi Babaria: Okay, and sir can you elaborate a bit more on export products like what are the upcoming products which we will be focusing and how is our like current products doing in export market like the major products not the all...

Siddharth Manoharan: Today , majority of our export is coming from the mechanical products, but going forward, we see very good opportunity in the Driver Information System as well. So, we are working already with multiple customers through the Indian origin also, where it is exported through the Indian

JV partners, and then it is exported to their parent company. So, we feel that there is a good opportunity in front of us for the Driver Information System using the new technology

like the

TFT clusters, whatever now we are launched in the domestic market, we then export to customers as well. So at this point of time, the function mechanical products are more on the export, but as we are going along, we find that it is going to have equal opportunities on both segments growing...

Nidhi Babaria: Okay and sir, can you get some guidance?

Moderator: Miss. Babaria, sorry to interrupt you, but I would request you to rejoin the queue, please.

Nidhi Babaria: Okay. Yeah, thank you.

Moderator: We have the next question from the line of Vinayak Mohta from Stallion Asset, please go ahead. Yeah. Hi.

Vinayak Mohta: Hi, sir just wanted to understand your guidance for the next two years, maybe FY 25, where do you see the company moving towards because after very long, we are consistently profitable for a number of quarters now, and even on a PBT level if we see that we kind of the mark of Page 7 of 16 the INR 70-80 crore this year. Even if you remove the exceptional item just looking from a broad PBT level. So just wanted to know, what kind of growth are you looking for the next two years, and where do you... if you have anything in mind internally as a target, where can we see Pricol moving towards because you have this presence in the EV segment as well, which is a high growth segment. So just wanted to understand and what would be your EV contribution maybe in the next two to three years?

P. M. Ganesh: Vinayak, pardon me if I don't make any forward -looking statements, how do we look in terms of our profitability for the next two years, but barring that, I can tell you that definitely we are in the growth path primarily because of our new technology products. Whatever we are seeing in the market. We have gone upstream in terms of value add into our Driver Information System. You know that a few years back we were only in the mechanical type of instrument clusters, we have migrated to LCD instrument clusters and thereby we have moved into electric integration TFT clusters. This is how the technology migration has been happening in the industry, number one and then you know that all the EV vehicles primarily go into this type of technology whatever the recent launches of EV vehicles by the OEMs are affected by the Pricol, so you can see that how the technology is moving about. Also we are working with multiple new companies who have started with EV manufacturing, with the new entrants into the market with these type of technologies, and also there is opportunity for us on to the

telematics space as well because for you to monitor the battery performance and the vehicle performance you require telematics also, and as we know, that Pricol has been in the telematics space for more than 10 years. We started with JCB more than 10 years back, and as we speak, there are more than 300,000 telematics successfully running in the field. So we find the opportunities, both in our Driver Information System, and also on the telematics for the EV vehicle, which has picked up momentum and you can see the last month the EV vehicle production has been 75,000 vehicles, it is the all -time high, and we expect this trend to continue in the few years, where I feel for rising crude oil prices, EV could be an alternate where the industry is working. So we are well positioned, if you ask me in terms of the technology

that what we can offer for the EV, and, we have also announced that we have entered into a partnership with BMS power state, a French pioneer in making the Battery Management System, and then we have started our activity with connecting with the various customers to explore opportunities into the Battery Management System space as well. So that is where we are positioned, and I hope that it answers your question.

Vinayak Mohta: Partly so I just wanted to broadly understand at least you know, something on a flavor of all kinds of growth, even if you could give me... Is there

any CAPEX that the company is currently undergoing on a major scale?

P. M. Ganesh: Vinayak, again pardon me what you said, the growth whatever would be again, a forward looking statement, I can only explain to you the new technology and the growth that whatever we can look from these new technology products with our existing customers or new entry customers, and also we explained about the export opportunities, which is going to be there Page 8 of 16 for the next two or three years on these new technology. We are there in position in terms of the new technology products, and we are ahead of the curve when compared to what others can offer in the market. So, this gives us a good position, you know that we also outperform the market, continuously quarter by quarter, if you see the last three quarters, we have outperformed the market. Our growth has been much more than the market growth, so we are quite well positioned going forward. In terms of percentages be very difficult for me to make a statement.

Vinayak Mohta: No worries and any CAPEX that you are undergoing currently?

P. M. Ganesh: CAPEX has been quiet commensurate with whatever we are doing. It's all very planned CAPEX, that whatever we are having, because as we are going into the new technology products, we keep investing on the lines and then the subcomponents, whatever we need to manufacture the products like the SMT lines and subcomponents, so we need to keep investing on those, but we don't see any abnormality in terms of the CAPEX going up significantly high in the next few years, but it will be commensurate to the opportunities whatever is going to be there.

Vinayak Mohta: Understood. Okay. Great. Thank you.

Moderator: Thank you. Participants who want to ask a question may please press "*" and '1' now.

We have a follow up question from the line of Jinesh Gandhi from Motilal Oswal Financial Services. Please go ahead.

Jinesh Gandhi: Hi, my question was on the products FOREX volatility given our input content in DIS, so how will that priced to customers, is it direct pass through the lag or we have to negotiate on a timely basis? Can you throw some light on that?

P. M. Ganesh: Jinesh a good portion of it, we are indexed with the customers back-to-back, with all our customers, okay?

Jinesh Gandhi: Okay.

P. M. Ganesh: So, the FOREX is not going to impact the company in the long term, of course, there will be a lag of three to six months because that is how the customers operate, the OEMs operate. What happens is the dollar has been very sharp in terms of the escalation against Indian rupee in the last like six, seven weeks as you can see. So both types of foreign impact could affect a quarter, but barring that, in terms of the back to back engagement, I think we are quite well protected in terms of FOREX fluctuation and raw material with all our customers. The only thing is there will be a lag of three to six months before we can regularize that to every customer.

Jinesh Gandhi: Right. So effectively, the export side benefit of FOREX will stay with us whereas the import side will be passed on to customers with a lag, correct?

Page 9 of 16 P. M. Ganesh: Absolutely, you are right. Next question.

Jinesh Gandhi: Got it, and secondly, with respect to the DIS I mean given that we have launched first of its kind, Driver Information System for Hero. Can you give some color on how contents for that DIS versus your average content in DIS currently that will give some context of how things are shaping up for us on that side.

P. M. Ganesh: If I evaluated your question Jinesh, you are asking me to explain a little more about the product right? The features of the product features?

Jinesh Gandhi: Not the features, features are known... I am saying what... how much that could be in terms of say INR per unit, for Hero we have the source here, our current average realization on the DIS

side, value side?

P. M. Ganesh: Realization point of view again, I will not be in a position to comment because of the NDA with the customer, but what I can tell is this new technology product when compared to what we were been doing in the past years, the value addition has been significant okay, that is definitely something which is notable. In terms of technology, we are moving into the next technology or product, whatever we have launched with the Hero on the radar cluster has got a touchscreen, that's why it is the first of its kind, it has got a touchscreen, the latest collection of Wi-Fi, it has got Bluetooth, I will say that it is a lower version of a mobile something like that. So, this is the direction of technology that we are going to. So, as we have been mentioning that there has

been a see-through change in terms of the technology moving from simple mechanical clusters a few years back into really high end TFT clusters or whatever we are talking about. So there has been a significant improvement in terms of our value addition into the instrument cluster.

Jinesh Gandhi: Got it. I will come back in queue.

P. M. Ganesh: So Jinesh just to answer your question further, even if the industry is going to be flat, for example, in terms of the numbers, our value proposition has been growing, there is a reason why we are able to outperform the market, because of the value addition that whatever we are offering to the market in terms of products.

Jinesh Gandhi: Got it. Thank you.

Moderator: Thank you.

We have the next question from the line of Anirudh Singhi from Dalal & Broacha Portfolio Managers Pvt. Ltd. Please go.

Anirudh Singhi: Hi. Thank you for taking my question. Could you give us some breakup in terms of two-wheelers, personal passenger vehicles and commercial vehicle?

Page 10 of 16 P. M. Ganesh: Anirudh if you ask me on the total portfolio, 65% of our revenue comes from the two-wheeler segment that is how the manufacturing in India happens. For example, if 30 million vehicles are produced in a year, I am talking about a normal year, 20 million of those are of Two wheeler, so that is where we are in terms of our revenue. So, 65% of our business of the total pie comes from the Two-Wheeler segments. As we know that into the personal passenger vehicle we have started into Tata Motors three years back, and we have been growing good with them, that is what car customers after we had the joint venture with Denso and Johnson control about 8 years back. So we had a non-compete until 2019 into the personal passenger vehicle segment and after 2019 we have reentered into the personal passenger vehicle segment and we have been growing with Tata Motors, and we are exploring other opportunities in the personal passenger vehicle segment as well. Commercial vehicle, our share of business has been quite significant. 20% of our revenue comes from the commercial vehicle segment, and we hold a major share of business with the micro-LCVs, medium and heavy-duty trucks and also the light commercial vehicles. So overall we have more than 70% of the market in terms of the Driver Information System on the commercial vehicle, 5% goes into the tractor segment, I am just giving a very, very rough estimate, unless I don't have the exact numbers, I will just give me a rough estimate so 5% of total revenue goes into the tractor segment. So that is how basically the split up is.

Anirudh Singhi: Okay, and aftermarket would be how much?

P. M. Ganesh: Aftermarket... see our products are not very aftermarket centric products. You will remember when you change the speedometer, it outperforms the vehicle life. So our product is not very up to aftermarket, but however, the population of vehicles has been increasing in the Indian market. So we find that there has been growth in the aftermarket as well, but the percentage will be a very small number.

Anirudh Singh

i: Okay. Secondly, on our margins, so they have been quite stable for the past year, year and a half, but now with commodity coming off, do you think there is room for improvement there?

P. M. Ganesh: Sorry, can you just repeat your question I am not able to hear you, Singhi?

Anirudh Singhi: I am seeing in terms of margin with commodity prices coming off, do we see is there any room for improvement in margins?

P. M. Ganesh: See as we explained in the previous call that we are back protected with our customers in terms of both commodity and products okay, but unfortunately, what is happening is the rate of increase of... rather the strengthening of dollar has been very steep in terms of week to week basis, with a lot of import content in the product whatever we offer to the customers, it would be very difficult for the customer to compensate you on a weekly basis. So, there is a lagging effect of three to six months by the time we could get compensated from the customer, these types of spurts of increase is something that tends to reduce our profit, but it is a very temporary position. So, after a quarter, we find that it will normalize provided the FOREX doesn't continue to grow at the rate the way in which it has been happening in the last few weeks. So, once it stabilizes, I think three to six months' time we will be in a position to catch up with the compensation from the customers.

Anirudh Singhi: Okay, so our margins will be in the 12% sort of range?

P. M. Ganesh: It will be very difficult for me to comment on that because there has been a lot of fluctuations both in the raw material and FOREX, and you know semiconductor shortages have also been a perennial problem. In fact, as we speak, there are a lot of allocation and shortage of semiconductor parts. So, if you ask me it has been highly volatile in the semiconductor pricing in terms of premium price that we have to bring into the semiconductors and then on the FOREX fluctuations and raw material fluctuations. So these things have been continuing, you know, that in the last three to four quarters. So it will be very difficult for me to tell you about the percentage going forward, but you can see that yeah, we have been managing on despite these strong headwinds, primarily because of our new product and new technology, whatever we are offering in the market.

Anirudh Singhi: Okay, and it doesn't die...

Moderator: Mr. Singhi, sorry to interrupt. I will request you to please rejoin the queue. There are many in the line waiting.

Anirudh Singhi: Okay. Thank you.

Moderator: Thank you. We have the next question from the line of Vipul Shah from Sumangal Investment. Please go ahead.

Vipul Shah: Hi sir, can you comment on our recent partnership with Sibros and BMS, how they are going to help us in increasing our market share, what type of products they are offering, products and services? Your brief comments will be welcome, and second there is an exceptional item of I think INR 9.75 Cr., so what is that about?

Management: Vipul, the first part of the question, I will request my colleague Siddharth, Director of Strategy to explain to you about the partnership and what are the things that we are looking forward in the future in terms of the partnership? And the second part of the question, I will request my colleague, the CFO of the company, Priyadarsi to take. Over to you Siddharth.

Siddharth Manoharan: Thank you. Mr. Shah on both the partnerships... number one with the Sibros for end-to-end solution on the telematics front, and secondly, on the battery management system with BMS power safe. Both the partnership has been well received from the Industry Forum and by the OEM members. On the Sibros fence, it is giving us an edge to offer an end-to-end solution on Page 12 of 16 the telematics fence, we have been building and giving the hardware for OEMs for more than a decade now, but with this

partnership, we will be in a position to offer an end to end solution along with the software platform, the cloud connectivity part, including the cyber security area, and both our engineering team and Sibros engineering team from both from US and their Indian counterparts have been working very closely for the last couple of months, and have completed the entire integration activities and the POCs have been completed, with which we will be undertaking the road shows with our customers very soon. We anticipate this will bring in new avenues of growth on the telematics front, both in domestic as well as international markets. Our second partnership with BMS PowerSafe has been an exclusive avenue for adding a new product to the EV portfolio offering from Pricol standpoint, again, both the engineering team from our end as well as the BMS PowerSafe team have been collaborating for the last couple of months in understanding the product offerings suitable for the Indian market. As you know, there has been very stringent regulations given by the Ministry on the EV vehicle perspective and also on the battery management system standpoint with the new regulatory updates. So whatever the solutions, which are currently with the BMS PowerSafe are compliant and meeting most of the requirements of the Ministry norms, and we just completed the roadshows with many of the traditional OEMs as well as the New Age startup, EV companies, and the other partnership again has been well received, and as we speak, our both our teams are conducting workshop in our engineering premises to further fine tune and workup on the next set of activities.

Vipul Shah: So, we are paying Royalties for both these tie-ups?

Siddharth Manoharan: In case of Sibros, there will not be any royalty because it is an end-to-end solution, a joint partnership activity where one half of the solution has Pricol, which is the hardware platform, and Sibros is bringing the other half of the solution which is the software angle. So, it is a combined solution offering to a customer. In terms of BMS power sales, yeah there will be a royalty element involved because we have introduced a technology licensing arrangement with BMS PowerSafe and the entire manufacturing and localization will be done by Pricol in India, we will be front ending to the customers.

Vipul Shah: Thank you. My second question regarding the exceptional item?

Priyadarsi Bastia: Vipul, the exceptional item of INR 9.75 Cr. is the settlement amount which we received from the sellers of the stepdown subsidiary, Pricol Wiping Systems, Czech. The sellers were supposed to settle this and we received this amount in Q2, so we recognized it and showed it as an exceptional item of INR 9.75 Cr.

Vipul Shah: Okay sir, thank you.

Moderator: Thank you.

Page 13 of 16 We have a follow up question from the line of Nidhi Babaria from Envision Capital. Please go ahead.

Nidhi Babaria: Thank you for the follow up question. First, I just wanted to understand like, how can we quantify the Sibros opportunity and even on telematics side, like we have been in the industry like we were the early players in the industry, so what helps us you know, versus the all-new age peers which are now entering the market?

P. M. Ganesh: Nidhi, it would be difficult for us to quantify at this point of time, but as we explained to you every EV vehicle is fitted with a telematics unit primarily to monitor the performance of the vehicle including the battery. An update is that we have now started developing telematics for the battery pack companies also. The recent venture has been with sun mobility for developing telematics for their battery pack, so as you know for EV vehicle telematics is mandatory to monitor vehicle performance, with the EV vehicles growing and expected to exponentially grow in the further months. We

expect that there will be a good opportunity for us

on the complete

telematics solution. Once you find that this stage will be difficult.

Nidhi Babaria: Okay.

Management: Miss. Babaria, to add on to what Mr. Ganesh also spoke about our telematics hardware, we have also made sure the meeting both domestic as well as the global connectivity norms. So the opportunity for us are available both in the domestic as well as the international market, and the partnership with the Sibros also will be fruitful in the upcoming years.

Nidhi Babaria: Okay. Sir, also if you can give some understanding on how did the entire Sibros opportunity worked out for us? Like, is it us who approached them? Or they were looking for some partner in India and that's how we got if you can just give some color on it.

Management: Miss. Babaria, if I had understood your question, right, how you had asked, how did we approach the partners or how the partners had approached us... Correct?

Nidhi Babaria: Yeah.

Management: We constantly keep evolving our technology roadmap, and then we look for the complementing solution partners, and we do work with various consultants and wherever we see potential with upcoming companies or in a collaborative manner. It has been both ways some of the companies have reached out to us, and we have also reached out to certain companies, but we constantly keep evaluating new avenues of growth and new opportunities for our company for value.

Nidhi Babaria: Okay, I will come back again. Thank you.

Page 14 of 16 Moderator: Thank you. We have the next follow up question from the line of Jinesh Gandhi from Motilal Oswal Financial Services. Please go ahead.

Jinesh Gandhi: Your thanks for the opportunity a gain. Just a couple of questions, one is on CAPEX for the core business in first half was about INR 2 3 Cr., do we expect similar run -rate for H2FY23 or it should further increase in the opportunities which we have faced?

P. M. Ganesh: Jinesh as I told you, it is commensurate with the business growth. We continue to do backward integration, which is going to help improve our profitability. As we are going into the electronic driver information system, there is a need for us to do a lot of backward integration in terms of populating our own PCB. So, we do the PCB manufacturing ourselves, and we are expanding those portfolios so it improves efficiency of operations. It would be very difficult to quantify the CAPEX, as I told you there, there is not a really sharp increase in CAPEX because it quite commensurate to the rate in which we are growing. So, I don't think that there's any abnormality that we are looking in terms of CAPEX, it has been more or-less in line with whatever we have budgeted.

Jinesh Gandhi: Okay, and secondly, for the BMS and telematics part has been finalized investment required or that will be done at the later stage?

P. M. Ganesh: Telematics has been our core product in the last 10 years. So, it is going to be the same set of manufacturing methodologies that will be adopted for telematics. So again, the CAPEX would be commensurate to the business growth. In terms of telematics, as the telematics requirements are growing, we will invest on those lines so we commensurate again. Battery management system is totally a new product for Pricol. This is where currently we are evaluating with our partners, we already had discussions with various existing customers of ours and the new-age customers like what Siddharth explained. So this is currently under evaluation, so what is going to be the top line and what could be the CAPEX is still not been finalized yet. It is still under evaluation stage.

Jinesh Gandhi: Got it. Thanks and all the best.

Moderator: A reminder to all the participants anyone who wishes to ask a question may please press "*" and "1" now.

We have next question from the line of Mr. Naidu, an individual investor. Please go ahead.

Mr. Naidu: Would you please

comment a little on PLI scheme which is applicable for our products. Like which or what part of the turnover will be covered under this, and which are the products actually covered on this a little more insight into that?

P. M. Ganesh: Yeah, I will request my colleagues Siddharth, Director of Strategy to explain this.

Page 15 of 16 Siddharth Manoharan: Mr. Naidu, so Pricol has been selected by the Ministry and has been approved for the PLI

scheme. So, we have applied for many of our products from our portfolio which are eligible for this scheme for example, telematics on your drive it is your gateway devices, so on and so forth. But, at this point in time, the Ministry is still evaluating and certifying the products and there is a process to be followed and there has not been any clarity from the ministry's angle on what products have been qualified, because they are also taking their own time we are working with their third party affiliated agency for certifying and qualifying the products which has been applied for so, at this stage, we will not be in a position to comment on the top line or the revenue that will get quantified for incentive as part of this game.

Mr. Naidu: Thank you.

Moderator: We have the next question from the line of Vipul Shah from Sumangal Investment. Please go ahead.

Vipul Shah: Sir what is our average content for Driver Information System in two -wheeler and four -wheeler?

P. M. Ganesh: Sorry Vipul, can you please elaborate your question please.

Vipul Shah: In rupee terms what should be your content for Driver Information System in an average two -wheeler and an average four-wheeler, Sir? If you can quantify?

P. M. Ganesh: Today see adaptation basically of the two -wheeler starts from four -wheeler, but if you see few years back, Four -wheeler had already started adopting the technology of touchscreen and then going for larger displays and they had gone in for TFT type of clusters. Now you find that two -wheeler also has started adopting the technology. Primarily it starts from four- wheeler and then goes down to two -wheeler and then commercial vehicle. Okay so if you ask me an entry level car compared to a high -end motorcycle, more -or-less they use the similar type of technology in whatever we are offering today. High -end cars are something very different, because high -end cars use a different type of technology in terms of going for larger screen size, and then features are very different but if you ask me at the high end motorcycle, more or less the content will be of Driver Information System, it will be similar nature or whatever we are offering.

Vipul Shah: Okay sir, any number?

P. M. Ganesh: Numbers vary from what are the features, that we are offering, so it is very large variant that we have in terms of number, so it depends on what customer... the electronic cluster could be given starting from INR . 1000 even going to more than Rs. 10,000 also. So that is the range that we offer to the customers.

Page 16 of 16 Vipul Shah: Okay sir, thank you.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to management for closing comments.

P. M. Ganesh: Thank you all of you once again for participating in this call. Thank you so much.

Moderator: Thank you. On behalf of Pricol Limited that concludes this conference call. Thank you for joining us and you may now disconnect your lines. Thank you.

Call: Feb 2023

PL/SEC/TGT/2022-2023/116
Monday, 27th February 2023

The Manager Listing Department
National Stock Exchange of India Limited
"Exchange Plaza", C-1, Block G
Bandra-Kurla Complex,
Bandra (E), Mumbai – 400 051 Corporate Relationship Department
BSE Limited
1st Floor, New Trading Ring
Rotunda Building, P J Towers,
Dalal Street, Fort, Mumbai 400 001 Script Code: PRICOLLTD Script Code: 540293

Dear Sir,

Sub: Con-call Transcript

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we herewith submit the Transcript for the Con-call held on 23rd February 2023 (Thursday) on the Business Update of the Company.

This is for you information and records.

Thanking you

Yours faithfully,
For Pricol Limited

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Page 1 of 14 PRICOL Limited
Business Update Conference Call
February 23, 2023

Moderator: Ladies and gentlemen, good day, and welcome to the Business Update Conference Call of PRICOL Limited.

As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

At this time, I would now like to hand over the conference to Mr. Anuj Sonpal from Valorem Advisors. Thank you and over to you, sir.

Anuj Sonpal: Thank you. Good evening everyone, and a very warm welcome to you all. My name is Anuj Sonpal from Valorem Advisors. We represent the Investor Relations of Pricol Limited. On behalf of the company, I would like to thank you all for participating in this conference call for the Business Update of Pricol Limited.

Before we begin, let me mention a short cautionary statement. Some of the statements made in today's Concall may be forward looking in nature. Such forward looking statements are

subject to risks and uncertainties which could cause actual results to differ from those anticipated. Such statements are based on management's beliefs as well as assumptions made by an information currently available to management. Audiences are cautioned not to place any undue reliance on these forward-looking statements when making any investment decisions. The purpose of today's call is purely to educate and bring awareness about the company's fundamental business.

Let me now introduce you to the management participating with us in today's earnings call and hand it over them for opening remarks. We have with us Mrs. Vanitha Mohan - Chairperson; Mr. Vikram Mohan - Managing Director; Mr. P. M. Ganesh - Chief Executive Officer and Executive Director; Mr. Siddharth Manoharan - Director of Strategy; and Mr. Priyadarsi Bastia - Chief Financial Officer.

Without any further delay, I request Mr. Vikram Mohan to start with his opening remarks.

Thank you, and over to you, sir.

Page 2 of 14 Vikram Mohan: Thank you, Anuj, for that introduction. Ladies and gentlemen, a very good evening to all of you.

First and foremost, on behalf of the Promoter Group of Pricol Limited represented by our Founder and my father Vijay Mohan, our Chairperson and mother Mrs. Vanitha Mohan, the Managing Director of Pricol Holdings and Pricol Corporate Services and my wife Mrs. Lakshmi Mohan, and my brother Viren Mohan constituting the Promoter Group of Pricol Limited, I extend my warm welcome. And on behalf of my role as the Managing Director of the company, I also extend my warm welcome.

There have been many developments over the past week with respect to Pricol. Pr

icol has been

in the news in many sections of both print and visual media. We have received multiple requests for an investor call to give clarity to the investment community as to what is the view of Pricol's management in view of the recent developments that have happened and the news that has come out about Pricol.

We would like to start by assuring all of our investors and prospective investors as I mentioned on TV last Friday on channels like ET Now and CNBC amongst many others, that the Promoter Group of Pricol represented by me stands committed to stay vested in Pricol, grow Pricol and create value for all of our stakeholders. My Management team consisting of Ganesh, our CEO and Executive Director, our Director (Technology) Ameer Dastagir, our Director (Strategy) Siddharth Manoharan, and CFO Priyadarsi Bastia stand committed to leading this organization along with our respective team in the coming years to take it to greater height and greater glory.

1975 was when this journey started, and 2025 would be the year we celebrate our 50th year. Accordingly, we have a Vision 2025 statement that I have been talking about at various investor forums on which we have our firm eyes and focus on, and we stand committed to Vision 2025, which will end on 31st March 2026, the financial year ending March 2026. We are all aligned, and our entire organization is aligned towards achieving our Vision 2025.

We believe that this investment made by Minda Corporation is purely a financial investment as stated by them as the purpose of this investment, and we believe it does not, is no cause for alarm or worry at this time. So, we stay committed to this business. We want to create value for all of our stakeholders in a quest of achieving Vision 2025.

There has been overwhelming support over the past six days from all of our key customers endorsing their loyalty to their organization, overwhelming support from every section of our workforce, from workmen to staff, to managers and senior leadership, endorsing their support to the current leadership team. We have had overwhelming support from our suppliers endorsing their support and collaboration with the current promoters of your company. In addition to which we have had overwhelming support also from many of our shareholders who I got to interact with on a one-on-one basis either virtually or face-to-face. And more Page 3 of 14 importantly, overwhelming support from our peers in the industry from the auto component fraternity endorsing Pricol's current leadership team and Promoter team and their solidarity and support with us in these tenuous times.

This has motivated not just me but also my entire leadership team to recommit ourselves and double our efforts to not just achieve Vision 2025, which our entire organization is aligned towards and working towards but to exceed the expectations because of the sea of support that we have seen in the last five to six days. In fact, we think it's the best endorsement that a company can get, that a competitor of the company takes an equity position stating it's a financial investment, because they believe that we have superior technology, superior customer support, and better growth plan, and thereby our ability to deliver better value to our stakeholders.

2020 were tenuous times for the world, for India and the automotive industry and many other sectors of industry. Pricol was staring at a very uncertain future at that time. Both personally as a Promoter Group and as an organization, we were at our lowest ebb. We had a very high level of debt. We didn't know where next month payroll was going to come from, and we had faced a lot of uncertainty.

The Board at that time decided that we will look at divesting some assets of the company and shrinking the turnover of the organization to strengthen the balance sheet. By the grace of God, we were able to divest some of our overseas investments and i

mpair our investments and

strengthen our balance sheet at that time. The Promoter Group had no second thought about the future of Pricol at that time.

Personally myself and the rest of my family members signed personal guarantees and placed a significant portion of our wealth as collateral to raise capital for Pricol at that point in time, and by the grace of God and the support of all of our stakeholder and the connective energy and hard work of all of our employees, this two-and-a-half years has only vindicated our belief and faith in the company. In two-and-a-half years, we today stand proudly in front of you as a completely long-term net debt-free company, a very strong balance sheet, and a very, very healthy pipeline of new business.

We have embarked on significant capacity enhancement drives in order to cater to the new businesses that have come our way, and we will be investing close to 600 crore as stated by me earlier over the next few quarters in order to create additional capacity to cater to this additional business that we have won.

The biggest endorsements have come from our customers. We have one innumerable award for being the best supplier from Tata Motors, from Suzuki to Hero to Honda amongst many others. CII recognized Pricol this year as the top 50 technologically innovative companies in India. Not just in India but across the engineering spectrum in India. We have won innumerable Page 4 of 14 ACMA award, CII award, Quality Circle award with the help and participation of various members of our team. This is an endorsement of the support that we have received and the good work that we have done.

We have also entered into partnerships with two global companies as stated by me earlier, Sibros, the Silicon Valley company based by Marquee investors like Google etc., to work with us on connected vehicle solutions. We have also tied up with BMS PowerSafe, a leading player in the battery management system space in Europe, to work on battery management solutions, a very emerging space in India.

We were judged as one of the 10 most disruptive automotive technology companies this year in Auto Expo, the most marquee event happening in South Asia for the automotive industry where we had innumerable visitors to our store where we had displayed many of our new products that we have developed.

Starting from 2017, we started investing between 4.5% to 4.8% of our revenue every year in not just product development but also process development, which has started yielding enormous results from the year 2020, and that has been the reason for this something grows and customer confidence in us.

We believe to stay ahead of the competition and to stay ahead of the game, we need to keep investing similarly in product development and process development, and we continue to stay invested at the same levels of about 4.5% of our sales. We have added almost 100 engineers in this realm in this financial year alone, which shows a testament of walking the talk in our investment in technology.

The proof of the pudding has been the return on capital employed. For FY '18, we had a return on capital employed of 8.38%. For FY '19, we had a return on capital employed of (-20.83%). For FY '20, we had a return on capital employed of (-20.86%). These two years because of the losses and impairments due to our overseas subsidiaries primarily the one large investment in Brazil. In FY '21, as we were coming out of COVID, which is not an entire year because we lost over three months of production, we had a return on capital employed of 10.65%. In FY '22, that further went up to 12.44%, and for the nine months ending 31st December 2022, for the current financial year, we stand at a ROCE of 15.64%. And my entire team and I assure you that you will only see this number going higher and higher in the coming years.

Our PAT to debt ratio has also significantly gone up. Our EBITDA to debt ratio ha

s also

significantly gone up, and we have started generating significant amount of free cash flow. Our team and I are also confident of meeting our growth needs of approximately 600 crore capital required that will be met almost entirely by internal accruals. Every plant of the company is generating cash profits. Every subsidiaries of the company is generating cash profits.

Page 5 of 14 Some mention our leadership and market position in the market. In specifically the driver information system space, the space that we are dominant market leaders, two wheelers, the largest market in the world is India, and in that space we have a 50% market share amongst nine players in this space gives us a very, very strong lead and attachment to our capabilities. In the commercial vehicle segment, which is also a very large segment that your company Pricol operates in, Pricol enjoys a 58% market share. In the off-road segment of DIS, which is a focus area for us, Pricol enjoys a 96% market share. All of these are value of DIS products in the respective vehicle segments.

In another segment that Pricol entered into recently, which is the four-wheeler personal passenger vehicle segment, which due to non-compete with our erstwhile Partners Denso and Johnson Controls, we have signed a non-compete for a long period. We were able to re-enter that market segment in 2020, and today amongst the three players that we have entered into Tata Motors, Mahindra, and Force Motors, we have a 48% market share. This is relevant to only three customers where our investee Minda and us share in common and work together. So, I think this financial performance, this market share that we enjoy, and the international market share that we have started enjoying in off-road vehicles and two-wheelers with customers like Ducati, Triumph, Harley Davidson, KTM, BMW, some of the Marquee players globally, all working with us today and having a significant market share with them also is a testament to the work done by our engineering team and R&D team, a testament to our manufacturing progress, and a testament to our quality levels. All these awards that we have won this year is again a testament to the customer confidence in us.

We have also successfully managed to increase our market cap manifold in the last two-and-a-half years which is also a testament to our shareholders like you, your faith in our organization and the performance that your organization has delivered.

2020, we were at the lowest ebb as I mentioned earlier, both personally as a family and professionally as an organization. Today, in the beginning of 2023, I stand before you personally with zero corporate guarantees or zero assets pledged and with adequate liquidity personally. Pricol completely deleveraged, Pricol on an expansion mode, Pricol with a clear Vision 2025, and Pricol with a significant market share and a long and large LOI of businesses, we are poised for growth. We are poised for exciting times ahead, and we are poised to grow equitably and add value to all our stakeholders including our customers, our employees, our valuable shareholders and suppliers.

Thank you very much for your confidence in the Promoter Group and the leadership team of Pricol. And I would be happy to take any questions starting now. Along with me, our CEO Mr. Ganesh and our Director (Strategy) Siddharth, and CFO Mr. Bastia will also be joining in, in answering your questions.

Page 6 of 14 As a simple housekeeping rule, as there are many, many participants in the call and the question queue is building up, we request that participants restrict themselves to one question at a time so that everyone is given an opportunity to ask their questions. You may rejoin the queue after your one question is asked if you have additional questions, and we will be happy to take as many questions as possible this evening. Thank you once again, and over to you, over to the mo-

derator.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Tanuj Khiyani from Ventura. Please go ahead.

Tanuj Khiyani: I just had one question regarding the internal business operation. So, now as the company has a minority share, it would come to know about their upcoming plans and new product line up that will be getting into. So, how would that information being said and how that would give an advantage to Minda in that sense?

So, I was saying that Minda would come to know about their future expansion and new product line up, so how would you able to like protect your information from leaking out in that way?

Can you get beyond that?

Vikram Mohan: Whether Minda has 100 shares in Pricol or a 15.7% stake in Pricol, they will be privy to every information like the smaller shareholder to the largest shareholder whatever is not forward looking. So, they will be privy to the same information as any other shareholders privy to.

Number one.

Number two, from a customer standpoint, many of our competitors bid for a project, and a typical LOI is given at least 18 to 24 months before the start of a project. So, every competitor of Pricol knows when they have lost out on the bid, and why they have lost out, and why the LOI has been placed in favor of Pricol, and this is known at least 18 to 24 months before the commencement of any business or startup production. So, Minda doesn't have to wait to know as a shareholder. Minda will come to know 18 to 24 months when the big process is launched and the LOI is endowed on Pricol which is the reason probably that they have invested in Pricol because they see the growth prospects in Pricol and the growth that Pricol can deliver in the coming quarter.

Moderator: Thank you. The next question is from the line of Vipul Kumar Shah from Sumangal Investment. Please go ahead.

Vipul Kumar Shah: So, my question is are you open to increase in stake via creeping acquisition route as permitted by the SEBI?

Vikram Mohan: Mr. Vipul, Mr. Shah, thank you very much for that question. After the incidents of the past few days, we have had the best of legal advisors, the best of financial advisors, and the best of Page 7 of 14 merchant bankers that have been advising us on the action to take on the way forward. We have worked out multiple strategies to ensure that the company remains in the control of the present Promoter Group, the Mohan family. I am open to making all forms of investment to

ensure that this company that was founded by my father 50 years ago remains proudly in the hands of the same family. This is a commitment that I have made to every stakeholder of ours in every forum that I was able to get. I have prepared the family and well-wishers have prepared a war chest if it comes to that.

Finally coming to your question of am I open to a creeping acquisition, it will be one of the strategies. But we will do it on our terms, not when markets are volatile or a hostile situation is potentially facing us though we believe it is not as per the reports in the media. Thank you, Mr. Shah.

Moderator: Thank you. The next question is from the line of Ashish from ET Now. Please go ahead.

Ashesha: This is Ashesha this side from ET Now. So, PHI which holds about 5% stake in the company, will they continue to stay invested in the company?

Vikram Mohan: PHI holds a 5.73% stake in the company to be precise, and they have endorsed our present management and has assured us of their support, and they will continue to stay vested with the company for the short to medium term.

Moderator: Thank you. The next question is from the line of Suleman from EB Capital. Please go ahead.

Suleman: Just wanted to know that Pricol has been in partnership with Sibros and BMS. So, in case of Minda buying more stake and making an open offer, what would be the fate of those partnerships? And also one more t

hing. Just a few seconds back you said that your family and you have prepared a war chest. So, does that mean you all are going to buy more from the open market in the near future?

Vikram Mohan: Let me rephrase what I said earlier to Mr. Shah. Mr Suleiman, we have no intention of any hostile takeover, and we intend to remain in control of this company. By legal means, by financial means or every other means for which we have strategies in place. So, the question doesn't arise of what will happen to the fate of the relationship, the technological collaboration that Pricol has with BMS or with Sibros, the products of both which we displayed in Auto Expo. So, we will ensure that we remain in control of Pricol, and we will take necessary actions when there are counter actions taken, and we will not take any major reactions at this point in time.

Suleman: That gives a lot of confidence to us.

Moderator: Thank you. The next question is from the line of Kaushal Kedia from Wallfort PMS. Please go ahead.

Page 8 of 14 Kaushal Kedia: Mr. Mohan, just a question on PHI Capital. They are also shareholders in Minda Corp. So, would it have been their interest actually to get the company merged?

Vikram Mohan: PHI Capital are shareholders in Minda Corp with a 5% holding and a 5.73% holding in our company. It is not in their interest. It's two individual investments. Their investment in Pricol was much, much, much prior to Pricol. Their involvement in Pricol has been much, much prior to Minda, and it's two individual investments done by a shareholder much like an Aditya Birla or much like a Quant or any other mutual fund out there that has investments in both of these companies which is public knowledge. So, that does not have any bearing, and it is not in the interest of any financial investor to merge two companies where they have minority financial investments.

Kaushal Kedia: Also, sir, that you're saying that you have prepared some legal ways also from them preventing to take over the company, but if legally, if they go above 26%, if they come out with an open offer, and they go above 36%, 37%, then they will be in essentially in control of the company. So, there are other legal ways that you can use to prevent them in spite of them taking?

Vikram Mohan: I would try to place my cards out on the table, sir, with all due respect. But let me assure you that we have left no stone unturned to protect our rights and ensure control of this company.

And I have also got the support or support of all my stakeholders to prevent any such takeover.

And also like let me tell you, that if they cross the 24%, 25% mark, they will also be breaching regulatory course, which will give us protection measures. We have evaluated all of our options, and we keep all of our cards open to ensure that we remain in control of this company.

Kaushal Kedia: But I don't think Minda, as a analyst, I don't think that we have any visibility of the funds also.

So, it's too true to say actually, but it will be interesting how it turned out. Also, sir, one more question on the results. I know in the Q3 Concall, you didn't quantify the amount to which we lost out due to the shortage in the chips. It would be really helpful if you can roughly give an estimate about what kind of revenues we lost out on due to the shortage?

Vikram Mohan: Kaushal, I know that is the second question, but I will give you the liberty of answering that question, and if you have further questions to rejoin the queue as a matter of housekeeping so that there are other people in the queue. We have lost approximately 15% of our top line on account of the chip shortage. We have seen about a 2, 2.5% erosion of our bottom line at an EBITDA level due to the chip shortage because of the premium prices that we have had to pay for the chips and also the extremely high levels of premium price that we have had to pay to buy these chips.

We are seeing the chi

p shortage easing off. Our CEO and our Director (Strategy) has traveled to Germany or traveled to the United States, have traveled to Japan, have traveled to Singapore to meet all the chip manufacturers and suppliers and get volume commitments for the next three years. We are already seeing time of the chip shortage easing off. And I think as I said in Page 9 of 14 one of my investor calls earlier, the chip shortage will be history by August 2023, and prices and freight will come back to normal levels for chip by August 2023 which will help us improve our bottom line as well.

Also, the chip manufacturers are migrating to the next generation of chips, which is why we have started investing very heavily in product engineering to migrate all our products to the next generation of chips, which will give us another five-to-seven-year leeway of product life for all of our product families, which are dependent on chips.

Moderator: Thank you. The next question is from the line of Dhananjay Kumar Mishra from Sunidhi Securities. Please go ahead.

Dhananjay Kumar Mishra: Sir, you are maintaining that you will never be open for any kind of discussion if directly approached by Minda in future.

Vikram Mohan: Not just the future, Mr. Dhananjay Kumar. Good evening first. They have approached us multiple times in the past as well in the last five to six quarters asking if there is a possibility to do something together. I have told them very clearly that we are on a very firm financial footing with a very clear growth plan, and we have no intent of undertaking any sort of collaboration or joint venture or equity participation of any sort. So, today, when we stand on a very strong financial footing, when we stand on very strong customer endorsement, and when we stand very strong on a very strong LOI of business and technologically in a far more superior place than they are, I don't see any merit, or I don't see any why it would warrant having any sort of collaboration with them equity or otherwise.

Moderator: Thank you. The next question is from the line of Hemanth, an individual investor. Please go ahead.

Hemanth: I just wanted to check on the 600 crore CAPEX plan, like when it will be put? And what kind of asset turn we are expecting? Will it be in a staggered manner or it will be put in one go?

Vikram Mohan: It will be in a staggered manner over the next eight quarters for capacity enhancement to meet the current LOI of business that we have and the businesses that are in RFQ stage that we expect to convert to LOI with a certain ratio as we have always done. We intend to increase our capacity to 4,000 crore of top line for which those Investments are being done, and we are hopeful of generating, this is a slightly forward-looking statement, which I would like to also say, of 14% EBITDA. And this entire 600 crore, we again firmly believe can be met with internal accruals over the next eight quarters.

Hemanth: So, we can expect 3x of asset turn, right?

Page 10 of 14 Vikram Mohan: From about 2,400 crore, this will take us to about 4,000 crore of capacity enhancement, which will give us about 1,500, 1,600 crore of capacity enhancement by spending about Rs. 600 crore.

Hemanth: So, 2.5 it would be.

Vikram Mohan: No, it's between 2.5 and 3 depending on the product mix. There is no exact thumb rule because we will be creating capacity not for a particular product mix, but for a broad product mix. So, it would be between 2.5 and 3 at the very least.

Hemanth: And we will be starting at the end of...

Vikram Mohan: And primarily also, Hemanth:, this is slightly increased cost of CAPEX because land prices have also gone up extremely sharply in all the three automotive hubs of the country: Pune, NCR, and Chennai. Had land prices been what they were two or three years ago, we could have probably even got a 4x to our capital infusion ratio of turnover ratio. Land prices will, you know, probably

bring down our CAPEX to our turnover ratio.

Moderator: Thank you. The next question is from the line of Divesha, an individual investor. Please go ahead.

Divesha: Sir, I was speaking on behalf of a very concerned minor. Sir, our concern is we have invested in this company like you for the next 5 to 10 years or more, and now when we see that feature is very bright, a certain event has happened. Sir, my concern is there is a very thin line of difference between financial investment and hostile takeover. So, you are well aware of, and you have taken all legal advice from the financial people.

Sir, my concern is since we are spending about 600 crore for the CAPEX, and as a minority shareholder, we have as a Promoter holding in these our company is about just 37%, less than 37%, which by any standard is too less. So, what is the management's view, whether you will prefer a 600 crore CAPEX or increasing the promoters' holding. Sir, 5% at today's rate suppose 5% holding will require only 125 crore. So, by sacrificing little bit of CAPEX, we can ensure the shareholder about the shareholder's value that we are with this Promoter only. So, it is a balancing act between your future growth and the shareholding since we are at a juncture where we feel a fear of hostile takeover. So, what is, sir, your view, a little bit of less CAPEX at this point and more of a increasing promoters' holding via preferential issue or via any means, which you may feel better? So, my concern is the low promoter shareholding.

Vikram Mohan: In the interest of time, let me answer your question. It's two different questions that you have asked. The 600 crore of CAPEX will be done by the company to grow the business of the

company to enhance the capacity of the company and to meet the growth and the LOI of businesses that the company has. The 125 crore that you are alluding to is an investment by the promoters of the company in into the company to increase their shareholding. It is two Page 11 of 14 completely different things. Company need not sacrifice any amount from the 600 crore because this 600 crore will be generated through cash accruals and cash profits of the company and be re-invested in the growth of the company thereby creating top line growth and bottom line growth for all stakeholders of the company. That is one. So, there is no sacrifice there. Now, coming to the second part of your question. Are the promoters committed to their holding in the company? Are the promoters committed to retaining control of the company? And if it warrants an investment to keep their shareholding, not shareholding, control of the company, let me paraphrase, the promoters are open to doing so and have the ability to do so and will do so on their terms at a time of their choosing, not in a hostile situation creating a price war which is not going to benefit anyone.

Divesha: Yes, sir, I do agree. But, sir, company can have one other option of buyback of shares of about 125 crore, 150 crore, thereby indirectly you can increase your holding. Buyback of share by the company.

Vikram Mohan: Company, we believe that's not a prudent financial investment at this point in time, because I think 37% plus extended family have shares also in the company plus well-wishers like yourself and many others from the city of Coimbatore and extended family have put their weight behind the company. So, I don't think we need to do any sort of knee-jerk reaction and decimate shareholder value. We see there is more merit in investing back into the business and creating shareholder value.

Divesha: Thanks sir. And we assure you, we are a minority shareholder. We are with you, sir.

Vikram Mohan: Thank you very much, Mr. Shah, and bless you. And we look forward to growing and working and creating more value and more wealth for you in the years to come. And thank you for the confidence you have reposed in us.

Moderator: Thank you. The next questi

on is from the line of Satya Murthy, an individual investor. Please go ahead.

Satya Murthy: Good evening, sir. And I thank you for your commitment to the company and to the shareholders. I'm also an individual shareholder in your company. My question has been answered, but main thing is what is the cash position you have on the books today? And how this 600 crore will be over a period of time? You said eight quarters. Within the eight quarters, you will be having how much cash expected? What is the protected cash in the books by the time?

Vikram Mohan: Mr. Satya Murthy, that is a forward-looking statement, which I think I should not be making. But let me assure you, that we are debt free today. We have zero leverage today. We have the chip shortages behind us. We have our premium pricing, which will become history. We have Page 12 of 14 the premium pricing for the chips that will go out in the next couple of months. We have an increasing market share. We have started generating a significant amount of cash, and we believe that the cash that we have and the cash that we will generate will be more than enough to meet this entire 600 crore of CAPEX.

Timing may be a small issue where the CAPEX may be one quarter before, and the cash may form a quarter or two later, for which only bridge capital will be required for maybe two to three quarters at most. Combined with our improved credit rating from CRISIL which has also will reduce our borrowing costs, if at all we have to go for borrowing, which we as a management team do not foresee unless we take some inorganic growth for which we also intend to do or healthy well-managed assets with good balance sheets, even adjacent businesses to extend our geographies and improve our export potential from India. I know, I have not given you a straight answer, but I have given you a long-winding answer. But it was a lot more information that you required.

Satya Murthy: Excellent, sir. I understood the hidden message there and wish you all the best in your endeavors. And we shareholders stand behind you.

Moderator: Thank you. The next question is from the line of Vipul Kumar Shah from Sumangal Investment. Please go ahead.

Vipul Kumar Shah: Thanks for the follow-up, sir. Are you open to any joint bidding of the projects with Minda or that is totally ruled out?

Vikram Mohan: I completely rule it out because I believe we are a superior company in every which way, which is an endorsement of our market share and endorsement of the awards we have won for our Innovation, and we don't see any merits in jointly bidding for any business. It has never happened before in the Indian automotive component industry, and I don't think we see any merit in it going forward as well.

Vipul Kumar Shah: Sir, would you repeat the market share figures, if you don't mind, because I could not note them down? If you don't mind, please?

Vikram Mohan: I will request you to send a query to our Investor Relations department and which will be answered because I elicited, I gave a very clear market share by value in every vehicle segment

that we play in, and since many other people also participate, and this is public data belonging to SIAM and ACMA, we were more than happy to share that information with you. Please do send a query to our Investor Relations department, and they will reply to you. These are for specific segments of the market two-wheelers, commercial vehicles, and off-road vehicles where we have decided to compete within globally and our market share by value in the Indian industry, in the Indian OEM space.

Page 13 of 14 Moderator: Thank you. Our next question is from the line of Tanuj Khiyani from Ventura. Please go ahead. Tanuj Khiyani: I just had found out that whether Minda has asked for a representative on the Board.

Vikram Mohan: They have made it very clear when they have made an investment in their media release that they will not be aski

ng for any special rights or representation on the Board or management of the company.

Moderator: Thank you. The next question is from the line of Govind, an individual investor. Please go ahead.

Govind: Sir, my question got answered, sir.

Moderator: Thank you. The next question is from the line of Aditya Sudarshan, an individual investor. Please go ahead.

Aditya Sudarshan: I have a specific question. Back in 2013, we had PHI Capital investing as a preferential allotment. So, do we have an NDA with them because in 2020, they had picked up in Minda. So, if we have an NDA, and are we renewing it on a regular basis or how does it work out?

Vikram Mohan: We don't have an NDA with the PHI Capital because they were an investor at one point of time and had a participation in the management of the company, co-manage, but that is long time ago, and we have not renewed the NDA as they do not participate in any which way in any management or any actions of the company, and they are a pure play financial investor like any other investor in the company.

Moderator: Thank you. The next question is from the line of Ashish Kumar from Infinity Alternatives. Please go ahead.

Ashish Kumar: Sir, just one query. With PHI Capital, is there any legal commitment in terms of non-disposable right of first refusal etc., which might exist at the company level or the promoter level?

Vikram Mohan: We don't have a legal, but we have a commitment.

Ashish Kumar: But they are a financial investor is what I understand, sir. So, as a fiduciary, how far can that commitment go? That's where I am trying to understand, sir.

Vikram Mohan: I can assure you that the commitment goes very high and for many of their investors individually in the fund as well. I would not like to comment further on this.

Ashish Kumar: But you are saying that there is no legal commitment today.

Vikram Mohan: No. There isn't.

Page 14 of 14 Moderator: The next question is from the line of Mann, an individual investor. Please go ahead.

Mann: Sir, most of my questions are answered today. I just have one recommendation from my side as an investor. It would be really good if you, Mr. Mohan, would be present in the Concall of quarterly Concalls because you represent us more transparently. So, that's just a recommendation from my end.

Vikram Mohan: Thank you, Mr. Mann, for that suggestion. It is just a policy that we thought all the leadership of the company should have an opportunity to represent the company, which is why we made an internal policy where for the half yearly call and the annual call, it will be led by me, and for the Q1 and Q3 calls, it will be led by our very able CEO and Executive Director.

Moderator: Thank you. Ladies and gentlemen, this was the last question for today. I would now like to hand the conference over to the management for closing comments.

Vikram Mohan: Thank you very much, Rutuja, for organizing this call, and thank you very much to Valorem Advisors for organizing this call. I would like to once again on behalf of my entire management team backed by our entire workforce, our customers who have reposed their faith in us, our suppliers who have stood by us in our most difficult times, our shareholders who have reaffirmed their faith in us and stood by us in our darkest, deepest hours, on behalf of the Promoter family, we stand committing to creating value for each and every one of you. We have a good few years ahead of us in every which way, and we stand committed to this company to creating value, and may we all grow together, shine together, prosper together, and travel down this glorious path together in the years to come. With the blessings of the almighty, thank you for your support. Good evening.

Moderator: Thank you. On behalf of Pricol Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Feb 2023

PL/SEC/TGT/2022-2023/103
Monday, 13th February 2023

The Manager Listing Department
National Stock Exchange of India Limited
"Exchange Plaza", C-1, Block G
Bandra-Kurla Complex,
Bandra (E), Mumbai – 400 051 Corporate Relationship Department
BSE Limited
1st Floor, New Trading Ring
Rotunda Building, P J Towers,
Dalal Street, Fort, Mumbai 400 001
Script Code: PRICOLLTD Script Code: 540293

Dear Sir,

Sub: Con-call Transcript

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we herewith submit the Transcript for the Con-call held on 9th February 2023 on the unaudited financial results for the quarter and nine months ended 31st December 2022.

This is for you information and records.

Thanking you

Yours faithfully,
For Pricol Limited

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;... CUSTOMERS ;... EMPLOYEES ;... SHAREHOLDERS ;... SUPPLIERS

Page 1 of 15 Pricol Limited
Q3 FY23 Earnings Conference Call
February 09, 2023

Moderator: Ladies and gentlemen, good day and welcome to the Q3 FY23 Earnings Conference Call of Pricol Limited. As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call. Please signal an operator by pressing "*" followed by "0" on your touchtone phone. Please note that this conference is being recorded. At this time, I would now like to hand the conference over to Ms. Chaiti Gujarati from Valorem Advisors. Thank you and over to you, ma'am.

Chaiti Gujarati: Good afternoon everyone and a very warm welcome to you all. My name is Chaiti Gujarati from Valorem Advisors. We represent the investor relations for Pricol Limited. On behalf of the company, I would like to thank you all for participating in the company's earnings call for the third quarter and nine months ended financial year 2023.

Before we begin, let me mention a short cautionary statement. Some of the statements made

in today's concall may be forward looking in nature. Such forward looking statements are subject to risks and uncertainties which could cause actual results to differ from those anticipated. Such statements which are based on management's beliefs as well as assumptions made by an information currently available to management. Audiences are cautioned not to place any undue reliance on these forward-looking statements and to make any investment decisions. The purpose of today's earnings call is purely to educate and bring awareness about the company's fundamental business and financial quarter under review.

Let me now introduce you to the management participating with us in today's earnings call and hand it over them for opening remarks. We have with us Mr. P. M. Ganesh - Chief Executive Officer and Executive Director, Mr. Siddharth Manoharan - Director of Strategy and Mr. Priyadarsi Bastia - Chief Financial Officer. Unfortunately Mr. Vikram Mohan will not be able to attend this call today. Without any further delay, I request Mr. P. M. Ganesh to start with his opening remarks. Thank you, and over to you sir.

P. M. Ganesh: Good afternoon to all of you and it is very, very nice to reconnect with you, warm welcome.

Again, during Q3 we have outperformed the market growth by significantly quarter-on-quarter we have been able to outperform the market growth. This is due to a host of new products which we have been launching quarter-on-quarter. Our presentation has been uploaded as you can see the various new products that we have launched during the Q3. We also had our Auto Page 2 of 15 Expo, where we have displayed the next generation of products which is conti

nues to be highly

focused on the EV vehicle. And it has a rousing welcome from the various customers. We continue to launch a whole host of next generation technology products and solution that can be deployed across all vehicle segments. However, during Q3, we had a setback in terms of a significant impact of our top line got affected due to acute IC shortage due to one of our key IC suppliers due to their internal consolidation activity. This has led to loss of both top line and also our profit. Causing losses of sale and other cost increasing due to premium price. However, with all our collective efforts, we have overcome these challenges and reported a healthy set of Q3 numbers as you can see on the board. And we believe that the worst is behind us on the supply chain front and going forward, it looks like that there is a good amount of consistency which is expected in the supply chain.

On the key financial highlights of Q3 as a standalone recall our revenue stood at 449.57 crores with an EBITDA of 49.94 crores with 11.11%. The PAT was at 5.85%, on a consolidated financial our revenues stood at 458.16 crores with EBITDA of 51.81 crores with the EBITDA margin of 11.31%. Some of the key highlights of Q3, the financial highlights were. The revenue grew by 15.49%, much higher than the industry growth of 4% during the Q3 period, our profit before tax stood at 45.34% growth. The cash profit grew by 39.85%, and at a PAT level we had a growth of 99.58%. We have no long term debts during Q3 when compared to 100 crores then compared during the same period of last year.

Continuing with the key financials of Q3 when comparing to the previous financial year during the same period. Our revenue has grown by 16.07%. At the PBT level we have grown by 21.24%. The cash profit stood at 25.79% growth and the profit after taxation at the PAT level we are at 54.27% growth during the same quarter previous year. The details are there for you to see. I would now hand it over back to the operator for the investors to please ask the questions.

Thank you so much.

Moderator: Thank you very much sir. We will now begin the question-and-answer session. We have the first question from the line of Jinesh Shah from Congo Commodities. Please go ahead.

Jinesh Shah: My question was regarding our recent partnerships with BMS and Sibros. I just wanted to know at what stages of development are these products right now?

Management: On the Sibros which is going to be an integral solution with our telematics the end-to-end solution, there Pricol already has been a supplier of telematics in the last 10 years and more than 300,000 units of telematics already successfully running in the field. Sibros is going to value add by bringing the cloud solution along with our hardware. We have already integrated the software of Sibros with our hardware. The POC has been demonstrated, the proof of concept has been demonstrated. And we have already given samples of this integrated solution to our customers which are running successfully in the field. And also in the recent CES show at US. Sibros and Pricol has jointly participated to exhibit that the integration has been Page 3 of 15 successfully completed and it is ready for going towards smart production. Similarly, during the auto expo during last month, we have again kept the working integrated sample which many customers have shown interest for their product testing that is where we stand on the Sibros. On the battery management system, our partners are very, very closely working with us in terms of the feasibility for the Indian market, and we have got a number of inquiries already from customers for the battery management solution which jointly we and the partners are evaluating for the solutions to be offered to the customers. That's where we stand on both the projects.

Jinesh Shah: Right. And what is the kind of CAPEX we have incurred so far with these partnerships and

what

do we see in the future, the kind of CAPEX that we are going to do with them?

Management: It is going to be CAPEX light in the Sibros project, because already telematics has been a part of Pricol ecosystem and we have been manufacturing telematics units for the last 10 years. So, it is going to be very CAPEX light on the telematics solution. Battery management system is still under evaluation, as I told you and then maybe during the appropriate time, then we will consolidate the CAPEX and then we will let you know.

Moderator: Thank you. We have the next question from the line of Hemant, an Individual Investor. Please go ahead.

Hemant: Sir, two questions from my end. First of all, we are targeting to double our revenue, we are basically targeting 4000 crores of revenue by FY26. So, if you can kindly break it up year wise, like what we are targeting for FY24-25 that is my first question. The second question in the opening remarks you have mentioned that we had a loss of revenue due to some IC supply shortage. So, maybe if you can quantify the amount, how much revenue we fell short off and how much profit we fell short off?

Management: Hemant thank you for both your questions. Question number one is little forward looking statements so, I will not be in a position to tell you on the year-on-year growth what is that we are looking, Yes we have set a target that we should reach 4000 crores with the host of new technology products, where we have clearly outlined the various new products which we are developing which has also been displayed at the Auto Expo in terms of the new technology products and the partnerships that whatever we are working with. Year-on-year at this point of time would be difficult for us to explain, that is the vision of the company that yes we should reach the 4000 crore. Now coming to Q3 it is again very difficult for us to quantify in terms of the loss if you asked me if the top line loss has been quite significant, because number of customer requirements we were not able to meet during Q3 of this year because of acute IC shortages. Quantifying that into a top line and bottom line would be a little difficult for us at this point of time, but a significant portion of that has been lost. However, to inform you that this has got regularized from January onwards and the supply chain situation has streamlined quite well and we are back to normalcy from Q4 onwards in terms of the supply chain situation. Page 4 of 15 We foresee that there should not be any major issues in terms of chip shortage of supply chain disruption going forward.

Hemant: Sir, so we should expect that Q4 should be better than Q2?

Management: Again, I'm so sorry this is a little forward looking I will not say so but generally in the auto sector if you see Q4 is always better than Q3, Hemant as you are aware because Q3 has got a number of maintenance closures by the various OEMs especially in the month of December. Q4 generally the automotive industry will see a up-growth primarily because of the festival season at various parts of India and then Q4 we here in the quarter. You will always find the automotive industry would be at the best during Q4.

Moderator: Thank you. We have the next question from the line of Arshad Manfra, an Individual Investor. Please go ahead.

Arshad Manfra: I wanted to ask that in investor presentation you have written that, I know you say that you can't quantify the amount of revenue but, I wanted to ask that in the order book. So, can an investor thing that the orders which you are not able to fulfill has been transferred to order book or something like that, will it be in accrual?

Management: Actually speaking it will be a loss of production at both ends that is at our end for Q3 and also at the OEM end that is where when you have shortage situation. However, we have managed the situation quite well in terms of having the material sent by premium freight.

So, that we

could minimize the loss of production at the customer end, we have worked on Sundays to compensate the loss of production. So, we have tried to mitigate this issue as much as possible during Q3 that's why we are not able to quantify the exact numbers, but we have minimized the risk to a good extent by working on the Sundays and also sending the materials premium freight. However Q3 could have been better than what we are today primarily because of this acute IC shortage which has happened during Q3.

Arshad Manfra: Right. And I wanted to ask that the IC supplier we only have one IC supplier and due to whose internal consolidation we are facing this difficulty or what, we might have two or three more IC suppliers right?

Management: Yes, we have got the multiple IC suppliers. But for model specific we have one IC supplier because that is an integral part of the system for recall and as well as for our customer. So, whenever there is a major IC supplier is not able to supply because there are very few IC suppliers in the world and we are with all the big IC suppliers in the world. If one of them have got an issue, certainly it is going to have an impact on the top line, that is what we found, it is generally not a very common phenomena generally it happens because of the systems are very, very strong with those type of companies. But this has been quite unfortunate that they had an integration problem during Q3 which has led into this situation.

Page 5 of 15 Arshad Manfra: Okay. And you mentioned about Sibros partnership product on mass scale. So when as an investor I can look forward to the revenue numbers for that product?

Management: As I explained to you the proof of concept has already been completed and the samples also are with the customers which are under testing. So from FY24 onwards we find that there would be interaction of the integrated solution products to some of the key customers and then during FY24 onwards we expect the startup production into mass scale.

Arshad Manfra: Okay. And just a last question from my end. So, on the basis of your explanation, can I conclude that the September quarter revenues were not like one sort of revenue, we assume that this is one time revenue, it would continue?

Management: I didn't understand your question. Your question is, that if Q3wWe had a setback because of IC shortage and that behind us and Q4 is normalized correct, that is your question?

Arshad Manfra: No, I am asking Q2 revenue were highest revenue right in the history of Pricol. So it is not one set of number, it is not a one-time number we can assume it to be growing?

Management: Yes, you can see that every quarter-on-quarter we have been posting growth when compared to the previous year during the same period, with the host of new products whatever that we are launching we are hopeful that yes we should continue to grow.

Arshad Manfra: Over the 4000 crore revenue target will be from the new products or the continuing portfolio range?

Management: See, it will be a combination of both, because we have the whole set of existing products also which is growing or transforming into new technology and also we have got a new set of new products itself like the battery management system is completely new to Pricol and the Sibros integrated solution and many other the products whatever we are talking about is first of it's kind for Pricol. So there will be a combination of the existing products transforming into new technology plus the new product portfolio itself. The combination of both is what we are aspiring to reach the numbers whatever we are talking about.

Arshad Manfra: And the margin profile on both, on old products and new products would be in the range of what?

Management: That would be very difficult to explain in terms of each of the products separation. With only that where we are in terms of the EBITDA, you can see that there have been certain

EBITDA

level that we have been making quarter-on-quarter, we hope that we will continue and try to improve those EBITDA numbers as we're going along.

Arshad Manfra: So this is the normal EBITDA range for new product also, I can assume that right?

Page 6 of 15 Management: It is very difficult again for me to explain you like that, because each of the product portfolios will have the EBITDA numbers depending on the demand and supply situation and the requirement from the customer. But as the combined Pricol, we expect certainly that whatever we are having the EBITDA, we will keep improving on those numbers, that's where we are hopeful.

Moderator: Thank you. The next question is from the line of Vipul Kumar Shah from Sumangal Investment. Please go ahead.

Vipul Kumar Shah: My question is, I'm surprised by your comments that there are ICs shortage because we read on global media that there is a lot of semiconductor and prices have collapsed. So could you explain in some detail what has happened?

Management: Your information is not fully correct Mr. Shah, because there is no such information that I see the market has collapsed and then the prices have fallen there is no such information. IC continues to be under allocation even as we speak. Yes, it has started to ease out during the last six months when compared to the last two years where the acute IC shortage started from the financial year 21 ever since COVID situation started we had acute semiconductor shortage because of the high demand in the white goods. That is where the issue started, yes it is easing out, but it is not that the IC manufacturers have got lot of capacity it has collapsed, and the price has collapsed there is no such information. IC continue to be under allocation but we find that it has started easing out that's where we are.

Vipul Kumar Shah: Okay, sir because a lot of chip companies price I follow in the international market like Samsung, all have collapsed six to seven, they have collapsed meaningfully and anyway, so can you give certain figures sir, so out of the turnover in last quarter what is the split between two wheeler and four wheeler?

Management: I'll explain to you in two parts because your first question you spoke about the white goods industry. Now, whatever IC we are using we call it semiconductor which is generally a nomenclature used in the automotive industry. Each of the automotive has got their own unique ICs actually, which is very different from the white goods that whatever you're talking about. These are very specialized ICs which has to run number of features on the product that whatever we are offering. So, I would not compare that with the white goods ICs because there are a number of varieties of ICs which are there in the world. The ICs that whatever we are talking about of the automotive still continues to be under allocation, but yes of course the situation is easing out, this is number one. Second question, can you just repeat your second question, I just didn't pick it up.

Vipul Kumar Shah: So, can you split your sales in the third quarter between two wheeler and four wheeler?

Page 7 of 15 Management: Yes, generally about 65% of our revenue is from a two wheeler. That is how the automotive

industry is there, like if you see the total automotive industry production two thirds of the production is coming from the two wheeler that is where we are 65% of the revenue comes from the two wheeler and the remaining 35 is split between the personal passenger vehicle four wheeler and then there is a portion which comes from the commercial vehicle and then there is a portion which comes from the off road and tractor segment. So, we are very equally distributed in terms of our revenue comparable to the automotive industry.

Vipul Kumar Shah: Okay. So, it's a mirror image of the total vehicle sold in India that is what you are trying to say right sir?

Management: Absolutely, si

nce we are spread across all segments of the market and we are present equally in each of them. So, that is why you find that the Indian automotive industry, the percentage of split whatever is happening among the segments, same thing is depicted in Pricol –25:59 also.

Vipul Kumar Shah: So, can you split your revenue between telematics and driver information systems, and another vertical actuation control and fluid management systems?

Management: See telematics is an integral part of the driver information system, which contributes to, again about there is a pie about 65% of the driver information system and telematics put together as a single bundle. And the remaining 35% is coming from the actuation and control systems.

Vipul Kumar Shah: Okay. And can you further split yourself between domestic and export?

Management: The domestic was at around 12% of the total pie and the remaining comes from the domestic market.

Vipul Kumar Shah: Sorry, would you repeat export is 12% right?

Management: Yes, export is about 12% and the remaining comes from the domestic market.

Vipul Kumar Shah: And sir a few quarters back Mr. Mohan had spoken about one order for Caterpillar, it was regarding some fuel pump. So what is the ramp up and so can you comment on that sir?

Management: Sure. See the caterpillar has already gone into mass production six months back. And we are in quite a steady state with Caterpillar in terms of the water pump actually that's what Mr. Mohan said.

Vipul Kumar Shah: Sorry, it was water pump, Yes.

Page 8 of 15 Management: These are the large water pumps, which is again first in time for Pricol. These are very large water pumps, even each one of them weighing more than 80 kilograms. So that already has gone into mass production and they have been supplying those parts in the last six months.

Vipul Kumar Shah: So it's a recurring order or it's a fix quantity order?

Management: It is continuous, because we supply to Caterpillar online. So they are the OEM for us, we don't supply to any retailers it is direct online. So it is going to be a continuous affair and we see much more opportunities to come from Caterpillar as we are going along.

Vipul Kumar Shah: Okay, sir and regarding this various partnership which we have inked recently. Do you expect our content per vehicle to go substantially over next two, three years?

Management: That's right. You can see already the value addition of in the per vehicle has been continuously increasing for us. We are hopeful that it will continue to increase with these type of new range of products and technology products whatever we are working with.

Vipul Kumar Shah: So, if you can give any ballpark figure what is your content per vehicle for a two wheeler and four wheeler and where you see three years down the line any ballpark estimate will be really very helpful sir.

Management: That is very, very difficult if you ask me, we have driver information systems supplying from Rs.300 for a motorcycle going up to even Rs.10,000 so it's very difficult for us to give you any average number. It depends upon the type of vehicle is used whether it is an entry level motorcycle or a mid-size or it is a high end motorcycle. So the value of the products whatever we are offering completely differs from vehicle-to-vehicle.

Vipul Kumar Shah: And sir regarding your EBITDA margin for two wheeler and four wheeler vehicles, they are same or they are different. And same applies for your EBITDA margin for telematics system and actuation and fluid management system. They are same or different, your comments please sir.

Management: It would be different, it cannot be exactly the same, because each one's application are different and it addresses different segments of the market and customers. So, it may not be exactly one to one it is very difficult for any of those products to have identical EBITDA margins.

Whatever you see on the screen is the

consolidated ones that whatever we have as a combination, which are the driver information system, along with the telematics and along with the actuation and fluid controls. So a range of products may not have the same type of EBITDA margins.

Vipul Kumar Shah: Okay. And lastly, Mr. Mohan was not present on last call also, please request him to join the call, please convey our message please sir.

Page 9 of 15 Management: Definitely next quarter, Mr. Mohan will certainly participate. He has been on continuous travel, and that is the reason why he was not able to participate. Thank you so much.

Moderator: Thank you. We have the next question from the line of Mousumi Paul from Equitas Wealth. Please go ahead.

Mousumi Paul: I wanted to know would we see any margin improvement in the coming future?

Management: Ma'am actually we have been having a number of cost escalations, which has happened in the last three years primarily because of semiconductor increases and then you would have seen that the dollar parity with the rupee going up. The ocean freight from overseas, whatever we are importing and exporting has significantly gone up. So, there has been continuous cost escalation which has been happening in the last three years. However, things are looking to ease out in terms of the freight coming down and also we find that the dollar is getting into more stability with the Indian rupee in the last three to four months. And you know, that the chip escalation whatever has been happening in the last three years also finds it that yes it is easing out. So, we definitely expect as we are going along, the margin should improve.

Mousumi Paul: Okay. And when we see that supply side challenges to be solved?

Management: Supply chain situation ma'am as I explained to you that yes, it is easing out quite significantly, barring the last quarter where it was purely integration problem not because of the shortage of wafers by the chip supplier. The situation definitely has improved in the last six months, we expect that the supply chain to become better and better as we are going along. We have seen that in January itself yes, definitely the supply chain situation is easing out.

Mousumi Paul: Okay. So, can you give any estimate as to how many new products we will be launching in the coming quarter or FY24?

Management: We continue to launch a host of new products, you would have seen in our presentation that what are the new products that we have launched during quarter three. And the new technology products that we had displayed during the Auto Expo and then we have also put it in the presentation about the new products that whatever we have shown during the Auto Expo, these are the new host of products that we will continue to focus and we are focusing which is across all segments of the market whether it is the IC engine or the hybrid vehicle or EV vehicle this is the advantage that it can cut across all segments of market. And we continue to have our high focus on the EV segment as I mentioned to you.

Mousumi Paul: Okay. But any estimated figure for all the products like for all the segments?

Page 10 of 15 Management: No, it's very difficult for us to bifurcate that, but you can see that the new technology products have been significantly growing in our pie that is the reason why we are able to show a quarter-on-quarter growth when compared to the previous years.

Moderator: Thank you. The next question is from the line of Nikhil Jain from Galaxy International. Please go ahead.

Nikhil Jain: I just wanted to get a qualitative sense on the new product you have launched you have displayed in Auto Expo. So, how has been the response, what's the management take on this going forward. So then when will they start to get commercialized. And the third question, with that respect to that, these products are not all linked to the driver information system and pumps and other things. So th

ese will expand the scope of company's products into new areas.
Is that understanding correct sir?

Management: If I have understood your question, Nikhil the new products whatever we have launched, what is the takeaway in terms of the growth potential, that's what you're asking maybe that's the first question and the whole host of products that whatever we're talking about, does it have a connection with the existing products of driver information system and –36:09 products, is it there is what you're asking correct, have I understood your question correctly?

Nikhil Jain: Right.

Management: New products are very promising as we have been explaining to you, many of the products are highly EV focused, because that is how the industry is working towards. So, you would have seen in the Auto Expo, which we have uploaded in the presentation as well, the new products are highly EV focused, that is where the industry trend is going. So, we are expecting that these new technology products are going to have a significant growth as we are going along in each of the quarters, this is number one. Second thing is, there are a lot of synergies of the new technology products whatever we are launching for example, the Sibros, the partnership with Sibros is something that is integrated with the telematics solutions, whatever we have already been supplying for the last 10 years. So, the platform product is already been there and this is going to be an add on feature that we are going to offer to the customers. Battery management system is again very integral part of the EV range of products that whatever we are talking about. So that again is very similar in terms of the manufacturing to the driver information system. So we are bringing lot of synergy products into the fore what already we are doing. That is where we find that both the existing products and the new technology products whatever they are talking about are complementing each other.

Nikhil Jain: Okay. But by when do you expect these products to come into let's say commercial production. So let's say the new range EV products that we're talking about, or the BMS systems that we're talking about?

Page 11 of 15 Management: So, on the driver information system for the EV vehicles already we have launched a number

of products during this financial year, you would have seen in the presentation that we have been continuously launching new technology driver information system, which have the TFT next generation screens with for example IQ, the whole host of products, I just give you one example, there are many more that we have launched during this financial year, which has the next generation TFT clusters when compared to the normal LCD clusters, whatever we have been having. And also on the Sibros integration we just explained some time back that already the integration has been completed successfully and then those samples are there with the customers and testing and during FY24 we are expecting the mass production to start with. Battery management system we are in very close, we have got a number of customer inquiries which we are evaluating along with our partners for India specific then how do we go about, it is currently under evaluation.

Nikhil Jain: Okay. So, over the next two to three years period we expect some of these new systems to actually contribute significantly, let's say more than 25% of your turnover?

Management: I cannot attribute any percentage to this. But of course yes the new product whatever we are talking about is going to play a very significant role in terms of the growth whatever we are talking about.

Moderator: Thank you so much. We have the next question from the line of Avinash Gupta, an Individual Investor. Please go ahead.

Avinash Gupta: I just wanted to get some confusion clarified, in the results you've said that there was a loss of top lines because of the non-availability of ICs. And right now

, in the earlier question, you

mentioned that we have been able to make it up by working on Sundays and having special freight, excessive freight payments and all this. Now first issue, if the first situation is correct, then there is a complete loss of EBITDA or contribution. Were in second situation is the case of reduce contribution, where exactly do we stand?

Management: Avinash, as I told you, the Q3 could have been much better in terms of the top line, if the ICs would have been available, this was our first statement. Managing is so that the customer does not lose his vehicle production to a very significant level is where we have to work on the Sundays and send it by premium freight to avoid as much as production loss from the OEM front is what we did. But if you ask me overall, there has been a significant loss in our top line because of IC shortage.

Avinash Gupta: Okay, there is actual loss of production is there, they would have produced much more?

Management: Of course, yes. Today, for example whatever the pipeline stocks that we had, have got completely depleted that's the reason why we have to set it by premium freight. So we have been mitigating this risk by continuously working on all the three shifts whenever the ICs are Page 12 of 15 coming, and then spending money in terms of the premium price so that we minimize the customer loss of production. So these are the activities that we did. The top line could have been much more significant have the IC shortage not been there.

Avinash Gupta: Fine, excellent. Now, can you give me an estimate as to what was the quantity that was budgeted for this quarter and what actually we got as a top line?

Management: Again, this will be a little forward looking statement Avinash, but I can tell.

Avinash Gupta: I am inquiring about the past, I'm inquiring only for Q3. What was budgeted for Q3 and what you actually got?

Management: Q3 is what I'm telling again, the top line losses has definitely been considerable, as I explained to you. Again, the percentage would be very difficult because we are supplying to multiple customers, multiple products and for me to give a specific number would be very difficult. It may not be accurate whatever I'm giving to you, but there has been quite a drop because of the shortage of ICs. You can put any number to that, it could be like 15%, 20% something like that, but very difficult for us to quantify.

Moderator: Thank you. There is a follow up question from the line of Vipul Kumar Shah from Sumangal Investment. Please go ahead.

Vipul Kumar Shah: Sir, can you give me estimate, what percentage of our turnover is coming from the products, which have been introduced in last two, three years?

Management: The driver information system as I explained to you where we have launched the new technology products in the driver information system segment that contributes to 65% of our total revenue. This is including the existing products and the new technology products. Number one, the ACFMS products that is the actuation control and fluid management system contributes to 35%, again there are existing products and the technology up-gradation products whatever we have. This is the broad split up between the products that whatever we offer.

Vipul Kumar Shah: No, my question was, what percentage of our current turnover new products which were introduced in last two, three years, their contribution is?

Management: See, whatever you see as growth is where the new products are getting added. You can see that there has been a significant growth which is happening quarter-on-quarter primarily because of the new products whatever we are launching. So, every quarter there is a portion of new products like certain quarters there are like 15% of the total revenue is contributed

because of new products, at certain quarters there are 20% which is contributed because of new products. When BS VI started a very

significant portion, like more than 30% of our revenue

Page 13 of 15 came from new products. So the conclusion of this is, that every quarter due to the new product there has been addition in terms of our revenue going up.

Moderator: Thank you. The next question is from the line of Suruchi Parmar from NX Wealth Management. Please go ahead.

Suruchi Parmar: Sir, I wanted to ask, what is the percentage of EV right now in your revenue or order book, whatever we can tell us. And currently going forward how much you think will be the EV portion in your portfolio?

Management: Ma'am sorry, if I've understood your question, you're asking how much EV contribution is in the total revenue?

Suruchi Parmar: Correct.

Management: Okay. EV has just started from this year and we have been launching a number of new products. Currently it will not be very significant value, it will be less than like 5% of the total revenue in the total pie because EV is a new entity for various OEMs. As we are growing with our focus on the EV range of products whatever we had explained and the OEMs high trust on the EV vehicle, we expect that the EV pie to grow in terms of new technology products at whatever we are offering, which will find a significant growth in the coming years.

Suruchi Parmar: Okay. And can you throw some light on your present order book and what you are expecting in next two quarters?

Management: This is again a little forward looking statement, but you would have seen that our order books have been quite robust. And that is why we are able to show a quarter-on-quarter growth, you would have seen in the last two years we have been showing quarter-on-quarter growth. This is primarily to have continued order books, healthy order books that we have. For me to quantify for the next quarter could be a little difficult because of the varying customer requirements. So it will be very difficult for me to quantify a number to that.

Moderator: Thank you. The next question is from the line of Hemant, an Individual Investor. Please go ahead.

Hemant: Sir, when we are targeting our revenues by FY26. Sir, first thing is are we seeing any sort of delay by one year, because I went through some of your previous concalls and it was mentioned somewhere that there can be a delay due to some semiconductor shortages. My second question is, just a follow up question. If we are not delaying it by one year, then sir when do we see the actual growth coming from because we are CAPEX lite till FY23. So, can we expect that the actual will, that the actual growth will kick in from FY25?

Page 14 of 15 Management: But Hemant if you see every quarter we have been showing growth. So, if you see the last few quarters we have been continuously growing because of the various new products which have been launched as explained to you, and we continue to launch a host of new technology products and the various partnerships which we have announced which is in-line with the EV focus that whatever we are talking about. And then in the existing product itself, there are a number of new technology products that we have been launching quarter-on-quarter. So we will continue to grow in the pace so it is nothing like that. Suddenly one year that we are going to have a steep growth, our growth has been continuous.

Hemant: Okay. So no postponement in the target by one year or something, for doubling the revenues?

Management: See, again it depends upon the various customer programs that whatever we are working with, there is nothing called that we will be delayed by one year or something like that. The target is that we should go towards the 4000 crores is a target that we have as a management to reach by FY26 and we are working towards the direction. At this point of time, yes of course during last year there have been a very unfavorable market conditions primarily because of the semiconductor shortages. Yes, we are seeing that t

he situation is easing out as I explain to you.

You still focused in our new projects and the various partnerships that whatever we are talking about, we are sure that we are going towards the growth whatever we are aspiring for.

Hemant: And sir what is the current capacity utilization?

Management: The capacity actually is built upon the customer demand actually we keep adding capacities even during last year, we have been continuously adding capacities, we have been enhancing our backward integration in terms of electronic instrument cluster manufacturing, this is again a very continuous process. So, it is not that one particular quarter or one particular year that we are going to have heavy CAPEX spent or something like that. We have been continuously investing on our engineering as our Managing Director has been explaining in the previous calls also. Our investments on R&D continues to be at 4.5%, which is one of the highest in the industry. So, we continue to invest in those areas, primarily all the software areas including the testing and other infrastructure and also all the lines we continue to invest depending on the customer programs. So, whatever we are talking about is a continuous activity and it is going to continue in the next quarters also.

Moderator: Thank you. There is a follow up question from the line of Vipul Kumar Shah from Sumangal Investment. Please go ahead.

Vipul Kumar Shah: Sir, how do you share the development of a new product with your vendor?

Management: Vipul, is it the customer you are asking, how do we share the development cost?

Page 15 of 15 Vipul Kumar Shah: Yes, suppose Bajaj gives you mandate for developing a new information system for their upcoming model, there will be a cost because it's a long decision, it will take some time. So, you will spend a lot of money and time, so how that cost is recovered from OEMs or what they share, or they give you any upfront cost?

Management: Yes, Vipul with the change in technology and then becoming more electronic and software intense, you're right to say that, that's why you find that the DND cost of ours have been continuously at a high number primarily because of the focus on the new technology products. So, there is whenever customer is going to ask for a new inquiry, we do charge them upfront DND cost which we have been getting it from the various customers in the past years also and we will continue to get in the future. So definitely the customer recognizes the efforts that whatever is required for the new technology products and then we do get the DND cost upfront from the customers.

Vipul Kumar Shah: So, is it you charge them 100% of the cost or you can ask them only portion of the cost. And the portion you bear yourself?

Management: Again, it depends upon what type of business scenario you are and then what is the type of product that you're looking at, sometimes yes it is 100% sometimes it is more than that.

Sometimes it could be less, it is a business call that depending on each of the projects that we take. But your question is that do we have upfront DND cost to charge to the customer, the answer is yes.

Moderator: Thank you. As that was the last question for today, I would now like to hand the conference over to the management for closing comments.

Management: I would request Siddharth by colleague to have the closing remarks please.

Siddharth Manoharan: Yes, sir. We have got him back apologies for the inconvenience please.

Management: Have your closing remarks please.

Siddharth Manoharan: Thank you. Once again apologies from the management team for the technical issue of logging out of the call. Thank you once again for all the investors participating on today's call. Hope you had a fruitful discussion and insights being generated from our side. We have uploaded our presentation online for your further information. If you have any further clarifications, please reach

out to the company, at our website you have the contact details or in the presentation as well. Thank you once again for all for taking your time and participating in our investors call. Much appreciated.

Moderator: Thank you sir. On behalf of Pricol Limited that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: May 2023

PL/SEC/TGT/202 3-2024/035
Friday, 12th May 2023

Listing Department
National Stock Exchange of India Limited
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Bandra -Kurla Complex,
Bandra (E), Mumbai – 400 051 Corporate Relationship Department
BSE Limited
1st Floor, New Trading Ring
Rotunda Building, P J Towers,
Dalal Street, Fort, Mumbai 400 001
Script Code: PRICOLLTD Script Code: 540293

Dear Sir,

Sub: Con-call Transcript

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulation s, 2015, we herewith submit the Transcript for the Con -call held on 11th May 2023 pertaining to Company's audited finan cial results for the quarter and ye ar ended 31st March 2023.

This is f or you information and records.

Thanking you

Yours faithfully,
For Pricol Limited

T.G.Thamizhanban
Company Secretary
ICSI M.No: F7897

Encl: As above

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Page 1 of 10 Pricol Limited
Q4-FY23 Earnings Conference Call
May 11 , 2023

Moderator : Ladies and gentlemen , Good day and welcome to the Q4 FY23 Earnings Conference Call of Pricol Limited hosted by Valorem Advisors . As a reminder , all participant lines will be i n the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call , please signal the operator by pressing "*" then '0' on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to M r. Anuj Sonpal from Valorem Advisors . Thank you and over to you, Mr. Sonpal.

Anuj Sonpal : Thank you. Good afte rnoon everyone and a warm welcome to you all. My name is Anuj Sonpal from Valorem Advisors . We represent the Investor Relations of Pricol Limited. O n behalf of the

company, I would like to thank you all for participating in the company's earnings call for the fourth quarter and financial year ended year 2023.

Before we begin, let me mention a cautionary statement. Some of the statements made in today's earnings call may be forward-looking in nature. Such forward-looking statements are subject to risk and uncertainties which could cause actual results to differ from those anticipated. Such statements are based on management belief as well as assumptions made by and the information currently available to management. Audiences are cautioned not to place any undue reliance on these forward-looking statements in making any investment decisions.

The purpose of today's earnings call is purely to educate and bring awareness about the company's fundamental business and financial quarter under review. Let me now introduce

you to the management participating with us in today's earnings call and hand it over to them for opening remarks. We have with us Mr. Vikram Mohan – Managing Director, Mr. P. M. Ganesh – Chief Executive Officer and Executive Director, Mr. Siddharth Manoharan – Director of Strategy, Mr. Priyadarsi Bastia – Chief Financial Officer. Without any further delay, I request Mr. Vikram Mohan to start with his opening remarks. Thank you and over to you, Sir.

Vikram Mohan : Thank you Anuj for that introduction and a very good evening on behalf of my team participating today and thank you all for your participation in this earnings call for Q4 FY23 and also for the financial year ended FY23. Without further ado, I will just go straight into the presentation and we will be able to take questions at the end of the presentation. Can we have the presentation please? The key financial highlights consolidated of the company our revenue Page 2 of 10 from operations EBITDA and EBITDA margin of 12.23% for

or the quarter ended FY23 are in the

top left corner and for the financial year 23 our revenue from operations has been 19,028 million. EBITDA of 2,358 million and then EBITDA margin of 12.39% with the PAT margin of 6.04%. This excludes exceptional items of 97.5 million. Without the exceptional items we have had our highest ever annual and quarter 4 sale in the history of our company.

Some of the business highlights in this quarter have been significant production capacity enhancements in our tool room, plastic component, manufacturing shops and PCB assembly lines by adding new state of the art lines from top notch manufacturers in Japan. We have also been fortunate to receive two awards one from CII as trendsetters in business innovation for the various innovations done on driver information and connected vehicle solutions which is helping us in the premiumization of our product range. We have also received an award from Honda motorcycle and Scooter for best Delivery management at their annual supplier conference.

Our quarterly consolidated performance our revenue from operations have grown by 26.26% over the corresponding quarter in the previous financial year. Our cash profit has increased by 33.65% EBITDA by 14.06% and profit after tax by a record 126.87%. On a financial year FY22 versus FY 23 our revenue from operations have grown by 26.85% which is far in excess of the market growth. EBITDA growth has been 33.41% cash profit 45.5% and profit after tax by 125%. These are a gain figures in detail which are already uploaded and I am sure all of you had an opportunity to go through. The key point to note is our EPS has more than doubled in this and we have hit an EPS of 2.45. On a historical statement, FY20 -21-22 and 23 we have the numbers. FY22 has been restated because of the merger of our small wiping division which was erstwhile consolidated as a subsidiary and now has emerged as a division of the company and hence the need for the restatement. There is no significant impact on account of that, but these are the numbers and FY23 we have had an EPS of Rs. 10.23 per share. Some of our balance sheet statements you would notice that we are almost debt free and have a very favorable debt equity ratio and also have very favorable financial ratios in our company that we have achieved in this financial year.

Just to give a synopsis of our stock performance where we stand today versus the SENSEX you would realize that we have fairly outperformed the SENSEX. Thank you very much and all other details are on the slide that has been uploaded and we would be happy to ask some questions, some housekeeping rules for the benefit of all the people in the call today kindly restrict yourself to one question at a time and join back onto the call for your next question. Thank you very much.

Moderator : Thank you very much sir. We will now begin the question- and-answer session. The first question is from the line of Yash Dantewadia from Dante Equity Research. Please go ahead.

Page 3 of 10 Yash Dantewadia : So, my question is regarding your target of top line of 4,000 crore which you have given, so how do you plan on reaching there and by when do you plan on reaching there?

Vikram Mohan : Top line or sorry can you repeat again please.

Yash Dantewadia : Top line of 4000 crore you have given a target right in the next by FY26 if I am not mistaken.

Vikram Mohan : That is right.

Yash Dantewadia : So how do you plan on reaching there and by when do you plan?

Vikram Mohan : We have informed in the earlier investor call, but I would be happy to answer that again. We have a clear order pipeline for the next three years number one. Number two the area of

concern is our exports which we will not achieve our desired target. As of now, we have a visibility to hit about 3,600 crores. We have a CAPEX spend of about 600 crores also

so that we

have undertaken which over the next 7 to 8 quarters we will complete 400 of which will be used for organic and 200 of which will be used for inorganic and we are fairly hopeful with this inorganic spend reaching that 4,000 crore top line with a steady state EBITDA of about 13%.

Moderator : Thank you. The next question is from the line of Kaushal Kedia from Wallfort PMS. Please go ahead.

Kaushal Kedia : Sir, I just wanted to know in DICVS what are we doing are we doing build to spec or are we doing build to print?

Vikram Mohan : The product is co evolved with the customers. So it's not a build to print or a build to spec product. It is coevolved with the customer as to what is going to be the positioning of the vehicle and what will be required to attract ultimate end customer to the vehicle and we coevolve the product with recalls proprietary solutions.

Kaushal Kedia : You are doing something in the middle you are doing more of value additions than build to print, is that what you are saying ?

Vikram Mohan : Yes so coevolved the product. We arrive at what would be the right pricing for that product and in that what should be the value of the driver information system and what features can be offered on that. So it is coevolved as a solution with the customer. I do not think we are really building a product, but rather we are moving towards building a solution for the end customer based on market research of the OEMs and then they work closely with us. I think gone are the days where like in our other division ACFMS where we build to print. Here it is a solution that we are coevolving with the customer based on the market research done by the customer.

Page 4 of 10 Moderator : Thank you. We have the next question from the line of Rushabh from RBSA Investment Managers. Please go ahead.

Rushabh : Are we pivoting from multi segment, multi product, multi customer company where in the concentration of each segment could we say less than one-third or so as a total revenue, is that the direction that we are heading towards?

Vikram Mohan : We are focusing on three vehicle segments two-wheeler being a large part of that followed by commercial vehicles for off road vehicles all of these which we already have lead positions. We have re entered the passenger vehicle four-wheeler segment and today have a 70% market share in Tata Motors for the driver information system and we are in the process of entering a few other four-wheeler Indian based OEM. Our plan is not to become a market leader in the personal passenger vehicle segment four-Wheeler in India but focus on two-wheeler on off road vehicle and commercial vehicles not just in India, but globally. Second is from an inorganic standpoint in order to remove the dependence on auto which is cyclical we want to enter into instrumentation in the industrial segments where the margins are better and it is de-risking our business model and we are evaluating the same how do we enter in a using inorganic means. The third vertical we are in today is a ACFMS which stands for actuators, controllers and fuel management system. We anticipate between 60 % to 65% revenue coming from driver information systems and connected vehicle solutions and about 35 % to 40 % coming from the ACFMS vertical. This is where we hope to be in 2000 for FY26. I hope I have been able to answer your question.

Moderator : The next question is from the line of Bhomik Shah an individual investor. Please go ahead.

Bhomik Shah : Sir, just wanted to check with you as a recent development actually in which the Minda has just one week before only have given the application to competition commission about raising their stake into our company. So, as per our last concall and actually your last press release what is our current standpoint of the management on that actually, in the last checkpoint you had

committed that our credit management is fully committed to be with the company, so we are maintaining that trend?

Vikram Mohan : Yes, I would like to break up my answer into two parts. Minda Corporation had very clearly stated that their intent was to only acquire 15.57% as a financial investor in our company. Now on the second of May they have announced that they are applying to CCR to increase their stake to 24.5%. We take all legal measures whatever is required to oppose that petition for the simple reason they are competitors and they have not sought prior permission from CCI number one. Number two, I would like to reiterate that the current management stands absolutely committed to running and growing this business in the coming years and I have absolutely no intention of seizing control of our business at not just now, but any point in time in the near future. We will take whatever steps necessary, legally and financially to maintain absolute control of management and board of this company to continue to nurture value for all of our stakeholders.

Bhomik Shah : Thank you so much sir. This was really helpful for us actually because as stated earlier actually the Minda Corporation intention does not look like just a financial investment as there moves

clearly suggests that their intention is something else which you stated correctly and we are taking word of commitment from your side that you are fully with the company so this will be taken as a great insulating for the market as well?

Vikram Mohan : Mr. Shah I would like to further reiterate. This is a statement that I have made in person to the leadership at an MD and CE O level to each one of our key customers number one. I have publicly made it to each and every employee of ours and each and every significant supplier of ours. So, I have made the statement publicly to all of our stakeholders and I will do whatever it takes legally and financially to ensure that I uphold this promise that I have made.

Moderator : Thank you. The next question is from the line of Chirag Singhal from First Water Capital. Please go ahead.

Chirag Singhal: Just two questions first on the 4,000 crores target that we have said, so is this based on some commitments under the existing contracts with your clients or you are factoring in some growth based on outlook that you have over the next three years?

Vikram Mohan : I will answer this in three parts. Number one, we have assumed that the India growth story is going to be muted in the next three years. So, in all of our assumptions we have taken very muted growth because we believe that whatever economically is happening in the rest of the world will have some resultant impact on India. So, we have factored that into our growth projections point number one. Point number two, we are working on many of our products or solutions and not like a casting or a wiring harness which are just built against the specification and delivered to our customer. So, many of our products from being given the LOI confirmed commitment from the customers, to start a production is anywhere between 18 to 24 months. So, we know what our top line and what our capacity utilization is going to look like for the next 24 to 30 month. It is against that that we are creating capacity for investments and we are projecting what our turnover is likely to be and as I mentioned earlier to. Mr. Dantewadia when she had asked this question is we have failed to grow in certain areas whereas we have grown better in certain areas. So, we have put all of these probabilities into projecting that number. Lastly, we are also looking at product premiumization where we see a mechanical driver information system moving into electro mechanical and electromechanical moving into an LCD and an LCD moving into TSD which means even if vehicle production remains fairly flat the value per product

is going up which is going to give us top line and bottom line growth. I hope I have been able to answer your questions.

Page 6 of 10 Chirag Singhal: So, what I understand is that the most of the growth in the top line that you are targeting to achieve in the next three years will mainly come from the existing commitments that you have because you mentioned that you already have a visibility of the next 24 months based on the orders that you get from the clients.

Vikram Mohan : Chirag can I just request you to follow the housekeeping rule and come back into the queue I think many of the other people have come back on to their queue for their next set of questions.

Moderator : Thank you. We have the follow up question from the line of Yash Dantewadia from Dante Equity Research. Please go ahead.

Yash Dantewadia : So, my next question is regarding EVs what percentage of your sale goes towards EV for information systems as of today?

Vikram Mohan : We are completely EV ready and we are engaging with multiple players on multiple EV platform. As a percentage of our driver information system and connected vehicle solution vertical are sales to EV is just about 7% to 8% now, but which will keep growing in the years to come because I just like to explain to you in a driver information system whatever be the form of propulsion the driver information system will have to work. So, whether it is filled with fuel or hydrogen or electricity or fuel cell the driver information system continues to do its job of showing speed, left right navigation, Bluetooth connectivity, fuel level whatever form of fuel and other indicators and currently we are working with almost 22 EV vehicle makers in the country small and big.

Yash Dantewadia : Right now your percentage of sale is only 7%, 8% in the next two years how do you see this shaping up and is it a higher margin business compared to the rest of the business?

Vikram Mohan : No, the margins of the driver Information system will continue to remain the same because I do not see any reason whatever is the form of propulsion, the product is going to remain the same. So, there is going to be no impact on the margin and this will keep growing as the sector keeps growing whatever is the sectoral growth of EV penetration we will be maintaining the same thing because we are working with all the EV makers.

Moderator : The next question is from the line of Kaushal Kedia from Wallfort PMS. Please go ahead.

Kaushal Kedia : Sir, how much of a market share do you have in TVS iQube?

Vikram Mohan : 100%.

Kaushal Kedia : So, if TVS as per the monthly update they sold 1 lakh units till now since inception you are supplying 1 lakh DIS to them in their electric vehicles, is that a fair assumption?

Page 7 of 10 Vikram Mohan : No a fair assumption is the fact.

Kaushal Kedia : And so we can assume so if TVS iQube keeps growing I think it is a proxy or maybe our product is a proxy?

Vikram Mohan : Many of the platforms we are single vendors so whatever is the growth of that platform we will also be growing at that level not just in TVS, but with other customers also which I will not be at the liberty to discuss because this would be a conflict of interest with the customers.

Moderator : Thank you. The next question, which is a follow up question is from the line of Rushabh from RBSA Investment Managers. Please go ahead.

Rushabh : So just want to understand what is the Pricol pricing strategy across the product segments, is there a range that you can share versus the competitors?

Vikram Mohan : We do, are you talking of strategy or are you talking of market share can you be clear Rushabh please?

Rushabh : I am just asking in terms of pricing versus competition, are you charging a premium with the competitors this is slightly premium or discount if you just give a range across the product range wherever we

are not a single vendor?

Vikram Mohan : So, it is based on the hardware and the software that goes into the product, but let me also reiterate I will not be paid a huge premium over the competition because end of the day the vehicle maker also has to maintain his EBITDA and his profitability. So, that is how in fact very recently I had someone asking if there is so much of software going into your DIS compared to three years ago. The software companies enjoy an EBITDA of 35% is why is Pricol not having an EBITDA of 30%, 35% in its product especially in the DIS and my answer to that is I will have to be in line with what my customers are enjoying in terms of profitability. I cannot have a 30% profitability when my customer has an average of 11% to 12% if my customer has a profitability of 11% to 12% at most in some of my solutions I can go up to 15% which is why to improve our profitability we are looking at non-automotive industrial instrumentation which in terms of technology is at least a decade behind automotive instrumentation where the profitability is much higher and that will help overall from our instrumentation business improve the profitability.

Moderator : Thank you. We have the next question from the line of Himanshu Singh from Prabhudas Lilladher. Please go ahead.

Himanshu Singh : So I just wanted to understand what are your growth forecast or your growth assumptions for the two-wheeler industry over the next three years?

Page 8 of 10 Vikram Mohan : I think I had answered in an earlier question or a context of an earlier question. We are assuming fairly muted growth for the next two to three financial years because of various global incidences and global economic meltdown. We still believe in India story we believe that the India story will be a slightly muted story. So, at least in our internal cash flow assumptions we have assumed 7.8% growth of the two-wheeler or 5% to 6% two-wheeler growth in India and we have based our assumptions on that. In fact, I have told our CFO please assume 0% growth and work on your cash flows. So, where our growth will come from is premiumization of the product as I mentioned earlier which will keep growing our top line to achieve our desired level of 3,600 to 4,000 crores based on the current quarter pipeline and share of business and LOIs that we have.

Himanshu Singh : So, most of the growth should come from electric vehicles and ICE should be flattish or decline?

Vikram Mohan : ICE will not be declining. We now see a lot of entry level ICE launches also like the Honda Shine etcetera which is going to see some growth. EV will grow at a much faster rate than ICE vehicle.

I am talking two-wheeler as a whole I believe will grow at around 5% to 8% average over the next three years.

Moderator : Thank you. The next question is from the line of Dhairya Trivedi from BJD Investments. Please go ahead.

Dhairya Trivedi : I just had a question on the CAPEX how are we planning to fund this CAPEX of 600 crores over the next two years, is there kind of take on debt or is it all through internal accruals?

Vikram Mohan : I think I have answered it in an earlier investor call and I am happy to answer it again for the benefit of participants in today's call. We are anticipating about 600 crores of CAPEX over the next 24 months most of which is going to be funded by internal approvals or rather all of it is going to be funded by internal approvals. The timing of investment versus the cash influence the company could have a mismatch. So, I mentioned to the earlier call that about 200 crores of debt we will be taking on, but it is not going to be long term debt it is going to be bridge capital that we will be taking up because of the timing of the cash flows.

Moderator : Thank you. There is a follow up question from the line of Kaushal Kedia from Wallfort PMS Please go ahead.

Kaushal Kedia : Sir, in what products do we compete with Minda?

Vikram Mohan : In the driver Information system is the common product of course they are significantly smaller than us. We have a very large market share vis à vis Minda.

Kaushal Kedia : But is not our product are far superior like it is not even like comparable, would that be a fair statement to make?

Page 9 of 10 Vikram Mohan : I would not like to answer this question Kaushal because I think it is not ethical on my part to

comment about the competitor's product, but the fact that we have a significant market share and have grown significantly is probably a testament to our product and this product quality.
Kaushal Kedia : But sir the market share is more because iQube has a larger market share, is that again a fair statement to make?

Vikram Mohan : You are only talking of one platform iQube. There are 40 vehicle platforms in India that we supply to. You cannot just base it on one platform iQube from TVS, that is not ruling the market or having a very large market share in the market. In terms of value terms we have about 50% plus of the two-wheeler market in India of the driver information system, but I think it is unfair on your part or on my part to say how good my competitor's product is or not, but obviously my product is good I can attach to that because my market share has grown over the last three years significantly.

Moderator : Thank you. The next question is from the line of Shreyansh Agarwal from a retail investor. Please go ahead.

Shreyansh Agarwal : So, just following up from the earlier answer where you had mentioned about premiumization, just wanted to understand that are we also looking to enter into a market segment of bikes like BMW or a premiumization or are we satisfied with the like of TVS or are there any plans around for that regarding BMW?

Vikram Mohan : We are very actively working Shreyansh with BMW. We have not just working on products, but supplying products to BMW and not just to BMW, we are supplying to Harley Davidson, we are supplying to Triumph, we are supplying to Ducati, we are supplying to KTM and just for your information we are the world's second largest driver information system manufacturer for two-wheeler.

Moderator : There is a follow up question from the line of Rushabh from RBSA Investment Managers. Please go ahead.

Rushabh : So, sometime back there was a news interview wherein we were looking to split the Pricol entity into two, three entities, so is there an update on that sir we are trying to appoint strategic in partner with us, so I am not sure there is an update?

Vikram Mohan : We have prepared the company from a manufacturing footprint and from a management organization to be split into multiple company if and when the need arises. We have not appointed anyone of strategic consultant to do that. Now let me elaborate a little bit more on that. This is primarily to unlock better value for the shareholders. Today we have two completely different product verticals under one company. If there is a need to align with some other company let us say a multinational that will help us increase our global footprint or give us access to technology that will be very, very difficult for us to develop in the short to medium term then we will look at this. So, which is why we have plants for DIS, CBSs which is our driver information and connected vehicle solutions vertical in the South, in the West and in the north for each of the auto hub. We similarly have plants for the ACFMS verticals in each of these. We have segregated the engineering also to have engineering ecosystems for each of these verticals and supply chain and manufacturing ecosystems for each of these verticals. What is common is corporate finance secretarial IT, HR and business development. So if and when an opportunity

arises and there is a need which will help us catapult each of these businesses to other geographies and other technologies that will help us significantly increase our footprint and value to our shareholders. We want to be prepared for that and that is what I had mentioned in an interview some time ago.

Rushabh : So we might look into whenever it is required?

Vikram Mohan : Either required or an opportunity arises that will add tremendous value to our shareholders and the organization either or. So we wanted to be ready when an opportunity arises or when a need arises we want to prepare the organization which is what my management team and I have worked on over the last two to three years and created that.

Rushabh : Do you see it happening over the next one year?

Vikram Mohan : Highly unlikely over the next one year.

Moderator : Thank you. As there are no further questions from the participants, I now hand the conference over to the management for closing comments. Over to you, Sir.

Vikram Mohan : Thank you, ma'am. Thank you Valorem for organizing and hosting this call. Thank you to all the participants and thank you all for the valuable questions and your patience hearing. On behalf of by able CEO – Mr. Ganesh, CFO – Mr. Priyadarsi, Siddharth – Director Strategy and myself. I thank you all for participating in this call and look forward to connecting with you all for the H2 call of FY24. Thank you. Good evening.

Moderator : Thank you sir. On behalf of Valorem Advisors that concludes this conference for today. Thank you for joining us and you may now disconnect your lines.

Call: Aug 2023

PL/SEC/TGT/2023-2024/094
Monday, 7th August 2023

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Dear Sir,

Sub: Con-call Transcript

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we herewith submit the Transcript for the Con-call held on 3rd August 2023 pertaining to Company's unaudited financial results for the quarter ended 30th June 2023.

This is for you information and records.

Thanking you

Yours faithfully,
For Pricol Limited

T.G.Thamizhanban
Company Secretary
ICSI M.No: F7897

Encl: As above

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Page 1 of 17 PRICOL Limited
Q1 FY24 Earnings Conference Call
August 03, 2023

Moderator: Ladies and gentlemen, good day and welcome to the Q1 FY 2024 Conference Call of PRICOL Limited.

As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded. At this time, I would like

to hand the conference over to Mr. Anuj Sonpal from Valorem Advisors. Thank you and over to you, sir.

Anuj Sonpal: Thank you. Good evening everyone, and a very warm welcome to you all. My name is Anuj Sonpal from Valorem Advisors. We represent the Investor Relations of Pricol Limited. On behalf of the company, I would like to thank you all for participating in the company's earnings call for the first quarter of the Financial Year 2024.

Before we begin, let me mention a short cautionary statement. Some of the statements made in today's Concall may be forward looking in nature. Such forward-looking statements are subject to risks and uncertainties which could cause actual results to differ from those anticipated. Such statements are based on management's beliefs as well as assumptions made by information currently available to management. Audiences are cautioned not to place any undue reliance on these forward-looking statements in making any investment decisions. The purpose of today's earning call is purely to educate and bring awareness about the company's fundamental business and financial quarter under review.

Let me now introduce you to the Management participating with us in today's Earnings Call and hand it over them for opening remarks. We have with us Mr. Vikram Mohan - Managing Director; Mr. P. M. Ganesh - Chief Executive Officer and Executive Director; Mr. Siddharth Manoharan - Director of Strategy; and Mr. Priyadarsi Bastia - Chief Financial Officer. Without any further delay, I request Mr. Mohan to start with his opening remarks. Thank you and over to you, Sir.

Vikram Mohan: Very good evening. On behalf of the management team at PRICOL for the investors call for Q1 of Financial Year '24.

Page 2 of 17 My name is Vikram Mohan, the managing director of the company. Joining me on this call today is our CEO and Executive director, Ganesh, our Director of Strategy and Project, Siddharth and our CFO – Priyan.

I am sure all of you would have had a chance to see the presentation that has been uploaded. Some of the key financial highlights this quarter, we have had a revenue from operations of 522 crores or 5221 million and EBITDA of 66.5 crores or 665 million with an EBITDA margin of 12.74%. We have had a

profit after tax of 319 million or 31.93 crores with a PAT margin of 6.12% and basic EPS for this quarter of Rs. 2.62 per share. We have also clocked a cash profit of 50.97 crores, which is almost 51 crores for this quarter.

At a consolidated level, our long-term borrowing, are nil in this quarter as against 65 crores that we had in the same quarter of the last financial year. At a debt Equity level, we are almost a debt free company including our working capital. Our debt equity stands at a very low number of 0.11. Some of our key business highlight, a couple of important awards came our way. Suzuki motorcycle India gave us the best supply chain management at their annual supplier conference and recently we received an award from Ashok agent, the commercial vehicle manufacturer, a prestigious Supplier Samrat Award where we were judged #2 among their supplier rates for proprietary parts. We also received from the World Manufacturing Congress a most iconic organization award. We have started investing heavily in modernization to meet the growing needs of our customers and the changing needs of the business and we will continue to do so in the next few quarters as mentioned by me in the last call. The company is on a firm footing with a strong order book and we look forward to a good quarter in the coming year barring any external factors which we do not anticipate.

I would like to hand over the call to our dynamic CEO – Ganesh to take it forward. Thank you. Ganesh over to you.

P. M. Ganesh: Thank you, Vikram, for setting the context. Good evening once again to all of you. We have outperformed the market. I will just give you some market information. When compared to the previous year's same time Q1, the market has marginally grown by about 2.64%. Against which, recall growth has been 19.54%.

Let me give you the context, in the exports we have grown by 41.72% when compared to the previous year quarter. As we explained during the previous investor call also, the value-add of the call has been growing steadily. The same driver information system what we supplied five years back, transforming from mechanical to LCD's are now to TFT, the value addition is what is giving us to perform better than the market. The quarter-on-quarter sales actually we have blocked 517.68 crowds as against 501.13 during the last quarter. This is the highest ever sale for record during Q1 and on the select products you have seen some of the new launches, whatever we have made. We have started a new business for the M&HCV the new clusters, which has been launched by Tata Motors from Q1 of this year and also on some new clusters Page 3 of 17 for Tata Motors for the passenger vehicle as well for the CMG. Also, we have launched some new products for Force Motors and Bajaj Auto has come out with their new three-wheeler and we are sure that you have read in the papers that we have developed a new instrument cluster. That's it for me from the business introduction side and then over back to you Vikram and for the questions. Thank you.

Moderator: Gentlemen, would you like to begin the question answer session?

Vikram Mohan: Yes, please. Some ground rules for the question answer to give everyone an opportunity to ask their questions, may I request that participants restrict themselves to a single question at a time, and once that is answered, to rejoin the question queue for their subsequent questions so that everyone is given a chance to participate in for. Thank you.

Moderator: Thank you. Ladies and gentlemen, we will now begin the question-and-answer session.

Participants are requested to use handsets while asking a question. Ladies and gentlemen, we will wait for a moment while the question queue assembles. We have the first question from the line of Kaushal Kedia from Wolfort PMS. Please go ahead. Mr. Kedia, your line has been unmuted. Please unmute it from your end and proceed.

Kaushal Kedia: Thank you

u. So, we are the second largest manufacturer of the VIS system in the world. So, I want understand what is the reason that is it that our supply chain in place or we have some kind of patents or is it because our products are superior to other players? Is something that I want to understand?

Vikram Mohan: Kaushal this is not an overnight achievement. Globally, the largest player is nippon seiki currently driven by Honda I think one of the largest Two-Wheeler makers in the world and nippon Seiki present globally. Having said that PRICOL is constantly been working on the vertical of Two-Wheelers to develop the latest technologies and offer them to our customers and we supply over 20 two-wheeler makers in India and globally which has given us the second largest position globally in Two-Wheeler Driver Information Systems where we are able to offer the latest generation products at Optimal costs. This has been driven by our continuous innovations. We have 440 engineers in our product development and process development team. So, out of our total 900 white collar employees, 440 are dedicated for product and process development which gives us an edge over many of our companies.

Moderator: Sir the participant seems to have disconnected. We will move to the next question. We move to the next question from the line of Chirag Singhal from First Water Capital. Please go ahead.

Chirag Singhal: Thank you for the opportunity. Sir I just wanted to understand on your FY26 target projection of 4000 odd crores or revenues? So, how much of the incremental sales will be coming from the product premiumization and how much of it will come from the increase in the volumes.

Page 4 of 17 Vikram Mohan: Chirag if I understood you right, we have given a guidance of 4000 crores for FY26 of which 3600 crores will come through organic loops and 400 crores through inorganic means. We have assumed a certain conservative growth rate in the market from now until FY26 in our product segment and confirmed LOI that we have received which is showing us the visibility for 3600 crores. There are three categories, 1 dedicate certain phase out of end of life cycle which we will see revenues going out and as my CEO mentioned, a large part of this growth is going to be driven by premiumization of the product for which we have already received LOI. Also, the third category, new product launches or new business with customers or product segments that we have not entered into. So, that's how it's going to be classified. Now this would be a very long question. If we start going into each category, if you can write to us, we will be able to or set up a separate call, we will be able to go into more granular details.

Chirag Singhal: Sure, Sir. I will do that. That was helpful. My second question is on.

Vikram Mohan: Can I request the basic housekeeping rules that please come back into the queue for the second question so that others are given an opportunity to ask their questions please.

Chirag Singhal: Sure I will do that. Thank you.

Moderator: Thank you. We have the next question from the line of CA Garvit Goyal from Nvest Analytics. Please go ahead.

Garvit Goyal: Good evening sir. Sir my question is on the Semiconductor side. Sir basically semiconductor story is building up in India and PNH team is also there for TFT display. Companies like Vedanta had proposed the investment in this area. So, I was talking about the semiconductor story that is getting built up in India. So, my point is what I believe TFT is something for which PRICOL is having in now technologies. Although right now we are doing for auto sector, so in future do we have any plans or is it possible that we can enter into display tab or something like that supplying to the semiconductor industry? Are we having such capabilities or the two things are totally different from each other? How do you look at this? Kindly help me to understand.

Vikram Mohan

: Completely different here as different as chalk and cheese, we are an information systems company, primarily a driver information systems company. We aspire to get also into industrial information systems in by way of gauges through inorganic means if the right target comes by. Semiconductor manufacturing in India for it to reach fruition in some degree of stability is I think at least three years away because it is massive investments, capacity building and stabilization. So, that is not an area that we are looking at and it is completely different direction in which we have aspirations for growth.

Garvit Goyal: And can you some put some color on the addressable market which we are targeting in battery management services and through Sibros and in that market, what kind of share are we looking to gain?

Page 5 of 17 Vikram Mohan: With Sibros, it is not in battery management systems, it's with connected.

Garvit Goyal: No, no. I was talking about both. I am talking about both BMS as well as whatever we are doing with the Sibros.

Vikram Mohan: So, that's because BMS is a different vertical, Sibros is a different vertical. The proof of product is ready in both the cases we have just started the roadshows for the customers and I think in about 2 quarters from now we will have much better visibility of what we are hoping to achieve. Having said that, as I said in my earlier call the revenue from these relationships, we are really expecting it to kick in only after FY26 with very minimal numbers taken for even FY26. So, it is not going to be very material in the next few years for our revenue guidance of. 3600 crores.

Garvit Goyal: Understood sir. Rest for that I will be in the call. Thank you.

Moderator: Thank you. We have the next question from the line of Hemant, an individual investor. Please go ahead. Mr. Hemant, please proceed.

Hemant: Yes. Congratulations on a very good set of numbers and thank you for providing me the opportunity, Sir, when we are targeting to double our revenues to 4000 crores for FY26. So, just wanted to understand like this 2000 crores of incremental revenue will it be evenly distributed over a period of three years, or how will it be how much growth we can expect in FY24, FY25 and 26.

Vikram Mohan: As I mentioned, once again, out of the 4000 crores, we are expecting a 3600 crore topline through organic means with whatever LOIs we have and what market growth projections and the new businesses that we intend to enter where we are already engaging good customers like brakes, etcetera and we expect it to be fairly evenly spread over this period $\pm 5\%$.

Hemant: So, you mean to say, sir, if we have done 2014 revenue, so ideally it should be 30% kind of growth year on year, right?

Vikram Mohan: It is not going to be a 50% because there is an inorganic element to it and we have three years to go from the last year number to the number of 3600 and the inorganic will happen when the right effect comes at the right value and if it is going to be value approved. So, the organic is going to be 3600 folks.

Hemant: So, you mean to say organically, it will be evenly distributed and inorganically when the opportunity comes right.

Vikram Mohan: Right.

Hemant: Okay sir. Thanks a lot.

Page 6 of 17 Moderator: Thank you. We have the next question from the line of Kaushal Kedia from Walfort PMS. Please go ahead.

Kaushal Kedia: Yes, Sir, you have mentioned the E-cockpit. So, can you explain what this is this like an infotainment system which will be put on the passenger vehicles.

Vikram Mohan: I would request our CEO – Ganesh to answer this question.

P. M. Ganesh: E-cockpit is nothing which is coming in today's new generation cars where you have one side, you have the driver information system. On the other side you have the infotainment. Both are like very seamlessly integrated. Something we call as a silver box design. It is nothing, but you have the electronics co

mmom for both and it drives both and you have the screens different.

What we call as a complete solution, whatever you see in the dash, both on the infotainment and also on the driver information system with the TFTs and touch screens, we call the whole system as E-cockpit.

Vikram Mohan: So, have we started supplying this already like to any OE?

P. M. Ganesh: It is currently under development with certain OEMs and we will be launching it maybe in the next three to four quarters from now.

Vikram Mohan: Okay. Thank you sir. I will get back in the question queue.

Moderator: Thank you. We have the next question from the line of Shashank Kanodia from ICICI Securities. Please go ahead.

Shashank Kanodia: Yes. Good evening, sir. Just wanted to check how is the semi connected situation right now and if the supply situation has eased. Is this had any cost benefits for us in this quarter.

Vikram Mohan: Shashank as I have mentioned in my previous call we always believed that by September 2023, the situation will completely ease and come back to normalcy and which is exactly what we are seeing today and if we price advantages from this is also starting to have an impact on our EBITDA and cash flows and cash profits efficiency, which is only going to get better and better.

Shashank Kanodia: Right. So, we had some 250-basis point of gross margin expansion, right? So, this kind of trend is sustainable for us in terms of. RM2 sale.

Vikram Mohan: Can you please repeat?

Shashank Kanodia: Sir this quarter we had something like 250 basis points, gross margin expansion quarter on quarter right from Q4 to Q1. So, this kind of run rate in terms of RM2 sales, is this trend sustainable going forward or you think?

Page 7 of 17 Vikram Mohan: I have always maintained that long term sustainable EBITDA for our product mix and our customer mix is somewhere in the region of 13.5% to 14% which is where we are hoping to achieve in the next couple of quarters and then sustain thereafter because if you are familiar with the automotive industry you launch a product that are fairly highly EBITDA then it reaches

optimum production and then it starts reaching end of life where the margin starts eroding because there is a year on year discount that you need to offer during the life cycle of the product and so there will be products with high margins, early products with stable margins and then in the case house, there will be lowering margins. So, we anticipate that 13.5% to 14% is sustainable and better over a long-term period for our current products and customer mix and which over the next few quarters we will reach there and stabilize at that level what we are really driven by is our cash profit and free cash flow which I think is pivotal to the growth of the company and providing capital for the growth of the company.

Shashank Kanodia: Sure, Sir. Thank you so much.

Moderator: Thank you. We have the next question from the line of Richa from Equity Master. Please go ahead.

Richa: Sir, thank you for the opportunity and I missed the initial comments, so please excuse me if I am asking a repeat question. I just wanted to know has there been any increase in contribution from passenger vehicle segments if there have been more contracts or business development with them and going forward, when we are giving a guidance of 36 billion, what is the mix expected between DICVS and ACFMS?

Vikram Mohan: I will answer your second question first. DICVS is expected to be between 60 to 65% and ACFMS is expected to be between 35 to 40%. This is the guidance that I have maintained in my last two calls and continue to maintain because that is the forecast for the next three years for us based on the business pipeline. In terms of it has increased revenue from Four-Wheeler personal passenger vehicle segment over the last quarter? It has just mirrored the growth of the company and there has been no extra growth coming from

this segment. We are working

with certain Four-Wheeler personal passenger vehicle manufacturers on value added products like TATA motors and a few other passenger vehicle manufacturers. The incremental revenue growth other than market growth is going to come after a couple of quarters and not right now.

Richa: Thank you, Sir. If I have more questions, I will join back the queue.

Moderator: Thank you. We have the next question from the line of Vipul Kumar Shah from Sumangal Investment. Please go ahead.

Page 8 of 17 Vipul Kumar Shah: Thanks for the opportunity. So, can you break the revenue from Two-Wheelers and Four-Wheelers sir and what is the contribution in this quarter of actuation, control, and fluid management systems.

Vikram Mohan: Vipul reasoning the ACMS division as we call actuation, control and fluid management system contributes about 35% of our revenue. Two-wheeler contributes about 60% of our revenue, about 35% of our revenue comes from 30 to 35% comes from commercial vehicles and offshore vehicles and the balance for 4-wheeler passenger personal passenger vehicle, which is the car segment.

Vipul Kumar Shah: Two-Wheeler is 35% for use. Is it correct?

Vikram Mohan: 60%, 30% to 35% is from commercial and off-road vehicles.

Vipul Kumar Shah: And 60% two-wheeler, 35% is commercial vehicle

Vikram Mohan: 35% commercial and off-road vehicle.

Vipul Kumar Shah: That becomes 95 then actuation is 35.

P. M. Ganesh: Vikram can i intervene and explain to Vipul.

Vikram Mohan: Yes, please.

P. M. Ganesh: I think we are mixing the statement and what they call product mix between the ACFMS and the driver information system, as Vikram explained it is like 65 and 35, the 65 has come from the driver information system and about 35 has come from ACF partner. I am just giving you an overall view and if you go into the product segment, what we call vehicle segment, the two stroke 3-Wheeler is about 60% and 35%. the bunch comes from which when I say 60%, it includes the ACA permit and the driver information system in the two-wheeler okay and the 35% is coming from the remaining segments like you have the commercial vehicles, then you have the tractor segment, then you have the off-highway vehicle, which again consists of both the driver information system and the ACM driver. Okay 60 plus 35 95. The remaining 5 is coming from Percy passenger vehicle. This is the overall broad.

Vipul Kumar Shah: So, just for clarification, so actuation, control and fluid management is inclusive in both when you give Two-Wheeler and commercial vehicle percentages, right?

Vikram Mohan: I am asking all products, all of the product that means DICVS and ACFMS all products all of the product segments of the vehicles.

Vipul Kumar Shah: Okay, I will rejoin the queue, sir. I am still not satisfied anyway. Thank you.

Page 9 of 17 Moderator: Thank you. We have the next question from the line of Anisha Mahawla from Envision Capital. Please go ahead.

Anisha Mahawla: Hi, sir. Good evening. Thank you for the opportunity. So, first I just wanted to understand exports were supposed to play a big part in us reaching the 3600 crores of organic revenues by FY26 what is the number for the current quarter then are we on track for that to be 20% plus of our revenues and also the split that you were just giving between DIS and the other products,

and the Two-Wheeler split.

Vikram Mohan: Alluding to our exports, our vision and desire is to get to 20% of revenue being export driven and even in earlier calls I have mentioned that is one area where we have failed and we feel we are lagging and we are only at around 10% today and we are looking at filling the balance inorganically that has been mentioned by me in a few other calls previously also, if there has been one strategic failure, vis-a-vis our vision this is one area.

Anisha Mahawla: Does this impact the 3600-crore target because 20% was part of the 3600 and also do we export only DIS?

Vikram Mohan: We export both segments DIS and ACFMS. In fact, ACFMS is a little bit more geared towards exports and more it does not affect the 3600-crore target, the 3600-crore target has been taken into account with the current LOI that we have received and market growth and anticipated otherwise and new product launches which are on the angle.

Anisha Mahawla: Okay, I will get back in the queue for my second question.

Moderator: Thank you. We have the next question from the line of Harini from Sundaram Alternates. Please go ahead.

Harini: Hello, Sir. Good evening. Thank you for the opportunity. I just wanted to understand what are the CAPEX spends that is being done in the quarter and how do you or how much do you budget to be done in this year and to achieve the 3600 crore targets?

Vikram Mohan: As I mentioned in earlier calls Harini, we have anticipated a CAPEX of about 600 crores, almost entirely funded by internal accruals over a 50-month period of which already 3 quarters have elapsed. 400 crores of this CAPEX is for organic growth to take us to 3600 crores and 200 crores of CAPEX to take us to inorganic growth.

Harini: Understood, Sir. Is there any CAPEX spend that is being made in the current quarter if you?

Vikram Mohan: Every quarter this 400 has been split over 10 quarters of which 3 quarters have already elapsed, and 7 more quarters to go. So, this 400 crores will be spent over every quarter is approximately spent about 35 crores of CAPEX further.

Page 10 of 17 Harini: Thank you so much Sir. Thank you.

Moderator: Thank you. We have the next question from the line of Nishant Parikh an Investor. Please go ahead.

Nishant Parikh: Good evening, Sir. Congratulations for good set of numbers. So, this is regarding post Minda's acquisition of 15.7%. They send a notice for the increase the stake to 23 to 24% odd to CCI and post that we filed a w.r.t petition in Madras High Court and now a few, I mean few couple of weeks back, one of the petition was dismissed, allowing CCI to take on the matter put by Minda. So, now what measures are we contemplating to, sort of protect minority shareholders and sort of help prevent us from Minda coming on board with greater stake.

Vikram Mohan: I will give you a two-pronged answer to that. One, the w.r.t has not been dismissed by The Madras High Court for the information, only the injunction has been lifted with writ continuing to be held and further hearing date posted with CCI asking with the Madras High Court asking CCI to revert with their observation. So, that's number one. The company has taken all measures to ensure that legally we are protected and the current management to whom I represent. I have also taken all measure to ensure that we stand in control of the company and suit the matter with sub-judice, I will not be able to disclose anything more at this point of time.

Nishant Parikh: OK. Thank you, Sir.

Moderator: Thank you. We have the next question from the line of CA Garvit Goyal from Nvest Analytics. Please go ahead.

Garvit Goyal: Thanks for the follow up. But just for clarification on what is our target in terms of R&D spending as a percentage of revenue for FY24?

Vikram Mohan : We continue to spend between 4 to 4.4% of our revenue on R&D. When I mean R&D it's we divide it into two product development and process development because we as a company firmly believe we need to have best in class products and best in class processes to deliver products at the best quality levels at optimum price for the customer. We continue to spend between 4 to 4.4% of our revenue on product and process development and emphasize that we will continue to spend this sort of numbers in the coming years to give us a lead over competition and continuing to keep ahead of the technology curve.

Garvit Goyal: Understood sir. Thanks. Thank you.

Moderator: Thank you. We have the next question from the line

e of Vijay Suku, an investor. Please go ahead.

Vijay Suku: Thank you and Congrats for a good set of numbers, Sir. So, just wanted to check on the R&D spend that the company is doing. So, we are spending almost 4 to 4.5% on the revenue. So, can

Page 11 of 17 you give us some insights in terms of what are the new products that the company is venturing into and what is the market size effect? If you are able to give some insights on that.

Vikram Mohan: This is a very long answer, which will probably warrant half an hour of discussion. I think if you can set up a call with us, I will be happy to take you through some of this, some of it is because it's IP related, which we will not be able to talk about, but I think we can pass this and take it

for another table you can write to our Investor Relations Department and set up a call with our CEO or visitors and we will be able to take you through.

Vijay Suku: Perfect that works. Thank you.

Moderator: Thank you. We have the next question from the line of Khush Nahar from Electrum PMS. Please go ahead.

Khush Nahar: Thank you for the opportunity and congratulations on a great set of numbers. So, my question was regarding this labor related case that is going on. So, I think as per the latest annual report, the amount is increased to 47 crores so I just wanted to get an update on that. I think it has been increasing since the past three years, so I don't know about that.

Vikram Mohan: Khush, can you repeat again, you were not very clear. I could only hear the number 47.

Khush Nahar: So, my question was regarding the labor related case that is going on. So, it has been increasing since the past three years. So, I just wanted an update because I think 2 years back it was around 27 crores, which has increased to 47.

Vikram Mohan: So, I would request our CFO, Priyan to answer this question please.

Priyadarsi Bastia: This provision is increasing because the number of years are increasing. It is for the number of years we are spending to pay them. So, we are making provision in the books for those many people for a number of years, which is getting extended.

Khush Nahar: Okay. So, our judgment is that there will not be any liability, right? If I'm right.

Vikram Mohan: Khush you are not very clear. Can you speak a little slowly please. Yes, please go ahead. You asked the second question, which is not clear to any of us.

Khush Nahar: So, my question was that just in follow up on that. So, as per management estimate it, there won't be any material effect on the state financial statement, right?

Vikram Mohan: We believe there will not be, but this is the consequence of the 2009-2010 labor issues which have been substituted for now almost 12 to 13 years. So, you know on the right side of the law, we keep making the provision, but you know, and if the long-standing judicial case. Having said that, 16 cases which was a large chunk of cases have been settled out of court and settled and Page 12 of 17 spent on expense in the last financial year also and we expect the same thing to happen over the next couple of financial years and close.

Khush Nahar: Okay. Thank you.

Moderator: Thank you. We have the next question from the line of Kaushal Kedia from Walfort PMS. Please go ahead.

Kaushal Kedia: Sir one thing like there is a disconnect for me to understand since we spend 4% on R&D, why are we afraid of making more than 13% margins on EBITDA and if we are spending so much of innovation and last time you had mentioned that the DIS systems that we need are in between build to spec and build to print. Why are we not able to make more? Because other companies that are just process companies are making auto increase companies are making 18 to 19% margin.

Vikram Mohan: The reason is obsolescence in electronics is extremely high. So, constantly we need to keep developing the new generations of chips. Gone are the days when you started worki

ng on a

chip and had a life cycle of 5-6 years for that chipset. Today chipset and cost and power success for literally every year is changing, so constantly to keep pace with technology and display systems we need to keep spending that money. Someone else in another context was asking me when software companies are making 25% EBITDA why a company like PRICOL, where software is only a subset and you are developing an entire product you can only make 13 and 14%. That is the nature of the automotive industry where we are not able to make a lot more than what our customers are making because the customers come back on price reaching and the competitive landscape.

Kaushal Kedia: Okay sir. Fair enough. Thank you very much and Sir, thank you for your patience. Thank you.

Moderator: Thank you. We have the next question from the line of Richa from Equity Master. Please go ahead.

Richa: Sir, thanks for the opportunity, Sir, my question is related to non-auto industrial clusters. Is this something that we can think of developing internally or will we need an acquisition to enter that area that is first, second if I may, what is the share of EV as of now and based on later of?

Vikram Mohan: As I mentioned, let's restrict it to one question at a time. Can we enter the nonautomotive information systems space? The answer is yes because we have all the technologies required to enter that space. In fact, that space works on technology that's at least 5 to 10 years behind where we are part why we need to go for an acquisition is because this kind of selling is completely different completely. It is all about the distribution, scale and warehouses and reach globally, which is not something we call it used to because we are an OEM company with a bunch of customers very large volume that is very small volume, thousands of customers with Page 13 of 17 large scale distributorship dealership warehousing globally. That is the reason we are going to acquire that market size and not for the technology.

Richa: Understood. Thank you so much.

Moderator: Thank you. We have the next question from the line of Vipul Kumar Shah from Sumangal investment. Please go ahead.

Vipul Kumar Shah: Sir, what is the contribution of products newly introduced during the last two years in our turnover?

Vikram Mohan: It is approximately 25%, it varies between 20 to 30% per annum, but the average is about 25% per annum.

Vipul Kumar Shah: Okay. Thank you, Sir.

Moderator: Thank you. We have the next question from the line of Anisha Mahawla from Envision Capital. Please go ahead.

Anisha Mahawla: Hi, Sir. Thank you for the opportunity again, Sir we said a large part of our growth will be driven based on the LOIs we have in hand. Is it possible to provide some color on it? What is the LOI you have in hand? Are they starting in 24 or 25 or the mix maybe? Are they higher? Are they cute slightly higher towards EV any color like that?

Vikram Mohan: I would not like to talk about this. Because lot of the LOIs are confidential along with the customers. So, I would not like to connect about it ma'am. But it is based on LOIs that we are building our capacities on building our capabilities and as far as the driver information system is concerned, whether it's EV or I think it's of no consequence. A lot of people have been asking me these questions because I said it's information being provided to the driver of the vehicle, so whether it's IC, fuel cell, high tension, it's propulsion agnostic. So, we are not worried about what form of propulsion it is.

Anisha Mahawla: No, I did not mean that it is IC or EV and then PV or Two-Wheeler or CV that break up is, is that changing and if you can't comment on the quantum of the LOI, maybe you can say is a substantial part of it expected to start, say H2 of this year early next year just to get some indication.

Vikram Mohan: 25% like I mentioned would be new product growth year on year,

which is what we achieved

last year and we will achieve in the next couple of years. As much as the end we are working with multiple EV players. We believe that we are barring Ola for strategic reasons we have decided not to work with Ola as I mentioned the previous one. So, as the penetration of EV happens, our growth in that area also will happen because we are working with the whole host of EV players, both conventional OEM and the new OEM development.

Page 14 of 17 Anisha Mahawla: Okay. Thank you.

Moderator: Thank you. We have the next question from the line of Hemanth an investor. Please go ahead.

Hemant, please go ahead with your question. Your line is unmated.

Hemant: Thank you for providing me the opportunity again, Sir. Did you say 3600 crores organically, it means 80% and the second is.

Vikram Mohan: Yes, 3600 crores organically with the LOI new product introductions that we have anticipated and with reasonable market growth.

Hemant: So, it is basically 80%. of the current run rate.

Vikram Mohan: Pardon me.

Hemant: 80 right.

Vikram Mohan: What are you talking of?

Hemant: Since we clocked 2000 crores of revenue in FY23, so it is basically 1600 crores of incremental revenue.

Vikram Mohan: Over the next three years, yes.

Hemant: Yes, and sir, what is the current status on the PCI kit? Sorry if I.

Vikram Mohan: I would not like to comment about it.

Hemant: Kindly come again Sir?

Vikram Mohan: The matter is sub-judice and I would not like to comment at all.

Hemant: Okay.

Moderator: Thank you. We will move to the next question from the line of Vaibhav, an investor. Please go ahead.

Vaibhav: Hi, congratulations. I just wanted some color on the opportunity size for your products in the electric vehicle space and five to seven years from now how much percent of your revenues would come from the EV space.

Vikram Mohan: As I mentioned earlier in the call today, whatever is going to be the penetration of EV in the Indian market, we will be maintaining the same rate of growth in the EV because we are in a

Page 15 of 17 propulsion agnostic automotive systems business and we are engaging with almost all the EV players of the reputed scale and size of the business.

Vaibhav: Okay. Thank you.

Moderator: Thank you. We have the next question from the line of Utkarsh Somaya, an investor. Please go ahead.

Utkarsh Somaya: Thank you for the opportunity. Like you mentioned, most of your growth is going to come from premiumization. So, does that mean that your capacity utilization volume wise will remain pretty much in the same level from now until FY26.

Vikram Mohan: No, I think Utkarsh you brought me wrong I said there are three times of growth that's going to come. One, because the existing products will reach the end of their life cycle and new product will replace them, one will be from premiumization of existing products, third is launch

of new products like disc brakes etc. So, we are creating capacities for new products, we are creating capacity for premiumization and we are eliminating capacity in mechanical and other products that that will go out of hope.

Utkarsh Somaya: There will be certain new.

Vikram Mohan: 200 crores of CAPEX is to meet the needs of these three buckets to fix 3600 crores but we are creating a capacity for about 4000 crores, not just 3600 crore.

Utkarsh Somaya: Okay. Sir the CAPEX will be spent on creating more capacity and kind of switching current capacity too.

Vikram Mohan: The changing needs of business as we move from mechanical to electromechanical to an electronics company the same machines cannot be used for the same product. Disc brake, for example a new vertical needs a completely new manufacturing ecosystem, existing plants have to be debottleneck to make it more efficient. Modernization of some parts of the plant to deliver the requested quality level. So, it is a combination of everything.

Utkarsh Somaya: Okay and when y

ou say 3600 crores, do you mean that in FY26 you will be operating at optimum utilization?

Vikram Mohan: No, I mentioned that we are creating capacities for 4000 to 4200 crores and 3600 crores is what we are anticipating in FY26.

Utkarsh Somaya: Now my, actually I am trying to understand that when you tell us you are 3600 to 4000 target, are you considering that you will be operating at optimum capacity utilization and optimum premium products or will there be scope for more volume?

Page 16 of 17 Vikram Mohan: Capacity utilization for someone could be an 85% capacity utilization. We are creating capacity for a broad product mix of 4200 crores of which we are expecting about 3600 crore to get utilized and deliver revenues in FY26.

Utkarsh Somaya: Okay and can I squeeze in one more related question if possible.

Vikram Mohan: Maybe you can come back in the queue please, because that is the housekeeping rules we have been following for the rest of the participant.

Utkarsh Somaya: Okay. Thank you.

Moderator: Thank you. We have the next question from the line of Vipul Kumar Shah from Sumangal investment. Please go ahead.

Vipul Kumar Shah: Hi Sir, all these joint ventures or technical collaborations like sibros or BMS, all those are exclusive or they can tie up with some other manufacturer also. So, some color on this will be really helpful.

Vikram Mohan: They are not joint ventures; they are only technical collaborations, and they are exclusive to pricol for India.

Vipul Kumar Shah: So, in India they will not enter with any other manufacturer right.

Vikram Mohan: No.

Vipul Kumar Shah: Okay. Thank you Sir.

Moderator: Thank you. We have the next question from the line of Vaibhav, an investor. Please go ahead.

Vaibhav: Regarding the asset turns, if you know say for five years from now, 50% of our revenues comes from EV, do you think our asset turns will basically increase over time?

Vikram Mohan: Can you repeat your question? You were not very clear. Assume that 50% of your revenue comes from EV. A. I don't think so, because I don't think EV penetration in India is going to be 50% in the next five years. That's the fundamental probable I believe in. I may be wrong. Asset return I do not think is going to have any impact on whether it is EV or non-EV, it is just one more form of propulsion after which is going to be high tension, after which is going to be fuel cell. I do not think it has any link with the asset turn of the company.

Vaibhav: Okay. Thank you. Thank you so much.

Vikram Mohan: I think we have answered fair to the questions covering the entire gamut. We thank you very much for your participation and asking the whole host of questions and we look forward to

Page 17 of 17 connecting with all of you in the next call when we are done with the Q2 and H2 of FY24. Thank you very much for your participation and we look forward to seeing you all soon. Good evening.

Moderator: Thank you, members of the management. Ladies and gentlemen, on behalf of PRICOL Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

Call: Nov 2023

PL/SEC/TGT/2023 -2024/127 Tuesday, 14th November 2023

The Manager - Listing Department
National Stock Exchange of India Limited
"Exchange Plaza", C -1, Block G
Bandra -Kurla Complex,
Bandra (E), Mumbai - 400051 Corporate Relationship Department
BSE Limited
1st Floor, New Trading Ring
Rotunda Building, P J Towers,
Dalal Street, Fort, Mumbai 400 001
Script Code: PRICOLLTD Script Code: 540293

Dear Sir,

Sub: Con -call Transcript

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we herewith submit the Transcript for the Con -call held on 9th November 2023 pertaining to Company's unaudited financial results for the quarter and half year ended 30th September 2023.

This is for your information and records.

Thanking you
Yours faithfully,
For Pricol Limited

T.G.Thamizhanban
Company Secretary
ICSI M.No: F7897

Encl: As above

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Page 1 of 9 PRICOL Limited
Q2 and H1 FY '24 Earnings Conference Call
November 09, 2023

Moderator: Ladies and gentlemen, good day and welcome to the Q 2 FY '24 Conference Call of PRICOL Limited.

As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing ' * ' followed by '0' on your touchtone phone. Please note that this conference is being recorded.

At this time, I would like to hand the conference over to Mr. Anuj Sonpal from Valorem Advisors. Thank you and over to you, sir.

Anuj Sonpal: Thank you. Good evening , everyone . A very warm welcome to you all. My name is Anuj Sonpal

from Valorem Advisors. We represent the Investor Relations of Pricol Limited. On behalf of the company, I would like to thank you all for participating in the company's earnings call for the second quarter and first half of the Financial Year 2024.

Before we begin, let me mention a short cautionary statement. Some of the statements made in today's Earnings Call may be forward looking in nature. Such forward -looking statements are subject to risks and uncertainties, which could cause actual results to differ from those anticipated. Such statements are based on management's beliefs as well as assumptions made by an information currently available to management. Audiences are cautioned not to place

any undue reliance on these forward- looking statements in making any investment decisions.

The purpose of today's earning s call is purely to educate and bring awareness about the company's fundamental business and financial quarter under review.

Let me now introduce you to the Management participating with us in today's Earnings Call and hand it over them for opening remarks. We have with us Mr. Vikram Mohan - Managing Director; Mr. P. M. Ganesh - Chief Executive Officer and Executive Director; Mr. Siddharth Manoharan - Director of Strategy; and Mr. Priyadarsi Bastia - Chief Financial Officer.

Without any further delay, I request Mr. Vikram Mohan to start with his opening remarks. Thank you and over to you, sir.

Vikram Mohan: Good evening, everyone, and thank you for participating in this call . On behalf of Pricol and my team , I welcome you to the Q2 financial performance for FY '24 and also the H1 for FY '24.

Page 2 of 9 We have uploaded a presentation and I hope all of you have had a chance to see it .

In line with our guidance, we have been seeing a steady increase in our revenue and we have been ahead of the market and also EBITDA margins have been steadily increasing in line with

our guidance.

Our revenue from operations is growing at a steady clip and so also is the EBITDA and both on a consolidated basis and on a standalone basis .

The floor is now open for questions . Request everyone to queue up and ask one question at a time so that all participants have an option to ask their questions . So request you to just stop with one question and rejoin the queue if you have further questions . Thank you.

Moderator: Thank you very much , sir. Ladies and gentlemen , we will now begin with the question -and-answer session . We take the first question from the line of Vipul Kumar Shah from Sumangal Investment . Please go ahead.

Vipul Kumar Shah: So can you break the sales between driver information and connected vehicle solution and actuation , control and fluid management systems? What percentage of ours?

Vikram Mohan: As mentioned in my earlier calls , it hovers between 65% for driver information and connected vehicle solutions, and 35% to the ACFMS Division. That ratio will be maintained more or less going forward also plus or minus 2% every quarter .

Vipul Kumar Shah: And sir, EBITDA margins are same for the both verticals or is there any change in the EBITDA margins ?

Vikram Mohan: Export revenue coming in the ACFMS division, the EBITDA margin is slightly higher on the export products and the new products , but on the commoditized products , the margins are lower . Margins are steadily increasing and becoming steady in the DICVS division because electronics prices have more or less stabilized for all premium freight have stabilized . So there it's much more a normalized EBITDA margin . In term of overall EBITDA, both are almost neck to neck .

Moderator: Thank you. We take the next question from the line of Pankaj Kumar , an individual investor . Please go ahead , sir.

Pankaj Kumar: So in earlier calls you have given a guidance of 3600 crore of organic revenue by FY '26 and that implies a 20% plus kind of growth . I do understand that lenience, every quarter the growth is not going to be like that , but this quarter the revenue growth was around 12% . So is there a specific reason of slower growth in this quarter ?

Page 3 of 9 Vikram Mohan: The revenue growth was not the revenue from operations quarter -on-quarter between last year and this quarter was about 12% . We are aiming for a minimum of 15 % to 16% growth . So if you look at H1, as a H1 growth , we have seen about 16% growth . There have been some loss of sales on account of these lower production of the EV vehicles and deferment of schedules because of the FAME subsidy issue. But overall , in terms of over the next couple of quarters , that same revenue guidance we would like to maintain .

Moderator: Thank you. We take the next question from the line of Vipul Kumar Shah from Sumangal Investment.

Vipul Kumar Shah: So can you break down the sales for driver information vertical to two-wheeler, four -wheelers and commercial vehicles ? Is it possible , sir?

Vikram Mohan: It's about in the driver information systems, about 65% comes from two-wheelers. Commercial vehicles would be another 20% , and the balance would be from personal passenger vehicles .

Vipul Kumar Shah: Two wheelers you said 55 or 65 , sir?

Vikram Mohan: 65.

Vipul Kumar Shah: 6-5?

Vikram Mohan: It's 50, 50 and 65 , commercial vehicles between 20 and 25 , again a variance every quarter , and

the balance from four -wheeler personal passenger vehicles .

Moderator: Thank you. We take the next question from the line of D inesh Kulkarni from RDS Capital . Please go ahead , sir.

Dinesh Kulkarni: So I just want to know like do we expect , you know, you would increase your shareholding in the company going forward ? Because last two quarters we see some increase there . Do we expect this to continue or like do we have any something , so

me number like 40% or 50%

ownership in mind, something like that ?

Vikram Mohan: If there is a need , we will increase it , and whenever liquid cash is available with the promoters , we do Infuse into our different business ventures as needed . But I think we have a fairly decent holding , and directly and indirectly we hold about 41% because this 38 point odd percent is referring to my immediate family unit and my extended family , which is my father's brothers and sisters and my mother's brothers and sisters, we are close to about 41% . So, I think that's a very comfortable shareholding . If and when there is a need, we will increase our shareholding and based on liquidity .

Moderator: Thank you. The next question is from the line of Richa Agarwal from Equitymaster . Please go ahead.

Page 4 of 9 Richa Agarwal: Could you also give us the break up between , you know, the share of new products versus ...

Moderator: Her line has got disconnected , sir. We take the next question from the line of Shashank Kanodia from ICICI Securities. Please go ahead.

Shashank Kanodia: Just wanted to check on the margin s front. Our understanding was that with normalized chip supplies , your premium freight will be reduced, and then , eventually , there will be an upt ick in margins , but our margins most sequentially as run by basis have decreased drastically and even the gross part . So if you can explain , you know, what's going to be the margin trajectory and any specific reasons for margin decline in this quarter ?

Vikram Mohan: No, there has been no margin decline. In fact, there has been a margin increase . And as alluded by me in my earlier calls , I said steadily quarter -by-quarter we will keep increasing our margins and hit a steady -state margin , EBITDA margin of about 13.5% , and our margins are increasing in line with that guidance.

Shashank Kanodia: Sir, any take on the raw material cost? Raw material as a percentage to sales have increased in this quarter.

Vikram Mohan: Pardon me.

Shashank Kanodia: Sir, any take on the raw material cost? Your raw material cost as a percentage to sales has increased in this quarter .

Vikram Mohan: No, our EBITDA margin s are steadily increasing, and will keep increasing moving forward .

Shashank Kanodia: I think there is some displace in terms of EBITDA margin that you calculate . You calculate using other income in nature. We calculate excluding the other income.

Vikram Mohan: You are not very clear , but can you repeat yourself , please ?

Shashank Kanodia: Sir, we calculate EBITDA excluding the other income and you calculate the EBITDA, I think , probably including the other income, right ?

Vikram Mohan: Including w hat?

Shashank Kanodia: Other income.

Vikram Mohan: No, but as an operational EBITDA, our EBITDA has been steadily increasing and will hit a steady -state 13.5% . Quarter- on-quarter our EBITDA has been only increasing as raw material prices are stabilized , and we are having better operational efficiency .

Page 5 of 9 Moderator: We take the next question from the line of Pankaj Kumar, an individual investor . Please go ahead , sir.

Pankaj Kumar: So are you still maintaining the revenue guidance of 3600 crore by FY '26?

Vikram Mohan: Yes, unless there are any catastrophic external geopolitical events , I think we are still maintaining that revenue guidance.

Pankaj Kumar: With a margin of 13.5% , will that reach by FY '2 6 or earlier than that?

Vikram Mohan: Earlier than that , for sure.

Moderator: Thank you. We take the next question from the line of Richa Agarwal. Please go ahead , ma'am.

Richa Agarwal: Sir, my question was , could you give the share of new products in the current revenue ? And in your guiding for 15.5% kind of m argin , what is the share that you expect for the new product in the product mix ?

Vikram Mohan: New product

revenue typically is about 20% of our sales year -on-year . In FY '25 and FY ' 26, those numbers will be slightly higher as newer products like disc brakes and others are getting introduced and volumes are ramping up, but for the current year , it would be about 20% .

Moderator: Thank you. We take the next question from the line of Vipul Kumar Shah from Sumangal Investment. Please go ahead , sir.

Vipul K umar Shah: We had signed several M oUs with some software developers, and so what is the progress on that front, sir?

Vikram Mohan: We have signed with BMS PowerSafe. We have signed with Sibros. What we have signed with

Sibros as the proof of concept everything has started hitting the market , and it 's already under vehicle trials with at least about 10 vehicle makers. And as I mentioned , the revenues from those product from those joint ventures will really start seeing traction in FY '26 onwards until FY '30.

Similarly, with BMS PowerSafe, the proof of concept is ready and is now being showcased to the customers. Those again will go into revenue earning mode only from FY '26 and onwards . We have recently signed an engagement for cooperation agreement with TYW based in China . We have just started working together . It's very early days and it's probably going to take about 6 months to 12 months to say what revenues are going to come out of that. And none of them are software companies for your information , Mr. Shah.

Page 6 of 9 Vipul Kumar Shah: Oh, sorry for that. No, I remember ed it. So these all are exclusive M oUs means they can work

only with us or there is no exclusivity in this?

Vikram Mohan: For certain vehicle segments, it's exclusive . For certain customers, it's exclusive , and for certain products also , it's exclusive .

Moderator: Thank you, sir. The next question is from the line of Harini from Sundaram Alternates. Please go ahead.

Harini: So on the query to a previous participant , you had mentio ned that the sales dip is on account of EV shares in the sales coming down . Is it possible to indicate how much of our sales currently is from EV ? Any marginal number on how much?

Vikram Mohan: Volume is about 7 % to 8% , but in terms of value, it is slightly higher because per EV , selling price is much higher of the units that we are selling. And if you can send a query to our Investor Team, they will be able to answer in detail . But the EV sales are again started picking up . The schedules are picked up. You would be aware because of the FAME subsidy issue, all EV s had dropped production significantly in Q1 and Q2 . From Q3 onwards , we have seen very healthy schedules. In fact, October has been also a good month .

Moderator: Thank you. The next question is from the line of Dinesh Kulkarni from RDS Capital. Please go ahead , sir.

Dinesh Kulkarni: I want to know like what's your CapEx plans for the next two , three years, like, say, in the total?

Vikram Mohan: I have spoken about this in my earlier calls . We have a planned CapEx of about 600 crores unless something very exciting inorganically comes up , of which about 150 crores was spent last year , about 200 crores is being spent this year , and another 200 crores would be spent in the next fiscal year . This is to enhance capacities , improve productivity and also going for modernization of some of our older plants . So that's the broad spend of CapEx. This will take our revenue up to about 3,800 to 4,000 crores would our capacity make capacity available .

Moderator: Thank you. The next question is from the line of Jaimin Desai from Emkay Global . Please go ahead , sir.

Jaimin Desai : So can you provide some color on recent business wings on the TFT side for two- wheelers? And also if you could elaborate on the four -wheeler TFT opportunity ?

Vikram Mohan: I would like to hand this over to our CEO and Executive

Director Mr. Ganesh to answer this please.

P. M. Ganesh: Good evening . The TFT actually whatever has been used by particularly the EV makers of two -wheeler s, most of the models are supplied by Pricol. Barring like one or two models in the Page 7 of 9 country , I would say like out of 10 vehicles, eight are manufactured by Pricol. Four -wheeler is something that we are evolving. As you are aware that four- wheeler was not o ur focus until 2020 because we had a non- compete agreement . So we have just started penetrating with the four -wheeler . So four -wheeler , our presence on TFT is not much, but on the two-wheeler , out of 10 vehicles manufactured , eight of them are from Pricol.

Moderator: Thank you, sir. The next question is from the line of Khush Nahar from Electrum PMS . Please go ahead , sir.

Khush Nahar: My question was regarding the content for vehicle. So could you guide us across our segments two-wheeler , four -wheeler , and CV, what is the average content per vehicle?

Vikram Mohan: See, a mechanical instrument cluster still sells at Rs. 300 or Rs. 400, but that is dying a very fast death. For example , in the TVS X that launched, which was launched by TVS, it's a very high content per vehicle. Okay.

So, if you want to ask in a two-wheeler , what is content per vehicle, it's very different from a mechanical cluster , electromechanical hybrid cluster or clock TFT cluster , and the TFT itself there are multiple price points , right , based on the features, the size etc.

So this is a very , very difficult question to answer , but perhaps I put it this way . From an average value of Rs. 300 per driver information system , today we are at around Rs. 1,200 and making a transition to Rs. 2,500 over the next 3 years . I think that's a better way to put it .

Similarly, on our ACFMS vertical , we were into very small value oil pumps and chain tensioners , which are dying a natural death, and now moving into more complex BLDC fuel pump, electrical coolant pump, and other products which are more towards the Rs. 1, 000 mark a s against what we were supplying at Rs. 150 and Rs. 200.

Moderator: Thank you, sir. The next question is from the line of Pranav Modi from Antique Stock Broking Limited. Please go ahead with your question, sir.

Pranav Modi: Sir, I wanted to know the per unit dynamics. For example, if we have something for two-wheeler, then how much we charge, and if we go over say Triumph or KTM 390 or those sort of premium bikes, then how much do we get per unit? And if it goes to a four-wheeler, then how much it is? If you can share some detail on that?

Vikram Mohan: Again, like the previous question, this is a very, very broad-based question. We are supplying something to a BMW two-wheeler at 15,000 per unit, a cluster. We also supply a car at Rs. 2,500 per unit for a driver information system. So I think categorizing, it's based on the technology, the size, and the number of tell-tale and warning signs and what the customer Page 8 of 9 wants and the resolution. So, if you are asking for a broad-based answer, it would be next to impossible to give.

Pranav Modi: So can we put up some ASP number for all the units put together? Would that be a fair assumption or better way to calculate our revenues?

Vikram Mohan: That's exactly what I said. From 300, we are now at around 1200 and moving up to about 2500 in the next 3 years for two-wheelers. Cars, we are still in the nascent stage. Commercial vehicle is obviously much, much higher. Micro LCVs is at a lower price point. So, segment wise, yes, we have an average selling price, but with two-wheelers being 65% of our revenue, which is why I have the figure of about 1,200 today going up to about 2,500 over the next 3 years.

Moderator: Thank you. We take the next question from the line of Khush Nahar from E

lectrum PMS. Please go ahead, sir.

Khush Nahar: So my question was regarding the other expenses. We can see that year-on-year last quarter and this quarter, it has increased around 55% last quarter and 39% this quarter. So was there any one off expenses or above 40 crore should be our new quarterly run rate for the expenses?

Vikram Mohan: I will request our CFO to answer that please.

Priyadarsi Bastia: The warranty cost is increasing actually couple of products which got bounced back. So we have fixed the solution now, but yes, that cost was clubbed in this quarter, and that's why it is higher.

Khush Nahar: So our average run rate would be around 30, 35 crores only, quarterly run rate going ahead?

Priyadarsi Bastia: No, it will be a little higher number definitely, Khush, because the other expenditures are increasing in line with inflation. So it should be around 40, 42 crores.

Moderator: Thank you, sir. We take the next question from the line of Pankaj Kumar, an individual investor. Please go ahead with your question, sir.

Pankaj Kumar: I wanted to know what will be the asset turn for 600 CapEx that you are doing?

Vikram Mohan: It's different for different verticals of the company. For the ACFMS, it's different. For the DICVS, it's different. And even within the DICVS for the disc brakes, the ACFMS, the disc brakes is different. If you can get in touch with us, we can break it up segment wise and give it to you.

Pankaj Kumar: Just one more question. I think, in the last call, you mentioned that you will reach to 13.5% to 14% kind of margin in next two quarters. So is that still a valid assumption or?

Page 9 of 9 Vikram Mohan: No, in the last call, I said over the next two years, and I said steadily increasing over the next quarter-on-quarter. I didn't say two quarters. So I am expecting an increase of about 0.3 to 0.4% every quarter and steady at around 13.5%.

Moderator: Thank you, sir.

Vikram Mohan: I think since there are no more questions, maybe we can call it a day.

Moderator: Yes, sir. There are no further questions in the queue. So I would like to hand the conference over to you for closing comments.

Vikram Mohan: Thank you very much and for the confidence in our company. And I am sure my team will be able to deliver the same level of sustained and improved performance in the quarters to come and look forward to connecting with you in the annual call for FY '24. Good evening and greetings of the season.

Moderator: Thank you, sir. On behalf of Pricol Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Feb 2024

PL/SEC/TGT/2023-2024/153 Monday, 5th February 2024

Listing Department
National Stock Exchange of India Limited
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BSE Limited
1st Floor, New Trading Ring
Rotunda Building, P J Towers,
Dalal Street, Fort, Mumbai 400 001
Script Code: PRICOLLTD Script Code: 540293

Dear Sir,

Sub: Con-call Transcript

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we herewith submit the Transcript for the Con-call held on 2nd February 2024 pertaining to Company's unaudited financial results for the quarter and nine months ended 31st December 2023.

This is for your information and records.

Thanking you

Yours faithfully,
For Pricol Limited

T.G.Thamizhanban
Company Secretary
ICSI M.No: F7897

Encl: As above

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Pricol Limited
Q3 & 9M FY'24 Earnings Conference Call
February 02, 2024

Moderator: Good evening, ladies and gentlemen. Good day and welcome to Q3 & 9M FY'24 Earnings Conference Call of Pricol Limited.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Anuj Sonpal from Valorem Advisors. Thank you and over to you sir.

Anuj Sonpal: Thank you. Good evening, everyone and a very warm welcome to you all. My name is Anuj Sonpal from Valorem Advisors. We represent the Investor Relations of Pricol Limited. On behalf

of the company, I'd like to thank you all for participating in the Company's Earnings Call for the Third Quarter and Nine Months-ended Financial Year 2024.

Before we begin, let me mention a short cautionary statement. Some of the statements made in today's earnings call may be forward-looking in nature. Such forward-looking statements are subject to risks and uncertainties, which could cause actual results to differ from those anticipated. Such statements are based on management's belief as well as assumptions made by and information currently available to management. Audiences are cautioned not to place any undue reliance on these forward-looking statements in making any investment decisions. The purpose of today's earnings call is purely to educate and bring awareness about the company's fundamental business and financial quarter under review.

Let me now introduce you to the management participating with us in today's earnings call and hand it over to them for opening remarks; we have with us Mr. P.M. Ganesh, Chief Executive Officer and Executive Director; Mr. Siddharth Manoharan, Director of Strategy; Mr. Priyadarsi Basu – Chief Financial Officer, and Ms. Madhura Mohan – Management Executive.

Without any further delay, I request Mr. P.M. Ganesh to start with his opening remarks. Thank you and over to you, sir.

P.M. Ganesh: (Inaudible) 1:50-2:02. We won the Best Award from Daimler Truck during Q3 for Technology and Innovation. We made a state-of-the-art Driver Information Systems for Daimler Truck.

In slide #2, what you see is the best quality performance with one of our big OEMs, JCB. And on the third slide, you see an award from Tata Motors, ED's DWM Cup Assessment.

Also, a few select launches which we thought that we should highlight. You would have seen a couple of weeks back, Hero MotoCorp launching a series of their motorcycles. And we are very proud partners with Hero

to be a part of the Driver Information System s launched in this key model. The left hand side top what you see is an Xtreme 125cc Motorcycle is launched with our Driver Information Systems, and the top middle whatever you see is for the new model, Maverick, I am sure that you would have read in the paper. The launch has happened a couple of weeks back for the 440cc Motorcycle, we have made a Driver Information Systems. And also the newly launched Tata Motors EV Punch, we have made again a state-of-the-art Driver Information Systems for Tata Motors both for the EV vehicle and also for the IC engines. Switch Mobility, we have done again state-of-the-art Driver Information Systems. Switch Mobility is the EV division of Ashok Leyland. The Innovation award, whatever I showed to you is the right one at the bottom you see the Driver Information Systems whatever we designed for it.

Coming to the financial highlights for Q3 of FY'24 ended up our EBITDA margin stood at 12.51% from revenue from operations at 5,571.91 million. For the nine months of FY'24, our EBITDA margin was at 12.55% and the total revenue was at 16,419.57 million.

On the revenue from operations, we have grown by 21.61% on a Q3-to-Q3 comparison and our EBITDA has grown by 34.49% during the same period. And for the nine-month period we have grown by 17.86% revenue from operations, and on a nine-month period at EBITDA level, we have grown by 18.79%.

Thank you. That finishes my presentation. Over to you for the questions and answer.

Moderator: We will now begin the questions-and-answer session. Our first question is from the line of Bhalchandra Vishwanath Shinde from Kotak Life. Please go ahead sir.

B V Shinde: Sir, regarding the product launches wise, are we working on E-Cockpit with any customer, and what are the stages of development right now and can we expect any positive news on that front?

P.M. Ganesh: Thank you for the question. Yes, we are working on E-Cockpit with one of our major customers. The SOP is likely to start by FY'26. Being under NDA, I am not able to reveal the name of the OEM. Yes, you're right, we are working on the E-Cockpit solution.

B V Shinde: But by when we can expect some news on that?

P.M. Ganesh: See, the launch of the product is expected as I told you during FY'26. During the time when you have the product getting launched, then we will tell you during that time that this is the product model that we've launched for that customer. It is already under development.

B V Shinde: On the TFT clusters wise, how will be our mix right now, how much will be normal analog then digital and TFT cluster mix, and even on the two-wheeler, four-wheeler and commercial vehicle mix?

P.M. Ganesh: Whatever we have launched for DAC is an LCD digital cluster. It has got both analog and digital. And whatever we have been launching for two-wheeler and some of the commercial vehicles, have got a mix of both on the LCD type for instrument clusters and also TFT. As explained during some of our previous calls, the tendency of the market is to move from LCD to TFT, that's what we see that it is happening. But it takes some time for the complete conversion to happen. If you remember, like five years back, most of the instrument clusters, whatever we were supplying were mechanical in nature. And then after the BS6 got implemented in 2020, the migration started from the mechanical to digital electronic clusters, and now it is moving into the high-end digital electronics but moving from LCD to TFT.

B V Shinde: And how will be the mix of two-wheeler, four-wheeler Wise?

P.M. Ganesh: Mix in the sense, our revenue to the -

B V Shinde: Revenue mix especially in clusters.

P.M. Ganesh: Cluster revenue actually if you go through the ACMA production, two-thirds of the vehicle production comes from the two-wheeler segment as you're aware. Similarly, since we are balanced out and present in all segments of the market is something

very important because

we have mitigated the risk by being present in all segments of the market. You know that in Q3 the tractor shipments were down. That is why some of the players had a set back in terms of their revenue, primarily because if you have too much tractor dependent, there was a degrowth in tractor. That way we have derisked some segments quite very well. So, if you see that two-thirds of the vehicle production in India comes from two-wheeler, our revenue from Driver Information Systems is also two-third of the total revenue comes from the two-wheeler segment. Commercial vehicle contributes to about 15% of our total revenue and if you match it with the ACMA, you will find that 15% of the vehicle production comes from the commercial vehicles of the total production made, and about like 7% to 8% comes from personal passenger vehicles, that's an area that we are aspiring to benefit more as we are going on which I explained to you also in the previous earnings call, and the remaining for the tractors and off-road vehicle, that is how we are poised.

Moderator: Our next question is from the line of Monika Arora from Share Giant Advisors. Please go ahead.

Monika Arora: I have some certain bookkeeping questions, like what is the bifurcation of cluster and non-cluster business? And also I wanted to understand your segmental bifurcation?

P.M. Ganesh: Monika, to give you a rough estimate on the bifurcation, the cluster business contributes to about 70% of the total revenue and the 30% comes from the non-instrument business. On the segment wise, I think I just explained to the previous caller about the segmental bifurcation like two-thirds of our revenue coming from two-wheeler and 15% coming from the commercial vehicles and 5% to 7% comes from the personal passenger vehicles and the remaining coming from tractor and off-highway segment.

Monika Arora: Sir, what is the proportion between exports and domestic?

P.M. Ganesh: Currently, we stand at 10% of the total revenue coming from export, primarily because there has been some slowdown both at the US and Europe markets and we hope recovery to happen from next year onwards. Regarding the project launch for export, they're on track.

Moderator: Our next question is from the line of Harini from Sundaram Alternates. Please go ahead.

Harini: I just had one clarification on are there any hindrances because of the ongoing crisis on your import because I had a sense that your purchases are majorly import-based?

P.M. Ganesh: I'm so sorry. I think we lost you in between. You are not very audible. Can you be a little slow in your question?

Harini: So, I just wanted to check if there are any impacts because of the Red Sea crisis on your imports and your raw materials, do you have any issues over there?

P.M. Ganesh: Actually, what happens is because of the Red Sea issue, the logistics time has gone up by a couple of weeks because it has to be rerouted. So, what we're doing is, we have started that rerouting and now it has come into normalcy. So, we are not taking any issues currently because of the red sea.

Moderator: Our next question is from the line of Karan Gupta from Varanium Capital. Please go ahead.

Karan Gupta: My question is related to, we are moving from mechanical instrument cluster from digital, then TFT and high-end digital instrument cluster. So, is the electronics part is going up in our instrument cluster? So, when we are expecting this kind of thing, but margin will be impacting because more electronics thing will be coming to our products. So, our edge of manufacturing thing will be judged to make the plastic models or which packaging materials of that instrument cluster. So, have you seen expecting anything the margin will be impacted in this thing?

P.M. Ganesh: No, the margins will not be impacted, rather the margins will go up. If you see that more and more electronic clusters that we have been having

since 2020, our margins have been going up.

Primarily, it is not just the assembly alone, we do an end-to-end solution for the customers starting from the design, development, manufacturing engineering, doing our own tools and therefore giving a complete end-to-end solution to the customers. So, the margins just not depend on only the manufacturing or putting the plastics together and selling to the customer, it is the end-to-end solution that whatever we could give it to the customer is what it looks like and then therefore the margin gets improved.

Karan Gupta: So, in this case, use cases will also be increased. So, I think the margin will not affect. So, electronics power will increase, software things also will increase. So, in this case the margin will not be impacting us?

P.M. Ganesh: In fact, I can explain to you a little different. We are moving from a product-based company to a solution-based company. This is what we have explained in the few earnings call also. If you are only doing a product with electronics, then your margins will not be very high. But if you

are moving into like a technology product giving solution to the customers, your margins are not under threat.

Moderator: Our next question is from the line of Chirag Jain from Emkay Global Financial Services. Please go ahead.

Chirag Jain: Sir, just a couple of questions. One, if you can share the thought process of getting into the Disc Brakes and BMS, and any customer wins on these two product lines and probably from when we can see revenues going in? And second, also, in terms of our revenue guidance and margin guidance by '26, is there any revisit in terms of those numbers?

P.M. Ganesh: Mr. Jain, if I've understood your question, you asked about battery management systems, correct?

Chirag Jain: Yes. And also disc brakes, broadly what is the thought process of getting into that category? And also, in terms of any customer wins, order wins, and when do we see commercial production and probably revenues getting reflected?

P.M. Ganesh: I will answer like this. On the disc brakes and the battery management system, we are doing something as a modularity making like a common product across various lead to the customers.

You know that the two-wheeler market is getting very fragmented. So you know that we have started with like off-the-shelf Driver Information Systems when you are able to offer as off-the-shelf product, adding a very, very shorter lead time in terms of design and development and straight away it is like the customers can get it and then use the product. That's what we have done it during the last one year for various new age EV customers. Disc brake and battery management system is something which is under development. In the next 12 to 18 months, we would be launching those products for a number of EV customers across the various two-wheelers, which will not only include new age EV which is going to be the primary focus and also to our traditional OEM. And this was built on the concept of modularity, by which every time the customer need not keep designing the product right from the start, with very small minor modifications, he would be in a position to offer to the various customers.

Chirag Jain: And any sense in terms of when it will start getting reflected on revenues -- can we see in FY'25 or it could be FY'26 onwards?

P.M. Ganesh: In fact, if you ask me for a full year, revenue will start from FY'26, but Q4 of FY'25 would be like starting of these businesses.

Chirag Jain: Any thoughts on the revenue and margin guidance?

P.M. Ganesh: It would be a little difficult for me to explain about how the revenue and margin is going to be because this is a new product, it has been coming out very well, very much liked by our various customers. I'm sure that it will have a very, very high potential to grow because more and more EV coming, you would have seen the finance minister also has said in the budget yes

terday that

high focus is going to be given on the EV market. We expect a very, very good revenue to happen from next year on these two products, which are primarily made for EV customers.

Chirag Jain: Apologies. I was asking more from a company standpoint overall. I think we had given a guidance of closer to 3,400 to 3,600 crores in terms of organic guidance and roughly about 13.5 to 14% margin. So, would that guidance broadly remain?

P.M. Ganesh: Our books have been in the direction of whatever our Managing Director has been giving us his vision. But you have to understand that it depends upon the customer launches. Our order books have been very, very strong, and we have been doing with a number of projects in our set of products, whatever I've been explaining to you, including our existing business and the new products whatever we are launching like battery management system and disc brake and electrical, oil, pump and many more Telematronics solutions and many more. So, our order books are quite strong. It depends upon the customer launches and how the market is going to be. If you recall, during this year, which is going to end up, EV vehicles had a lot of struggle in the market primarily because of certain policies which govern the market and it went a little slow. Those type of things are bound to happen. Otherwise, I think regarding the projects and the products whatever we are offering to the customers, I think we're right on track.

Moderator: Our next question is from Vipul Kumar Shah from Sumangal Investments. Please go ahead.

Vipul Kumar Shah: My question is some time back we had tied up with SIBROS for this cloud-based Driver Information Systems, an end-to-end solution. So, what is the progress there?

P.M. Ganesh: SIBROS progression is something that we have integrated with our Telematics which is the part of the connected vehicle solution. Currently, it is on the POC, we call proof of concepts with various OEMs like the battery management system and the other products whatever I just explained. So, this is currently under testing with various OEMs which will see some kind of a startup production happening by Q4 of FY'25 and thereupon more revenues come in during FY'26. So, we have already done the internal POC through the SIBROS integrated solution, it has come out quite well and the customers are quite confident about this integration and now currently it is under POC with various customers.

Vipul Kumar Shah: So, this will help us in increasing our content per vehicle or it will broaden our offerings, so how it will help us?

P.M. Ganesh: It will definitely do good. One is the content of the vehicle will increase because Telematics has

a product strategy. It's going to have a very high deep penetration into the new era of vehicle. You know that most of the EVs have got Telematics inbuilt because you need to track many of the vehicle parameters, including the battery performance, and we are also developing Battery Telematics as well for a few of our customers. So Telematics is going to be a large play as we are going through here. The private that is where the market wants. So, it is going to have a value addition in terms of our product portfolio and also with SIBROS integration more and more we are going to have the connected vehicle solution offered through various customers.

Vipul Kumar Shah: So, this SIBROS tie up is exclusive to us only or they can tie up with other manufacturers also?

P.M. Ganesh: I will put it like this. I will not use the word 'exclusive' for us, but the solution whatever we are offering along with the Driver Information Systems ... see, that's why I said, this cannot be like isolated and came only like a SIBROS solution exclusive what Telematics is. It is a complete bucket of solution that we offer to the customer as an end-to-end as a connected vehicle solution and SIBROS would be a part of it. Okay? So, we have the Driver Information Systems connected

with the Telematics solution and having SIBROS for the cloud. So, it will be a combination of everything. So if you ask me exclusivity, it is not there, but if you see this kind of connected vehicle solution whatever we're offering to the market, I think we'll be rather very exclusive in whatever solutions we're giving to the customers.

Moderator: Our next question is from the line of Piyush Jain, an individual investor. Please go ahead.

Piyush Jain: I want to know in this quarter if we have got any new model order or we have entered into any contract with any new OEM or something? And related to this, earlier we used to show this, we are doing this battery management system and SIBROS or something. So, nowadays the presentations are not showing anything on this. So, anything we are working on this or the revenue will come in from which tie?

P.M. Ganesh: I would just reexplain whatever I explained like the new product portfolio of Pricol starting from battery management system, this big Telematics solution with the SIBROS integrated solution, then we are also doing for EV vehicle new era coolant pumps and oil pumps for battery cooling applications. In fact, some of the new products, like battery cooling applications, ED coolant pumps already has been launched recently during Q3 with both Tata Motors and Ashok Leyland. And going forward, we expect more and more EV vehicle into the commercial vehicles segment. These products revenue will keep growing. Regarding Telematics solution, battery management system and also on disc brake, I explained that the likely startup production is going to be during Q4 of FY'25 and we will see more revenue coming into it during FY'26 because it is under POC with the various customers at this point of time. Otherwise, if you ask me about new customers, we have been adding a number of new customers, especially the new age EV players in the Indian market, where we are able to offer off-the-shelf products. We have done a number of off-the-shelf products of Driver Information Systems to the new age EV in the last two quarters, and we will continue to offer these solutions to new set of customers as well for EV. These new products whatever I spoke, will start SOP from Q4 of FY'25.

Moderator: Our next question is from the line of Monika Arora from Share Giant Advisors. Please go ahead.

Monika Arora: So I wanted to ask two questions. One is, what could be the profitability, EBITDA margins like tentative kind of for clusters businesses?

P.M. Ganesh: Monica, you are seeing the EBITDA margins whatever we have declared and you would have seen that like two-thirds of our revenue coming from instrument cluster. So that answers your question.

Monika Arora: Who can be your like top five customers if you can say?

P.M. Ganesh: Sorry if I understand your question, you wanted to know our top five customers, right?

Monika Arora: Correct, correct.

P.M. Ganesh: Primarily, as I explained to you that two-thirds of the production is coming from two-wheeler. So naturally the top customers will come from the two-wheeler starting from TVS Motors, Hero MotoCorp, Bajaj, Royal Enfield and then Honda Motorcycles, Suzuki Motorcycles, we are working with all of them. All of them are our top-notch customers and all the connected vehicle we have Tata Motors, Ashok Leyland and Volvo, Eicher. If you ask me revenue from what we produce. That is how we are aligned. One is the market segmentation and also in terms of revenue that is the order in which the revenues come under the top customers. On the off-highway vehicles. again, JCB has got the largest market share and so is our revenue also with JCB has the largest revenue on the off-highway vehicles.

Moderator: Our next question is from the line of Karan Gupta from Varanium Capital. Please go ahead, sir.

Karan Gupta: So my question is related to the competition part in passenger vehicle as we have a less presence comparatively in our product range.

So in instrument cluster or in E-Cockpit as we are entering into, so our major competitor in this segment is Visteon, a very large player in India. So what's kind of competition you are seeing and any competitor analysis in this thing when you are entering into the new E-Cockpit segment? For a long time Visteon working in this thing and that's why I asked earlier question about the EBITDA margin part. So their margin is very

less that they are more entering into the electronics part. So what you think about this competition with Visteon.

P.M. Ganesh: I will not name as just one competitor, there are multiple competitors in this area, many more people are there. It is not the competition which matters, it is the solution whatever you give it to the customer is very, very important. For example, we started penetrating into the passenger vehicle segment starting from 2020 onwards and we have done fairly well in terms of our penetration into the EV segment; we have penetrated quite well into Tata Motors and also into PSA in the last three years and we continue to offer innovative solutions, benchmarking with the global standards for the personal passenger vehicle. It is going to take some time for you to have a rapid penetration like what we have done for the other segments of the market. Since we had a non-compete until 2020 of entering into the personal passenger vehicle for Driver Information Systems, but in the last three years, I think we have done fairly well in terms of our market penetration in passenger vehicle. And we have been getting opportunities from a number of OEMs in the personal passenger vehicle for the Driver Information Systems. And as I told you during the beginning of the call in the E-Cockpit solutions also, we are working with a large OEM which is going to see the startup production from FY'26. So that's where we stand. So, we are not much concerned about the competition in the sense that we have to keep looking at innovative solutions to the customer, so the customer keep giving us the opportunity to grow with them in this respect.

Karan Gupta: You've been saying we have different solutions and we're providing the solutions differently, how this thing will pan out the solutions part because in passenger cars or maybe in commercial vehicle solutions will be same but the customers are trying or what the customer desired is the same solutions for every passenger vehicle, two wheels or four wheels or commercial vehicle.

So what's we are differentiating in terms of providing solutions for the desired thing to OEM?

P.M. Ganesh: There are certain unique features that Pricol can offer to the customer starting from our in-house R&D. Okay? This has been our core strength. And in the previous earnings calls, we have been explaining like 4.5% of our revenue is invested in our R&D year-on-year for the last five to seven years. And this is what is giving us results now. And the flexibility that whatever we offer to the customer because of our in-house R&D is one of the key highlights which is the differentiating factor to us. Not only that, we have got our own in-house machine building. We do our own lines, we do our own tools, we do our own plastic injection molding in-house, we do our own PCB population, and not only that, we have got exclusive tie-ups with many of the chip manufacturers, have long term contracts with them. So they offer the new generation of ITs to prefer. So, there are multiple differentiating factors which we can offer to the customer as a solution which will give definitely a solution differentiation when compared to whatever is offered in the market. Of course, I will admit that yes, this is going to be a difficult task, but we are doing quite well as we speak in the last three years in terms of market penetration into this segment.

Moderator: Our next question is from the line of Kishu Nahar from Electrum. Please go ahead, sir.

Kishu: What is the update on the

acquisition that we were having in the non-auto space?

P.M. Ganesh: On the acquisition part, as soon as we are able to get into some kind of concrete thing, I will let you know. It's too early for us to talk about it. As soon as we have some firm information, we will definitely keep you posted on that.

Moderator: Our next question is from the line of Bhattachandra Vasant Shinde from Kotak Life. Please go ahead.

B.V. Shinde: Sir, regarding one order, would like to know. One of your peers has said that they have started supplying clusters to Tata Motors. So, what will be the difference, what part we supply, and are we seeing any dip in those revenues over the next one to two years?

P.M. Ganesh: No, not really. As I told you that there are a number of players in this market and the competition will continue to be there, why in Tata Motors, across all the customers there are competition and we have been growing in our business though number of competitors are there. As I told you, we keep giving innovative solutions to the customers and keep growing in this segment. So, even if there is going to be one competition, I'm sure that with more innovative solutions whatever we are offering, we will keep growing with that.

B.V. Shinde: So, there is no impact on Tata Motors revenue currently?

P.M. Ganesh: Absolutely, no. We have been growing with Tata Motors continuously.

Moderator: Our next question is from the line of Piyush Jain, an individual investor. Please go ahead.

Piyush Jain: Sir, just want to know any new customer or any new model, something which you have won in this quarter?

P.M. Ganesh: You should have seen in my presentation that only in Q3 alone, the last three months, we have launched number of Driver Information Systems which is in the presentation which I showed you. Just to repeat a couple of weeks back, Hero MotoCorp have launched a new range of motorcycles, 125cc Premium Xtreme and also they have launched a 440cc fabric a couple of weeks back, and we are very proud suppliers of both the instrument clusters for their launches. And with Tata Motors, the new range of EV Punch, which have been launched, we have

provided the solution on the Driver Information Systems . What I'm talking is only just the Q3 what we have done as launches during the last three months. And for the IC vehicle of Punch, we have launched a new Driver Information Systems with Switch Mobility, which is an EV subsidy of Ashok Leyland, we have launched the Driver Information Systems . And as I told you, Daimler, we have launched the state-of-the-art Driver Information Systems for their new range of trucks and buses, and we also have won the technology and innovation award from Daimler during Q3.

Piyush Jain: Sir, my question was specifically to , are we in touch with Hero MotoCorp for Harley-Davidson 440 or something?

P.M. Ganesh: Yes, thing is based on the Harley-Davidson platform, yes, you're right. So , this cluster, whatever has been launched is based on that platform.

Piyush Jain: This Maverick 440 is Harley-Davidson same thing, or it's a different model?

P.M. Ganesh: It is not actually. Harley-Davidson is different. I'm only talking about Maverick. Both are completely different. To Harley-Davidson US, if you ask me, we do export a number of range of products to Harley-Davidson.

Piyush Jain: And the domestic Bajaj?

P.M. Ganesh: Sorry, can I just have your question repeated?

Piyush Jain: I just want to know, are we supplying for (inaudible) 42:03 Harley-Davidson Indian version or we are in talk with them?

P.M. Ganesh: No, we are not supplying to the India Harley-Davidson.

Moderator: Ladies and gentlemen, I now hand the conference over to the management for closing comments.

P.M. Ganesh: Thank you, ladies and gentlemen for joining the call. This quarter was a very good quarter. We performed pretty well and customer support was there. Suppliers were pretty supportive. So, we sailed Q3, so

me we are expecting for Q4. Thank you so much for joining us for this call.

P.M. Ganesh: Thank you so much, ladies and gentlemen.

Moderator: On behalf of ResearchBytes Corporate Services Private Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: May 2024

PL/SEC/TGT/2024- 2025/032 Monday , 20th May 2024

Listing Department

National Stock Exchange of India Limited

"Exchange Plaza", C -1, Block G

Bandra -Kurla Complex,

Bandra (E), Mumbai - 400051 Corporate Relationship Department

BSE Limited

1st Floor, New Trading Ring

Rotunda Building, P J Towers,

Dalal Street, Fort, Mumbai 400 001

Scrip Code: PRICOLLTD Scrip Code: 540293

Dear Sir,

Sub

: Con -call Transcript

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ursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements)

Regulations, 2015, we herewith submit the Transcript for the Con -call held on 16th May

2024 pertaining to Company's audited financial results for the quarter and year ended

31st March 2024.

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his is for your information and records.

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Yours faithfully ,

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.G.Thamizhanban

C

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ICSI M.No: F7897

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;;, CUSTOMERS ;;, EMPLOYEES ;;, SHAREHOLDERS ;;, SUPPLIERS

Page 1 of 13 Pricol Limited

Q4 FY24 Earnings Conference Call

May 16, 2024

Moderator: Ladies and gentlemen, good day and welcome to the Q4 and FY 2024 Conference Call of Pricol Limited. As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded. At this time, I would like to handover the conference over to Mrs. Purvangi Jain from Valorem Advisors. Thank you and over to you ma'am.

Purvangi Jain: Good evening everyone and a warm welcome to you all. My name is Purvangi Jain from Valorem Advisors. We represent the Investor Relations of Pricol Limited. On behalf of the Company I would like to thank you all for participating in the Company's Earnings Call for the Fourth Quarter and Financial Year 2024.

Before we begin, let me mention a short cautionary statement. Some of the statements made in today's call may be forward looking in nature. Such forward looking statements are subject to risks and uncertainties, which could cause actual results to differ from those anticipated. Such statements are based on management's beliefs as well as assumptions made by and information currently available to the management. Audiences are cautioned not to place any undue reliance on these forward looking statements in making any investment decisions. The purpose of today's earnings call is purely to educate and bring awareness about the company's fundamental business and financial quarter under review.

Let me now introduce you to the management participating with us in today's earnings call and hand it over to them for the opening remarks. We have with us Mr. Vikram Mohan, Managing Director; Mr. P.M. Ganesh, Chief Executive Officer and Executive Director; Mr. Siddharth Manoharan, Director of Strategy, and Mr. Priyadarsi Bastia, Chief Financial Officer. Without any further delay, I request Mr. Vikram Mohan to start with his opening remarks, followed by financial and operational highlights of the company. Thank you and over to you sir.

Vikram Mohan: Thank you, ma'am for the introduction. A very good evening to all of our esteemed shareholders who are participating in today's call. Welcome to the call for FY 24 financial performance and also quarter four FY 24 financial performance. I hope all of you had a chance to see the slides that have been uploaded, the data that's been uploaded. Our revenue from operations for this quarter on a consolidated basis has been 5,662.12 million, with an EBITDA of Rs. 725.84 million, resulting in an EBITDA margin of 12.82% with a profit after tax of Rs.

415.02 million, profit after tax margin of 7.33% with an EPS of Rs. 3.41 per share.

Page 2 of 13 For the year ended 31st March 2024, our financial performance on a consolidated basis, we have had a revenue from operations of Rs. 22,081.69 million, with an EBITDA of Rs. 2,786.42 million, EBITDA margin of 12.62%, PAT of Rs. 1,406.12 million, with a PAT margin of 6.37% and an EPS of Rs. 11.54 per share.

At a consolidated level, our long term borrowings are nil as of 31st March 2024 and at a consolidated level, our return on capital employed is steadily increasing and has hit a number of 23.18% in FY24 against 20.68% in FY 23.

At a consolidated level for the quarter that has just gone past Q 4 of FY 24. Our revenues have grown at 11.09%, which has been lower than our expectations primarily because there have been delay in start of production from four of our customers. Though we have confirmed volumes and LOIs and capacities for the same, we have had delay in start of production because of initial vehicle trials and launch issues, which have since got launched and normal production has resumed from April. So this catch up will happen in the coming quarters. Our revenue from operations for the year have grown at around 16%. Slightly below our expected levels of about 19%, which also we hope to catch up in the coming quarters. This is primarily because of delay in start of production for certain confirmed businesses of ours from about four vehicle makers. In quarter four, our EBITDA has grown on a like-to-like quarter comparison by 16.44%, which is in line with our expectations. And for the year, our EBITDA has grown by 18.17% over the prior period. As mentioned by me in previous calls, you would notice our EBITDA is steadily increasing, in spite of high freight costs and other aberrations that we saw this year, supply chain aberrations because of the volatile geopolitical situation across the world. I am quite hopeful that our CEO, and his team will be able to keep improving the EBITDA and level off at around 13.5% which is normalized EBITDA over the course of this year.

Next, please. This is the quarterly income statement, the highlights of which have been read out in the previous slides. All the capital market data and everything has been provided in the presentation. Without further ado, we would like to move straight to the questions.

Some housekeeping points for the question. I'm sure many of you would have multiple questions. But in the interest of giving everyone here an opportunity to ask their questions.

May I request the people to join the question queue, ask a particular question and if they have further questions to rejoin the question queue, so that everyone has a chance for questions, one at a time. Thank you very much for your cooperation in advance.

Moderator: Thank you. Ladies and gentlemen, we will now begin with the question-and-answer session.

The first question is from the line of Bhalchandra Shinde from Kotak Life. Please go ahead.

Bhalchandra Shinde: Sir, regarding our new product development would like to know the update, especially on the E-Cockpit where are we and how do we see any advancement on that towards the customer, on which stage we are?

Page 3 of 13 Vikram Mohan: Mr. Shinde thank you for the question. I'll probably break that up into three parts and further elaborate rather than only talk about E-Cockpit, which is a very advanced product. One of the products that was supposed to directly contribute to revenue in the coming two years is the Disc Brake which is a very strategic product of our ACFMS division. I'm happy to inform you that with six customers, we have started production and ramping up both capacities and increasing LOIs and we are on track to meet our schedules. On with regard to the E-Cockpit, I will request our Director of Strategy, Siddharth Manoharan to talk about it as well

as the

connected way to solutions to other strategic projects. Over to you Siddharth.

Siddharth Manoharan: Thank you. Good evening, Mr. Shinde. With regards to E-Cockpit, currently, as you know, we have developed the prototypes and proof of concepts, and currently, it is being showcased to various passenger vehicle as well as commercial vehicle customers. It is in concept stage and discussion with many of them are ongoing. We have also announced a partnership with a Chinese company called T YW for vertically integrating the screens and other components. So,

at this point in time, we are well positioned to showcase these products with some of our customers and customers have also shown interest to take it to the next stages of discussions. So, as Managing Director rightly mentioned, this is a very advanced product and adoption will take some time in the market. And coming to the connected vehicle solutions, especially with our partnership with Sibros, we have showcased some of our proof of concepts to both domestic as well as international customers, and some testing are ongoing at this point in time with international two-wheeler OEMs as well, which has seen a very good response and in this coming year, you will see some updates and information flowing in from our end. Thank you.

Moderator: Thank you. The next question is from the line of Rishab Shah from RBSA Investment Managers. Please go ahead.

Rishab Shah: Sir would it be possible to share the percentage increase in blended ASP in FY 24 over FY 23. Since we don't share the blended ASP as such?

Vikram Mohan: Can you repeat yourself a little slower and louder please Mr. Shah.

Rishab Shah: Sure, sir. I am just asking you, is it possible to share the percentage increase in the blended average selling price for all the products of Pricol in FY 24?

Vikram Mohan: That's a very, very, very difficult question to answer because we sell mechanical clusters which are slowly phasing out which is an average selling price for Rs.300. We are selling electromechanical clusters, which are slowly ramping up and have an average selling price of Rs.8800. We are selling low TFT clusters, which are selling at approx. Rs. 1500, higher TFT clusters which are selling at Rs. 8000. We are selling Disc Brakes to systems which are selling it around Rs.1150, were chain tensioners which are selling at Rs. 75, we are selling complicated industrial oil pumps which are selling at around \$800. Now, it's impossible to blend all of these and give a blended selling price because we are not a commodity company and each of our products are so different in terms of functionality, systems and composition.

Page 4 of 13 Moderator: Thank you. The next question is from the line of Vipul Kumar Shah from Sumangal Investments. Please go ahead.

Vipul Kumar Shah: So my question is, can we break our turnover between our two main product verticals, driver information and connected vehicle solutions and actual control and fluid management systems. How much each vertical is contributing to the turnover?

Vikram Mohan: Good evening Mr. Shah, this year the turnover has been about 69% to the DI CVS and about 31% to the ACFMS. In the coming year you will see the ACFMS contribution slightly increased to get to about 35%, 36% as the adoption of disc brake and production volumes of the same go up. Mr. Shah this year, it's about 69% of the contribution from our driver information and connected vehicle solutions division and from the actuators, controllers and the fluid management systems divisions is about 31%. Going forward, the ACFMS for the latter division will increase to about 35% next year, as the adoption and production volumes of the disc break will increase.

Moderator: Thank you. The next question is from the line of Nirav Seksaria from Living Root Analytics. Please go ahead.

Nirav Seksaria: I had a question for the

management. So what initiatives are we taking to increase our market share in the passenger vehicle segment?

Vikram Mohan: We are not going to significantly increase our market share, but our aim is to get to about a 10% share of business in the passenger vehicle segment. As I mentioned in many, many calls prior, our focus areas are two wheelers, commercial vehicles and off road vehicles where we want to have the majority market share in India. Passenger vehicles, nevertheless, our aim is to go to about 10%, were with Tata Motors today, we are at 58% and for few other vehicle makers we have just started making the foray. But my hope and wish is to level off at around 10% and focus on the segments where we already have leadership.

Nirav Seksaria: Sir what is our current market share in the passenger vehicle segment?

Vikram Mohan: It's about 6.8%.

Moderator: Thank you. The next question is from the line of Sahil Rohit Sanghvi for Monarch Network Capital. Please go ahead.

Sahil Rohit Sanghvi: Can you please give me the split of the contribution from two wheelers, CV, PV you have already shared, and the other segment, if you can give me the revenue split for FY24?

Vikram Mohan: Two wheelers is about 50- 53%. PVs is about 6.8%, commercial vehicle is about 25% of balance coming from off road vehicles.

Page 5 of 13 Sahil Rohit Sanghvi: Balance coming from, sorry I didn't get your last.

Vikram Mohan: Off road vehicle industrial segments like your JCB, Tata, Hitachi, et cetera.

Moderator: Thank you. The next question is from the line of Pranay Roop Chatterjee from Burman Capital. Please go ahead.

Pranay Roop Chatterjee: Sir, I have only one question. If I look at the two wheeler industry, and I'm trying to compare before COVID, let's say FY 2019, versus FY 2024, at the industry level in your sense, out of every 100 scooters and motorcycles combined sold, what do you think the mix was between mechanical, electromechanical and fully digital TFT clusters in FY 2019 versus in FY 2024?

Vikram Mohan: Sir, I will not be able to off the park answer the question because, unfortunately my brain is

not so encyclopedic , while you can send the question to our Company Secretary, I will get our team to answer that question.

Moderator: Thank you. The next question is from the line of Harini from Sundaram Alternates. Please go ahead.

Harini: Just one thing , when you were mentioning that on the revenue, it was because of delay in SOPs. Is it possible to quantify as to which segment is it majorly from, two wheelers? Are we seeing those ramped up right now some color on that?

Vikram Mohan: I don't want to talk about specific customers. But yes, there have been, across two wheelers and commercial vehicles , primarily about four customers in total. And as I mentioned, by April, it's got normalized , and from this quarter again, the SOPs are getting back to normal.

Moderator: Thank you. The next question is from the line of Vipul Kumar Shah from Sumangal I nvestments. Please go ahead.

Vipul Kumar Shah: So, what percentage of our turnover should be coming from the products which we have introduced in the last two years any ballpark figure?

Vikram Mohan: Our average of NPD what we call New Product Revenue has been hovering between 20 % to 25% every year and we are hoping to keep that momentum going for the next couple of years also Mr. Shah.

Moderator: Thank you. The next question is from the line of Prateek Patel from Chartered Capital . Please go ahead.

Prateek Patel: My question was related to the provisions which I can see, it's a long term provision rise from 148 to 190 and short term provision has been rising from 111 to 269. So can you just highlight number why it's so high?

Page 6 of 13 Vikram Mohan: I request, our CFO, Priya to answer that question . Priya over to you.

Priyadarsi Bastia: Good evening. This long -

term provision is pertaining to the employee benefit provisions which has increased and the custom provision is the warranty provision which are there .

Moderator: Thank you. The next question is from the line of Nirav Seksaria from Living Root Analytics. Please go ahead.

Nirav Seksaria: So, what is our CAPEX plan for FY 25 and what was the capacity utilization FY 24?

Vikram Mohan: Pardon me.

Nirav Seksaria : What was the capacity utilization in FY 24 and the CAPEX plan for FY 25?

Vikram Mohan: For FY25, the CAPEX plan is going to be about between 200 and 220 crores as announced over our three year 600 crore CAPEX for organic growth. This is not inorganic if any opportunities arise , number one. Number two, our capacity utilization at a current level is hitting almost about 85% and which is why we are now enhancing capacity and undertaking CAPEX at our new plants in Pune, upgrading our facilities in Coimbatore and in Manesar .

Nirav Seksaria: And the new CAPEX is for which product vertical?

Vikram Mohan: Across all product verticals, more leaning towards the DICVS . So it's also building s coming up and it's for machinery , a lot of it for PCB manufacturing .

Nirav Seksaria: Okay. And if I could ask one more question, what amount of battery management system , like how are we going ahead with it?

Vikram Mohan: That is going a little slow and has not yet reached provision . And when the first LOI start trickling in at that quarter we will announce that .

Nirav Seksaria: Okay, but we expect a high margin from this segment right ?

Vikram Mohan: No, it was never a high margin, we were looking at normalized margins, that's why the blended EBITDA and like I mentioned in my earlier call, we are taking three , four new product initiatives, not everything is going to be successful. One will be hugely successful, two will be moderately successful, and one we could fail. It is with that modicum of risk that we have entered into about three , four different product verticals.

Moderator: Thank you. The next question is from the line of Deepak from Barclays. Please go ahead.

Page 7 of 13 Deepak: So, I just wanted to ask you like, in your last presentation you have mentioned that you are going to touch the revenue in financial year 26 of 3,600 crore . So is it intact and the second question is, have you added any new clients this financial year or in future you are going to add any?

Vikram Mohan: We have commenced a new business with new clients , especially with Honda motorcycle, and scooter India, which is going to significantly increase our top line in the coming years . Most of it is going into production 18 to 24 months from now. Significant LOIs, that is one. I don't want to elaborate more, because some of it is confidential. That's the trigger , the question on the new customers added, in terms of share of business. Yes, it is increasing with certain customers because of new platforms that we have added. In terms of 3,600 crore on the organic side, we are in fact about 3,200 crores . On the inorganic side, hopefully , over the next quarter , we will be able to have some more clarity as we are analyzing assets under due diligence right now.

Moderator: Thank you. The next question is from the line of Karan Gupta from Varanium Capital . Please go ahead.

Karan Gupta: So, my question is regarding the commercial vehicles and off- road vehicles. So, how you are

seeing the traction of mechanical clusters to digital clusters because these are the segments where, right now, it has been the mechanical clusters are using. So, now how you are seeing the traction that they are shifting to digital or maybe LED ?

Vikram Mohan: I will request our CEO and Executive Director to take that question.

P.M. Ganesh: Yes, good afternoon. BS6 regulation came into India , most of the mechanical clusters already have been changed to electronic clus

ter from 2020 onwards, most of the commercial vehicle manufacturers are using electronic clusters.

Karan Gupta: And CAPEX for 25 you said 237 so that is the part of your plan?

Vikram Mohan: 200 to 220 crore for organic CAPEX which is part of our larger 600 crore CAPEX plan.

Karan Gupta: Okay , for FY25?

Vikram Mohan: Yes.

Moderator: Thank you. The next question is from the line of Hetri Marviaya from Catamaran . Please go ahead.

Hetri Marviaya : So, my question is first, just want to clarify that the market share , in clusters in car is 6.8 or is it the share of revenue for us in four wheelers. And my main question was that, since we have got significant market share in our focus segments of two wheelers, as well as CVs, wanted to understand where is the incremental growth that we expect from ?

Page 8 of 13 Vikram Mohan: In passenger vehicle segment our share of business for clusters by volume is 6.8%, which we expect over the next few years to grow it to 10% and that's what our ambition is . Where is the incremental growth coming from the t wo wheeler and the commercial vehicle segment is increasing our share of business with certain customers by displacing competition or going up the value chain by certain clusters from electromechanical to electronic and mechanical to electromechanical, thereby increasing our value.

Hetri Marviaya : Understood sir. And if I may ask, do we have a number for how much contribution is from EVs, since that w ould be the ones that go to ?

Vikram Mohan: It's still very early stages ma'am, we have now engaged with multiple E V player , almost 18 of them and in fact, our entire three city plant has been dedicated for EV cluster manufacturing, which is slowly ramping up. And, I just like to c larify here for your benefit and the benefit of all the other investors on th is call. As I mentioned many times before, our product is propulsion agnostic. So , the question of whether it is EV or non- EV or even tomorrow fuel cell or hydrogen. Our product is propulsion agnostic. So really, the question of EV versus non -EV does not come into play, because everything else in an EV cluster is the same. In fact, we are in almost all the top EV clusters we are present today, except for fuel level, which is physical petrol level , here it is battery level. So , the question of being propulsion, we have a propulsion agnostic product. I just like to reiterate th at.

Moderator: Thank you. The next question is from the line of Harini from Sundaram Alternates. Please go ahead.

Harini: So, I just wanted to understand that there's a significant increase in the c apital work in progress, is it completely dedicated to the disc brakes facility that we are setting up or just a clarity on that?

Vikram Mohan: As I mentioned to you one plant is under construction, another plant is just commencing construction, new lines have started getting constructed, new machines have started coming in and getting commissioned. So these are all c apital work in p rogress.

Harini: Understood. Also, if you could throw some light on what is the total capacity that we will be putting up for disc brakes ?

Vikram Mohan: Eventually we will have a capacity of about 300 crores per annum . Currently we have put up a capacity for about 120 crores per annum.

Mode rator: Thank you. The next question is from the line of Nandan Pradhan from Emkay G lobal Financial Services. Please go ahead.

Page 9 of 13 Nandan Pradhan: So, I would just follow up on the initial question that was asked in terms of the new product development. You m entioned that you have got six customers and you are ramping up capacity that was in context to which product exactly?

Vikram Mohan: Pardon me sir.

Nandan Pradhan: You said that you have orders from six new customers and you are ramping up capacities for the same and you have LOIs coming in, so that is.

Vikram Mohan: New customers, fo

ur existing customers, the start of production got delayed. Vehicle launches or vehicle ramp up which has since got corrected and these are confirmed LOIs to . This delayed production has resulted in loss of sales in Q 4 which was anticipated.

Nandan Pradhan: Okay. No, there was a question in context of the E -Cockpit and you mentioned, so this was not in that context , am I getting it right ?

Vikram Mohan: Customers we spoke about , the only customer we spoke about which we have added, holds a significant volumes in the coming 18 months and onwards and increase the share of business and certain customers by displacing competition or going up the value chain.

Moderator: Thank you. The next question is from the line of Shikha from Time and Tide Advisors . Please go ahead.

Shikha: Yes, I was trying to understand where our exports were for the quarter and for the year and how we see that ramping up. I understand that as far as FY26 is to reach 20%. So , I want to understand where we are now and where the growth is coming from ?

Vikram Mohan: Ma'am I have mentioned in previous calls, that is one area of failure in the company which we have not been able to achieve the vision of achieving 20% , then we have to scale it down to only 10% from the visibility we see especially the economic conditions in the US and Europe being much, much, much weaker than India. We are hoping to achieve about 10%. And we are currently at around 8%. That's standardly mentioned in multiple calls , this is one area where we have not delivered on our vision or our promises.

Shikha: Right . And this 10% is for FY 26, that's the target ?

Vikram Mohan: Yes, ma'am.

Moderator: Thank you. The next question is from the line of Sumit Shah for Monarch Network Capital Limited . Please go ahead.

Sumit Shah: Sir my question is regarding margins. So , I just want to understand that what has significantly changed for us considering we are guiding for 13.5% margins going forward , because if we see Page 10 of 13 in FY 22 we had clocked around 11.7 % margins and in FY 23 around 12% . So what has changed for us basically is what I want to know , some savings and other expenses or what is it about?

Vikram Mohan: Actually , VAVE, productivity improvements , process improvement, and we see a clear visibility to get to about 13.5% and kind of realize that , I have always maintained that we see a visibility of 13.5% based on our plan for what we want to do and we are on track to achieve that. In fact, this year our margins took a slight shift because since you are aware we were engaged within certain corporate patterns which took up a certain amount of costs, administrative cost which were not planned otherwise, even these margins would have been a little higher for this year.

Sumit Shah: Okay, sir. And one more question if I could just ask you and that is , have we maintained our market share in the two -wheeler cluster , is there some stiff competition there that we are noticing ?

Vikram Mohan: We have actually increased our market share and we are hoping to further increase our market share with the LOIs which we have received Mr. Shah , and that I can talk with thumb the table and say that because it's the proof of the pudding is the LOIs that we have received .

Sumit Shah : Sir, can you give us a number of the market share that you have currently in two -wheeler clusters?

Vikram Mohan: Mr. Shah I would like restrict to one question please, already you are on to the second now . There are quite a lot more people on queue.

Moderator: Thank you. The next question is from the line of Arpit Mangre an Individual Investor . Please go ahead.

Arpit Mangre: So, I have this question on TFT cluster . So do we have the technology of onboard map navigation because like in (Inaudible) what we have provided is that turn by turn navigation system ?

Vikram Mohan: We have provided, we are the

first in the country to provide turn -by-turn navigation on a two -wheeler in the country .

Arpit Mangre: Okay . So the map navigation do we have that technology with us?

Vikram Mohan: We were the first company in India to introduce map technology turn- by-turn navigation much before our competition in the country .

Arpit Mangre: No, I'm not asking about turn- by-turn. I am asking about the whole map which we can see in TFT cluster. Can we provide that?

Vikram Mohan: Yes, we do have that technology.

Page 11 of 13 Moderator: Thank you. The next question is from the line of Vipul Kumar Shah from Sumangal Investments. Please go ahead.

Vipul Kumar Shah: What will be the asset turn over of our expanded capacity for which we are spending close to 200 crores ?

Vikram Mohan: We are pushing the team for 4.5 but I am quite confident of achieving 4 to 4.2 5.

Vipul Kumar Shah: 4 to 4.5 is the correct ?

Vikram Mohan: Yes, that's right , based on the product mix .

Moderator: Thank you. The next question is from the line of MN Kumar, an Individual Investor . Please go ahead.

MN Kumar: Sir, are we doing anything about a heads -up display in the passenger cars area?

Vikram Mohan: Its already under development in fact in the last Auto Expo, even in our stand we demonstrated our indigenously developed HUD, Mr. Kumar.

MN Kumar: Thank you. Sir, if I may squeeze in one more, can you put the market share information once you used to do some two, three years before?

Vikram Mohan: We don't want to give it out, because competitors could tend to misuse it. But I think you would appreciate that.

Moderator: Thank you. The next question is from the line of Nirav Seksaria from Living Root Analytics.

Please go ahead.

Nirav Seksaria: Just a follow up on previous participants questions, so could you give us the market share for two-wheeler segments, if it has increased ?

Vikram Mohan: No, this is the third time I have answered this in today's call. Mr. Seksaria. I said, I turn table and say that our market share has increased and with our LOIs that is coming our way , it is going to only increase further in the next two years.

Nirav Seksaria: I am asking you to quantify , so is it possible to quantify it?

Vikram Mohan: Mr. Seksaria I just mentioned, I would prefer not to give numbers out because I don't want it to be misused by competition.

Moderator: Thank you. The next question is from the line of Sahil Rohit Sanghvi for Monarch Network Capital. Please go ahead.

Page 12 of 13 Sahil Rohit Sanghvi: I just want some more details on the disc brake side, sir, which are these customers, are they

domestic and what kind of capacity have you set up right now ?

Vikram Mohan: We have added several customers, again competitive information . We have setup capacity for about 10 crore per month and we will be enhancing capacity over the next two years to between 30 0, and 4 00 crores per annum based on the business expansion.

Sahil Rohit Sanghvi: Correct. No, this is good enough sir the kind of penetration you have bought in this very competitive industry, I just want to understand what kind of ramp up are you seeing, this 130 crore kind of revenue, are you targeting to get that in two years with these customers or can we.....

Vikram Mohan: In the next three years we hope to go to about 300 crores or 25 crores per month is the hit rate that we are hoping to achieve in the next three years.

Moderator: Thank you. The next question is from the line of Khush Nahar from Electrum PMS . Please go ahead.

Khush Nahar: Sir, one question. What is the reason for the increase in other expenses in FY 24?

Vikram Mohan: Increase in the other expenses pardon me?

Khush Nahar: Yes, increase in the other expenses.

Vikram Mohan: As mentioned, we were involved in certain corporate actions this year, which added significant administrative and legal costs, which

is a onetime thing behind us, and we will not have such a recurring cost, because we engage some of the top legal firms in the country.

Moderator: Thank you. The next question is from the line of Hetri Marviaya from Catamaran. Please go ahead.

Hetri Marviaya : Sir, I wanted to understand that within our DIS segment, currently how much volume or how much revenue would be coming from more advanced digital and TFT clusters and how much would be from the more traditional instrument Asian clusters ?

Vikram Mohan: 25% by volume, by value will be closer to 50%.

Hetri Marviaya : And could you help us understand how has it grown in the past one year?

Vikram Mohan: Maybe , you can write to us ma'am like I mentioned , because then we could give you a more elaborate answer if you don't mind, because I don't have it at my fingertips.

Moderator: Thank you. The next question is from the line of Bhumik Shah, an Individual Investor . Please go ahead.

Page 13 of 13 Bhumik Shah: Sorry , if I am asking this question again, because I joined late today . Are you on track to achieve

our FY 26 expectation of target of 3,600 crores revenue organic and 400 crore revenue inorganic, are we on track with that?

Vikram Mohan: We are on track to achieve 3200 crores organic and 400 crores in organic which I just like to stand corrected which is what I had projected in my earlier call . Where we have fail to achieve is 20% , which is going to be lower at 10%.

Bhumik Shah: Okay . So now we are setting the target at 3200 crore organic and 400 crore in organic right ?

Vikram Mohan: Yes, this is what has been maintained by me in my last two calls also. That, exports is one area instead of 20% , we are now only looking at 10% we are tracking and that's one area where we have scaled back our projection.

Moderator: Thank you. The next question is from the line of MN Kumar, an Individual Investor . Please go ahead.

MN Kumar: Sir, this is related to the exports related thing . We were very optimistic about Caterpillar oil pumps, and everything , et cetera. I think that is going on, maybe the other things did not work. Can you give some colors about that sir ?

Vikram Mohan: Caterpillar has worked pretty well and it is scaling up. I will request our CEO to talk about it.

But one area , one thing you must keep in mind is the overall US and Europe volumes has started really coming down because of the recessionary trends on the geopolitical situation, which is half the reason. The other half of the reason is some of the customers we were hoping to penetrate , we have not penetrated because their business has not increased and we are quite happy with their existing supply .

Vikram Mohan: Thank you. Ladies and gentlemen, that was our last question. I now hand the conference over

to the management for their closing comments.

Vikram Mohan: Dear investors thank you very much for your confidence in the company and for helping the company scale new heights and for your patience. And we do hope to continue rewarding your patience with better and better results in the quarters to come, under the able guidance of our CEO, assisted by our Director of Strategy and our Head of Finance and the rest of the team. Thank you very much for participating in today's meeting. And as usual, I will meet you all again virtually for the H1 call and the Q1 call will be handled by our CEO, CFO and our Director of Strategy. A very good evening to all of you, Namaste.

Moderator: Thank you, members of the management team. Ladies and gentlemen, on behalf of Pricol Limited, that concludes this conference call. We thank you for joining us and you may now disconnect your lines. Thank you.

Call: Aug 2024

PL/SEC/TGT/2024- 2025/063 Monday , 5th August , 2024

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Scrip Code: PRICOLLTD Scrip Code: 54 0293

Dear Sir,
Sub: Con -call Transcript
Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we herewith submit the Transcript for the Con -call held on 1st August 2024 pertaining to Company's unaudited financial results for the quarter ended 30th June 2024.
This is for your information and records.

Thanking you
Yours faithfully ,
For Pricol Limited

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Page 1 of 12 Pricol Limited
Q1 FY25 Earnings Conference Call
August 01, 2024

Moderator: Ladies and gentlemen, good day , and welcome to the Q1 FY '25 Conference Call of Pricol Limited.

As a reminder, all participant lines will be in the listen -only mode. And there will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during the conference call, please signal an operator by pressing "*", then "0" on your touch tone phone. Please note that this conference is being recorded.

At this time, I would like to hand the conference over to Mrs. Purvangi Jain from Valorem Advisors. Thank you and over to you , ma'am.

Purvangi Jain: Good evening, everyone, and a warm welcome to you all. My name is Purvangi Jain from Valorem Advisors. We represent the Investor Relations of Pricol Limited . On behalf of the company , I would like to thank you all for participating in the company's earnings call for the first quarter of the Financial Year 2025.

Before we begin, let me mention a short cautionary statement. Some of the statements made in today's con -call may be forward -looking in nature. Such forward- looking statements are subject to risks and uncertainties, which could cause actual results to differ from those anticipated. Such statements are based on management's belief as well as assumptions made by, and information currently available to the management. Audiences are cautioned not to

place any undue reliance on these forward- looking statements in making any investment decisions. The purpose of today's earnings call is purely to educate and bring awareness about the company's fundamental business and financial quarter under review.

Let me now introduce you to the management participating with us in today's Earnings Call and hand it over to them for their opening remarks. We have with us Mr. PM Ganesh – Chief Executive Officer and Executive Director ; Mr. Sid dharth Manoharan – Director of Strategy ; and Mr. Priyadarsi Bastia – Chief Financial officer.

Without any delay, I request Mr. PM Ganesh to start with his Opening Remarks. Thank you and over to you, sir.

PM Ganesh: Good evening all of you. My name is PM Ganesh – CEO and Executive director of Pricol .

Welcome again for the earnings call of Q1 FY '25 . The Presentation already has been uploaded.

Page 2 of 12 I am sure that all of you would have had a chance to see it. So, straight away I will go to the key Financial Highlights of Q1 of FY '25 .

To start with, the revenue from operations, we have done Rs. 6,029.09 million of sales at an EBITDA of Rs. 806.51 million, showing an EBITDA margin of 13.38% for the quarter ended FY '25.

At the PAT level we were at Rs. 455.61 million , with a PAT margin

of 7.56 % and the earnings

per share stood at Rs. 3.74. Our consolidated long -term borrowing continues at nil.

The key highlight is that at the consolidated level our ROCE has been at 23.54% in Q1 of this financial year , as against 23.18 % the previous year, same time.

I will move on to the next slide which gives you in terms of the Q1 -to-Q1 comparison in terms of growth :

The revenue from operation, the growth has been at 15.48%. EBITDA stood at 21.24% in terms of its growth. Cash profit was at 25.66% growth . And at the PAT level , we were at 42.65 % . We have been continuously improving our profitability based on our improvement in the internal efficiencies.

I will go to the next slide , more on to the details :

The EPS Q1 FY '24, I am just reading the last line, Rs. 2.62 vis-à-vis of Rs. 3.74 during this Financial Year .

With these key highlights, I will open the floor for questions from various investors. Thank you so much.

Moderator: Thank you. We will now begin the question- and- answer session. The first question is from the line of Vipul Kumar Anoop Chand Shah from Sumangal Investment. Please go ahead.

Vipul Shah : My first question is, can you break down revenue from DIS and actuation and control and fluid management systems?

PM Ganesh: Good evening, Mr. Vipul. This is Ganesh here. The rough breakup between DIS and ACFMS is like 70% of our revenue comes from DIS and 30% comes from the ACFMS vertical.

Vipul Shah : And sir, you have shown the slides of new product launches. So , what type of volume are we expecting from these new product launches over the next 12 to 18 months , sir?

Page 3 of 12 PM Ganesh: This is a new product and a new model whatever we have shown of Bajaj , and certain other new customers. The volumes are quite significant. I cannot give you the exact numbers because of the NDA with the customer, but the volumes and value are going to be quite significant in the next 12 months, Mr. Vipul .

Vipul Shah : So, right now, you won't be able to give any numbers for that? And last question, sir, if we see the content per vehicle, what should be our content per vehicle ? And where we were two to three years ago in the same journey?

PM Ganesh: Sure . Mr. Vipul, I will give you a rough estimate about the vehicle per content , because as we have been discussing in the previous earning calls as well, the content per vehicle of Pricol has been increasing , primarily because of the value- additions in the product whatever we are offering to the customer . For example , I will not go two years back , even I can go before the COVID times where most of our products, and we have been telling this in most of our investor calls, that we were supplying more of mechanical meters. And the digitalization has started ever since the BS6 regulation came into India in 2020. After that the value- add of Pricol has been on the continuous increase.

And now as we speak , in the last couple of years we have been focusing more on the upgrade of the digitalization by going from the LCD to TFT and more of connected vehicle solutions. And as we speak, we are going much further into the value stream of our products. So , if you ask me in terms of content per vehicle, it would be difficult because vehicle to vehicle the prices are very different. But if you ask me in terms of value- additions per products have been continuously increasing . If I take X as my reference in 2019, we have been quite easily like 2x times or marching towards 3x times in the future to come. That is where I am giving you a ballpark estimate. It may not be very accurate, but to give you the way in which that we are progressing is maybe X to 2x , and then further going up in the coming years.

Vipul Shah : So, as compared to '19, we are at 2x or 3x?

PM Ganesh: See, it's a very rough estimate, it's very difficult, because some

of them continue to be still on

the mechanical side, but many of them have changed into LCD type, and few of them have changed already to upgrade of TFT. So, it would be very difficult for me to give an exact number. But what I can tell you is, roughly it could be like 2x times of what it was five years back in terms of the content per vehicle of our product.

Vipul Shah: And over the next three years, will it become 3x of where we were in '19?

PM Ganesh: Quite possible, in my opinion, because the way in which the digitalization is happening in the industry, I am sure that that will definitely take us to that number.

Page 4 of 12 Moderator: Thank you. The next question is from the line of Chirag Jain from Emkay Global. Please go ahead.

Chirag Jain: Sir, a few questions from my end. I just wanted to get a sense in terms of the revenue growth guidance or outlook for this financial year and next year, how do we see the overall revenue panning out?

PM Ganesh: Mr. Chirag, actually this is a little forward-looking statement, which we are not supposed to do. But we are poised for a good amount of growth. I do not want to put any percentage attached to it because of the forward-looking nature of the statement. But you would have seen in the last couple of years, three years rather, how the growth has been at Pricol. And as the previous caller mentioned, the growth or the content per vehicle has been on the continuous increase, that's what we have been explaining. Even if the segment level growth is going to be flat, still Pricol will continue to grow primarily because of the value-addition in the product.

Chirag Jain: And also, if you can share some update in terms of the new projects that we were undertaking, especially on the e-cockpit side, disc brakes, I think the commercial production had started.

And also, with respect to Honda ramp up over the next 12 to 18 months which we highlighted last quarter, how those projects are progressing, especially the e-cockpit which would be, let's say, the business that will start probably next financial year onwards.

PM Ganesh: Yeah, e-cockpit is under intense testing at our facilities, and we have also given some proto samples to our customers for validation. Currently as we speak it, it is in the right direction in terms of testing and validation. The disc brake also is in the same position of intense testing and also at the vehicle level testing at the customer end. In the next 12 to 18 months, we should go into SOP of these two products.

Chirag Jain: And just lastly from my side, the margin guidance was roughly about 13.5% and I guess we have already done 13% in the first quarter. And usually we see that the second, third quarter, fourth quarter typically tends to do even better in terms of the overall revenues. Is there a revisit to our margin guidance probably upwards?

PM Ganesh: It would be difficult for me to comment because it is quite dynamic in terms of the product mix. We hope to continue at the same level. Let us see if something is going to be favorable for us in Q2.

Moderator: Thank you. The next question is from the line of Harini from Sundaram Alternates. Please go ahead.

Harini Muthukumar: Thank you so much for the opportunity and congratulations on the strong margin performance. Firstly, probably continuing on the revenue growth that you were alluding to, you have always

wanted to grow ahead of the industry, very good to hear that you still stay on this stance. But

Page 5 of 12 the last two quarters we have been seeing some kind of moderation on the outperformance versus the industry. Is there something to call out to? Because last quarter you had mentioned there was a one-off on account of a ramp up on certain models with some client. Is there something similar in this quarter? Are there any one-offs or something that we should be looking out for? What's your outlook

on the outperformance versus the industry, sir?

PM Ganesh: We continue to outperform the market quarter-on-quarter, that has been the trend in the last three years at least. And even this quarter, as we speak, we have definitely outperformed the market. The segments where we are significantly present, primarily the two-wheeler, commercial vehicle and the off-road vehicle, where we have outperformed the market when compared to the vehicle level performance. The reason being, as I am just repeating again is, because the value-add in the product has been continuously increasing for Pricol. That is the reason we are able to outperform the market by a significant margin.

Harini Muthukumar: I definitely understand that point. Just my reference was basically coming from, so if I look at the past four, five quarters or even more, we have been at least outperforming by high double digits or at least double-digit outperformance, whereas we have seen some amount of tapering on that. Is there something to worry? Because last quarter you had mentioned that three models or three launches were getting delayed, so that was one reason. Is there some impact on account of that continuing in the current quarter or how do we read it, sir?

PM Ganesh: Yeah, you are right in the sense of it depends upon the vehicle launch by the OEM's where we can outperform very significantly or marginally. But that depends upon the vehicle launch. But we are in the right track of all our new project development for the next two years at least,

where we have got confirmed the business from various OEMs. So, this trend is going to continue. Maybe there will be little spike in terms of outperformance versus certain tapering in certain quarters, but it is going to be continuously we are going to outperform the market for sure.

Harini Muthukumar : Maybe just another question to probably squeeze in was , we have been hearing a lot of news reports where there are other conglomerates who are coming into the TFT clusters. So , how do you see it ? Because you are almost working with all the new age and the existing OEMs, because that's where the EV adoption and the TFT clusters are coming in. How do you see that and your thoughts around that, sir, if you may?

PM Ganesh: Yes, competition is going to be there and competition is there also. As we speak, there are a number of competitors in the market . But what differentiates Pricol is the value- addition whatever we give it in the product, we have got our local design center, we have got large amount of backward integration, our close association with the customers for many, many years , and continued working of offering new solutions to the customer. I am sure that that will keep us in good pace when compared to competition.

Page 6 of 12 Moderator: Thank you. The next question is from the line of Rahul Ranade from Goldman Sachs Asset Management. Thank you. Please go ahead.

Rahul Ranade : So, just continuing on that point in terms of outperformance versus the industry . Sir just if you could share a template with us in terms of how should we, as outsiders , look at the outperformance? I am assuming you are taking volume growth for the industry and then comparing our revenue growth with the volume growth, is that the right understanding?

PM Ganesh: We do see growth on both sides , one is the volume growth and also the value growth, both are important. So, what we do is we take the volume growth of the vehicle of that segment. Then we compare our volume growth with vehicle growth . This is the first comparison which we do . Second comparison, we also do the value growth in terms of how we have done . So, the last few years has been our value outperforming the volume, and both the volume and value outperforming the market.

Rahul Ranade : So, we outperformed the market in terms of volume growth as well is what you are saying?

PM Ganesh: Absolutely. The reason is , we have been able to get new business wins across various models. So, that is the reason our market share has been continuously increasing.

Rahul Ranade : Sure. And let's say if we were to kind of , obviously , because the industry as such is very dynamic and if one were to overlay let's say our estimates of industry growth , and then would it be fair to add a particular percentage in terms of delta in terms of outperformance and then arrive at an approximation of our revenue growth. Would that be the right way to work it out?

PM Ganesh: It would be a little difficult to exactly do that. The reason is , because it depends upon the OEM vehicle launch quarter -to-quarter. Suppose if there are going to be more vehicle launches happening during a particular quarter, then the outperformance is going to be significantly high. If it is going to be less of vehicle launches during that particular quarter, it will be a little deeper . But however, since we have been continuously gaining market share with many new projects getting launched quarter -on-quarter, we would continue to outperform the market in terms of both volume and value . The value portion will be a little more significant when compared to the volume, primarily because of the value- addition in the product.

Rahul Ranade : Just a ballpark in terms of what that outperformance will be? Let's say, would it be whatever number we derive in terms of whatever growth is in terms of volume ? And should we add let's say 5 % , 7%? How should we kind of think of that in terms of the content related pure increase that one could see?

PM Ganesh: That's what I mentioned, it depends upon the new product launches by the OEM. But if you see the past three years, it's difficult again to say. But if you average out, I think it should be quite easily close to a double digit , somewhere certain quarters it is like 5%, certain quarters Page 7 of 12 are even like 10% when compared to the vehicle growth. But the bottom line is we continue to outperform the market.

Rahul Ranade : Sure, sir. No, I understand there will be quarterly ups and downs . But just let's say if one were to think of it more from a medium to longer range, one can work with that 8% to 10% kind of pure content related growth. Is that the right understanding?

PM Ganesh: Content per vehicle is what you are telling ?

Rahul Ranade : Yes, just purely coming from the content. So, one leg would be coming from , like you said , you outperform the industry also in terms of volumes by getting more and more wallet share. But purely from a content standpoint, would 8% to 10% be a fair approximation to work with ?

PM Ganesh: That again depends upon the model mix. That's where the issues are there sometimes. Because quarter -to-quarter the OEM vehicle mix changes a lot, that's why it would be difficult even if the content per vehicle are there which is fixed, the model mix changes can be the significant variation in terms of the growth when compared to the vehicle growth. So , it could be very difficult for me to average out quarter- on-quarter, even if there is not going to be any new product, what is going to be your concern for growth which is going to take you for growth when compared to the market , will be little difficult for me to define.

Rahul Ranade : So, where I am coming from and probably most of the others are also coming from is , the last two quarters have been fairly strong for the two -wheeler industry as such. E ven let's say Q1 FY '25 was a 20% industry growth , whereas for us the top line growth is fairly muted at around 15 odd percent only. So, I understand two w heelers isn't 1 00% of the business , but just I thought it could get compensated with the content increase also . So, that is where I am coming from .
PM Ganesh: Absolutely. That will definitely continue to contribute. But two wheeler mark

et , I think i t's not grown by 20% , for your information.

Rahul Ranade : In terms of volumes for the industry on a Y-o-Y basis, Q1 FY '25 versus Q1 of FY '24 is what I am looking at.

PM Ganesh: I don't think it has grown by 20%. Maybe you can check the data and then maybe we can have a call also offline.

Rahul Ranade : Sure, we can do that. Thanks.

Moderator: Thank you. The next question is from the line of Sahil Rohit Sanghvi from Monarch Networ th Capital. Please go ahead.

Sahil Sanghvi: Congratulations, sir, on the good set of numbers. And my first question is about the segment al split. Can you break the revenues as per the two -wheeler , four wheeler , CV, off-highways ?

Page 8 of 12 PM Ganesh: Of our total value, around 65% comes from the two -wheeler front. Roughly about 15% comes from the commercial vehi cle. And we have close to about 10% coming from personal passenger vehicle. And the remaining comes from tractor and off -highway . This is the rough split up.

Sahil Sanghvi: My second question is regarding the four -wheeler side of business. So , earlier, if I remember correctly, our share used to be somewhere around 6 % to 7%. Now we see this growing up gradually. Are we winning new orders? Have we onboarded new customers on the four wheeler side? And if yes, can you name them?

PM Ganesh: Yes, we continue to grow with four -wheeler . There are more opportunities coming in our way, especially the Indian four -wheeler areas where we are highly focused. We are getting many opportunities in the last five years. We started this journey, as you know, from 2 020 onwards, re-entering into the personal passenger vehicle segment. After that we have been seeing continuous growth. I am sure that the growth momentum is going to continue for us in the next few years in this area.

Sahil Sanghvi: Sir, have we onboarded any new customers in the four -wheeler side?

PM Ganesh: We are primarily a major supplier to Tata Motors on the personal passenger vehicle . And we are also working with a few of the other Indian personal passenger OEMs. B ecause of the NDA I am not revealin g the name , because the product has not been launched yet. But we are working with a few of the Indian personal passenger vehicle manufacturer in a very significant manner.

Moderator: Thank you. The next question is from the line of K hush Naha r from Electrum PMS. Please go ahead.

Kush Nahar: So, my first question is, is there any update on the inorganic opportunity that you are looking for, since it is included in the FY '26 guidance that you have given, s o any update on that? And my second question is , any update on the labor case that was going on ? So, I see that as the annual report h as increased to around Rs. 55 crores as on March , so are we settling it and what is the status in that?

PM Ganesh: The first question I will request our D irector Strategy, who is there in this call, to address.

Siddharth Manoharan: Good evening, Mr. Siddharth here. Regarding inorganic opportunities, we have shortlisted a few assets and currently we are evaluating the same , and in negotiation with parties . At this point in time , since all of them are in the NDA stage, we will not be able to disclose any further information . Maybe by next quarter we will have some concrete guidance to being able to give the investors. Thank you. And I will hand over it to Ganesh to adv ance to the second question.

PM Ganesh: Your second part of the question, I will request our CFO, Priyadarsi to answer.

Page 9 of 12 Priyadarsi Bastia: Good evening. The increase in contingent liability on account of l abor case is on account of the interest accumulation for one more year. So, there is no additional labor case which ha s coming.

Moderator: Thank you. The next question is from the line of Aditya from Sovello Investment Managers. Please go ahead.

Aditya : My question was more on the lines of

the split of revenue , that was already answered. So, thank you very much.

Moderator: Alright, thank you. The next question is from the line of Hemant Soni , who is an individual investor. Please go ahead.

Hemant Soni : Sir, congratulations on a very good set of numbers . And thank you for providing with the opportunity. Sir, w e have an aspirational target of Rs. 3,600 crores of revenue by FY '26. So, if I extrapolate the Q1 numbers, we will be hovering around Rs. 2,400 crores , Rs. 2, 500 crores, right , in FY '25? So, I mean , will we be around Rs. 2,400 crores, Rs. 2,500 crores in FY '25, then

there will be a 50% jump? I mean, how are we planning, and just wanted to know this.

PM Ganesh: Hemant, good evening. This is Ganesh here. Thank you for your question. Actually, that would be a little forward-looking statement, as I mentioned during the beginning of the call. So, what we can tell you is that we have got very robust order books for the next two years with confirmed businesses from various customers. And we are in the right path in terms of the new product development with various customers. That's all I can say. How much in terms of the sales revenue we will reach for next year, I will reserve my answer being forward-looking statement. But I can give you the confidence that we are in a very robust path.

Hemant Soni: That is fine, but any ballpark number, any tentative number? Or maybe are we sure that we are going to clock double digit revenue growth in FY '25? At least you can provide this kind of information, sir.

PM Ganesh: We are already having a double-digit growth quarter-on-quarter, and even in this quarter you can see that we have grown by 15.48%.

Hemant Soni: So, it is fair to assume that we will be clocking a double-digit revenue growth in FY '25?

PM Ganesh: Hope so, we do not know. But the past three years we have been clocking double digit revenue, double digit growth.

Hemant Soni: And the aspirational target which you have in mind is, I mean, pretty on track?

PM Ganesh: Yeah, it's pretty on target, yeah.

Page 10 of 12 Moderator: Thank you. The next question is from the line of Nandan Pradhan from Emkay Global Financial Services. Please go ahead.

Nandan Pradhan: I had a question around the exports, in the last quarter we had said that our exports would continue to contribute about 10% of the revenues versus our initial guidance of 20%, because there was some weakness in the US market. So, does that still stand? Or are there some green shoots that could revise our estimate upwards?

PM Ganesh: Export is a little concern in terms of slowness in the market, primarily the US market. But still we are able to maintain that 8% to 10% of the content of export in our total revenue. We expect that U.S. market will become little better after the next three quarters. That is where we have the indication. But it is going to be a little muted for the next three quarters in terms of its growth.

Moderator: Thank you. The next question is from the line of Pradeep Rawat from Yoga Capital. Please go ahead.

Pradeep Rawat: So, my question is regarding the export side only. So, how do we see export opportunity panning out in euro particularly?

PM Ganesh: Europe, we are working with a number of OEMs, both on the Driver Information System and also on the AC FMS side. And we have got the key strategic customers at Europe, primarily the two-wheeler customers in Europe like Ducati, BMW, KTM, we supply to most of them in the Europe market. And also, we supply to the tractor and off-highway. We are currently working on a number of opportunities in the Europe market, but all of them are currently under development, testing at various stages. I am sure that in the coming years progressively each one of them are going to be launched with these various OEMs. But export for sure is going to be on a significant

growth path in the future to come.

Pradeep Rawat: Can we expect like faster growth from the revenue from exports? Like can we see a share of export increasing in our revenue mix?

PM Ganesh: Yeah, that is where we are aiming ourselves. But again, it depends upon the customer vehicle validation at their end. Europe customers take a little longer in terms of the testing process.

So, it depends upon how fast we can have that into mass production with the OEMs. We are on the right path at this point of time with multiple new developments going on with our key strategic customers. I am sure that in the years to come, our export revenue is going to see continued growth.

Pradeep Rawat: And in terms of margins and credit cycle, how are the export as compared to our domestic customers?

Page 11 of 12 PM Ganesh: Export margins are definitely more than the domestic, but in terms of volumes actually export would be lesser when compared to domestic. But in terms of margins, export would be more than domestic. How much it would be, it's difficult, because it varies from product to product.

Pradeep Rawat: And with respect to credit cycle, like how much debtor days do we have to give to them?

PM Ganesh: Credit period is generally calculated from the bill of lading, so generally it is like 45 to 60 days would be the average for export.

Pradeep Rawat: And for domestic?

PM Ganesh: Domestic, we operate on an average like 45 to 60 days.

Pradeep Rawat: My last question is regarding our capacity utilization. So, how much of the capacity utilization would we be working on at our current asset base?

PM Ganesh: Currently it would be a little difficult, because we have got multi modal lines, we have got flex lines. So, depending on the customer requirement we keep adding lines, as we have mentioned that we do our in-house line machine building, and also the tools. So, we keep building it depending on the customer capacity. So, what we do is, generally on an assembly line we take on our two shift bases in terms of our capacity calculation depending on customer

requirement , generally we plan for N + 1 , something like that. N is the current year , so next year . So, two years before is what we have our capacity. The third shift is generally kept for contingency plan. For example, if there is going to be any spike in the customer requirement , you know that we are part of the festival season now , if there are going to be any abnormal increase, then we use the third shift for those assembly. But primarily we keep on a two shift basis in terms of our capacities .

Moderator: Thank you. The next question is from the line of Vipul Kumar Anupchand Shah. Please go ahead.

Vipul Shah : Most of my questions have been answered. Just , we had some MOUs or joint ventures for Battery Management System , and we had a tie- up with a software company also. Is there any progress on that side, sir?

PM Ganesh: I will request our Director- Strategy to explain this.

Siddharth Manoharan: Thank you. Good evening once again. Regarding the Battery Management System , currently the prototypes are being developed and this is in the final stages of development with our partner. I think by next month onwards we will be receiving the first level of samples, and we will be doing a road show with customers for testing at their end . Regarding the telematics platform , again, we have provided some joint integrated samples to the customers and currently they are also under testing.

Page 12 of 12 Vipul Shah : So, can we expect any revenue from these joint ventures in near future, sir?

PM Ganesh: We would like to clarify ; these are not joint ventures but they are strategic complementing partnerships . We bring some part of the solution to the table, and they add some part of the value- addition to the joint platform that we have developed together. So, we have not given any revenue

guidance as such. Once the products are tested by the customers and accepted , post which we will be able to share revenue credit . But we are not taking any revenue credits for this financial year.

Moderator: Thank you. As there are no further questions, I now hand the conference over to the management for closing comments.

PM Ganesh: Thank you so much once again and see you soon during the Q2 earnings call shortly . I would request our CFO to give the closing remarks . Over to you, Mr. Priya n.

Priyadarsi Bastia: Thank you, the Shareholders and Investors Group for your active participation in the call and asking relevant questions . This quarter was a good quarter for us, and we expect the same to continue. I would like to have further questions in the Q2 investors call . Thank you so much.

Moderator: Thank you. On behalf of Pricol Limited, that concludes this conference. Thank you for joining us. And you may now disconnect your lines.

Call: Nov 2024

PL/SEC/TGT/2024- 2025/098 Friday, 8th November , 2024

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National Stock Exchange of India Limited
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BSE Limited
1st Floor, New Trading Ring
Rotunda Building, P J Towers,
Dalal Street, Fort, Mumbai 400 001
Scrip Code: PRICOLLTD Scrip Code: 540293

Dear Sir,
Sub: Con -call Transcript

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we herewith submit the Transcript for the Con- call held on

7th November 2024 pertaining to Company's unaudited financial results for the quarter ended 30th September 2024.
This is for your information and records.

Thanking you
Yours faithfully,
For Pricol Limited

T.G.Thamizhanban
Company Secretary
ICSI M.No: F7897
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Page 1 of 9 PRICOL Limited
PRICOL Limited Q2 and H1 FY25 Earnings Conference Call
November 07, 2024

Moderator: Ladies and gentlemen, good day and welcome to the Q2 and H1 FY 2025 Conference Call of PRICOL Limited.

As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing '*' then '0' on your touchtone phone.

Please note that this conference is being recorded. At this time, I would like to hand the conference over to Mrs. Purvangi Jain from Valorem Advisors.

Thank you, and over to you.

Purvangi Jain: Good evening everyone and a warm welcome to you all. My name is Purvangi Jain from Valorem Advisors. We represent the investor relations of PRICOL Limited.

On behalf of the company, I would like to thank you all for participating in the company's Earnings Call for the second Quarter and Financial Year 2025. Before we begin, let me mention a short cautionary statement. Some of the statements made in today's concall may be forward - looking in nature. Such forward -looking statements are subject to risks and uncertainties,

which could cause actual results to differ from those anticipated. Such statements are based on management's beliefs as well as assumptions made by and information currently available to the management. Audiences are cautioned not to place any undue reliance on these forward-looking statements in making any investment decisions.

The purpose of today's Earnings Call is purely to educate and bring awareness about the company's fundamental business and financial quarter under review.

Let me now introduce you to the management participating with us in today's earnings call, and hand it over to them for opening remarks. We have with us Mr. Vikram Mohan – Managing Director; Mr. P.M. Ganesh, Chief Executive Officer and Executive Director; Mr. Siddharth Manoharan – Director of Strategy; and Mr. Priyadarsi Bastia – Chief Financial Officer.

Without any delay, I request Mr. Vikram Mohan to start with his opening remarks, followed by financial and operational highlights of the company. Thank you, and over to you, sir.

Page 2 of 9 Vikram Mohan: Good evening to all participating in this call today to go over the H1 Financial Performance of our Company. We thank you for your presence. The presentation has already been uploaded and I hope all of you have had a chance to look at the presentation. In terms of questions at the end of the presentation,

to give everyone a fair hearing and a chance to ask questions, we

ask you to restrict yourself to one question at a time and rejoin the question queue, please.

I am pleased to announce that we have had higher than market growth for the Quarter 2 of Financial Year 2025, quarter ending 30th September. Our revenue from operations stands at 6,500 million with an EBITDA of 871 million resulting in an EBITDA margin of 13.4% with a PAT of about 450 million and a PAT margin of 6.93% resulting in a basic EPS of 3.70 Rupees per equity share. This is on a consolidated basis.

For the half year ending 30th September, for Q1 and Q2 put together, we have had sales of close to 12,530 million, EBITDA of 1,677 million, an EBITDA margin of 13.39%, profit after tax of 906 million, profit after tax margin of 7.23% and a basic EPS earning per share of equity share of 7.44 Rupees. I am also happy to inform you that at a consolidated level, our long-term borrowings are nil and we have comfortable cash reserves in the company as of 30th September. Our revenue from operations on a quarter-to-quarter basis between FY24 and FY25, we have grown at around 15.54% in spite of having muted sales in the automotive industry in Q2.

Our EBITDA has grown by 24.7% for the same period and for the half yearly results, we have grown pretty similarly at 15.51% and EBITDA has grown at 23%. All the other details of the financial performance are loaded on the website. We will go straight away to the question-and-answer session.

Once again, I remind everyone to ask one question and rejoin the question queue as there are many people who have already posted questions. Thank you. Thank you very much.

Moderator: We will now begin the question-and-answer session. We will take a first question from the line of Omkar Chitnis from Trade Brains Pvt. Ltd. Please go ahead.

Omkar Chitnis: My first question is with the increase in India's defense budget and growing demand for defense equipment, how does companies plan to capitalize on opportunities in defense equipment region? Are there any specific planned initiatives to benefit from focus on domestic defense production?

Vikram Mohan Mr. Chitnis, while the company currently has no business in the defense segment. As a management, we are exploring some inorganic opportunities to enter into the railway and defense segment in India which will give us higher margins and impetus for growth. It is very early stages right now, but rest assured we are evaluating opportunities and hopefully in the coming quarters we may have some good news for the company.

Page 3 of 9 Thank you, Mr. Chitnis.

Moderator: Thank you. We will take our next question from the line of M. N. Kumar, an individual investor. Please go ahead.

M. N. Kumar: Sir, it looks like the working capital, trade receivables have gone higher this year, this 6 months. Can you explain the reason, what is happening there?

Priyadarsi Bastia: Good evening. See, the receivables have gone up marginally because the sales have gone up, 15% growth in sales is there and last quarter when you compare it with March, the amount of factoring which we have used is higher than compared to September. So, receivable is looking higher.

M. N. Kumar: So, that 46 to 55 days, 46 is a little lower and remain.

Priyadarsi Bastia: Yeah, number of days is maintained.

M. N. Kumar: March end it was 46 and September it appears to be 55 days.

Vikram Mohan: Yes, sir, like Mr. Bastia explained, A, we had higher factoring in March. We have reduced our factoring because of our financial position, good financial position. So, obviously the receivable shows marginally higher and please a

also see that the sales has increased by 15%. So, this represents the same. So, the number of days of receivables is well under control.

M. N. Kumar: Okay. Typically, what is the receivable days? Is it 55 or 50 days, which is it approximately?

Priyadarsi Bastia: We operate with all domestic customers 30 to 45 days, which extends up to 60 days in terms of exports.

Moderator: Thank you. Next question is from the line of Khush Nahar from Electrum PMS. Please go ahead.

Khush Nahar: Sir, I just want to update on the new products, which are the E-cockpit, Telematics and BMS. So, at what stages they are in and if, you know, from when they can start contributing some revenue?

Vikram Mohan: Revenue is at least 18 to 24 months away. The product has been completely got ready and has also been submitted to customers for testing.

Khush Nahar: So, they are included, and we are on track with the target of 3200 crores of revenue in FY26 as a guidance. Are we on track on achieving 3200 crores of revenue as guided before in FY26?

Vikram Mohan: We are pretty much on track to meet our numbers as a combination of organic and inorganic, we are very much on track to meet our numbers.

Page 4 of 9 Moderator: Thank you. We will take our next question from the line of Vijay Pandey from Nuvama. Please go ahead.

Vijay Pandey: So, I wanted to check if you can give some light on the margin profile of the business, like between the products. So, my thinking was that the BMS margin profile will be somewhat margin diluted. I might be wrong here, but I just wanted to check if you can.

Vikram Mohan: Margins for which would be diluted? Sorry, you were not very clear.

Vijay Pandey: The battery management, BMS and brakes.

Vikram Mohan: Okay. Battery management system, we have still not made a commercial foray. It is still under testing with the customers, so we have not made a foray. So, whatever numbers represented here do not represent any BMS revenue whatsoever.

Vijay Pandey: Okay and anything about the disc brakes?

Vikram Mohan: Disc brakes has already started commercial production and we have started supplies to about 6 manufacturers and next financial year will be the ramp up phase when volumes will reach some degree of maturity.

Vijay Pandey: Okay. Next financial year, FY26.

Vikram Mohan: Yes, that is right because we have just gone into production. Yes.

Moderator: Thank you. We will take our next question from the line of Maan Asher from Growth Sphere Ventures. Please go ahead.

Maan Asher: So, I just wanted to confirm about the industry. So, there were figures that the inventory pile-up has begun at the dealership network and the inventory were 80-85 days last month. This month was pretty good for 2-wheeler due to festivities. How do you see the demand for 2-wheeler shaping up, say, from a year now?

Vikram Mohan: Demand is very muted in the industry. My industry peers also tell me that their performance is also very muted. And as usual, the Q3 Quarter, which traditionally is the lowest quarter in the automotive industry, will remain very muted, but a little more muted than normal. In terms of exports, because of the Elections in the US, and the policies of the Republican government that have come in, exports have been extremely muted for us, much- much lower than demand that was initially projected by our customers. We are hoping in the next quarter or two, exports demand will go back to normal level which will also help us in terms of top line and bottom line, but domestic demand will continue to remain muted, and Q3 is expected to be a very weak quarter for the industry.

Page 5 of 9 Moderator: Thank you. We will

I take our next question from the line of Madhav Agarwal from SG Investments. Please go ahead.

Madhav Agarwal: Hi. My question was already answered. Thank you.

Moderator: Thank you. We will take our next question from the line of M. N. Kumar, an individual investor. Please go ahead.

M. N. Kumar: Sir, this is related to the balance sheet. When we look at ROE and ROCE related aspects, one line item that comes through is intangible assets of almost 54 crores. It looks like everything is related to software. Is there any way in which we can expense them out rather than capitalize it, and then after that write off as the product matures or otherwise?

Priyadarsi Bastia: See, this intangible asset was capitalized in the year '17-18, and IndAS does not allow us to charge it off to P&L. So it will be there in the balance sheet.

M. N. Kumar: Okay. So, similarly, this deferred tax liability would also be staying like that only, because they seem to be permanent in nature. No, no.

Priyadarsi Bastia: Deferred tax liability is like it is only recognition of the tax which you are coming. It is just a timing difference. So the treatment of that in IndAS is different, and for the intangible assets it is different.

M. N. Kumar: When I looked at the annual report, it talks about permanent and temporary. If it is a timing difference, it should be temporary, right? But a substantial part of it seems to be permanent.

Priyadarsi Bastia: Exactly. So permanent difference is coming. Only timing difference means you are creating a deferred tax liability, which when the time arrives, the original tax liability comes, you reverse that deferred tax liability, and the actual provision you make in your books.

M. N. Kumar: Sir, what I mean to say is that the magnitude of the ones which are permanent in nature seems to be much higher than the temporary. Therefore, I was asking this question.

Priyadarsi Bastia: No, no. I understand that. In our case, it is this way only.

M. N. Kumar: Oh, it's only timing difference only. Okay.

Moderator: Thank you. Next question is from the line of Jaimin Desai from Emkay Global. Please go ahead.

Jaimin Desai: So my question was related to the margin performance in the Quarter. It seems that there has been some softening at the gross margin level when I compare Q2 versus Q1 for consolidated operations. Can you call out a reason for this? Was it due to some commodity impact or maybe mix impact?

Page 6 of 9 Vikram Mohan Mr. Desai, this was just based on product mix. This marginal difference in margins, which you will keep seeing from quarter to quarter, plus from the 1st of July, there has been a wage increase for our permanent workers and also for the staff, which has seen some impact of the margins, which will come back to normal with the productivity increase. This is an annual phenomenon that we see.

Jaimin Desai: Understood, sir. And if you could also provide an outlook on margins going forward?

Vikram Mohan: It will be pretty similar to where we are. I have always maintained in many quarters that our 13 to 13.5% EBITDA is what we intend to maintain and what looks reasonable for our set of products. Margins will be a little better when exports resume. Exports, this was probably the weakest quarter in many quarters, so when exports resume or come back, margins will go up about 50 basis points.

Moderator: Thank you. We will take our next question from the line of Sahil Sanghvi from Monarch Network Capital. Please go ahead.

Sahil Sanghvi: Thank you for the opportunity, sir, and congratulations for beating the industry. Just one follow-up question from the previous participant. In terms of product mix

, can you give some

more details as to how the adverse product mix affected the margins? And the second question would be on CAPEX. I think we have deployed something like 100 crores in the first half. So, in the full year, what will we deploy next year, what will be the numbers?

Vikram Mohan: In terms of margin mix, it is very, very difficult to explain because when a mechanical cluster suddenly demand goes up by a couple of 10,000 units, the margin gets muted because the margins in a mechanical cluster is low. In an electronic cluster, the margin is much higher, the rupee profit. So, it is very difficult because we are a diverse product company even in the driver information system. Our export margins are higher, significantly higher than domestic margins. So, when exports become muted, the margins go for a toss, anywhere between about 50 to 80 basis points. Coming to the CAPEX, I have always maintained that we are looking at around 600 crores of CAPEX over 3 years. And we are on track on the 600 crores of CAPEX and we are continuing to maintain the same outlook. And this year would again be about 200 crores. Correct me if I am wrong. I am requesting my CFO to correct my statement and next year will be about 150 to 180 crores.

Sahil Sanghvi: Where also will this be deployed? If you can give some more details?

Vikram Mohan: I suggest that you can get in touch with our CFO who can throw light on this. I can give it to you, but many a time I have repeated in many of our calls. Because we are creating a new plant in Pune. We are expanding our plant in Manesar. We are buying land to create 2 new plants for the future. We are upgrading our lines to the tune of about 150 crores. We are investing in a new plastic component molding shop. We are upgrading our tool room. We are buying 14 Page 7 of 9 new PCB lines to make PCBs. So it is a whole host of things. So if I just bring out the whole list, it will not make sense on a call.

Moderator: Thank you. Next question is from the line of Chandragupta, an individual investor. Please go ahead.

Chandragupta: You mentioned about inorganic opportunities in railway and defense equipment sector and in the past also you have mentioned about an acquisition. So just wanted to know roughly what size this acquisition will be in a ballpark figure that you have in mind and how it will be funded.

Vikram Mohan: It will be a 2-digit figure. We are a debt-free company. We have cash reserves. But depending on the size of the acquisition, we are not only looking at this. We are looking at other inorganic play also, safe inorganic play in allied areas and as I have maintained in my earlier calls, up to about 300 crores of debt, we are looking at probably raising based on the kind of acquisition.

Chandragupta: Okay, 300 is the maximum that you will raise?

Vikram Mohan: Yes. We are anticipating it. You know, when we are evaluating opportunities, we are looking at about 4 or 5 different opportunities and 1 or 2 of them are moving very fast. So it could be somewhere around 300 crores that we are looking at debt for an acquisition. Not necessarily in the defense or railway space, but in the auto space.

Moderator: Thank you. We will take our next question from the line of Sahil Sanghvi from Monarch Network Capital. Please go ahead.

Sahil Sanghvi: Just wanted to understand the proportion of exports in our revenue this quarter versus same quarter last year, sir.

Vikram Mohan: Same quarter last year was about 9% and this year is about 6.5%.

Moderator: Thank you. We will take our next question from the line of Madhav Agarwal from SG Investments. Please go ahead.
Madhav Agarwal:

Just wanted to understand how do we see the EV market playing out for us? How big of an opportunity do we see there?

Vikram Mohan: We really don't... We are not affected by EV, number one, because we are... Our products are agnostic to propulsion, as I have maintained in many earlier calls and we are working with almost 20 EV players for our products. But the EV adoption I have always maintained is going to be slow and other people have been saying it is going to be very fast and I think, I am not a prophet, but my prophecy of very slow adoption is what is happening today and it is going to take until 2030 to reach certain maturity and size before it's, probably 50% of the market and Page 8 of 9 we are propulsion agnostic, so whether it's an ICE vehicle or an EV vehicle, it is of no consequence to us.

Moderator: Thank you. We will take our next question from the line of Vignesh from Ksema Wealth. Please go ahead.

Vignesh: Sir, just want to understand the opportunity size for our BMS products.

Vikram Mohan: I would not like to comment on it, because it is so fragmented, the market. Everyone is jumping into it. Vehicle makers are not very clear what they intend to do with it. So BMS is something that even I am not very, very bullish about, and all our projections are taken into account without a significant amount of BMS revenue.

Vignesh: Okay, sir. Any other products apart from disc brakes we are planning to enter into, sir?

Vikram Mohan: So the smart cockpits and the connected vehicle solutions, which already we are starting to see traction and growth. This in itself is a very large opportunity is what I am talking about.

Moderator: Thank you. We will take our next question from the line of Smit Shah from Monarch Network Capital Limited. Please go ahead.

Smit Shah: Sir, my question is regarding the split of mechanical, digital, and TFT for the quarter and some bit of color on the premiumization trend. How much has it played out according to you, and what is the outlook ahead?

Vikram Mohan: For the quarter, it is very difficult because it keeps changing the product mix, but approximately, are you asking by volume or value, Mr. Shah?

Smit Shah: Value, sir.

Vikram Mohan: By value, mechanical would be about 30%, and TFT would be about 30%, and the rest would be somewhere in between. Okay.

Smit Shah: Sir, what is your outlook in terms of the new launches that are happening?

Vikram Mohan: Mechanical is going to stop, slowly fade out, moving into LCDs, and whatever is LCD will move towards TFT. That's the way the market is growing and I mentioned in earlier calls that we saw our average product value move from Rs. 300 10-12 years ago to Rs. 1200, and we see it jumping to about Rs. 2500 in next 2 to 3 years for a two-wheeler.

Smit Shah: Okay. Sir and what was our contribution from the PV clusters this time?

Vikram Mohan: It is about 9% to 10%.

Page 9 of 9 Moderator: Thank you. That was the last question for today.

Vikram Mohan: Thank you very much. Since there are no more questions, I would like to take this opportunity for your active participation in today's call. As is the practice in our company, the managing director participates in H1 and H2 calls, and the CEO handles Q3 and Q1 calls. So I look forward to connecting with all of you at the end of the financial year. Thank you very much. Have a good evening. Jai Hind.

Moderator: Thank you, sir. On behalf of Pricol Limited, that concludes this conference call. We thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Feb 2025

PL/SEC/TGT/2024 -2025/120 Monday, 3rd February, 2025

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Scrip Code: PRICOLLTD Scrip Code: 540293
Dear Sir,
Sub: Con -call Transcript

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we herewith submit the Transcript for the Con -call held on 30th January 2025 pertaining to Company's unaudited financial results for the quarter and nine months ended 31st December 2024.
This is for your information and records.

Thanking you
Yours faithfully,
For Pricol Limited

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Page 1 of 12 PRICOL Limited
PRICOL Limited Q3 and 9 months FY'25 Earnings Conference Call
January 30 , 2025

Moderator: Ladies and gentlemen, good day and welcome to the Q 3 and 9-month FY 2025 Conference Call of PRICOL Limited.

As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing '*' then '0' on your touchtone phone.

Please note that this conference is being recorded. At this time, I would like to hand the conference over to Ms. Nupur Jaikunia. Thank you and over to you Ma'am.

Nupur Jaikunia: Thank you. Good evening, everyone, and a warm welcome to you all. My name is Nupur Jaikunia from Valorem Advisors. We represent the Investor Relations of Pricol Limited. On behalf of the Company, I would like to thank you all for participating in the Company's Earnings Call for the 3rd Quarter and 9 months ended for the Financial Year 2025. Before we begin, a quick cautionary statement. Some of the statements made in today's concall may be forward -looking in nature. Such forward -looking statements are subject to risk and uncertainties, which could cause actual results to differ from those anticipated. Such statements are based on management's beliefs as well as assumptions made by and information currently available to the management. Audiences are cautioned not to place any undue reliance on these forward -looking statements in making any investment decisions. The purpose of Today's Earnings Conference Call is purely to educate and bring awareness about the Company's fundamental business and Financial Quarter under review .

Let me now introduce you to the management participating with us in today's earnings call and hand it over them for Opening Remarks. We have with us Mr. Vikram Mohan – Managing Director; Mr. P. M. Ganesh – Chief Executive Officer and Executive Director, and Mr. Priyadarsi Bastia, Chief Financial Officer.

Without any further delay, I request Mr. Vikram Mohan to start with his opening remarks followed by financial and operational highlights of the company. Thank you and over to you, sir.

Vikram Mohan: Thank you, ma'am. Good evening everyone and a warm welcome to our Q3 FY'25 earnings call. The presentation has already been uploaded and I hope all of you have had a chance to see the Page 2 of 12 same before this call. As all of you are aware, the automotive industry is seasonal and the Quarter 3 is always the weakest quarter in the financial year. In spite of having a weak quarter in the automotive industry, your company has performed reasonably well under the conditions. Our revenue f

or Q3 is Rs. 6,159 million with EBITDA of Rs. 780 million with EBITDA margin of 12.67%, PAT of Rs. 414 million with PAT margin of 6.73% with a basic EPS of Rs. 3.40.

At a consolidated level, our long-term borrowings continue to stand at nil. We will move straight to the question-and-answer session.

May I request participants in the interest of democracy to restrict yourselves to one question and once you receive the answer for the same, to go back to the question queue so that everyone in the call has a chance to ask questions. Thank you.

Moderator: Thank you. We will now begin the question-and-answer session. First question is from the line of Khush Nahar from Electrum PMS. Please go ahead.

Khush Nahar: My first question was regarding the demand. This quarter, we have grown 11%, which has been considerably on the lower side in the past 10 quarters. So, what kind of growth are we seeing going ahead from FY'26. After the consolidation, we are well above our target of 3600 of revenue that we have envisaged. So, what type of growth we see FY'26 onwards also on a consolidated level?

Vikram Mohan: This quarter, demand was a little muted in the entire industry and in addition, we had some supply chain issues, which resulted in lower sales. We are expecting to grow at around between 13% and 15% based on our product mix, new product introduction, and market demand.

Moderator: Thank you. Next question is from the line of Aman Agarwal from Carnelian Capital. Please go ahead.

Aman Agarwal: My question was on the acquisition. If you can briefly talk about the strategy for this acquisition and once the deal is complete, what will be our strategy and plan for the next 3 to 5 years?

Since TVS is the largest customer, it is diversifying from that as well as focus on growth from that segment as well as margin improvement. You can talk a bit on that.

Vikram Mohan: Aman, I will break that up into 3 parts the answer for the say, the rationale for the acquisition. I have always maintained over the last 2 years that we are looking at an acquisition where in a commodity space and plastics is something that we understand very well in Pricol and we are

masters in plastics and we want to acquire a company with a low TTM or time to market as we say in our industry. Because in our current products, from the LOI for the business to the start of production is anywhere from 30 to 36 months. We wanted to acquire a business with a 12-

to-14-month TTM and we came across this asset which was well run, belonging to the TVS group with good value systems, good quality and good engineering. The revenue from the TVS group is about 50% at this point in time. The plan is to significantly grow this business and move from a component supplier to an FSS business. The total business that is expected to be done

Page 3 of 12 by this company this year is about 800 crores with an EBITDA of about 70 crores and we have acquired the business at an adjusted EBITDA multiple of 3.5 times EBITDA multiple which is value accretive to our shareholders. The growth plan as I mentioned is to move from more components to more engineered products which is to be a FSS plastic supplier. This company already has some world class customers as its customers and I personally met all of these 6 customers and they are willing to grow the business and expand the business and probably in a quarter from now once we take over management and start the planning process I will be in a better position to comment about a 3 to 5-year outlook. But our plan is to double the business to about or somewhere in the region of 1700 crores over the next 3 years. Both organically and inorganically.

Aman Agarwal: Understood sir. That was really helpful just a follow up on that. How much would be the domestic revenue and how much would be exports? Incrementally would we focus more on domestic or exports?

Vikram Mohan: There is no export revenue

in the company. It is entirely domestic. Once we take control and follow up to quarters down the line we will explore what are the possibilities for export revenue but exports in a plastic commodity is the chances are much lower unless we get into an FSS mode.

Aman Agarwal: Right and so can we sell it to our existing customers?

Vikram Mohan: Exactly. That is the thought process. That was the logic. Because being a TVS company they were restricted from selling to other two wheeler makers and other OEMs. With Pricol coming on board we will now pitch this business to all our other OEMs where we are working.

Moderator: Thank you. Next question is from the line of Vipul Kumar Anupchand Shah from Sumangal Investments. Please proceed.

Vipul Shah: Hi. Thanks for the opportunity. So sir can you comment on this recent two tie ups CGI Studio and TYW. So how they will be beneficial to us and so if you can briefly explain.

Vikram Mohan: These are very old tie ups Mr. Shah. CGI Studio and Pricol have been working for a long time and TYW and Pricol also have been working for 1 year. This is more on technology and graphics and animation for our new projects. This is not a joint venture. This is only to enhance our technology in our products and this is not new relationships. These are old relationships.

Vipul Shah: Ok. So we just pay the royalty or something like that?

Vikram Mohan: It is a case -to-case basis. Development costs are paid and there is some transfer of technology.

Moderator: Thank you. Next question is from the line of Dhiraj Kaswan from RRR Investments. Please go ahead.

Page 4 of 12 Dhiraj Kaswan: First of all congratulations on the acquisition and next I would want to know that 50% of the revenue of Sundaram comes from TVS and other revenue comes from the other where they supply. So how confident are you that you will not lose those customers as the company has left the umbrella of TVS and is joining Pricol now?

Vikram Mohan: I have personally visited all the other 6 customers that contribute to the bulk of the business. They are very happy with the company and its products and strengthening the business and growing.

Dhiraj Kaswan: Thank you and another follow up was that you said that you assume the company is going to grow at 13 -15%. That is your estimate, and you want to double the revenue in the next 3 years so around 26 -27%.

Vikram Mohan: 13-15% is the growth rate for Pricol with new product launches and market growth and product mix. Sundaram Auto Components Limited which will henceforth be referred to as Pricol Precision Products with effect from 1st February, we want to take the business to about 1600 - 1700 crores over the 3 years through organic and inorganic means.

Dhiraj Kaswan: Ok. So that 13 -15% growth estimate is including Sundaram or is it just for the Pricol?

Vikram Mohan: It is excluding. It is for the business as it stands today for Pricol Limited. Pricol Precision Products which is how Sundaram Auto Components is going to be called. We are looking at doubling the business over a 3 year period to about 1600 -1700 crores which is far higher than a 13 -15% growth rate.

Dhiraj Kaswan: And the revenue of Sundaram will start flowing from which date?.

Vikram Mohan Tomorrow is the date of closure. So if all goes well from 1st February it becomes a subsidiary of Pricol.

Moderator: Thank you. Next question is from the line of Aman Agarwal from Carnelian Capital. Please proceed.

Aman Agarwal: So my question was on the ACFMS business. That business, how are we seeing the demand in domestic as well as exports market and we were facing some issues in the exports market over the last 1 -2 years in this business some slowdown and all. So how is that behaving now and are we seeing some green shoots in that segment and any outlook on that?

Vikram Mohan: Exports have actually become even more hit -wins we have f

aced in exports and that is a cause

of concern for us. We have seen off- take. We have not lost business or share of business. But the volume of business has come down because the production of the OEMs have come down in our market. But that will be offset from the next, let's say about 8 -12 months or so with our disc brake business starting to pick up volumes.

Page 5 of 12 Aman Agarwal: Sorry sir, disc brake business will start in what period so far? When will the revenue start flowing from the disc brake business?

Vikram Mohan: Disc brake revenue has already started. We have started supplies but the ramping up is happening. But in about 8 -12 months we will start reaching mature large volumes.

Aman Agarwal: Understood sir. Sir, one final question from my side. If I see this quarter's employee cost, it has increased despite the lower revenues in this quarter compared to last quarter. Is there some one-off or this is the recurring run rate and any reason for this increase in employee cost?

Vikram Mohan: As a percentage of revenue it is the employee cost. It is not an absolute number because the revenue has come down typically this happens in quarter 3 of every year. This is something that you will see.

Aman Agarwal: Right sir. And why it is that sir? Any reason for this quarterly phenomenon?

Vikram Mohan: Because quarter 3, the revenue is always lower in the industry. Automotive industry is always Q3. Post Diwali there will be a drop and all customers shut down and the revenue is lower and that is the standard practice in the industry for decades. \

Aman Agarwal: Understood sir.

Moderator: Thank you. Next question is from the line of Jaymin Desai from Emkay Global. Please go ahead.

Jaymin Desai: Good evening sir. Congratulations on the acquisition and thanks for taking my question. Sir,

firstly just a clarification. The 13 -15% growth number that you mentioned, that would be more near term, so Q4 or maybe next year as well?

Vikram Mohan: We are expecting this growth rate over the next couple of quarters. 13 -15% steady growth rate we are planning to maintain over the next couple of quarters.

Jaymin Desai: Got it. That's helpful. Secondly, on Sundaram Auto Component margins, it added for about 70 crores of EBITDA on a top line of about 800 crores, implying about high single digit sort of margins, whereas we are placed quite a bit above that. How do you see margins progressing in this entity over the next couple of years and what would be the drivers for that?

Vikram Mohan: We are hoping over the next couple of quarters to increase the margin by about 200 basis points, which is why we have bought it at a lower EBITDA multiple for it to be value accurate.

Jaymin Desai: Understood and this would be largely via efficiency improvements or any other reason?

Vikram Mohan: I believe during efficiency improvements, productivity improvements and upgradation of certain machinery. Because the company in the last 2 years, ever since they kind of started looking at divesting non -core businesses, not much of attention has gone into this business.

Page 6 of 12 Jaymin Desai: Understood. Just final question if I may squeeze in. Any other thought process on more M&A activity?

Vikram Mohan: I just mentioned earlier, we are looking at growing our plastics business both organically and inorganically.

Jaymin Desai: And in Pricol?

Vikram Mohan: Pricol at this point of time, we do not have anything in the offing.

Moderator: Thank you. Next question is from the line of Khush Nahar from Electrum PMS. Please go ahead.

Khush Nahar: So, first question was how much debt would be there on the books after the consolidation?

Vikram Mohan: I would request my CFO, what would be the consolidated debt post -closure of the Sundaram transaction on the consolidated balance sheet?

Priyadarsi Bastia: On a consolidated basis, as we stand today, there is zero debt.

After the closure of Sundaram deal, we will hardly have 80 crores of debt.

Vikram Mohan : Consolidated, including Sundaram?

Priyadarsi Bastia: Including Sundaram, sir. We will have 80 crores of debt.

Khush Nahar: Okay. And the second bookkeeping question was that our other expenses have been increasing, maybe 3%, 4% for a couple of quarters, 2 quarters and on third quarter, it's around 6% debt-grown. So, is there any particular reason or is it the operational efficiencies that are kicking in?

Vikram Mohan: Operational efficiencies and one -off, we use consultants to do certain technology agreements and also for this deal, we have engaged, for due diligence and everything, we have engaged people. These are the costs.

Khush Nahar: No sir I am saying it has reduced by 6% in this quarter. So, that is because of the operating leverage only?

Priyadarsi Bastia: Yes. See, you got it correctly. In Q3, it has come down. Q2, it was a little higher. Q3, because there are a couple of operational efficiencies which has come in and some cost reduction initiatives which we have started, because of that, the cost has come down.

Khush Nahar: Okay. So, we can assume that 6.8% broad of revenue as a percentage should be maintained going ahead, instead of 8%.

Priyadarsi Bastia: Kind of.

Page 7 of 12 Moderator: Thank you. Next question is from the line of Suraj, retail investor. Please go ahead.

Suraj: Yes, sir. Just one thing that I wanted to understand. Who are the biggest competitors that you are facing in the industry? Is it the auto OEMs or is it the auto ancillary manufacturers and secondly, what is the competitive advantage that you have as compared to your competitors? Is it in terms of the network effect or technological effect? So, these are the 2 things that I wanted to understand.

Vikram Mohan: We still hold the largest market share for two -wheelers and off- road vehicles and commercial vehicles in the driver information system, which is our principal line of business. It is a combination of quality, cost, delivery, service, and technology, which is why we have the lion's share of the market. Our competitive landscape is companies like continental , Nippon Seiki, Visteon and Minda. These are our 4 principal competitors. In spite of which, we are maintaining a very healthy 40 -plus percent market share in two -wheelers and 80 -plus percent market share in commercial vehicles and off -road vehicles. It is only because of our continuous investment in technology. Even today, out of 1,000 employees in total white collar, 480 employees are just in R&D and technology.

Moderator: Thank you. Next question is from the line of Richa from Equitymaster. Please go ahead.

Richa: My question is related to what share of revenue is coming from the electric vehicle segment. Also, if you could just give some commentary on what is happening on the BMS licensing agreement and the plan to manufacture in -house .

Vikram Mohan: I will request our CEO, Mr. Ganesh, to answer both those questions on the BMS and on the electric vehicle, what percentage of sales of our total sales?

P. M. Ganesh: Good evening, Richa. The EV contribution has been continuously increasing on the driver

information system space. We are a major supplier to all the traditional OEMs like Hero Motor Corp., TVS Motor, and also Bajaj. So, our pie on EV has been continuously increasing. But, of course, some degree of maturity will be reached after 12 months because all these OEMs are evolving in terms of the volume. But, the pie of EV is continuously increasing, is number one. Second thing is on the battery management.

Richa: Sorry to interrupt. Is it below 10% or higher than that?

P. M. Ganesh: Currently, it is below 10% because if you see the total pie of the EV compared to the total two-wheeler manufacturing is still quite low and it is evolving. We are very careful in the penetration into the startup

EVs primarily because a lot of fluctuation is happening currently in the volume. So, secondly, a battery management system is under development and it is

under testing with few of our key OEMs. May be H2 of this year, we will start some business on the BMS. And next year would be a full year of the battery management system sales.

Page 8 of 12 Richa: Sir, any kind of quantitative guidance on what kind of opportunity we are looking at here? It would be a little difficult for us to talk about the numbers and value. But, what we can tell you is that it is currently under testing with our key OEMs.

Vikram Mohan: Unless it is tested and passed, we will not be able to indicate any volumes.

Moderator: Thank you. Next question is from the line of Siddharth Chhabra from Minerva Asset Advisors. Please go ahead.

Siddharth Chhabra: Hi. Can you give me the asset turns and the working capital as a percentage of sales for Sundaram Auto Components? Asset turns of Sundaram and the working capital as a percentage of sales for Sundaram. What is the number there?

Priyadarsi Bastia: Working capital, they work with 20 days of working capital and asset turns, it is a very asset light entity because all the investments were very old investments. So, asset turns are pretty high there.

Siddharth Chhabra: Can you give me a number? Is it possible?

Priyadarsi Bastia: Assets are pretty old.

Vikram Mohan: I don't think he has a readymade number right now on the call. If you can send an email to our secretarial department, our CFO will be able to answer.

Siddharth Chhabra: Okay. I will do that. Secondly, can you tell me regarding the TFT clusters within two-wheeler market. Can you give me an idea about how do you see the ramp-up in penetration there?

What the current penetration would be and how do you see the ramp-up in the next 3-5 years probably?

P. M. Ganesh: TFT cluster again is an evolving technology in the two-wheeler. Today, 5-7% of our revenue is coming from TFT clusters and as more EV is going up, TFT is something that is going to become a major feature in all these vehicles. Not only on the EV, in the recent times even IC engine has started adopting the TFT primarily because of the flexibility whatever it offers in terms of many features that can be added in quick time. So, we foresee that it is going to have good growth in the next 2 years. If you remember, 5 years back, many of the mechanical clusters got converted into LCD. Today, the same thing is happening. Moving, migration is happening from LCD to TFT.

Siddharth Chhabra: Okay. And by penetration, I meant in the overall industry. You gave me the revenue figure. That's great that will be also helpful. But in terms of the industry, in terms of two-wheeler, how many units would be having the TFT and also you said, except EV, there is adoption coming. So, within that, where is it coming, scooters, bikes, where are you seeing this penetration increasing?

Page 9 of 12 P. M. Ganesh: We are seeing TFT adaptation both in the scooter and motorcycle, both. It is not because it is a scooter, EV or IC or motorcycle. TFT is a convenience for people to have more features like onboard navigation or connectivity, Bluetooth, Wi-Fi, screen mirroring. Many of the features, if you have seen, Pricol already has launched that in the market with multiple two-wheeler customers. Now, if you ask me two-wheeler TFT in specific, we are quite proud to say that nearly 80% of the TFT business of whatever is there in the two-wheeler is with Pricol.

Siddharth Chhabra: Okay. So, 80% of TFT two-wheeler industry is with Pricol.

Vikram Mohan: So, two-wheeler TFT 75-80% market share is maintained by Pricol.

Moderator: Thank you. Next question is from the line of Praveen Yadav, an individual investor. Please go ahead.

Praveen Yadav: Sir, I have two questions. The first is about the product mix. Basically, volume a

nd revenue product mix in terms of two-wheeler, passenger vehicle, commercial and off-road vehicles and my second question is about how we are progressing on e-cockpit commercialization. Are we able to get any order from any customer in the near future?

P. M. Ganesh: To give you a rough product mix in terms of vertical, this is little rough. 65% of our revenue comes from the two-stroke three-wheeler. If you see on the automotive side, 65% to 70% of the total India vehicle production comes from the two-wheeler. This is one and Pricol follows the same standard of what the industry has in terms of percentage. That is why we are a very balanced company cutting across all segments of the market. Second, 10% of our revenue approximately comes from the commercial vehicle segment. Now I am including tractors also though it is not a part of the

automotive since we are a major supplier to tractors. 5% to 7% comes from the tractor industry and off-road vehicle, 90% of the market share is with Pricol on the off-highway vehicle, the construction equipment where 7% to 8% of our total pie comes from the off-road vehicle and the remaining 10% comes from the personal passenger vehicle segment.

Praveen Yadav: Okay. Got it, sir. Thank you. The other one is about the E-Cockpit commercialization. Can you please share some updates on that?

P. M. Ganesh: I will break up E-Cockpit into two. One is, you have to be on the infotainment before we go into the E-Cockpit. Infotainment already actually is under testing with certain key four-wheeler customers at this point of time. We are jointly evaluating our infotainment. Step two would be in parallel we are developing the E-Cockpit which will have the integrated connected cluster with the infotainment that is also under testing. In fact the good news is even two-wheeler now has started looking into the infotainment system in a larger manner and our product is getting validated with some of the two-wheeler customers as well on the infotainment. We hope from the next financial year because this takes a longer time for the software maturity and the testing which has to happen at our place and the customer place. So we expect from Page 10 of 12 next financial year not from 2025-2026, 2026-2027 onwards we expect good amount of revenue to come from the infotainment and E-Cockpit.

Moderator: Thank you. Next question is from the line of Bismith Nayak from RW Advisors. Please go ahead.

Bismith Nayak: Thank you. Sir, you hinted at loss of sales due to supply chain issues in your initial answers. So can you please quantify this and are these issues largely over with?

Vikram Mohan: These issues are getting under control. About 50% mitigation has been done and the other 50% mitigation will happen in Q4 as we speak and supplies will be normalized from Q1 of FY'26.

Bismith Nayak: Understood. So the 13% to 15% Pricol's guidance is adjusted for this also, I am assuming?

Vikram Mohan: Yes.

Bismith Nayak: Okay. Another, sir, just a clarification that exports will remain subdued for the next 8 to 12 months. Did I hear it correctly?

Vikram Mohan: At least for 8 quarters.

Bismith Nayak: Okay. So Pricol's domestic mostly plus SAC ramping up from high single to low double digit. So with export remaining subdued and domestic as well as SAC's ramp up, Sundaram's ramp up, we should expect EBITDA to be somewhere around 11 to 12%?

Vikram Mohan: Around 11 to 12 is right, yes.

Bismith Nayak: Okay and lastly, sir, what will be the PAT figure or PBT figure for Sundaram?

Vikram Mohan: Why don't we comment about Sundaram once the acquisition is completed, we take control because technically, as of today, it is not Pricol's company.

Moderator: The next question from the line of Khush Nahar from Electrum PMS. Please go ahead.

Khush Nahar: Thank you for the opportunity. Sir my question was regarding Sundaram. Could you

elaborate who are our major competitors and second, sir, what kind of CAPEX we are seeing in Pricol and in Sundaram for the next 3 years?

Vikram Mohan: Sundaram, we will talk about, like I said, all questions pertaining to Sundaram, broad contours of the deal have been given. Once we complete the acquisition and first 3 months we work on the company, we will be in a better position to give you more figures of how much CAPEX is required, how much more supply and demand, etc. Pricol we are at the far end of a 650 crore CAPEX cycle, which I have been talking about for the last 3 years. We are at the far end of that last 200 crores of that CAPEX cycle.

Page 11 of 12 Khush Nahar: Okay and sir major competitors for Sundaram, if you can just comment.

Vikram Mohan: There are plenty of people in the plastics industry. There is Baroque, for example. There is Motherson in some cases. There is Tata Plastics in some cases.

Khush Nahar: Okay, sir. So just how do we plan to compete with these players, what differentiates us?

Vikram Mohan: See the company is competing with all of these players and making money. So we will continue to do the same thing and do it better.

Moderator: Thank you. Next question is from the line of Siddharth Chhabra from Minerva Asset Advisor. Please go ahead.

Siddharth Chhabra: Hi. So we are talking about the CAPEX that last 3 years, this 600 crore cycle is going to be finished. Now, do you have – is it possible to give any idea over the next 3 years what the kind of CAPEX is going to be? Any range possible?

Vikram Mohan: Now, we have just gone through a heavy round of CAPEX. Now, we will go CAPEX light unless there is any inorganic growth before going through the next phase of growth.

Siddharth Chhabra: Maintenance CAPEX and that would be in the range of?

Vikram Mohan: Our maintenance CAPEX is about 100 to 120 crores a year.

Siddharth Chhabra: Okay. So unless there is acquisition, this is going to be your yearly run rate going forward?

Vikram Mohan: Yes. Sundaram, of course, once it becomes Pricol Precision, we will then work out the CAPEX plans for that company and in about 3 to 6 months, we will have a CAPEX plan for that company.

Siddharth Chhabra: Okay. Right and earlier, the EBITDA margins were being discussed going forward and you said that it should be expected in the 11 to 12% range.

Vikram Mohan: So I always maintain that we will be on a consolidated basis at around 13%. Now, with Sundaram joining the table, it is going to be a lower average because the plastics business is a

lower average. But in terms of rupee EBITD A, obviously, it is going to go up.

Siddharth Chhabra: Okay. But you maintain the overall margin at 13%?

Vikram Mohan Overall margin of Pricol will be maintained, but when Sundaram consolidates, it is going to come down lower because plastics is a single digit margin and not a double digit EBITDA product.

Moderator: Thank you. Next question is from the line of Smit Shah from Monarch Network Capital. Please go ahead.

Page 12 of 12 Smit Shah: Hi, sir. My question is on the ACFMS segment. What kind of growth can we expect in that segment and what are the levers of growth in that segment?

Vikram Mohan : Levers of growth in the segment will be the fuel pump module, which will ramp up over the next year, and disc brake, which will ramp up in the next 12 to 24 months. These will be the major growth drivers coming to the ACFMS segment in the coming quarters.

Smit Shah: Okay. So disc brakes, we have started to supply, right, but not in a meaningful manner right now. That is the status, right?

Vikram Mohan: No, we have started supplies already of the disc brake and our product is on the field. Now it is on a ramp up phase.

Moderator: Thank you. Next question is from the line of Swapnil Gupta from White Pine Investment Management, Private Limited. Please go ahead.

Swapnil Gupta: Sir, what i

s the current penetration of TFT clusters in two wheeler and going forward, say in next 2 to 3 years, what will be the TFT penetration?

Vikram Mohan I think this question was answered earlier today by our CEO.

Moderator: Thank you. Ladies and gentlemen, we will take this as the last question for the day. I would now like to hand the conference over to the management for the closing comments.

Vikram Mohan: Thank you very much all for your participation in this conference and look forward to seeing you in the full year FY'25 results conference call, where we will also be able to throw a little bit more light on our new acquisition, which would be completed in our management control by then. Thank you very much. Good evening.

Moderator: Thank you. On behalf of Pricol Limited, that concludes this conference call. We thank you for joining us, and you may now disconnect your lines

Call: May 2025

PL/SEC/TGT/2025 -2026/020 Tuesday , 20th May, 2025

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Scrip Code: PRICOLLTD Scrip Code: 540293

Dear Sir,

Sub: C on-call Transcript

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements)

Regulations, 2015, we herewith submit the Transcript for the Con -call held on 16th May

2025 pertaining to Company's audited financial results for the quarter and year end ed

31st March 2 025.

This is f or your information an d records.

Thank ing you

Yours faithfully,

For Pricol L imited

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.G.Thamizhanban

Company Secretary

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Pricol Limited

Q4FY25 /FY25 Earnings Conference Call

May 16, 2025

Moderator: Ladies and gentlemen, good day and welcome to Q4 and FY25 Conference Call of Pr icol Limited hosted by Valorem Advisors. As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing '*', then '0' on your touch tone phone. Please note that this conference is being recorded at this time.

I would now like to hand the conference over to Miss Nupur Jainkunia from Valorem Advisors. Thank you and over to you ma'am.

Nupur Jainkunia: Thank you. Good evening, everyone and a very warm welcome to you all. My name is Nupur Jainkunia from Valorem Advisors. We represent the Investor Relations of Pricol Limited on behalf of the company. I would like to thank you all for participating in the company's earnings conference call for the fourth quarter and the financial year 202 5.

Before we begin, let me mention a short cautionary statement. Some of the statements made in today's conference call may be forward -looking in nature. Such forward -looking statements are subject to risk and uncertainties, which could cause actual results to differ from those anticipated. Such statements are based on management's belief as well as assumptions made by information currently available to management . Audiences are cautioned not to place any undue reliance on these forward -looking statements in making any investment decisions. The purpose of today's earnings call is purely to educate and bring awareness about the company's fundamental business and financial quarter under review .

Let me now introduce you to the management participating with us in today's earnings call and hand it over to them for their

opening remarks. We have with us , Mr. Vikram Mohan - Managing Director, Mr. P M Ganesh - Chief Executive Officer and Executive Director, Mr. Siddharth Manoharan - Director of Strategy and Mr. Priyadarsi Bastia - Chief Financial Officer of the company .

Without any further delay, I request Mr. Vikram Mohan to start with his opening remarks, followed by financial and operational highlights of the company. Thank you and over to you Sir.

Vikram Mohan: Thank you, Valorem team, for organizing this call. Namaste, ladies and gentlemen. Welcome to the Q4 Financial Year 25 financial performance and for the year ending FY25, call for our investors. The presentation has already been uploaded and I do hope all of you have seen the presentation. I will request our Director of Strategy - Siddharth Manoharan, who's also in charge of investor relations, to take you through the financial overview. After which I will address the participants in this call. Over to you , Siddharth.

Siddharth Manoharan: Thank you and good evening to one and all. Before we go into our financial performance, we would like to inform you all that the financial numbers, the consolidated financial numbers include the performance of our acquisition that we made for the months of February and March in the last quarter. So, for the Q4 of FY25, on a consolidated basis, our revenue from operations stood at INR 7520.11 million with an EBITDA of about INR 883.0 million. And the EBITDA margin percentage stood at 11.74%.

Our PAT numbers stood at INR 349.48 million at a margin of about 4.65% and our earnings per share was at INR 2.87. On a full year basis for FY25, the consolidated financial performance, our revenue from operations stood at INR 26, 209.12 million with an EBIT of about INR 3341.09 million at 12.75% EBITDA margin. Our PAT numbers stood at INR 1670.30 million at 6.37% PAT margin and our earnings per share on a full year basis is at INR 13.70.

At a consolidated level of this quarter, our long -term borrowing is at INR 800 million. This is primarily due to the account of our acquisition of the plastics business from erstwhile Sundaram Auto Components Limited by Pricol Precision Products Private Limited. As well as at a consolidated level, our return on capital employed is at 22.86% in FY25 as against 23.18% in FY24 with a marginal reduction again due to the account of our acquisition.

In terms of our growth , on a quarter -to-quarter basis, our revenue from operation at a consolidated level clocked 32.81% and EBITDA clocked 21.65% growth in Q4 FY25.

On a full year basis FY25 versus FY 24 comparison. Our revenue from operations clocked at growth of 18.69% and our EBITDA clocked 19.91% growth in FY25 compared to FY 24. And the rest of the information is available in our presentation for your review.

With this, I'll hand over the call back to our Managing Director for his remarks. Thank you.

Vikram Mohan: Thank you Sidharth . I'd like to give our analysis of our performance for the quarter ended 31st March 2025, which is Q4. This quarter has not met our investors' expectations or even the management's expectations. And I'd like to state the reasons for the same.

The dollar very sharply strengthened in this quarter, which has resulted in a significant forex impact. Nevertheless, this is only deferred earnings because we have an indexation for Forex with all of our customers. So, while this has been a forex impact in Q4 of FY25 , this will be recovered on a six-month maximum trailing basis and so it's not a loss of earning. It is only deferred recognition of earnings.

You would have also noticed that compared to the similar quarter in the prior financial year , there has been a significant increase in manpower costs. This is a calculated decision taken by the management. As you know, your company has always invested heavily in R&D, both product and process development to keep us ahead of our competitors in launching cutting edge products. In our earlier calls, I had mentioned that we are launching some new ranges of products and new verticals of product to increase our content per vehicle and wallet share per vehicle, primarily in the two -wheeler sector and then moving on to the four -wheeler personal Passenger Vehicle segment.

During this quarter, we have significantly increased our manpower in R&D to start development work of products for these new verticals and products and have also hired subject matter expert consultants and these costs are not a one- time cost but will remain for the coming quarters and in about 8 quarters, we will start seeing the results of all these

investments in R&D and technology by way of revenue and in about 12 quarters, very steady state revenue coming from these new programs , products and which is over and above our current

range of products.

There have been significant headwinds also in Q4 resulting in some loss of EBITDA. While we have performed better than the market in terms of volumes , the two-wheeler sector, which accounts for 65% of the revenue of our company, has seen very muted numbers in Q4. This was because of the OBD 2 regulation, which saw a huge transformation from April 1st, 2025. We are already halfway into Q1 of FY26 and we see a significant revival of the market in the two-wheeler segment, because of the regulatory change. So, this is nothing to be concerned about. This is only on account of a technology change by the government imposed by the government that there was a production slowdown in Q4 of FY25 which has again picked back up in Q1, FY26. That have been some supply chain disruptions and productionization delays on account of this by our customers which are normalizing and will completely come back to normal by Q2 and we are already seeing a lot of earnings out in Q1 where we are currently.

An area of concern which is directly impacting our bottom line is our exports . With the new administration in the United States of America, which is our biggest export market coming in January 2025 and imposing significant tariffs. There was a lot of uncertainty among our export customers and they had delayed the imports , thereby we lost export revenue. Is this going to be solved overnight? We believe it is not going to get solved overnight because there is still clarity yet to emerge on this subject and our bottom line on account of exports is significant, though our export numbers are low. But we firmly believe, after my personal discussion with other industry leaders in the automotive component industry, we are confident that by Q1 of the current year, FY26 , India will sign a trade agreement with the United States and resumption of exports will start from Q2 of FY26. This will bring back our earnings to a normalized basis.

With regard to Pricol precision products, the plastics business that we acquired from the TVS Group, which is now christened as Pricol Precision Products Private Limited. The EBITDA for February and March, which is the period after which we had acquired the company on February 1st, has been a little lower than what the company used to earn in the prior period. This was because of all the one- time acquisition costs related to this acquisition being booked in those two months . As explained by me in the earlier calls, this is about a 7 to 7 and a half percent EBITDA company when we acquired it but post the acquisition, we are very confident of a high single digit margin to be achieved before in the next couple of quarters because we have already started a lot of restructuring of operations and trimming the fat and realigning some of the operations and we are very convinced that this was a good buy. We have visited all the customers of the company and they have reposed confidence and also looking at increasing business to us and because this was owned by the TVS group, we were not able to access other two -wheeler customers who are the primary revenue earners for Pricol. Now we have started engaging with all the other two -wheeler makers and we are confident of growing the company significantly, both in terms of top line and bottom line in the coming quarters once the realignment and restructuring is complete over the next few months. This is the broad highlights of some of our performance parameters and financial parameters in the quarter that's just gone by which is January through March , FY25. Furthermore, it was a strategic decision which we had taken to divest the wiping business which albeit a small portion of our overall turnover was contributing some bottom line which we divested in the month of January. So, we had some loss of EBITDA and top line on account of that on a standalone basis which by introduction of new prod

ucts and increase of share of business in our existing products and new product introduction in our standalone business which will again get normalized from Q1 of the current year.

With this, I'd like to hand over to the floor for the questions. We'd just like to set some ground rules for the questions. Since there are multiple participants and everyone has to be given an equal opportunity, we request all participants in the question queue to restrict themselves to one question, and if they have further questions , to rejoin the question queue so that everyone has an opportunity to ask their question. Over to you, ladies and gentlemen.

Moderator: Thank you very much. The first question is from the line of Vijay Pandey from Nuvama . Please go ahead.

Vijay Pandey: Hi, good evening. Thank you for taking my question. Sir, I wanted to check about the employee

expenses. So, can you give us a brief light on how many employees we have added and what is your expectation over coming two years, three years, Sir ? So, is it expected to remain at the quarter four level of 13 to 13.5 percentile is the percentage of sales or will it like come down , how should we see it from here on ?

Vikram Mohan: Good evening, Vijay. Thank you for that question. See, I would not like to talk about it as a percentage of sales . As a percentage of sales , the number has been higher because our overall top line has been lower. From a rupee value, it will remain the same and every July, we also go in for a salary increase, which will also kick in from July, but as the top line goes up , as a percentage of sales , it will come down. We always used to maintain it at around 11 .5 to 12% of sales and we are pretty confident that with the current increasing sales in the quarter one itself, we will be able to normalize it . The additional employees that we have added primarily in the R&D both for product and process will continue to remain in the system because it is going to take at least about 8 to 12 quarters for the product to get product ionized . So once that revenue kicks in, then further the employee cost will come down as a percentage of sales. I hope I've answered your question.

Vijay Pandey: OK. Just to confirm. So, we expect around 11 .5 to 12% over next two years and then probably it will come down further after two years, right?

Vikram Mohan: 11 and a 1/2 to 12% is on a normalized basis that what we have been delivering and we will continue to deliver that. But based on revenue that number could go up by half a percent plus, or minus variance.

Vikram Mohan: But a strategic decision has been taken to invest in additional employees in R&D, which will start yielding dividends about 8 quarters from now because they are developing new products and new ranges of products for the new verticals that we are launching.

Vijay Pandey: OK. OK. OK. I'll get back to the question queue .

Vikram Mohan: Thank you.

Moderator: The next question is from the line of Sandeep from Sundaram Alternates. Please go ahead.

Sandeep: Yeah. Good evening. Thank you for the explanation. My first question is pertaining to margins. I think you highlighted 2 reasons. One is the raw material price inflation as well as the mix because we've been doing lesser exports compared to the earlier period, which has impacted the gross margins. If you could split broadly, you know , how much was the impact because of raw material cost inflation because that will be passed through in the subsequent quarters, but the mix probably till the time is a bilateral treaty signed it is likely to remain in the books, so if you could help us with that ?

Vikram Mohan: The exports also has not come to a zero Sanjeev . OK, the export slowdown in quarter four, we are seeing the resumption even in quarter one of exports because these are critical to production and we are single source in many cases

OK, and also overnight we are not a component company. We are a product company . Overnight , the products cannot be replaced with some other source in some other low -cost country because there is a typical 2- year lead time to develop these products. And luckily, we are also sailing on a boat where alternatively these products can be obtained from China or from Vietnam, on whom also tariffs have been imposed. So, I don't see a risk on that. There could be a risk in the margins based on what the tariffs are going to be imposed. Our margins could come down a little bit, which I think we will have a lot more clarity on in about 3 months because a lot of the customers also want us to share if there is a tariff impact, share some of that tariff impact by reducing our price s. Whereas we have stood very firm saying that we will not be able to reduce the prices because we know the other two low -cost destinations that they can take these products from are China and Vietnam which are also facing similar tariffs and they will not be overnight able to replace us also, because there is a 2- year lead time to develop an alternative supplier because we are not a component supplier. So, we are standing very firm on our pricing also and not giving any reduction in pricing. So, I just think it's a matter of time before normalcy comes back and I don't think even on the exports, the volumes or the erosion of margins will happen for the foreseeable future, this is our internal analysis because I had requested our head of international business to travel extensively to America and some of our customers in Europe to understand their outlook and things like that, I think it is only a temporary jolt of about two quarters and normality will return after that.

Sandeep: Got it. If you could also highlight , what would be the near -term capital requirement in the acquired business of Sundaram, you know both in terms of things CapEx required to augment capacity align some capacity which you already have on books and typically what's the net working capital cycle in that business?

Vikram Mohan: I know that is the second question Sanjeev but since you have asked the question, I will answer it and if you have any further questions request you to join the question queue . We have planned over the next four quarters approximately between 225 crores to 250 crores of CapEx in Pricol Precision Products. This is to enhance efficiency by replacing about 50 machines add capacity in the tool room, add new machines, add automation, thereby also increasing our top line, because until today it was very dependent on TVS only. We are now starting to see openings in our other two -Wheeler customers. So, to enhance capacity debottleneck, improve efficiency and modernize combination of everything , We are looking at around 250 crores of CapEx over the next eight quarters in that company.

Sandeep: Got it. I'll join back to queue. Apologies for this and thank you so much for taking the second question.

Vikram Mohan: No problem. Thank you.

Moderator: Thank you. The next question is from the line of Kush Nahar from Electrum PMS. Please go ahead.

Kush Nahar: Yeah. Hi, Sir. Thank you for the opportunity. So, my question was considering these new product developments that you're planning over the next 8 to 12 quarters, could you guide us, because I think previously, we have spoken about 13 to 15% growth in Pricol. So, considering these new products, what would be our revised guidance in Pricol and in Sundaram ?

Vikram Mohan: The 13 to 15% growth guidance continues to remain even without these new products. These are new products that we are looking at 24 to 36 months from now start of production because in our industry especially in electronics and auto electricals, the lead time from starting to develop a product and starting to see revenues typically about 30 months. So, this is we

are already at FY25 and this is going to be revenues in FY28 and 29. So our revenue guidance for growth continues to remain the same what we have promised before. I had given an EBITDA guidance of about 12.5 to 13% normalized EBITDA which again from Q2 or latest by Q3 outermost we will get back to.

Kush Nahar: Similar for Sundaram?

Vikram Mohan: Pricol Precision Products will never have a 13 to 15% EBITDA because it is a component company. Typical margins for this range of products, the highest in the industry is about 11%. We are currently at around 7%, 7.2% when we acquired the company . Steadily we will keep increasing it to high single digits over a year and thereafter to a higher number as the top line increases and modernization takes place and we add more customers.

Kush Nahar: Right. Thank you for that answer , Sir. I actually meant for the revenue side also, considering that also.

Vikram Mohan: Revenue will grow for that company also for at least 10%, but we are aiming for a slightly higher revenue growth than that.

Kush Nahar: I think previously we had talked about I think doubling in three years considering inorganic opportunities also for Sundaram. So that has changed or ?

Vikram Mohan: That has not changed. This is I'm only talking of organic growth, but if you are able to add more customers other than TVS where I see the visibility we have already taken into account the capacity enhancement requirement, CapEx for that, I'm not giving a firm guidance on that because it's still very early days because it's just three months into the acquisition. We are more confident about improving the bottom line in the last three months and in the next three months we will have a lot more visibility on increasing the top line also. But we are also looking at inorganic growth there which will basically, we took it over at around 750 crores run rate. We are pretty confident of growing it to about 1500 crores top line in three years that I stand committed to that commitment that we have made.

Kush Nahar: Right, Sir. Thank you.

Moderator: Thank you. The next question is from the line of Vijay Pandey from Nuvama. Please go ahead.

Vijay Pandey: Just couple of housekeeping questions. Can you just point out that the portfolios the one- off expense related to the acquisition? And secondly, what is our exposure to the US market?

Vikram Mohan: I will request the first half of the question to be answered by our CFO - Priyadarsi Bastia and the second -half of the question to be answered by Ganesh - our CEO. Over to you, Priya n.

Priyadarsi Bastia: Good afternoon. This one- time cost what we have booked is the authorized capital increase, what we had to pay to MCA , that has been booked in Q4. Thank you.

Vijay Pandey: Sir, what was the amount ?

P M Ganesh: The second on exposure to us out of the total revenue of export, nearly 70% comes from the US market.

Vijay Pandey: What was the amount of the one time acquisition cost?

Priyadarsi Bastia: 1 crore.

Vikram Mohan: No, I'd like to also reiterate here. There are three aspects of it , I'd like to give an answer further to what our s enior executives have provided. There were costs of due diligence, legal, financial, etc., which is a one- time cost. Enhancement of limits and other things , there was a one- time cost. In terms of exports, there is about 7% of our revenue comes from exports of which about 70% is US linked. So, 5% of our revenue comes from exports but albeit at almost twice the margins of the OEM and domestic products. So, OEM comparison is it's equivalent to about 10% of our total revenue. But in real numbers it is from top line it is about 5% is our US exposure. I hope this answers your question a lot more clearer , Vijay.

Vijay Pandey: Yes, Sir. Thank you. And, Sir, just one more thing. What was the impact of the forex income in terms of total value.

Vikram Mohan: It was about 3 and a half crores.

Vijay Pandey: OK. Thank you.

Moderator : Thank you. The next question is from the line of Hemant Soni, an individual investor. Please go ahead.

Hemant Soni: Sir, thank you for providing me the opportunity. Just wanted to ask you one thing . We had earlier given a guidance of 3600 crores of revenue by FY26 and 400 crores of revenue through the inorganic route. So altogether 4000 crores of revenue by FY 26 if I'm not wrong, so our FY25 numbers are around 2600. So, this looks a little difficult to meet the guidance for FY26?

Vikram Mohan: No, in many calls earlier, Mr. Hemant, I don't know if you have followed all our calls. I'd always maintained that we see a visibility for 3600 crores of revenue, both organic and inorganic put together for FY26. And those numbers, we are still sticking to and very confident of meeting. It was not 3600 crores organic plus 400 crores inorganic. I think that is a mistaken statement. It is definitely we've always had a guidance of 3600 crores organically and inorganically by FY26 and if there are some green shoots or some new things we see could go up to as high as 4000 crores and a base guidance of 3600 crores and we stick to that guidance.

Hemant Soni: And Sir, the newly acquired entity will be contributing around 800 cr to the top line.

Vikram Mohan: Yes, thereabouts.

Hemant Soni: OK, Sir. Thank you. Thank you, Sir.

Mod erator : Thank you. The next question is from the line of Vipul Kumar from Shubh Mangal investment. Please go ahead.

Vipul Kumar: Hi, thanks for the opportunity, Sir. Is there any one- off in other expenses, Sir?

Vikram Mohan: There is no one off or other expenses at this point in time other than the acquisition cost that we have booked and the deferred earning of the Forex.

Vipul Kumar: And Sir, can you quantify the impact of dollar movement in terms of what was the impact on our bottom line?

Vikram Mohan: I had just said that to the earlier gentlemen, it is 3 and a 1/2 crores in Q4 which will be collected in a phased manner in Q1 and Q2 of the current financial year.

Vipul Kumar: Thank you, Sir. I'll rejoin the queue.

Moderator : Thank you. The next question is on the line of Saket, an individual investor. Please go ahead.

Saket: Yeah. My question was, Sir, for the current year, the new company that is acquired from Sundaram Group from the around ₹200 crore whatever the amount it was and the company is doing a top line of 8/900 crore rupees like when we see the Sundaram group there being a very big group and the other companies that are listed, they are having very high valuation. So, what was the reason of this company being at such a low valuation that we could acquire the company?

Vikram Mohan: Yes, thank you. That's a good question. It was strategically acquired at a much lower valuation than market value because in order to realize the full potential of this company, Pricol had to invest another 250 crores in modernization, in automation, in improving production efficiencies, so this was taken up by us for discussion and saying that we cannot acquire for a high value and further invest, it is going to have an impact on the return on capital employed, which is why we acquired a 750 crore turnover company for about 195 crores and another 250 crores is going to be invested to grow the company and bring it to a normalized EBITDA because the normalized EBITDA for the plastic component business is about 10% to 10.5%, whereas this company was only at around 7%. So, this was the reason we were able to negotiate and get the price down because of these inefficiencies in the company which needed a further capital infusion.

Saket: OK. So, like we have just consolidated 2 months of revenue and profits. So, if you can give me some light on what was the actual

last year's business revenue and what's the PAT level, do we have it taken into account, but what was it like?

Vikram Mohan: It was about 7 % EBITDA for the last year.

Saket: EBITDA. I am asking for the PAT level, Sir.

Vikram Mohan: At the PAT level, I think it was about 30 crores. Correct me if I'm wrong, Priya n our CFO.

Priyadarsi Bastia: Yes, Sir. It was around 30 crores.

Saket: So, like the 200 crores, so you're talking about 250 crores. We have to invest for the modernization. So, what is the timeline that we have putting the amount and by when we anticipate this EBITDA margin to reach this level?

Vikram Mohan: I think I had answered all of these questions to the earlier persons on the call as to when this investment will happen and how long it will take for the EBITDA to normalize. But so, I, but I will repeat it once more and I'm requesting other participants to kindly listen in when I'm giving the updates. So, these 250 crores will get invested over the next eight quarters, which has already started. Investments have started in Q1 itself and it is going to be broadly over the next eight quarters. The high single digit EBITDA we will achieve by the end of this financial year and then take it to a double-digit EBITDA in the next year when all investments are completed.

Saket: OK. So, one final question. So, like this amount, the investing for this part of the business, but again our business which we are into and that is also like that requires a lot of investments and all. So will this amount investment would have an impact on that part of the business. Because there also we have a lot of R&D.

Vikram Mohan: We are generating enough cash in our company which will take care of our growth.

Saket: Thank you so much, Sir.

Moderator : The next question is from the line of Sahil Rohit from Monarch Network Capital. Please go ahead.

Sahil Rohit: Yeah. Hi. Good evening, Sir. My question is that in the recent investor interaction, you had

mentioned that there was some supply chain issue, particularly with some electronic components. So, if you can share some more information on the same and how is that being tackled right now ?

Vikram Mohan: About 80% has been solved, Sir, and which is what is resulting in Q1 a great degree of normalization and by Q2 we expect complete normalization.

Sahil Rohit: What was that exactly? I mean, related to what?

Vikram Mohan: We had some quality issues from our Tier 1 vendor, so we had to develop some alternate vendors and alternate vendors have already come in, got approved by our ultimate customer and they have started supply.

Sahil Rohit: Yes, yes, thank you.

Moderator : The next question is on the line of Vijay Pandey from Nuvama . Please go ahead.

Vijay Pandey: Our tax rate in the Q4 was a bit summed up , just wanted to check what is the expectation for the upcoming quarters, upcoming year and also if you can tell us just one more thing was that I noticed that in cash flow, we have booked a loss from sale of wiping. But is this recorded in the P&L? Or is it?

Vikram Mohan: I will request our CFO to throw more light on this , Priyan , over to you.

Priyadarsi Bastia: Vijay. To answer to your first question, the tax rates are similar throughout the year. 25.168% we are at the lower tax regime and it is going to be similar in the coming period as well. To answer to your second question, yes, the wiping division as Managing Director , told in the beginning remarks , we have divested that business and that loss which arised out of that divestment has been booked. That has been booked in P&L then only it has gone to cash flow. Thank you.

Vijay Pandey: OK.

Moderator : The next question is from the line of Siddharth Chabra from Minerva Asset Advisors, please go ahead.

Siddharth Chabra: Ye

ah, hi. Thanks for the opportunity. I just wanted to ask the question regarding the instrument cluster. Regarding to FY25, what is the split between analog, digital, semi digital and TFT? And is that market shift or trend shift , is it still going to happen as quick as we expect it to happen?

Vikram Mohan: 1st, I thank you for that, for that pertinent question, I will answer part of it and I will request our CEO to answer the other half of it. First, it is no more called an instrument cluster. It is now called a driver information system, just on a lighter note, because it has become very content rich. So, we have 3 -4 categories . Mechanical , Electromechanical , Hybrid and TF T. We are constantly seeing a shift moving up the value chain , right, exactly in line with our projections. Bulk of the market is going to be in the electromechanical and in the hybrid clusters. The Premium segment is going to be in the TFT segment. The entry level bikes that were in the pure mechanical segment will , over the next two years fade out and move completely into the electromechanical segment. This is absolutely in line with our expectations and projections. I would like Ganesh, our CEO, to throw a little bit more light on this.

P M Ga nesh: Thank you. The shift we clearly see from mechanical to electromechanical and then from electromechanical to what they call the LCD type of display and the LCD type of display, which was earlier used in the premium motorcycle is moving into the TFT type of display. Overall, still, about 40 to 50% is with mechanical and electromechanical as we speak, and which was at a much higher number, more than 70% in 2020. It is already coming down and the LCD type of instrument clusters, primarily the digital driver Information system has been continuously increasing. Currently it is about 50 :50 and we expect mechanical and electromechanical to come down significantly in the next three years, which will be taken over by the electronic instrument clusters or the driver Information system.

Siddharth Chabra: So currently and for the TFT , is TFT somewhere around 4-5% of the two -wheeler market right now even less than that ?

P M Ganesh: Correct. It is about 5% as we speak, but the trend is that this is going to move up. This trend is going to move up in the in the coming years.

Siddharth Chabra: And the rest is split equally between hybrid and both the types of mechanical right?

P M Ganesh: Absolutely. Absolutely. Absolutely. Mechanical, will keep going down.

Siddharth Chabra: No, but as of right now. Currently it would be strictly fully between hybrid , right?

Vikram Mohan: No, no, there are no two kinds of mechanical, Siddharth. OK, let me talk once again. There is a pure mechanical low value, low margin cluster which in the next two years will fade out completely. Just to give you an example, what is on a Hero splendor bike. Right.

Siddharth Chabra: Right, right.

Vikram Mohan: It is 300- 400 product which will vanish totally , right. T hen we have something called an electromechanical, which is more high value, more rich in content. And then you have something called the hybrid. Now, in a few years, there will be zero mechanical low value , low margin products altogether you know, we are anticipating that will all move to the electromechanical. El ectromechanical will move to a hybrid cluster. 85% of the market will be evenly split 50 :50 between the electromechanical and the hybrid clusters, and about 10% of the market will go to the TFT clusters. I hope that answers your question.

Siddharth Chabra: Correct. And do we see this kind of shift happen? Like you said, mechanical will purely go away within a quick time span of say 1 -2 or 3 years maybe?

Vikram Mohan: Not one. I never said one, but in two to three years, 100% it will go.

Siddharth Chabra: But TFT becoming a meaningful share of the pi

e, like maybe 20 -25% do we see that posted by 30 or?

Vikram Mohan: 20-25 will not happen, 25% will not happen in the immediate future. This 5% will go to 10% over the next two years. I'm just giving the forecast for the next two to three years , is what we are talking about.

Siddharth Chabra: Sure. Thank you.

Moderator : The next question is from the line of Kush Nahar from Electrum PMS. Please go ahead.

Kush Nahar: Yeah. Thank you for the opportunity again, Sir, can you help me with the CapEx numbers in Pricol limited that you're planning over the next 2 -3 years ?

Vikram Mohan: We are going to be at the end of our high CapEx. We have two plants that are happening this year, Pune and Manesar. So, this year, correct me if I'm wrong Priya n, we are looking at around 200 to 225 crores of CapEx after which we will go into a maintenance CapEx mode. Priya n, can you just add to correct me if I'm right?

Priyadarsi Bastia: Yes, Sir. Absolutely. This year we are at the last leg of that CapEx journey.

Kush Nahar: Right. And sir , just to reconfirm, Sundaram entity , we'll be having around 225 to 250 over the next two years?

Vikram Mohan: Next two years , yes, this is standalone I spoke about this and these are two different things altogether. Yeah.

Kush Nahar: Alright, Sir. Thank you, Sir .

Moderator : Thank you. The next question is on the line of Jatin Chawla from RTL Investments. Please go ahead.

Jatin Chawla: Yeah, hi. Good evening and thanks for the opportunity. The first question, the question is on just the data point on the Pricol Precision , for the two months, if you could just give the Revenue, EBI TDA and PAT. And secondly on the for the full year 2- Wheeler revenues and you know what sort of outperformance we have seen over the underlying production volumes for

the industry ?

Vikram Mohan: I would not like to comment on the first half because it was the first two months and we had booked a lot of these acquisition costs, but the run rate is about, it will take us to about 800 - 850 crores this year. So, you can divvy up that.

Jatin Chawla: No. So my question was more to understand the underlying performance of the business rather than understand Pricol precision performance.

Vikram Mohan: OK. Underlying performance, which Priya n can comment about the February and March figures for this, we can Priya n can talk about, but that between the consolidated and standalone you can make out the difference. But I will request Priya n to answer that part of the thing , please Priya n.

Priyadarsi Bastia: Hi, we have booked around 140 crores of revenue with 5% .

Jatin Chawla: EBITDA

Jatin Chawla: And just on the 2-Wheeler revenue and the outperformance of the industry.

Vikram Mohan: Ganesh, I would request you to talk about that. How much are we outperforming the industry on 2-Wheeler . Q4 as I earlier mentioned, we have only been marginally higher than the industry because of the technological change of OBD 2. But on a normalized basis, Ganesh, I want you to comment about.

P M Ganesh : For the full year basis, I will tell you . The 2-Wheeler industry has grown by about 9% and we have grown by around 14%.

Jatin Chawla: Great. Thanks a lot.

Vikram Mohan: Thank you.

Moderator : Ladies and gentlemen, that was the last question for today's conference call. I now hand the conference over to the management for closing comments.

Vikram Mohan: On behalf of my entire management team, I would like to thank all of you for your interest and investment in our company and we thank you for participating in today's investor call. And as mentioned by me, we have been below our expectations and our investors' expectations in Q4 and I have given out all the reasons as to why that happened and we are very confident of coming back even with the 1st 45 days of thi

s quarter, we see a huge resurgence and we will continue to maintain this resurgence and have normalized results and good news in the coming quarters. Thank you very much for your participation. And wishing everyone a good weekend.

Moderator : Thank you. On behalf of Pricol Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

Call: Aug 2025

PL/SEC/TGT/2025 -2026/052 Monday , 4th August 2025

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BSE Limited
1st Floor, New Trading Ring
Rotunda Building, P J Towers,
Dalal Street, Fort, Mumbai 400 001
Scrip Code: PRICOLLTD Scrip Code: 540293

Dear Sir,

Sub: Con -call Transcript

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we herewith submit the Transcript for the Con -call held on Friday, 1st August 2025 at 04:00 PM (IST) pertaining to Company's unaudited financial results for the quarter ended 30th June 2025 .

This is for your information and records.

Thanking you
Yours faithfully,
For Pricol Limited

T.G.Thamizhanban
Company Secretary
ICSI M.No: F7897
Encl. As above

Page 1 of 14 PRICOL Limited
Q1 FY'26 Earnings Conference Call
August 01, 2025

Moderator: Ladies and gentlemen, good day and welcome to the Q1 FY'26 conference call of PRICOL Limited.

As a reminder, all participant s' lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" followed by "0" on your touchtone phone. Please note that this conference is being recorded.

At this time, I would like to hand over the conference to Ms. Purvangi Jain from Valorem Advisors. Thank you and over to you ma'am.

Purvangi Jain : Good evening everyone and a warm welcome to you all. My name is Purvangi Jain from Valorem Advisors. We represent the Investor Relations of PRICOL Limited.

On behalf of the Company , I would like to thank you all for participating in the Company 's earnings call for the 1st Quarter of the financial year 2026. Before we begin, let me mention a short cautionary statement. Some of the statements made in today's conference call may be forward -looking in nature. Such forward -looking statements are subject to risk and uncertainties which could cause actual results to differ from those anticipated. Such statements are based on management's belief as well as assumptions made by and information currently available to the management. Audiences are cautioned not to place any undue reliance on these forward -looking statements in making any investment decisions. The purpose of today's earnings call is purely to educate and bring awareness about the Company 's fundamental business and financial quarter under review.

Now let me introduce you to the Management participating with us in today's Earnings Call and hand it over to them for their opening remarks. We have with us Mr. P. M. Ganesh – Chief

Executive Officer and Executive Director, Mr. Siddharth Manoharan – Director - Strategy, and Mr. Priyadarsi Bastia – Chief Financial Officer.

Without any delay, I request Mr. P. M. Ganesh to start with his Opening Remarks . Thank you and over to you, sir.

Page 2 of 14 P. M. Ganesh: Hello, good evening to all of you and very nice to connect with you once again. I am sure that you have had a chance to go through the upload of whatever we have done in the Stock Exchange and welcome to the Q1 of FY'26 Financial Performance.

Straight away I will go to the Financial Performance:

Starting with the revenue from operations stood at INR 877.66 crores with an EBITDA of INR 101.8 with an EBITDA margin of 11.61%. The PAT stood at INR 49.89 crores with a PAT margin of 5.68% . EPS has gone up to INR 4.09. Our consolidated long -term borrowing as of Q1 is at Rs. 109. 7 crores .

Coming to the growth percentages:

Revenue from operation has grown at a healthy 45.57%. The EBITDA stood at 26.30% in terms of its growth. Cash profit was at 23.87 % and profit was at 9.51%. Thank you again once again and ov

er to you ma'am for the Q&A.

Moderator: Thank you very much. We will now begin the question -and- answer session. The first question is from the line of Vijay Pandey from Nuvama. Please go ahead.

Vijay Pandey: Hi sir. Thank you for taking my question. I wanted to check if you can give a break -up of what was the sales and what was the EBITDA margin for the PRICOL Precision Company . That is my first question. And secondly, if you can give us an update about the employee expenses, In the fourth quarter, it went up as a percentage of sales. I just wanted to check, and I think the Company stated that it will come down to nominal levels within two to three quarters. Do you still see that to be the case or is there going to be a difference by probably a quarter or something like that? These will be the two questions from my side.

Siddharth Manoharan: Good evening, Mr. Pandey. Thank you for your question. On the first part, let me answer. We have clocked a turnover of close to INR 205 crores for the 1st Quarter in PRICOL Precision Products Private Limited. With an EBITDA of close to 7%.

Vijay Pandey : Okay.

P.M Ganesh: The employee cost percentage was at around 12% and as we have been telling in the previous earning call, we are making some forward -looking recruitments primarily for many of our new projects which are going to be launched in the next couple of years.

Vijay Pandey: Sir, just one more, just wanted to check w hat is your view on the ABS regulation that i s going to come up? The disc brake which we are making, that should see an incremental growth from next year because of the ABS or how should we look into it?

Page 3 of 14 P.M. Ganesh : Absolutely. I think this is going to be a high potential area for growth and disc brake we have launched since Q2 of this year, just starting this month. We have already supplied to a few of the startup EVs and the disc brake system has come out very well. As you rightly said, the ABS regulation is becoming ma ndatory from January 2026 even starting with the 100cc two -wheelers, it means that the disc brake would be mandatory for all the vehicles in which ABS is going to be used. This gives us a lot of oppor tunities in terms of growth which we are seeing in the next couple of years. Also, one of our strategic two -wheeler customers, our mainframe customer, we are going to start the productionization from Q4 of this financial year.

Vijay Pandey : Okay.

Moderator: Thank you so much. The next question is from the line of Rahul Deshmukh from LKP Securities. Please go ahead.

Rahul Deshmukh: Thanks for the opportunity and congratulations on a good set of numbers. I have a couple of questions. My first question is that I just wanted to get some kind of sense on coming quarters as a couple of EV launches are scheduled within the next two, three quarters although there is slowdown in entry PV but SUV export and tractors are performing really well. So, considering the tax cut, monsoon and pay commission which is expected to improve the demand in PV as well as in two -wheelers, how do you see revenue mix evolving and what kind of growth are we expecting in short to medium term?

P.M Ganesh: Thank you for the question. Q1 has been muted quarter in terms of the OEM vehicle sales as you would have seen. The two -wheeler has just grown by 1%. That is primarily because you would have heard in the media about the shortage of rare earth magnet primarily due to the restriction of rare earth magnet from China. It had headwinds during Q1 and we expect the headwinds to continue in Q2 also. There have been uncertainties in the market in terms of the model mix change with the various OEMs. PRICO L has put a good amount of resilience in terms of meeting those changing conditions and despite the mark et being muted during Q1, PRICOL has shown a double- digit growth as you can see. Q2 , also we expect headwinds at from the OEM in t

erms of model mix changes and primarily they are countering the rare earth magnet shortage through multiple ways of de- risking. We expect that yes there are going to be certain

uncertainties in Q2 before there are permanent solutions found for the rare earth magnet. I am sure that Q3 onwards you will find a much more stable revival of the two-wheeler production and thereupon till Q4. So, that is where we see but primarily PRICOL as you could have seen in the presentation has also launched a number of new products which have supported us to beat market growth and that is where we are today and we expect a steady growth to happen though these headwinds are something which is not in our complete control.

Rahul Deshmukh: Thank you sir and my second question is how do you see margins evolving for the coming quarters as Sundaram acquisition is done and content per vehicle is I think also expected to increase over coming quarters supported by new product categories as just you mentioned and increasing content per vehicle. So, how do you see margins over next two-three quarters?

P.M Ganesh: So, actually that would be a little difficult for us to predict at this point of time but you would have seen the Q1 margins, we hope that we should be in a position to be around that margin but again as I told you there are unpredictable conditions because of the rare earth magnet we have to wait and see but we are putting up a good what you call plan B so that we are able to be around the EBITDA margins whatever we have done during Q1.

Rahul Deshmukh : And sir any margin outlook for the Sundaram specifically P 3L?

Siddharth Manoharan: Mr. Deshmukh, good evening. To further qualify specifically on the PRICOL Precision Products Private Limited, again earlier I just answered to Mr. Pandey's question that what we have clocked in terms of EBITDA for Q1. As you are all aware we have been successfully integrating the organization. There was a lot of one-time calls that were involved which also helped to make EBITDA at the levels what it stood for Q1 but we have put together a comprehensive profitability improvement plan which is all starting to see results as we speak and we are quite confident from Q2 onwards the initiative that we have put in place will yield better results and take us to good heights and we are also seeing a good amount of leverage after integration by looking at the customer concentration of PRICOL Limited and thereby leveraging larger business buying for PRICOL Precision Products as well.

Rahul Deshmukh : Okay and sir have you added any new clients for the Sundaram?

Siddharth Manoharan: We are in the process of leveraging PRICOL's larger ecosystem of client pools and our strategic customers which will yield results in the upcoming quarters.

Rahul Deshmukh : Okay, thank you.

Moderator: Thank you. The next question is from the line of Khush Nahar from Electrum PMS. Please go ahead.

Khush Nahar: Yes, hi sir. Thank you for the opportunity. So, a couple of questions from my side. One, because of this ABS regulation, could you quantify in terms of the total addressable market that would open up for PRICOL? Because I think our previous target was around INR 300 crores is what we could do from the capacities that we have. So, because of the regulation, one, do we want to increase this capacity and two, what can be the larger picture in this segment?

Secondly, because of this magnet issue which will persist in Q2 also, are we still confident because of the product launches? Because I think previously, we have guided for around 11 to 13% growth in the PRICOL business. These two questions.

Page 5 of 14 P.M Ganesh: Khush, thank you for your question. First, I will answer the first one. Disc brake actually has been in the incubation stage and it has just got launched into the market. And as I told that end of this financial year in Q4, we are going

to start the mass production for one of our major strategic two-wheeler customer. Having said that, with the ABS regulation, the market is going to be very supportive in terms of the disc brake growth. To quantify that, how it is going to ramp up would be a little early for us. Maybe during Q4, maybe we will be in a much better position to tell you how the ramp-up is going to happen. This is the update on disc brake. Second question was on the, yes, on the rare earth magnet. Yes, the headwinds and the uncertainties are going to continue in Q2 as well. As we explained, it is something that we have to wait and watch because, yes, something that uncertainty is beyond our control. But as we explained, PRICOL is putting up very, very good alternate plans to see how we can mitigate this risk.

Khush Nahar : Right, sir. So, we are confident on the 11% to 13% and we will be able to achieve them.

P.M Ganesh: I would not be in a position to attribute any number to this. But what we can tell is we are working constantly on a number of alternate plans to mitigate this.

Khush Nahar : Sir, I have just one follow-up on the ABS. So, how do we see the competitive landscape in that segment?

P.M Ganesh: There are a number of mature players in the market. But it is going to open up a lot of opportunity for new players like PRICOL because the mandatory regulation is going to be there. It is going to open up a lot of avenues in terms of growth for even new players like PRICOL. I think the growth is going to be good in the next two years.

Khush Nahar : Right, sir. Thank you.

P.M Ganesh : Thank you, Khush.

Moderator: Thank you. The next question is from the line of Shubham Batra from Ambit AMC. Please go ahead.

Shubham Batra: Hi, sir. Thanks for taking my question. Congratulations on a good set of numbers. Could you throw some light on the technology license agreement that we have done with the Italy-based player? What kind of market size are we looking at? And what are the timelines of when we can see revenue coming on from this player?

Siddharth Manoharan: Good evening, Mr. Batra. We have signed the technology license agreement with an Italian firm called Domino for control systems primarily on two-wheeler handlebars components such as switches, throttles, levers, etc. This is an exclusive arrangement for the Indian and Southeast Asian markets and this is also being done primarily on behalf of the customer confidence that Page 6 of 14 they had in PRICOL and we are quite confident to start seeing some revenues twelve to sixteen months from here on.

Shubham Batra: Is this a case of import substitution or are there currently players also doing this in the market?

Siddharth Manoharan: There are a couple of competitors, but we also see a space for us to enter into and some of the customers have spoken to us and asked us to get into the space. That is how we found this partnership and we are quite confident to create a niche for PRICOL in this marketplace.

Shubham Batra: Sure. Got it. One last follow-up. What kind of content for a vehicle would we be looking at when we are supplying the whole handlebar along with the BIS?

Siddharth Manoharan: It will be too early for us to comment on or give any numbers at this point in time, Mr. Batra. So, maybe we will park it for now and we will give you better guidance in a couple of quarters.

Shubham Batra: Sure. Thank you.

Moderator: The next question is from the line of Rahul Deshmukh from LKP Securities Limited. Please go ahead.

Rahul Deshmukh: Yes, sir. Just a bookkeeping question. So, could you please help me with segment-wise breakup? Like how much contribution was there from two-wheelers, PV or CV, etc.?

P.M Ganesh: About 65% of our revenue comes from the two-wheeler segment. I am giving you a rough estimate. It could be varying here and there, but as a thumb rule, about 65% comes from the two-wheeler segment, about 10% comes from the personal passenger vehicle segment, about

15% comes from the commercial vehicle segment and about 10% comes from the off-road vehicle and tractors. This is the broad breakup of the 100%.

Rahul Deshmukh: Okay. Thank you.

Moderator: Thank you. The next question is from the line of Saurabh Kachhawa from Reliance General Insurance. Please go ahead.

Saurabh Kachhawa: Yes. Thank you for taking my question, sir. Sir, I wanted to get a sense about the new product launches that we are having for the likes of smart cockpit or battery management system. So, I just wanted to know what could be the market size for these products and what would be the margins in this upcoming new product look like?

P.M Ganesh: Saurabh, thank you for this question, but it's a little early for us to predict in terms of the margins and the market size. As we explained during the previous earning call, e-cockpit and BMS are currently developed and it is testing at various customer places. It is going to take another couple of quarters before we could come in terms of what is going to be the growth

Page 7 of 14 plan and strategy for both e-cockpit and BMS. Please bear with us for another couple of quarters before we could come and explain to you more about the growth. But as we speak, the development has been completed and it is under testing at various customer places.

Saurabh Kachhawa: Okay, sir. Thank you.

Moderator: Thank you. The next question is from the line of Sewant, an individual investor. Please go ahead.

Sewant: What is the revenue from passenger vehicles in driver information systems?

P.M Ganesh: As I told you, about 10% of our revenue came from the personal passenger vehicle. And most of it are from the driver information system.

Sewant: Okay. So, how do you expect this to scale up in a couple of years, for especially passenger vehicles in EIS segment?

P.M Ganesh: It is difficult for us to pick a number on this, but we are actively working with the OEMs in terms of the new product and one of the things like the previous caller mentioned on the e-cockpit as well, we are working with a few key OEMs. The growth in terms of numbers would be difficult for us at this point of time. But we are seeing a good growth in the personal passenger vehicle in the future years to come.

Sewant: Okay, thanks. That is it from me.

Moderator: Thank you. The next question is from the line of Vipul Kumar from Sumangal Investments. Please go ahead.

Vipul Kumar: Hi, sir. So, my question is, when the margins from this acquired entity, this PRICOL Precision Products will converge to the margin of PRICOL Limited? Over what time frame?

P.M Ganesh: See, it is going to be quite difficult for us to talk when this convergence will happen because PRICOL Precision Product has got a lot of growth potential, number one and second thing is we are going in to more of engineered plastic, Precision Plastics we have got. We have started developing a roadmap in terms of EBITDA improvement. Maybe we will see that the growth in terms of both top-line and EBITDA will continue to improve. But if you ask us when it is going to have a meeting point, we are not very sure whether we are absolutely clear on the timeline of this.

Vipul Kumar : So, after two to three years, where do you see the margin of Precision Product entity?

P.M Ganesh: It is difficult for us to anticipate what is going to be the margin because we have just commenced our operations a quarter back and there are a number of programs actually which Page 8 of 14 have been encouraged by the customers in terms of its top -line. So, we have to just wait and see. We are putting a lot of efforts in terms of both its top -line and then the cost -saving measures.

Vipul Kumar: And lastly, sir, this ABS regulation, so the business which will be flowing due to that, that will be mainly through this entity

or PRICOL has also products for that regulation?

P.M Ganesh: So, disc brake is a part of PRICOL, not of PRICOL Precision. So, that is what we were explaining that we are going to see a good growth in the next couple of years primarily because of start of regulation from January 2026.

Vipul Kumar: Okay, sir. Thank you and all the best.

Moderator : Thank you. The next question is from the line of Mitul from DAM Capital. Please go ahead.

Mitul: Sir, thank you for the opportunity. Sir, I have two questions considering the current geopolitical issues and various global challenges. First one is, as ongoing US tariff -related challenge in terms of the major slowdown in the global auto market and also to some extent impacting the Indian OEMs also, are we facing any impact of that directly or maybe indirectly in terms of the discussion with the OEMs in our next one or two quarters of our dispatches?

P.M Ganesh: Mitul, as of now, we have not seen any uncertainty because of that because I think the US tariffs have not been firmed up, as you know that there are several different information in the last two to three months and it is keeping on extending. So, at this point of time, we do not see any uncertainties in terms of our product getting affected because of tariffs to the US market.

Mitul: And any impact on any of the future export strategy, we are doing any change based on that or nothing to do with that?

P.M Ganesh: We are not foreseeing at this point of time, but we have to wait and see how this tariff thing is going to turn out. But as of now, there is no effect because of that.

Mitul: Second question on this procurement of raw material or few components from China. As we have seen the issue for rare earth, anything similar we are finding, not a complete restriction, but any challenges in terms of the supply from China for any of the parts, whether electronics or TFT, and are we going or looking out for similar alternate sources also as a strategy of mitigating that risk of depending on one source?

P.M Ganesh: Sure. See, we have mitigated most of the products which we were buying from China way back in 2020. You remember during the COVID crisis, many of the tier one companies including PRICOL put a lot of plans to mitigate this risk and we have been quite successful on that. But there are certain products like displays where China is the largest source of manufacture in the entire world. Not only to the automotive, they supply to the consumer electronics also. But Page 9 of 14 this is something that PRICOL already has started good initiative in terms of backward integration and localization to a good extent. Our target is that in the next four quarters, we should be in a position to start some kind of backward integration or localization of the displays. Though not fully, we will have a good initiative in terms of backward integration. But if you ask me whether you can 100% de-risk China, maybe the answer is no at this point of time.

Mitul: Understood, sir. Thanks and all the best.

P.M Ganesh : Thank you.

Moderator : Thank you. The next question is from the line of Vijay Pandey from Nuvama. Please go ahead.

Vijay Pandey: Just thanks for the follow -up. I just wanted to check, should we expect the PRICOL Precision to reach around 8 or more than 8% margin this year in FY '26 and if not, probably next year? You can just help us build out how we should look into it. Secondly, there are many players entering into the plastic model business. There are a lot of acquisitions happening. The other competitors also do. How should we see that we will be able to turn around this business in terms of the volume growth? It is mainly with TVS Group as of now. So, how we are going to convert like Bajaj Auto or Hero or any other OEM for that matter. You can give us guidance on both of these. That will be very helpful.

Siddharth Manoharan: Thank you, Mr. Pandey.

In terms of opportunities and synergies, as I mentioned earlier, as you rightly know, I would also like to highlight that it is not any turnaround. The Company itself is quite healthy in terms of the growth potential, what it was seen over the past couple of years but after PRICOL's takeover, there are a lot more synergies opening up for us, considering our larger pool of customer portfolio. The Company was traditionally dependent on the TVS and had certain restrictions also to reach out to other customers, being part of the TVS umbrella. But with PRICOL taking over, we see a lot of opportunities with our strategic customers and a lot of them have already started reaching out to us, started floating RFQs. So, we see a good growth potential in the upcoming years for that particular division, with our current set of customers itself. And secondly, we are also working on to add more value-added products to the portfolio, moving up the value chain, thereby the margins are also steadily improving. And we have also put in place a lot of performance improvement plans, efficiency improvement

plans, which is yielding results in terms of increasing our bottom line and we are quite confident this year we will be launching comfortably a healthy single-digit EBITDA and at a consolidated level to maintain the EBITDA rate for the organization overall.

Vijay Pandey : Okay. Thank you.

Moderator : Thank you. The next question is from the line of Khush Nahar from RMS. Please go ahead.

Page 10 of 14 Khush Nahar: Hi, sir. Thank you for the opportunity again. My first question was, could you tell us in terms of CAPEX, what is the amount that you are planning to spend over the next three years on a consolidated Company level? And what is the capacity utilization in PRICOL Precision Products?

P.M Ganesh: Hi, Khush h. In the next three years, we will be spending somewhere around Rs. 500 crores of CAPEX on a consolidated level. And capacity utilization is something like the Company can scale up for another 20-22% further revenue with existing capacities.

Khush Nahar : Thank you.

P.M Ganesh : Thank you.

Moderator: Thank you. The next question is from the line of Smit Shah from Monarch Network Capital Limited. Please go ahead.

Smit Shah : Sir, congratulations on a good set of numbers. I want to know about the segments apart from two-wheelers. Is it safe to assume that they are largely growing with the industry and the bulk of the outperformance coming from the premiumization in the two-wheelers?

P.M Ganesh : You are asking about the industry or PRICOL?

Smit Shah : PRICOL.

P.M Ganesh: PRICOL has been growing in all segments of market. As I mentioned, though in Q1, there was a muted growth across the segments. In fact, the whole industry has grown in totality about less than 2%. We have outperformed the market in all segments of the market, not only in two-wheeler, but in commercial vehicles, in passenger car, in construction equipment, and tractors as well. So, that is the reason we are able to show double-digit growth and if you see our presentation, which has been uploaded, you can see a number of new product launches, which has happened across the segments of the market.

Smit Shah : Okay. So, my next question is on PRICOL Precision. What was the revenue number and EBITDA margin number for like last year, 1st Quarter?

P.M Ganesh : Last year, Q1, they were around INR 170 crores of top-line and weekly 5% EBITDA.

Smit Shah : Sorry, sir. I missed out on the EBITDA margin.

P.M Ganesh : 5%, around 5% EBITDA last year

Smit Shah : 5%. Okay. Thank you, sir.

Page 11 of 14 Moderator: Thank you. The next question is from the line of Arvind R. from Sundaram Alternates. Please go ahead.

Arvind R: Yes. Thank you so much for the opportunity. Congratulations on the good set of numbers, sir.

So, on DIS systems, I want to understand one thing, either sequentially or by year-on-year, how

much of the revenue growth is contributed by volumes and how much should be by ASPs. I mean, yes that is the first thing I would like to understand. And with respect to gross margins sequentially, it has come down a bit. Is it primarily because of the PPB business, I mean, Precision Product business, or even in DIS systems business, we had some, like, margin compression, which was going on there?

P.M Ganesh: It would be very difficult for us to quantify in terms of the DIS margins, whatever we are doing. The combined margins is what you are already seeing on the performance. See, the margins actually is little fluctuating, but it will become all right, primarily because of fluctuation in the dollar to rupee conversion. If you see that even two days back, there has been a steep depreciation of the INR against the dollar and since we are import dependent, there will be some fluctuation in terms of the margins, but it gets regularized because 100% of our external factors like the raw metal forex are indexed back to back with the customer.

Arvind R : Sure. Also, the question on what would be the impact of volumes on the revenue growth?

P.M Ganesh: No, PRICOL has been in the last few years having more value growth when compared to the volume growth. And this is expected to continue because of the premiumization happening in the drive information system space and we expect this to continue for a few more years, because a lot of conversion which are happening from the mechanical meters into more of electronics and there upon into the high-end electronics.

Moderator: Thank you. The next question is from the line of Zubin Puruseth from Karma Capital. Please go ahead.

Zubin Puruseth : Hi, sir. Am I audible?

P.M Ganesh : Yes, please, Zubin. Please.

Zubin Puruseth : Yes, hi. Sir, I just want to get a sense with respect to the other segment that we have, that is the actuation control and product management. So, if you can just help us with how we see this segment growing apart from the aspect where you have already spoken about the brakes and it would just be a request if you all could also give revenue break-up for both the segments going forward, if that would be possible.

P.M Ganesh: In terms of revenue potential in the past and going future, we expect a good growth in the actuation control and

rate management system. We call that the ACFMS. And the good portion

Page 12 of 14 of it is the export content of this segment is quite encouraging. We supply both to the Europe and the US market, primarily into many of the marquee customers like Caterpillar, Harley - Davidson, Polaris, Generac, and Kohler . We have got a number of customers with whom we export our ACFMS products to the US and Europe. So, we expect a good growth potential in this area. Another key segment where we have been constantly growing in this area is our fuel pump. Primarily, we started in a small manner in 2020 for the two -wheeler. Today, we supply to many of the two -wheelers in the country and also export fuel pumps to various countries. So, going forward, we see the momentum to continue. Breakup, it varies a lot actually between the driver information system and the ACFMS primarily because of the customer and model mix change. So, it will be very difficult for me to give a percentage on that.

Zubin Puruseth : Right, sir. Sir, like for example, in the past, you have said t hat 13% to 15% growth from PRICOL is what is expected from the parent Company . So, just wanted to sense as to how much we are seeing growth with respect to the ACFMS side apart from the DI S. So, that is where actually I was coming from.

P.M Ganesh: Actually, ACFMS has been growing steadily. You can see that whatever quarter -on-quarter performance we have been showing, there has been equal growth between the driver information system and ACFMS. And whatever growth we see in the fu

ture also, I think it is

going to be a very balancing act. It is not that one segment is going to grow and another division is not going to grow, it is equally growing at both sides.

Moderator: Thank you so much. The next question is from the line of Saurabh Kacc hawa from Reliance General Insurance. Please go ahead.

Saurabh Kacchawa: Sir, as I can see in your PPT and the results, your revenue has grown by 45%. I just wanted to understand the growth percentage in terms of the segment. How much has the growth come from two wheelers, four wheelers, CVs, etc.?

P.M Ganesh: Actually, as a percentage of our sales mix, I just explained about the sales mix. But in terms of the total growth, actually, as I said, we have outperformed the market. The market has grown only by less than 2% on a consolidated basis. That is, two wheeler, commercial vehicle, personal passenger vehicle, all put together, the market has grown less than 2%. Whereas, PRICOL has grown more than 10%. So, many of the products are also common across the segments. So, it will be very difficult for us to separate out segments and say which of the segments of our product has been contributing. But overall, as a blended growth, you would have seen that we have grown by a healthy double digit.

Saurabh Kachhawa: What would be the Geography mix for this quarter. What was the percentage of exports and domestic sales?

P.M Ganesh : Okay. Our export is about 7 -8% and the remaining comes from the domestic market.

Page 13 of 14 Saurabh Kachhawa: And sir, do we see the export number increasing going forward?

P.M Ganesh: Yes, we do see. As I explained that there are good opportunities that currently we are working with multiple customers, both in the US and Europe market.

Saurabh Kachhawa: Okay. Thank you, sir.

Moderator: Thank you. The next question is from the line of Arvind R. fro m Sundaram Alternates. Please go ahead .

Arvind R: Yes, this is one follow -up question. So, on the D IS system, there is a volume growth of vehicles better than the industry. And do we think it will continue to be the case for subsequent quarters or years?

P.M Ganesh: Yes, we have been in a good growth momentum in terms of both volume and value in the driver information system and the ACFMS vertical. We expect that this growth momentum should continue.

Arvind R : Okay, better than the industry should continue in the medium term also, in terms of volume.

P.M Ganesh: In the past quarters, we have been outperforming the market on a steady state. We are hopeful that we will continue the same trend.

Arvind R : Sure sir.

Moderator: Thank you. The next question is from the line of Manish, a n individual investor. Please go ahead .

Manish: Yes, thank you for the opportunity. My first question is regarding the CAPEX. So, you have mentioned that we will be doing INR 500 crores across three years. So, I wanted to know the bifurcation here. So, how much for the PRICOL P recision handlebar foray and for the standalone business?

Management: Yes, Manish. Out of the INR 500 crores of CAPEX, like INR 250 to Rs. 300 crores will be for PRICOL P recision and balance will be for PRIC OL L imited.

Manish: Okay. My second question would be regarding the top three customers and their corresponding revenue share, if you could share this.

P.M Ganesh: See, the top three customers are primarily the order of manufacturing. You see that two - wheeler is the largest market in India, where close to two -thirds of the volume of Indian automotive is produced from the two -wheeler. So, is our customers also in the order of the two-wheeler primarily, the top three comes from the two -wheeler, followed by the personal
Page 14 of 14 passenger vehicle and the commercial vehicle. So, we exactly follow the pattern of vehicle

manufactured in India. That is why we are not segment dependent. We are across all segments of the market.

Manish : Yes, I just wa

nted to know the names of the customers, if that is not an issue.

P.M Ganesh: That would be difficult because of the confidentiality that we have with each of the customers.

It will be difficult for us to give the breakup.

Manish : Okay, no problem. Thank you.

P.M Ganesh : Thank you so much.

Moderator: Thank you. As there are no further questions, I would now like to hand the conference over to the management for closing comments.

P.M Ganesh: Thank you so much again, once again for the participation. Good evening to all of you. So, see you soon during the Q2 earnings call of FY '26. Thank you so much.

Moderator: On behalf of PRICOL Limited and Valorem Advisors, that conclude this conference. Thank you for joining us and you may now disconnect your lines.

Call: Nov 2025

PL/SEC/TGT/2025-2026/096 Tuesday, 11th November 2025

Listing Department
National Stock Exchange of India Limited
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Bandra-Kurla Complex,
Bandra (E), Mumbai - 400051 Corporate Relationship Department
BSE Limited
1st Floor, New Trading Ring
Rotunda Building, P J Towers,
Dalal Street, Fort, Mumbai 400 001
Scrip Code: PRICOLLTD Scrip Code: 540293

Dear Sir,

Sub: Con-call Transcript

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we herewith submit the Transcript for the Con-call held on Friday, 7th November 2025 at 04:00 PM (IST) pertaining to Company's unaudited financial results for the quarter and half year ended 30th September 2025.

This is for your information and records.

Thanking you

Yours faithfully,
For Pricol Limited

T.G.Thamizhanban
Company Secretary
ICSI M.No: F7897

Encl. As above

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Page 1 of 11 PRICOL Limited
Q2 and H1 FY26 Earnings Conference Call
November 07, 2025

Moderator: Ladies and gentlemen, good day and welcome to the Q2 and H1 FY 2026 Conference Call of PRICOL Limited.

As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing '*' then '0' on your touchtone phone.

Please note that this conference is being recorded. At this time, I would like to hand the conference over to Mrs. Purvangi Jain from Valorem Advisors.

Thank you, and over to you.

Purvangi Jain: Good afternoon everyone and a warm welcome to you all. My name is Purvangi Jain from

Valorem Advisors. We represent the investor relations of PRICOL Limited.

On behalf of the company, I would like to thank you all for participating in the company's Earnings Call for the second Quarter and Financial Year 2026. Before we begin, let me mention a short cautionary statement. Some of the statements made in today's Earnings Call may be forward-looking in nature. Such forward-looking statements are subject to risks and uncertainties, which could cause actual results to differ from those anticipated. Such statements are based on management's beliefs as well as assumptions made by and information currently available to the management. Audiences are cautioned not to place any undue reliance on these forward-looking statements in making any investment decisions. The purpose of today's Earnings Call is purely to educate and bring awareness about the company's fundamental business and financial quarter under review.

Now let me introduce you to the management participating with us in today's earnings call, and hand it over to them for opening remarks. We have with us Mr. Vikram Mohan, Managing Director; Mr. P.M. Ganesh, Chief Executive Officer and Executive Director; Mr. Siddharth Manoharan, Director of Strategy; and Mr. Priyadarsi Bastia, Chief Financial Officer. Without any delay, I request Mr. Vikram Mohan to start with his opening remarks. Thank you, and over to you, sir.

Page 2 of 11 Vikram Mohan: Welcome, namaskar, vanakkam to the H1 Earnings Call of Pricol for the financial year ending 31st March 2026. I hope all of you had a good festive season and had a good time with all of your family.

I hope all of you did see the presentation that has been uploaded. I'll give you a very quick synopsis of the same, and then we will move to the questions. I am sure a lot of you have questions to ask us.

We are overall pleased to deliver a good set of numbers for the first half of the year and the second quarter of the year. Our revenue from operations on a cons

olidated basis stands at

around INR 988 crores with an EBITDA of INR 123.35 crores, thereby giving an EBITDA margin of 12.49%, a PAT of INR 64 crores, PAT margin of 6.5% with an EPS of INR 5.25 per share for the quarter. And for the half year, revenue from operations of INR 1,865.59 crores with an EBITDA of INR 225 crores, EBITDA margin of 12.07%, PAT of INR 113.88 crores, PAT margin of 6.1% with an EPS of INR 9.34 per share, which has seen a significant increase from H1 of the prior period and the Q2 of the prior period on a year-on-year basis.

On a consolidated basis for the quarter, our revenue from operations has grown significantly by 52%, both organically and inorganically. This has been affected by the acquisition of the new company, which is the name and style of Pricol Precision Products Private Limited, the injection molding division of Sundaram Auto that we had acquired, and our own very healthy growth has resulted in this 52% growth. Also a 41.59% EBITDA growth. You may feel why has the EBITDA growth been a little lower than the revenue growth. It is because of the consolidation of the plastics business that we acquired at a lower EBITDA, and slowly and steadily improving the EBITDA of that business. Our revenue from operations for the first half has grown by 48.89% and EBITDA by 34.24% compared to the same period in the prior year.

I do hope the set of numbers and any other questions related to this, we will answer in the question-and-answer session going forward. May I request all participants to restrict themselves to one question to allow other people to have a chance to ask their questions. If there are more than one question, request them to join the queue again. Thank you.

Moderator: Thank you very much. The first question is from the line of Vijay Pandey from Nuvama. Please go ahead.

Vijay Pandey: Congratulations for an excellent quarter. First, a couple of housekeeping questions. Just can you tell us what was the revenue above from Pricol Precision and what is the EBITDA margin from there?

Vikram Mohan: I will request our CFO to answer the specific question. But EBITDA margin, when we took over the company, was at around 6.3% in March of this year, and it's been steadily growing month-on-month with the actions that we have been taking and has hit a number of about 9.5% in the Page 3 of 11 month of September, which we hope to maintain and sustain in the months forward and a marginal improvement on that. So, it's been a steady improvement.

We have been having 0.5% or so EBITDA improvement every month since we have taken over with all the restructuring activities that we have planned. With regard to revenue and EBITDA for the H1, Priyan, I request you to take that.

Priyadarsi Bastia: Good evening. For Q2, the revenue was INR 235 crores with an EBITDA of 9.08%. Thank you.

Vijay Pandey: Secondly, so as we now look forward, we expected that there will be some production issues from rare earth magnets in Q2. Has that transpired? And are you seeing what are the level of orders you are seeing now in the Q3, especially with festive season and going forward over like next 2 months? So, if you can help us, that will be helpful.

Vikram Mohan: Yes. So, there are 3 issues distinctly that you're talking about. What we alluded to in the last call was a rare earth magnet crisis, which was affecting the automotive industry as a whole. I think that crisis has largely passed. And we have been able to manage it very well, ably led by

our CEO. We have been able to tide over that crisis, and we have been able to meet the numbers.

And yes, festive season demand is over. Always Q3 in the automotive industry is the weakest quarter in the year, and we will be aligned with that. Automotive industry never does Q2 level of performance in Q3 historically, and this year is going to be no different.

But having said so, I don't know how many of you are aware, there is a bigger crisis that has

hit

the auto industry, which is the semiconductor crisis caused by one company called Nexperia, right? So, this is not just restricted to Pricol. It has affected the whole industry. About 80, 90 semiconductor parts meant for automotive has gone out of production where they have raised their hands. So, many of the automakers and the Tier-1s like Pricol are affected. This, we believe, will have some degree of impact on the industry this quarter in addition to the overall low demand this quarter. How much? We don't know. Will the sales drop significantly compared to our original plan? No. It will not be significant. I'm quite confident we'll be able to manage it because we have found alternate sources, tested alternate parts, given it to the customer for validation. There could be some delays of revenue by 2, 3 weeks, but we will not lose the revenue.

But will we exceed our internal targets? Probably no. We'll probably meet our internal targets or be short of it by 4%, 5%. That's the status for this quarter. I will not be able to comment more or neither will our CEO be able to comment more because the situation is unfolding as it speaks, not just for Pricol, but for the entire automotive industry.

Page 4 of 11 Moderator: Thank you. The next question is from the line of Nishita Shanklesha from Sapphire Capital. Please go ahead.

Nishita Shanklesha: So, I just have a few questions. I wanted to understand about your CAPEX plans. What is the total amount of CAPEX that you've done in FY '26? And what is the CAPEX plan for FY '27?

Vikram Mohan: This year, we will be doing about INR 250 crores of CAPEX and we are again beginning to start another CAPEX cycle because of the acquisition of the new business and a lot of the new business opportunities, the switches business that we have signed a new technology license agreement for. So, we are going to be creating capacities for many of those businesses. We have won a lot of new business in the SPM space, the disc brake space. So, we are again getting into a CAPEX cycle and also buying some land for expansion of the company. This year, it will be somewhere in the region of INR 250 crores to INR 300 crores and next year would be a very similar number.

Nishita Shanklesha: Okay. Okay. Understood. Also, so your depreciation has been increasing quarter-on-quarter in this H1 it includes. So, can you give any reason for that?

Vikram Mohan: Yes. We are continuously investing in new machinery modernization, debottlenecking production lines. So, we have been on a heavy CAPEX mode in the last 2 years itself. So, as a result, our depreciation is going to keep increasing going forward. As we evolve from being a mechanical to an electromechanical to an electronics company and now the plastics business is also undertaking expansion and modernization, the more the CAPEX, the more the depreciation. And that's going to continue. That's going to be the trend for the next 3 years.

Moderator: Thank you very much. The next question is from the line of Ashwin Patil from LKP Securities. Please go ahead.

Ashwin Patil: Congratulations on a great set of numbers. My question is on P3L business. Just wanted to know the business outlook for this business going forward like in medium and long term? And also on the margin front, how much expansion do we see in the margins going forward? And also the order wins we would be seeing or the client wins which we have seen in this quarter. And going forward, how are we planning to expand our clientele going forward?

Vikram Mohan: Okay. That's 4 questions bundled into one. Yes, we took over a business with about 6.5% EBITDA. We have grown it to about 9.5%. I think PAT for the course for this business would be about 10% to 10.5%, which we will hit over the next quarter or 2.

In terms of margins, will there be scope to expand beyond that at this point in time, no. B, is there going to be a huge amount of growth in the next 2 years?

The answer again is going to

be no. It is going to be a reasonable amount of growth of between 11% to 15% because we need to create capacity. So, we are in the process of buying land and creating more plants and Page 5 of 11 putting in new machinery, etcetera. So, now there is a very healthy pipeline of RFQs and orders, but we are unable to convert it to business because of lack of real estate, which we are now working on.

But having said that, I'm very confident that we will be able to deliver 11% to 14% year-on-year or 15% year-on-year growth for the next year, year and a half. Thereafter, accelerated growth with the capacities being enhanced. It was a very tedious dependent business when we took it over. We have now increased our business. We have won a lot of business from Ather. We have won business from Hanon. We have won business from Autoliv. We have won business from Schneider. We are now in active talks with Hero, Honda and Bajaj and Tata Motors where

we are in the final stages of getting business awarded. So, it is going to change the landscape of the business quite significantly in the next 2 years as we add more customers, add more capacity and add more plants to the company.

Moderator: Thank you very much. The next question is from the line of Vijay Pandey from Nuvama. Please go ahead.

Vijay Pandey: So, 2 questions. One on our dividend plan. So, this is the first time we have announced dividend. I just wanted to understand what is our dividend payout policy expected to be? Will it be like - should we expect another 2 rupees in the second half of this year? Or will it be like 2 only for the entire year?

Vikram Mohan: Vijay, this would be for the entire full year. We had planned it actually for the year ending FY '25. But because the semiconductor crisis was hitting, we didn't know what is going to be the degree of the rare earth magnet crisis. We thought there was a lot of doomsday predictions. So, we had deferred it by a quarter to see how we are able to tie it over and then we paid out this dividend. And undertaking a heavy CAPEX cycle again, I think it's prudent to put money back into the business and create wealth for our shareholders, then go through the dividend route, which I don't think is very financially good returns for our shareholders because of the taxation involved.

Vijay Pandey: Okay. That was very helpful and that confirms our view. Can you just speak a little bit about the disc brake business and how is this coming up? What is the revenue--?

Vikram Mohan : Pardon me, Vijay, can you repeat again? Disc brake business coming up. Yes, I will start with production. I will request our CEO to throw some more light about the disc brake business.

P. Ganesh: Disc brake has gone into productionization about 6 months back. First, we have started with the new age EVs. And also we have won a large business from the top 5 OEMs in the country.

So, that will go into productionization from Q1 of next year. So, as you know that when ABS is becoming mandatory from January onwards, disc brake also will become like an equivalent Page 6 of 11 mandatory to an ABS. So, we find that the growth of disc brake is going to be quite good in the coming years. Thank you.

Vijay Pandey: Just so that order is for like which category of model? Will it be more than 200cc or in the new range? And how do you see the government regulation? Because a couple of competitors have said that that mandate is not going to come. I just want to see your understanding on that.

P. Ganesh: So, the government, what you call, the mandate has come as that all, see irrespective of the cc, ABS would be mandatory. That is what the regulation says from January onwards. So, irrespective of the cc, currently 150cc and above have got ABS. Now irrespective of the cc, all vehicles will have ABS. So, if you have to implement ABS, disc brake is also mandatory to have it. So, that's why you find that the disc b

rake business will be right, yes.

Vijay Pandey: And our orders for, like, 150cc and above or--?

Vikram Mohan : Sir, I think we have a lot of people on the queue. I think we are going too deep into one product category, into a vehicle category. I think we should give an opportunity for the others. Thank you, Mr. Vijay.

Moderator: Thank you very much. The next question is from the line of Nishita Shanklesha from Sapphire Capital. Please go ahead.

Nishita Shanklesha: Yes. So, it's a follow-up question on the CAPEX only. You mentioned that in FY '27 also, we will do INR 250 crores to INR 300 crores of CAPEX. So, is that going to be the acquired business or for our business only? And if you could also...

Vikram Mohan: Both.

Nishita Shanklesha: Okay. So, it is going to be for the both. And you mentioned that for the acquired business, we are in the process of looking for land and then build a plant. So, like have we already bought a land? Or what's the progress on that?

Vikram Mohan: We are in the final process of completing the land purchases. It should be completed in the next 45 days or so whereas all legal due diligence is completed. And in fact, we are drawing up plans to even start construction of the plants.

Moderator: Thank you very much. The next question is from the line of Shubham Batra from Ambit Asset Management. Please go ahead.

Shubham Batra: Congratulations on a good set of numbers. A couple of questions on the new order wins that you had indicated in the last quarter. You indicated we got an order from Yamaha and Honda.

Can you give us an update on is it on track and when do we start seeing revenue from it?

Secondly, anything that you could add on to the...

Page 7 of 11 Vikram Mohan: One question at a time. I think people are bundling in too many questions. What are the new order wins from the last quarter. Ganesh, what are the new order wins in the last quarter? Any new order win in our DICVS division or ACFMS division from the LOI to SoP, start of production, is always about a 24-month lead time. So, that's a generic answer for most of our things.

Plastics, it's more like 6 to 8 months. Ganesh, what are the significant new order wins for the last quarter?

P. Ganesh: Last quarter, you could have seen that -- you asked specifically for Honda and Yamada, right? I think that was your question.

Shubham Batra: Right, sir.

P. Ganesh : Okay. Honda, in fact, we have already gone into mass production in the last 2 quarters for their motorcycle model where our instruments are being used. Secondly, the new EV vehicle launch by Honda, we supply the speedometers to them. Both the models actually already have gone into the ramping up stage, and we are working with Honda for much more models in the future to come.

Yamaha actually has made some kind of initial discussion with us and we have also got some requirement from Yamaha, which we are trying to convert into a business.

Vikram Mohan: They have also completed the audit and certified our facility. So, they've completed the audit of the plant certified us and now engaged in commercial discussions and LOI is not received as yet is under discussion.

Moderator: Thank you very much. The next question is from the line of Madhav Agarwal from Emerge Capital. Please go ahead.

Madhav Agarwal: Sir, for our product verticals, the 3 verticals, DIS, Actuation Systems and Precision Products, just wanted to understand what is the current share of revenue between the 3 and the margin profile? And also what is the target share that we are hoping to achieve between the 3?

Vikram Mohan: This year, the plastics, the Polymer business will be about INR 850 crores to INR 900 crores with a steady-state margin of 9.5%. Of course, we started the year with a much lower margin because we have just acquired the business and a steady-state margin of about 9.5%. The ACFMS division is going to go through a very steep growth curve in the next 36 months be

cause

of acquisition of new customers and new product vertical. We are going to be seeing about 30% to 35% growth year-on-year or perhaps even higher in the next 2 to 3 years. And that is at about INR 600 crores. And the DICVS vertical will be at around INR 2,100 crores to INR 2,200 crores, and the margin is likely to be at around 12.5% to 13%. Correct me if I'm wrong, Ganesh.

Page 8 of 11 Madhav Agarwal: Okay. Just wanted to know the mix between these 3 divisions, any change in the mix that you will see going forward?

Vikram Mohan: So, like I mentioned to an earlier participant, we will see 11% to 15% growth for our Polymer division till we add capacities and then we will see a much higher growth rate. ACFMS will see a growth of about 30%, 35% in the next 2 to 3 years, we aspire to grow. The DICVS division will maintain a steady state growth of above 15%.

Moderator: Thank you very much. The next question is from the line of Vipulkumar Anopchand Shah from Sumangal Investments. Please go ahead.

Vipul Shah: Yes. My question has been answered.

Vikram Mohan: Thank you, Mr. Shah.

Moderator: Thank you very much. The next question is from the line of Chaitanya Hardikar from Purnartha Investment Advisers Private Limited. Please go ahead.

Chaitanya Hardikar: I just wanted to ask one question. If I'm not wrong, we had a target of around INR 8,000 crores of annual revenue by FY '30. And what I have understood from your earlier answers is that we are planning around INR 500 crores of CAPEX over the next 2 years. So, just to know if that CAPEX will be sufficient to reach the target or are you planning some more CAPEX or something any opportunity there?

Vikram Mohan: No, this CAPEX is not going to be sufficient to meet that. CAPEX will be an ongoing affair as and when we acquire businesses and create capacity. So, we have carved out the balance sheet all and it's not FY '30, it is December 30, which is FY '31 and it is INR 8,000 crores. And CAPEX will be an ongoing item because there is a sustenance CAPEX of INR 120 crores to INR 150 crores that has to be done every year. It's not that there will be INR 0 CAPEX after that.

Chaitanya Hardikar: Okay. So, can you just give me a little bit of guidance on how that CAPEX would be around and just a broad estimate?

Vikram Mohan: I think I have given an estimate for this year and next year. It will as it evolves, CAPEX will happen. But I don't remember, we have projected a 5-year balance sheet. I'm not able to remember from memory what exactly is going to be our CAPEX for the next 5 years, I'm sorry.

Moderator: Thank you very much. The next question is from the line of Nishita Shanklesha from Sapphire Capital.

Nishita Shanklesha: So, I just have 2 more questions. One is on what is the current capacity and its utilization for both the business and the guidance for FY '26, FY '27 sustainable margins? These are my 2 questions.

Page 9 of 11 Vikram Mohan: Margins, I already spoke about, ma'am, to an earlier person in the Q&A. So, I'm not going to repeat that. In terms of capacity utilization for the Polymer business, it is closer to 94%, 95% today, which is why we are enhancing capacities. Once we enhance capacities for the DICVS division, which will happen over the next 2 quarters, which is a work in progress, then our capacity utilization will come down to about 70% so that we have capacity for more growth in that division. In the ACFMS, it is currently at around 80%, 85% and additional capacities are being created.

Moderator: Thank you very much. The next question is from the line of Meenu, an Individual Investor

Meenu: Sir, can you give me guidance on tentative EBITDA of your cluster business?

Vikram Mohan: I don't want to be giving future-looking numbers. I've already given what the run rate is and what we hope to maintain, ma'am. I don't want to give forward-looking statements, ma'am.

Meenu: And sir, can you give me guidance on the growth of

Pricol, like the current growth of Pricol and growth from each system at...

Vikram Mohan: I just answered that to another investor just now each division, what EBITDA and what growth rates we are expected to maintain ma'am.

Moderator: The line for the participant is disconnected. The next question is from the line of Ashwin Patil from LKP Securities. Please go ahead.

Ashwin Patil: This question is on ACFMS that we have just said that we are expecting about 30% to 35% kind of growth in this business going forward. So, what would be the composition? From where all this business we are expecting to come from?

Vikram Mohan: The first wave will come from FPM, second wave of growth from disc brake, the third wave of growth from the switches.

Ashwin Patil: Okay. So, over a period of like 1.5 years or I mean, what period or the duration we would be expecting this kind of...

Vikram Mohan : The switches will be 2 years later. Disc brake growth will happen from 18 to 24 months. FPM is as we speak.

Moderator: Thank you very much. The next question is from the line of Smit Shah from Monarch Network Capital Limited. Please go ahead.

Smit Shah: Congratulations on a good set of numbers. So, my question is regarding 2 collaborations that we have done. One is the tech license agreement for handlebar and the other is with BOE for Page 10 of 11 optical bonding. What is the progress on the same, the tentative CAPEX that will be required for the same? And by when can we expect the revenues to start?

Vikram Mohan: Thank you for your note of congratulations, Mr. Shah. Let me correct you, it's not for the handlebar. It's products of the handlebar. So, handlebar per se is just a metal form product. It's primarily for the switches and the throttle. In fact, we have just had the first engineering workshop and it is not a JV. It's a technology license agreement, TLA, right? So, we are going to start the roadshow to the customers, 2 customers have already -- our anchor customers. They are the ones who actually identified the partner and asked us to go forward with them, 2 large customers, OEMs in India. They will be our anchor customers.

Next in 2 weeks' time, we are starting our roadshow with our partners to not just those 2 customers, but a whole host of other customers. Revenues are about at least 24 months away because it's a completely new vertical. That's what I answered to the gentleman, Mr. Ashwin Patil in the earlier because it now has to get converted to a product into testing and revenue. So, we are talking of about 24 months away.

With regard to BOE, it is for a backward integration to do the optical bonding and screen manufacturing. That way, we make it a little more Atmanirbhar Bharat as per our PM statement, and we reduce our import dependence. And we are also able to get some cost arbitrage because we then get into also the screen because there are 3 important components of instrument cluster, which is, a, all the plastics, which we do; all the PCBs, which we do; and third is the screen, the most expensive part for the touchscreen, which is where we are going into. We are just constructing the premises for the same, and we have concluded on the entire project cost. It will be spent over the next 9 months and productionized. Is it going to give any revenue? No, because it is a backward integration project to make it more self-reliant and to give us cost arbitrage. Because our major competitors are backward integrating also, so if we do not backward integrate, we will not have a cost arbitrage. So, it is not going to be a revenue-earning technology license agreement. It is to strengthen our business and our offerings to our customers and reduce our import dependence.

Moderator: Thank you very much. The next question is from the line of Saurabh Kachhawa from IndusInd General Insurance. Please go ahead.

Saurabh Kachhawa: So, this question is regarding the newer verticals, which we are willi

ng to enter in. So, in the

last concall, we discussed about the smart e-cockpits and battery management systems being tested at your various customer places. So, I wanted to understand how far we reached in that and any further visibility about that?

Vikram Mohan: We have developed the product. We have showcased it in technology roadshows to our customers. And revenue potential, we are yet to see because now customers know that we are Page 11 of 11 able to meet the cost, the quality and have the technology. Now it has to slowly start translating into revenue. Is there any revenue visibility as we speak? The answer is no.

Saurabh Kachhawa: So, would it be okay to assume that it would be a margin accretive business for us as it is a pretty advanced thing?

Vikram Mohan: Yes. It will be anything new. When we got into LCD for the first time 5 years ago, it was hugely margin accretive. Now slowly, it is getting commoditized. So, any new technology is slow to start off and then until it picks up pace it's margin accretive, then it gets commoditized.

Moderator: Thank you very much. Ladies and gentlemen, that was the last question. I would now like to hand the conference over to management for closing comments.

Vikram Mohan: Thank you very much, ladies and gentlemen, for your active participation in this call. We do hope that we are able to tide over the current crisis that has hit the automotive industry, which is the Nexperia crisis, which, of course, is way beyond our control, and we are ably navigating it under the leadership of our CEO and his management team. And we do hope that the impact of this crisis will be minimum, and we will be able to meet and exceed the investors' expectations in this quarter also.

Look forward to connecting with you in the next call after the Q3 results are announced. Thank you. Have a good evening.

Moderator: Thank you very much. On behalf of Pricol Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Feb 2026

PL/SEC/TGT/2025 -2026/12 8 Monday, 2nd February , 2026

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1st Floor, New Trading Ring
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Dalal Street, Fort, Mumbai 400 001
Scrip Code: PRICOLLTD Scrip Code: 540293

Dear Sir,

Sub: Con-call Transcript

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we herewith submit the Transcript for the Con -call held on Friday, 30th January 2026 at 04:00 PM (IST) pertaining to Company's unaudited financial results for the quarter and nine months ended 31st December 2025 .

This is for your information and records.

Thanking you

Yours faithfully,
For Pricol Limited

T.G.Thamizhanban
Company Secretary
ICSI M.No: F7897

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Page 1 of 14 PRICOL Limited
Q3 and Nine Months FY'26 Conference Call
January 30, 2026

Moderator: Ladies and gentlemen, good day and welcome to the Q3 and nine- months FY'26 conference call of PRICOL limited. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded.

I would now like to hand the conference over to Ms. Purvangi Jain from Valorem Advisors.

Thank you and over to you, ma'am.

Purvangi Jain: Good evening everyone and a very warm welcome to you all. My name is Purvangi Jain from Valorem Advisors. We represent the investor relations of PRICOL Limited. On behalf of the company, I would like to thank you all for participating in the company's earnings call for the 3rd Quarter and nine- month s ended for the Financial Year 2 026.

Before we begin, let me mention a short cautionary statement. Some of the statements made in today's conference call may be forward -looking in nature. Such forward -looking statements

are subject to risk and uncertainties, which could cause actual results to differ from those anticipated. Such statements are based on management's beliefs as well as assumptions made by and information currently available to the management. Audiences are cautioned not to place any undue reliance on these forward-looking statements in making any investment decisions. The purpose of today's earnings call is purely to educate and bring awareness about the company's fundamental business and financial quarter under review.

Let me now introduce you to the Management participating with us in today's earnings call and hand it over to them for their opening remarks. We have with us Mr. Vikram Mohan - Managing Director. Mr. P.M. Ganesh - Chief Executive Officer and Executive Director. Mr. Siddharth Manoharan - Director of Strategy and Mr. Priyadarsi Bastia - Chief Financial Officer. Without any delay, I request Mr. Vikram Mohan to start with his opening remarks. Thank you and over to you, sir.

P.M. Ganesh: Thank you, Purvangi. This is Ganesh here. Just a little correction, Mr. Vikram Mohan is not attending this Earnings Call.

So, Ganesh, myself, Priya n and Siddharth are there in the call. Thank you, Purvangi. Good evening to all. Welcome to the Q3 Earnings Call. I am sure that you had an opportunity to go through the uploaded presentation. So, I will straight away go to the key financial highlights.

Page 2 of 14 First, I will start with the Q3 revenue from operations. We are ver

y happy that we have crossed

a thousand crore milestone during Q3. The EBITDA stands at around Rs. 125 crores with a growth of 12.19%. The PAT is at 6.24% growth. And the EPS is at 5.22 as against 3.4 during the corresponding Q3 last financial year.

On a nine-month consolidated level, the revenue from operations is at close to Rs. 2,900 crores with EBITDA of Rs. 350 crores and a margin of 12.11%. The PAT percentage is at 6.15% and the EPS is at 14.57. Coming to the growth on Q3 on a consolidated level, our sales have grown by 65.67%. EBITDA has grown by 59.44%. On a nine-month consolidated level, the revenue from operations has grown by 54.42%. And for a nine-month period, EBITDA growth has been at 42.24%.

Now I would request Purvangi to open the forum for the Q&A session. Thank you so much.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question comes from the line of Akhilesh Rawat with Ridhanta Vision Private Limited. Please go ahead.

Akhilesh Rawat: First, I would like to congratulate you guys on a very good set of numbers.

P.M. Ganesh: Thank you very much.

Akhilesh Rawat: My first question is, as you guys mentioned in the last quarter, there is a nexperia crisis going on. Could you please update us on the current status of the issue and is the disruption largely behind us? Or are there still some residual challenges that have been faced? How should we think about the medium to long-term operational impacts from here?

P.M. Ganesh: Akhilesh, thank you for the question. As explained during last time, we get passive components from nexperia, China. We were able to develop alternates for these passive parts during Q2 of last year. We have de-risked all the components of nexperia as we talk. We do not see any risk going forward because we have developed alternates and the customer also has approved.

Akhilesh Rawat: Okay. That is great. My second question is, as we are seeing that there is an up-cycle in commodity prices, are we seeing any adverse impact on our margins due to the rise in the commodity prices?

P.M. Ganesh: Akhilesh, on the commodity, we are indexed back to back 100% with all the customers. I think you are referring to the steep increase in the silver prices, right? Something like that.

Akhilesh Rawat: Yes. Overall commodity.

P.M. Ganesh: Overall commodity, we are 100% backed up with customer compensation. There will be only a lag of three to six months. However, it is all recoverable from the customer.

Page 3 of 14 Akhilesh Rawat: Okay. Thank you. That is it from my side. Thank you. All the very best for the upcoming quarter.

Thank you.

P.M. Ganesh: Thank you, Akhilesh.

Moderator: The next question comes from the line of Vijay Pandey with Nuvama. Please go ahead.

Vijay Pandey: Hi, sir. Thank you for taking my question and congratulations for a good quarter. A couple of questions from my side. Firstly, I wanted to check on the new products which we are planning to come up with. So, the handlebars, the disc brake.

P.M. Ganesh: Vijay, your voice is a little garbled. Can you just come closer to the mic and speak, Vijay? We are not able to hear you.

Vijay Pandey: Is it okay now?

P.M. Ganesh: Yes, it is better. Go ahead.

Vijay Pandey: So, I wanted to check about the new products which we are coming up with. So, the handlebars, the disc brake, I assume that disc brake we launched last year only. So, if you can just give a highlight about how this thing is moving and in case if you can give a revenue breakup of disc brake and PRICOL Precision?

P.M. Ganesh: Vijay, I will give you some brief of the disc brake. We started with startup EV companies during

last year. Last year was more of pilot run of disc brake. And from Q1 of the coming financial year, we would be starting with one of the large two -wheeler OEMs in India. So, the start of production

will be there during Q1 or latest by beginning of Q2. So, as we know that, as explained during the previous earning call, sooner or later there could be mandatory condition coming for ABS for all the two -wheeler irrespective of the CC. So, we are expecting good growth to happen in disc brake in the quarters to come. And we are fully ready in terms of our mass manufacturing. We see good growth in the coming future. On the P3L, I would request our Director of Strategy Siddharth to give you some briefing.

Siddharth Manoharan: Thank you. Good evening Mr. Vijay Pandey. In P3L, as we communicated to you in the last quarter, we have been able to win more businesses from various customers in the last two quarters specifically. And we are actively creating new capacities. At this point in time, we are stretched for capacities, which is kind of hampering our growth temporarily, for which we have also opened out our investments to create new capacities. And we discussed in the process of commissioning a new plant as well. So, all this will enhance the business value in P3L in the upcoming quarters. And subsequently, in the next financial, you will see a good growth happening in that particular division as well. Further to that, we are also investing in a center of excellence. So, to work on new technologies and value -added products for P3L, for which work has been commissioned and first level of facilities has been set up and teams have been Page 4 of 14 on-boarded, which will start giving more revenue and new products in the next financial year or so. Thank you.

Vijay Pandey: Sir, what is the revenue from P3L?

P.M. Ganesh: I request to join back the queue because we have got a lot of participants.

Vijay Pandey: Okay.

Moderator: The next question comes from the line of Jyoti Singh with Arihant Capital Markets. Please go ahead.

Jyoti Singh: Thank you for the opportunity. I just wanted to understand on the margin side, like how much the margin pressure is due to new program ramp -up costs and EV investment. And another question is on the CAPEX outline side, how much CAPEX we were guiding for FY '27-28 and the split between capacity expansion and EV tooling and automation side.

P.M. Ganesh: Jyoti, in terms of the margins, you would have seen that we have been on a steady -state margin. You could have seen in the past quarters and we expect the same type of margins to continue in the future quarters as well. Coming to the CAPEX, I think we have outlined that the CAPEX will be around Rs. 500 crores for the next two, three years.

Jyoti Singh: Okay. And sir, on the bigger picture over the next five years, do you see PRICOL evolving more as an auto -electronic company than a traditional auto -component supplier?

P.M. Ganesh: I think we have explained this in detail. We are a technology company in terms of our driver information system and also on the actuation and control management system and the new company whatever we have acquired on the polymers. We will continue to invest in our engineering, which is currently about 4.5% of our total revenue. So, we position ourselves in the next five years also as a technology company.

Jyoti Singh: Okay. Thank you, sir. And just earlier, the participants asked a question on the, yes, am I audible to you?

P.M. Ganesh: Can you please come in the queue, Jyoti?

Jyoti Singh: Sure, sir. Thank you.

P.M. Ganesh: Thank you so much.

Moderator: The next question comes from the line of Shriram with PMS. Please go ahead.

Page 5 of 14 Shriram: Sir, with regards to plastic products, is there any plans to get into non -auto plastic products? And when it comes to new products, what kind of complexity level are present in the new products which you are planning?

Siddharth Manoharan: So, Mr. Shriram, to answer your first part of the question, at this point in time, our focus is largely on the automotive sector. Having said

that, we have also onboarded a couple of customers who are in the industrial segment as well, especially in the energy meters and so on and so forth. As and when the opportunity comes up, we are constantly evaluating such opportunities, onboarding key customers.

Shriram: With the complexity level of the new products, as you mentioned in the previous conference call that you are planning to get into new products including the plastic alone. So, can you throw some light on the new products which will be coming?

Siddharth Manoharan: Yes. So, we are also moving up the value chain, as I mentioned in my previous response. So, we are setting up a center of excellence to work on certain new products and new technologies where we eliminate painting and do in- mould painting itself and such other technologies are also being worked on. And it will take at least a year or so to mature and then bring it into the market. And we are also looking at certain value -added assemblies in addition to just pure plain moulding and painting as well. So, that will all yield a better revenue and margin as we go along.

Shriram : Okay, sir. Thank you.

Moderator: Thank you. The next question comes from the line of Kush Nahar with Electrum PMS. Please go ahead.

Kush Nahar: Hi, sir. Thank you for the opportunity. So, my questions are more on the new products. I think this is the telematics, the battery management system, E-Cockpit and recently the MOU that we had signed. One was with BOE Hong Kong and the other with Domino for the handlebar. So, some color in terms of when can we see, at what stages are these products? And secondly, when can we see some revenues contributing for us?

P.M. Ganesh: Thank you for your question, Kush. First, I will answer your question on the telematics. For your information, telematics has been a s a product portfolio in PRICOL for the last more than a decade. In fact, for your information, we are the largest supplier of telematics for the off-road vehicle. And for JCB, who is the largest in India, we are a live link supplier to telematics. So, what we are looking at is an integrated telematics with the instrument cluster, that is the driver information system. That is the next level of technology that currently we are working with. We have given samples to the customers for validation. So, in the next three to four quarters, we will find some light into that. But as telematics standalone, we are already a large player in India. Coming to battery management system, as we explained during the last earning call also, we have matured the product to a good level and then we have given the samples to various two-wheeler customers. And we are also in a final stage of the design and development with a Page 6 of 14 large two-wheeler customer in India. Like the disc brake, which is going to start start of production from later part of Q1 of next financial year, the battery management system also will find a start of production in the next maybe four or five quarters. Currently, it is under development. Okay. What was your third question? Yes, the partnership of BOE. BOE is a China-based company, not a Taiwan-based company. Kush, the agreement is to do backward integration of our LCD and TFT in PRICOL. So, as you know that currently our business on the display has been on the continuous increase. So, it is important that we start localization activity in India. So, we have signed an MOU, which is exclusive between PRICOL and BOE, who is the world's largest display maker, to do backward integration in terms of our LCD and TFT development. And Domino is one of the pioneers in making switches and throttles to various premium two-wheeler customers in the Europe region. So, currently, we are making, along with them, a joint study in terms of the design and development of the switches and throttle in the forthcoming quarters.

Kush Nahar: Sir, just one

follow-up on that. You mentioned that BOE, given the expertise. So, my question was more around have we formalized the agreement in terms of any JVs and, accordingly, are we planning CAPEX to set up this backward integration?

P.M. Ganesh: Kush, it is actually not a JV. It is an MOU. And it is an exclusive MOU, which has been signed between BOE and PRICOL. You would have seen the notification in the stock exchange. So, this backward integration is going to be exclusively supported by BOE to PRICOL. That is how this arrangement has been made.

Kush Nahar: Right, sir. So, when are we expecting the investments for the same?

P.M. Ganesh: Investment. We will start from the next three to four quarters.

Kush Nahar: We will start production in the next three to four quarters?

P.M. Ganesh: Yes, production will start from the next four to five quarters. The investment will start from the next three to four quarters.

Kush Nahar: Okay, sir. Thank you.

P.M. Ganesh: Thank you, Kush.

Moderator: Thank you. The next question comes from the line of Karan Gupta with ACM IIL. Please go ahead.

Karan Gupta: Yes, hi. Congrats on a good set of numbers for the quarter. Am I audible, right?

P.M. Ganesh: Yes Karan. Go on.

Page 7 of 14 Karan Gupta: Yes. Sir, for the CAPEX side, I think in the last quarter you said Rs. 250 crores to Rs. 300 crores for the next, for this year also and FY' 27 also. But your long-term target of around Rs. 8000 crores top line by FY' 2030, right? FY' 31. What kind of runway do you see for the CAPEX side and how much it will be the mix of equity and debt? So, as of now we have close to Rs. 100 crores of cash, right? And we are generating good free cash flow also. So, how it will be the mix of debt and equity?

P.M. Ganesh: Karan, it would be difficult for us to arrive at a CAPEX number till FY '31. As we explained in the next two years, two to three years, we are looking at a CAPEX of about Rs. 500 crores for the group.

Siddharth Manoharan: And it will all be planned to be met through internal accrual.

Karan Gupta: Okay. So, this quarter we have finance cost increased significantly as compared to same quarter last year. So, what is the debt right now and how much it has increased in quarter 3?

P.M. Ganesh: I will request our CFO Priyan to explain this.

Priyadarsi Bastia: Hi Karan. See, the interest cost, finance cost whatever increased you see, these are all working capital usage. So, we do not have any long-term borrowing in our balance sheet.

Karan Gupta: No, I mean the debt here increased in quarter 3 and this has come.

Priyadarsi Bastia: No, we do not have any long-term borrowing in our balance sheet. And whatever finance cost you are saying, these are all working capital usage.

P.M. Ganesh: Yes. Karan that is because of the large growth in our sales, working capital has gone up. That is the reason.

Karan Gupta: Okay. Yes. Thank you.

P.M. Ganesh: Thank you.

Moderator: Thank you. The next question is a follow-up question. It is from the line of Vijay Pandey with Nuvama. Please go ahead.

Vijay Pandey: Hi, sir. Just want to know the revenue for PRICOL Precision in the 3rd Quarter and what will be the EBITDA margin?

P.M. Ganesh: Yes, Vijay. P3L for the quarter 3, they have generated Rs. 233 crores of top line with a 9.33% of EBITDA margin. Thank you.

Page 8 of 14 Vijay Pandey: Okay. And sir, how are you seeing the demand in the now as the euphoria of the GST cut has now come? How are you seeing the demand in the two-wheeler space, two-wheeler & commercial vehicle space?

P.M. Ganesh: Vijay, the demand seems to be quite robust. Yes, we had a lot of good tailwinds during Q3. But the demand continues to be good. You would have seen the FADA whereby the two-wheeler stocks at various dealers are at quite a low level. So, we are expecting the demand to continue to be robust on all segment

ents of the market, not only in the two-wheeler but in the commercial vehicle and also the off-highway vehicle.

Vijay Pandey: Okay. Thank you and all the best for upcoming quarters.

P.M. Ganesh: Thank you, Vijay.

Moderator: The next question comes from the line of Aman Agarwal with Carnelian Capital. Please go ahead. Yes, Aman.

Aman Agarwal: Thank you for the opportunity. My first question was basically on the new subsidiary which we have set up. Can you talk about the purpose of the subsidiary which we are setting up or which we have taken the board approval?

Siddharth Manoharan: Good evening, Aman. Hope I am audible. So, your question is regarding the new subsidiary that is planned to be incorporated. As you know that we are constantly working on new partnerships and new technology partnerships as well. We have practically gone ahead and incorporated the company. And as our CEO was mentioning earlier, we have also signed an MOU with BOE. Considering all these aspects, we wanted to have the flexibility and have a company in place. That is how we have gone into the incorporation at this point in time. But whenever the plan materializes, we will talk about that in detail later.

Aman Agarwal: Understood, sir. My second question was on employee costs. If I see employee costs for this quarter, it is around Rs. 125 crores. It is a good increase, like 20% kind of increase Y-O-Y and like even on a Q-O-Q basis, it has increased almost 9% or so. Was there any one-off in this? Why has the employee cost basically increased?

P.M. Ganesh: Aman as explained we are looking at a lot of strategic partnerships and development as a director strategy. Just explained about having an exclusive MOU signed with BOE. And also explained about the recent partnership with Domino for switches and throttle. There is a need for us to have forward-looking employees to develop this. So, that is the reason you found that the employee costs have gone up.

Aman Agarwal: Understood, sir. My third and final question was on exports. In our ACFMS business, exports was one area we were initially focusing on. But two, three quarters back, we mentioned exports is something which has seen slow down and for the next one and a half years also some growth. Page 9 of 14 is expected, not much in the exports side. Right? Can you share what is the view currently on exports and recovery in the ACFMS business?

P.M. Ganesh: On the ACFMS division, export growth has been steady. Even during this quarter, we have posted 15% growth as compared to the Q3 of last financial year. Primarily, the new projects whatever we spoke about ACFMS division have gone into mass production. Primarily which we explained last time customers like Caterpillar, many of the U.S. based customers and Europe based customers have already gone into mass production. You will find there is steady growth in the export business.

Aman Agarwal: Got it sir. My one more question like if I see PRICOL Precision, our margins are 9.3%. We had indicated guidance of 10.5% as an aspirational margin for this business. Right? So, what impacted the margins this quarter? When can we achieve 10.5% margins in PRICOL Precision?

Siddharth Manoharan: That indication of EBITDA was after a couple of quarters. We have just acquired business one year ago at much lower EBITDA. We put together a lot of improvement plans and efficiency improvement plan, manpower enhancement plans, etc., which is steadily increasing the EBITDA quarter-on-quarter if you would have seen our past performance. With this steady performance and increase in revenue with better absorption of fixed cost we expect the margins to hit the desired numbers or optimal numbers that we have indicated in the past.

Aman Agarwal: Okay. Got it. Thank you sir. Thanks for answering my questions.

Siddharth Manoharan: Thank you. Thank you so much.

Moderator: Thank y

ou. The next question is from the line of Chaitanya Hardikar with Purnartha PMS. Please go ahead.

Chaitanya Hardikar: Actually my question is already answered so, thank you. Yes.

Moderator: Okay. Thank you. The next question comes from the line of Rahul Deshmukh with LKP Securities. Please go ahead.

Rahul Deshmukh: Hello sir. My question is, just wanted to know about the factors that are having the growth in our polymer business. Is it because of increasing wallet share or we are acquiring new customers. And other one is that what is the capacity utilization of that business and any thought on expansion of the existing capacity?

Siddharth Manoharan: Rahul, thank you so much for your questions. To answer your first question the revenue increase is contributing primarily due to these factors – one is the share of business increase or wallet share increase with the existing customers plus we are also actively onboarding new customers with the relationship of PRICOL's demand in the market today. So, which will increase the revenue in the coming quarters. And to answer your second question in terms of capacity utilization, we are above 90% capacity peak. That is why we are increasing fresh capital

Page 10 of 14 to increase capacities and also create new facilities to keep up with the growing demands of the business.

Rahul Deshmukh: Thank you sir.

Siddharth Manoharan: Thank you.

Moderator: We have a follow-up question. It is from the line of Shriram with Ithougt PMS. Please go ahead.

Shriram: Sir, what is the status of the e-cockpit product, and do we have any passenger vehicle customers currently?

P.M. Ganesh: As explained during the previous earning call, Shriram, it is currently under proof of concept at our engineering center. And we have also given some samples to our personal passenger vehicle customers. That may take another three to four quarters to mature as a product and then thereupon start the mass production.

Shriram : Thank you, sir.

Moderator: Next question comes from the line of Kush Nahar with Electrum PMS. Please go ahead. Thank you for the opportunity again, sir.

Kush Nahar: Yes. Thank you for the opportunity again sir. Sir, could you help us with the quarterly revenue and EBITDA number for PRICOL Precision? And secondly, what would be the peak revenue that we can achieve from the disc brake capacity that we have right now? And are we planning to expand that more considering that Q1 FY'27 onward will start production for a large OEM?

P.M. Ganesh: Kush, to answer your first question, for PRICOL Precision for Q3, the revenue was Rs. 233 crores and the EBITDA was 9.33%. I request our director of strategy to answer the second question.

Siddharth Manoharan: For disc brake capacity, we have created a capacity of 0.5 million units at this point in time. And we see a good visibility to fill this capacity with the businesses in hand. And as and when the new business emerges, we will be creating additional capacities. We will not be able to quantify as a peak capacity or peak value at this point in time because some of the businesses are also under conversion as we speak.

Kush Nahar: Thank you. Last question, sir. So, I think in the previous call, you have mentioned that we are expecting for the PRICOL Limited to grow at around 11% to 15%. So, do we have the same guidance as on this quarter also? And does this include the new business of the telematics and the BMS, etcetera?

P.M. Ganesh: We have been steadily growing at 15% plus, if you recall Kush in all our quarters. And this quarter also, we have grown more than 15% as PRICOL standalone. Coming to your next

Page 11 of 14 question on telematics, I think I already explained that telematics is not a new product for PRICOL. We have been there in telematics business for more than a decade. We are looking more into the integrated telematics with the driver information system

going forward. And in

terms of, I think BMS, I already explained that we have completed the development of the battery management system. And currently, we are in a testing phase with one of the two-wheeler premium customer of ours. And maybe in the next three to four quarters, the testing would have been completed with the two-wheeler customer. And thereupon, the mass production will start for BMS.

Kush Nahar: So, in conclusion, we expect that 15% CAGR growth is something that we can work with for PRICOL standalone business.

P.M. Ganesh: This is difficult. It depends upon the market conditions as well. Yes, PRICOL has been outperforming the market in the last 8 to 12 quarters. If you see, we have grown more than the market. We expect the same momentum to continue primarily because of our various new product portfolio.

Kush Nahar: Right. Okay, sir. Thank you.

Moderator: The next question comes from the line of Preet with InCred AMC. Please go ahead.

Preet: Thank you for the opportunity, sir. I would like to ask on the employee cost. There has been increase in employee cost across company due to new labor law. Has PRICOL factoring this impact? And if yes, if you could quantify the same. And also, what kind of impact do you expect in coming quarters?

Priyadarsi Bastia: Preet, I will answer you to this question. See, if you would have noticed the result, we have published a note as well. That the new labor code has not been having a significant impact on employee cost and PRICOL because we have taken care of that part in the past. We are in the process of evaluating further impact on some parts, which is basically contract labor part, which we will be concluding before March. Thank you.

Preet: Okay. My second question would be lying on the CAPEX. You have mentioned that you are already at a 90% plus capacity utilization. And going forward, you are guiding of Rs. 250 crore to Rs. 300 crores of CAPEX. What kind of additional revenue we can derive from this Rs. 250 crore, Rs. 300 crores of revenue?

Siddharth Manoharan: Preet, the 90% capacity recession was specific to the PRICOL Precision, our polymer business. In our PRICOL limited, in our DIC VS and ACFMS vertical, we have already created enough capacity. As you know, in the past, we have undertaken a huge CAPEX investment, the CAPEX cycle, which has given us the capacity additions as we speak. So, overall, we will be investing close to about Rs. 400 crore to Rs. 500 crores over the next two to three years on new product and bulk of it will be invested for our polymer division to create new capacities.

Page 12 of 14 Preet: Okay, got it. What would be our capacity utilization in PRICOL standalone?

P.M. Ganesh: That would be a little difficult, Preet, because of the complexity and diversity of products, whatever we have. It would be difficult to put a steady number for the capacity, but we have created enough capacity in terms of flexible lines and then flexibility in terms of the backward integration, which will see us through for the next two to three years.

Preet: Thank you, sir. I will join back in the queue.

Moderator: Thank you. The next question comes from the line of Mitul Shah with Pantomat Financial Services. Please go ahead.

Mitul Shah: Thank you for the opportunity, sir. My question is on overall growth. Considering yesterday, one of the leading two-wheeler OEM guided for 8%, 9% type of industry growth for two-year next year and for initial first half of nine-month industry was nearly low single-digit growth. Still, we reported double-digit revenue growth. So, based on that, don't you think it would be much more than 15% type of growth possible next year as we are adding customer also, we are adding products. It could be likely upwards of close to 20%.

P.M. Ganesh: Mitul, as I explained that we have been outperforming the market quarter-on-quarter for the

last 8 to 12 quarters and we expect the same momentum to continue. If the industry is going to grow by 8% to 9%, we are sure that we will grow much more than that. I do not know whether it will grow by 20% or so. I do not know at this point of time, but there are opportunities because of our various new products that we will continue to outperform the market.

Mitul Shah: Sir, on the non-two-wheeler side, what is our outlook or what is our understanding for next one, one and half year?

P.M. Ganesh: The demand, as I told you, has been robust. Ever since there has been a reduction in GST since Q3, there has been good amount of positive sentiments, particularly in the two-wheeler segment. You will find that Q3 has had a good growth among all the two-wheeler customers and we hope that same positive sentiments continue in the Q4 and maybe for the next year as well. We are waiting and watching it very carefully, but as we see, the growth seems to be quite robust.

Mitul Shah: Even for non-two-wheeler side where we are trying to increase our contribution?

P.M. Ganesh: Yes, across all segments of the market. That is what I explained. It is not only two-wheeler, we find all segments of the market in terms of robust growth.

Mitul Shah: Thanks, sir. All the best.

P.M. Ganesh: Thank you Mitul. Thank you.

Page 13 of 14 Moderator: The next question comes from the line of Zubin Pruseth with Karma Capital. Please go ahead.

Zubin Pruseth: Sir, I just want to know, for the nine-months of total consolidated, what percentage of our revenue would be from the ACFMS business?

P.M. Ganesh: Nearly one-fourth of our total revenue comes from the ACFMS division on the consolidated sales.

Zubin Pruseth: Okay, sir. And sir, if you can just help us with the non-brake portion of the ACFMS, how are we seeing this? And I just want to understand, is this majorly towards export?

P.M. Ganesh: Yes. The export content in the total ACFMS product is quite significant and it will continue to be significant as we are going along. Primarily, export happening to both the US and also to the European regions. In terms of the non-disc brake, yes, disc brake is going to be a new product addition. Apart from that, we make a number of ACFMS products starting from oil and water pumps for across the segments. Two-wheeler, personal passenger vehicle, commercial vehicle, we supply to all of them. And also, we supply the fuel pump module to a number of two-

wheeler customers. In fact, we are a major supplier to the commercial vehicle division for the cabin tilting mechanism. So, we have got across the segments multiple products in the ACFMS division.

Zubin Pruseth: Okay, sir. And sir, my second question would be within our primary segment in terms of instrument clusters. So, if you can just help us with respect to how much proportion would CV and PV be? And are we going to see this particular segment increase much further and the two-wheeler going down as we focus more on these kinds of clients?

P.M. Ganesh: No, we are a company which is spread across all segments of the market. That is the strength of PRICOL. We are across all segments of the market, starting from two to three-wheeler, personal passenger vehicle, four-wheeler, and also commercial vehicle, and also off-highway vehicle. If you ask me, we are focused across all segments of the market. And we expect the same focus to be there across all segments of the market.

Zubin Pruseth: Sure, sir.

Moderator: Thank you. The next question comes from the line of Vijay Pandey with Nuvama. Please go ahead.

Vijay Pandey: Thank you for the follow-up. Sir, what is our break-up between domestic and exports? And how much of the export comes from the ACFMS business?

P.M. Ganesh: Overall, our export revenue is about 10% on the total revenue. ACFMS would be a very significant portion, Vijay, in terms of the export revenue.

Overall, on a consolidated level, 10% of our revenue comes from export.

Page 14 of 14 Vijay Pandey: And, sir, are we seeing a similar level of growth between the driver information system and ACFMS system? Because the export somewhat has been, not like the export just because of the tariff and other restrictions. I just want to understand how are we seeing both division growth?

P.M. Ganesh: Vijay, actually, the tariff has not affected us. Because we make specialized ACFMS products to various customers. So, actually, the tariff has not affected us. In terms of growth, both ACFMS and driver information system are growing in the same pace, what we are talking about, total as a company growth. Both divisions are growing for us.

Vijay Pandey: Okay. Both at similar level, around 15% to 20% standalone.

P.M. Ganesh: Whatever you see as the total growth, actually, both divisions are almost equally growing.

Vijay Pandey: Okay. Thank you.

Moderator: Thank you. The next question comes from the line of Kush Nahar with Electrum PMS. Please go ahead.

Kush Nahar: Thank you for the opportunity again. Sir, any update on the inorganic acquisition that we were planning in the PRICOL Precision segment?

Siddharth Manoharan: Kush, we constantly keep evaluating opportunities as we used to do. And if something materializes, then we will inform you on it.

Kush Nahar: So, nothing on the advanced stage as of yet?

Siddharth Manoharan: No. As I mentioned, we consistently keep evaluating new opportunities. Nothing in the advanced stage at this point in time.

Kush Nahar: Okay. Thank you.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I now hand the conference over to the management for closing comments.

Priyadarsi Bastia: Good evening again. Thank you all for the questions. And asking patiently all these questions and we could answer. Looking forward to hear from all of you again in the next investors call.

Thank you so much.

Moderator: Thank you. On behalf of PRICOL Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

Call: May 2026

PL/SEC/TGT/2026- 2027/035 Tuesday, 19th May, 2026

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1st Floor, New Trading Ring
Rotunda Building, P J Towers,
Dalal Street, Fort, Mumbai 400 001
Scrip Code: PRICOLLTD Scrip Code: 540293

Dear Sir,

Sub: Con-call Transcript

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we herewith submit the Transcript for the Con -call held on Friday, 15th May 2026 at 04:00 PM (IST) pertaining to Company's audited financial results for the quarter and year ended 31st March 2026.
This is for your information and records.

Thanking you
Yours faithfully,
For Pricol Limited

T.G.Thamizhanban
Company Secretary
ICSI M.No: F7897
Encl. As above

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PRICOL Limited
Q4 & FY'26 Conference Call
May 15, 2026

Moderator: Ladies and gentlemen, good day and welcome to the Q4 FY26 Conference Call of PRICOL Ltd.
As a reminder, all participant s' lines will be in the listen -only mode. There will be an opportunity for you to ask questions after the presentation concludes.
Should you need any assistance during this call, please signal for an operator by pressing "*"and then "0" on your touchtone telephones. Please note that this conference call is being recorded.
I now hand the conference over to Ms. Purvangi Jain from Valorem Advisors. Thank you and over to you, ma'am.
Purvangi Jain: Thank you. Good evening, everyone and a very warm welcome to you all. My name is Purvangi Jain from Valorem Advisors.
We represent the investor relations of PRICOL Ltd. On behalf of the company, I would like to thank you all for participating in the company's earnings call for the 4th Quarter and Financial Year 2026.
Before we begin, let me mention a short cautionary statement :
Some of the statements made in today's conference call may be forward -looking in nature.
Such forward- looking statements are subject to risk and uncertainties, which could cause

actual results to differ from those anticipated. Such statements are based on management's belief as well as assumptions made by and information currently available to the management. Audiences are cautioned not to place any undue reliance on these forward-looking statements in making any investment decisions. The purpose of today's Earnings Call is purely to educate and bring awareness about the company's fundamental business and financial quarter under review.

Let me now introduce you to the Management participating with us in today's Earnings Call and hand it over to them for the opening remarks.

We have with us Mr. Vikram Mohan – Chairman and Managing Director, Mr. P. M. Ganesh – Chief Executive Officer and Executive Director, Mr. Siddharth Manoharan – Group Executive Director, Ms. Madhura Mohan – Executive Director, and Mr. Priyadarsi Bastia – Chief Financial Officer.

Without any delay, I request Mr. Vikram to start with his opening remarks. Thank you.

Vikram Mohan: Thank you very much. A very good evening to one and all on this call today. Namaskar, ladies and gentlemen.

I welcome you to the call to discuss the key Financial Highlights for the year ending 31st March 2026 and for the 4th Quarter of the Financial Year '25 -26. The Presentation has already been uploaded and I hope all of you have had a chance to see the Presentation.

Nevertheless, I would like to give you some highlights of our performance:

On a consolidated basis, our revenue from operations for the quarter that has just crossed the

INR 1000 crore mark to hit INR 1077.9 crores with an EBITDA of INR 143.28 crores and an EBITDA margin of 13.29%. Profit after tax of INR 73.23 crores with a PAT margin of 6.79% with a basic EPS of INR 6 per share.

For the entire financial year, for the year ending 31st March 2026, our revenue from operations was just shy of INR 4000 crores with an EBITDA of INR 492.91 crores with an EBITDA margin of 12.44% with a PAT of INR 250.80 crores. PAT margin of 6.33% with an EPS of INR 20.57 per share.

I am happy to report that we have been able to achieve these numbers with the dedicated work of our entire team in spite of the multiple headwinds that we faced this financial year.

This financial year started off with a semiconductor crisis, followed by a rare earth magnet crisis, followed by the West Asia crisis. In spite of all of these headwinds, we have been able to deliver a decent set of numbers to you this quarter and for the entire financial year.

Our revenue from operations on a consolidated basis because of our inorganic actions and organic growth has resulted in a 43.34% growth quarter-on-quarter on a comparable basis.

EBITDA 62.27% increase on a quarter-on-quarter on a comparable basis.

For the entire year, we have been able to show an increase in revenue from operations of 51.24% and the EBITDA for the entire year has seen an increase on the corresponding prior period of 47.53%.

With this, I would like to move to the questions and answers. As a matter of protocol, we would like all participants to restrict themselves to one question so that others have a chance to join the question queue. And if you have more than one question, we request you to rejoin the question queue and you will be given a chance subsequently.

Before we start the questions, I would also like to probably take a few minutes to talk about the outlook where I have given quite a cautionary statement as part of the Chairman and Managing Director's statement after the Board Meeting yesterday.

The West Asia crisis I think is reaching a peak and the disruptions of the West Asia crisis or due to the West Asia crisis is also starting to hit not just the industry but also the economy quite hard. April was reasonably okay because we had a lot of pipeline inventory, pipeline stocks and raw material that were bought at earlier rates. The rupee is on a free fall. Polymer prices have gone up by about 55%. Aluminum has gone up by about 62%. The semiconductors have gone up by about 35%. Memory control devices by about 28%. Freight costs are also spiraling out of control both inbound and outbound freight.

These are multiple headwinds not just affecting your company but the industry as a whole and the economy as a whole. All of you would have also seen Prime Minister's Address to the Nation on cutting back on consumption to save Forex and stop purchasing gold, etc.

So, the situation is quite bleak but nevertheless, we are confident of crossing this storm also with the collective efforts of our entire team, the support of our customers, our suppliers and aided by a strong balance sheet.

We continue to stay focused on mid-to-long term growth and are not scaling back on any investments whatsoever of capital nature which will hamper the long-term and medium-term prospects of the company. We continue to invest as usual heavily on R&D and on technology to keep developing new products and new technologies to keep us ahead of the curve compared to the competition.

So, while we are not scaling back on any of our critical activities that is going to hamper the growth of the company, we do believe that there will be softening of earnings and slowing of

the whole automotive sector on account of these geopolitical headwinds that are actually sending ripples across the world.

Without further ado, we can move to the questions.

Moderator: We will begin with the question- and- answer session. The first

question is from the line of Jatin

Chawla from RTL Investments. Please go ahead.

Jatin Chawla: Hi, good evening and congratulations on a great set of results and thanks for the opportunity to ask the question. My question is how do you see your market share on instrument clusters evolve over the next two to three years? And the context is when we were doing channel checks, we figured out that in the largest OEM in the country, there is a group company which is entering the instrument cluster business. In one other OEM, there is some new competition that is emerging. So, in that context, I wanted to understand how do you see your market share evolving over the next two to three years?

Vikram Mohan: Mr. Chawla, good evening. A good question. In fact, we just did a complete analysis of our share of business. We got an external market analyst agency to come and do a complete analysis of the market. And in fact, just last week, we had a workshop on that. We have maintained our market share by volume and increased our market share by value. Competition has always been there. Competition will continue to be there. And what differentiates PRICOL from our competition is our heavy investment on R &D and product development, which is keeping us ahead of the curve. Will we be able to maintain the market share for the foreseeable future for the next three years? I do not see any dip in market share because we have got confirmed LOIs for most of the programs. So, for the next three years, barring degrowth or slowing down of the market, loss of market share is not something that we need to fear about.

Jatin Chawla: Got it. That is very reassuring, sir. I have a couple of other questions, but I will come back in the queue.

Moderator: Thank you. The next question is from the line of Sahil Sanghvi from Monarch Network Capital. Please go ahead.

Sahil Sanghvi: Good evening and thank you for the opportunity and congratulations for very good numbers. My question is on the financials. So, there is some restatement in the FY25 financials if we look at the borrowing lines and see what their line items. I can point it out specifically if required, but if one can explain, what is the reason for that?

Vikram Mohan: Mr. Sanghvi, we will get our CFO – Mr. Bastia, to answer that question. There have been some changes in the corporate guidelines on how debt has to be treated and I will request Priyanshu – our CFO to clarify on that.

Priyanshu Bastia : Mr. Sanghvi, good evening.. Regrouping is on account of the change in IndAS . There is a circular which came up saying that debt -like items to be regrouped , which the customer bill discounting and vendor bill discounting, which used to be classified under trade payable, have been regrouped to borrowing. That is the borrowing which you can see in the short -term borrowing.

Sahil Sanghvi: Okay, thank you. I will come back in the queue. Thank you.

Vikram Mohan: Just to give you a perspective, barring the supplier discounting and the customer bill discounting which earlier was hitherto treated as trade payable, now actual borrowing as of 31st March 2026, net debt is INR 63.11 crores.

Sahil Sanghvi: Sure, thank you.

Moderator: Thank you. The next question is from the line of Hitesh Goyal from Aurigin Capital. Please go ahead.

Hitesh Goyal: Thanks for taking my question and congratulations on the great set of numbers. Sir. First question is can you give us revenue for FY26 of the three segments like DI CVS, ACFMS and P3L revenue?

Vikram Mohan: Ganesh – our CEO and Executive Director will answer that question.

M. P. Ganesh: I will give you on the total consolidated numbers an approximate number. On the DI CVS our revenue is about 60% of our total revenue, and AC FMS is about 20% and P3L would be about 20%.

Hitesh Goyal: Okay. And sir, basically my question is also on the TFT, LCD and analog mix basically for the industry

Vikram Mohan: Mr. Goyal, request you to rejoin the question queue, please, if you don't mind.

Hitesh Goyal: Okay, no problem.

Moderator: Thank you. The next question is from the line of Aman Agrawal from Carnelian. Please go ahead.

Aman Agrawal: Sir, thank you for the opportunity. My question was basically on the new products and new businesses which we have focused on. Can we please share an update on like the PV Digital cluster which we were focusing on with Mahindra and TATA Motors and also like in terms of creating new business on disc brakes and other verticals, like how is the update there basically?

Vikram Mohan: I will answer. Three parts to that question. First, PV Digital clusters, we have grown significantly with TATA Motors. We are yet to make an entry into Mahindra. Today, about 75% to 80% of

TATA cars are coming out with Pricol's clusters and we are increasing our market share with TATA. In fact, the new Sierra, which we launched has even won us an award from TATA Motors for the development, which I was happy to receive from the Managing Director of TATA Motors. With regard to disc brakes, we continue to make steady progress with our key customers, and we are quite sure that we will meet the forecast that I gave for 2030 in terms of disc brakes.

Aman Agrawal: Thank you, sir.

Moderator: Thank you. The next question is from the line of Divyansh Gupta from Latent PMS. Please go ahead.

Divyansh Gupta: Hi, sir. One question regarding ABS. Are we manufacturing only the sensors for the ABS or the whole ABS as a package? And is there a plan to...

Vikram Mohan: Let me just interrupt you here, Mr. Gupta. We are not into the ABS. We intend at some time in the future when disc brakes become a mature product for us to get into ABS. At this point in time, we have not even commenced development or intend to commence development in the immediate future.

Divyansh Gupta: So, my question was for that less than 125cc bike that you are trying to target because of the change in the regulations.

Vikram Mohan: We were never in the ABS product. We never intended to be in the ABS product in the foreseeable future also. Even earlier this question was asked in earlier meetings and that's what we have maintained.

Divyansh Gupta: Got it. I will join back to you.

Moderator: Thank you. The next question is from the line of Kush Nahar from Electrum PMS. Please go ahead.

Kush Nahar: Yes. Thank you. Thank you for the opportunity, sir. So, I have a question more on the growth side. So, like you said that some softness is something that we see going ahead in the industry in general and for the company. So, I think previously we had a guidance of 13 % to 15% growth for Pricol and if I am not wrong, we were targeting to double the revenues of P3L on a base of 25% . So, are there any changes in this guidance?

Vikram Mohan: Frankly, I think we should ask this question to Mr. Donald Trump on a lighter note because we really don't know how long this war is going to continue and what the impact is going to be, what crude oil prices are going to be like and what the rupee is going to be. And if fertilizer imports are going to be curtailed, then agriculture output is going to reduce, which rural consumption is going to have an impact. So, I wish I knew, but even I am not aware. We are all closely connected in the industry. But I can assure you that we will be continuing to grow at higher than the market growth rate. And with regard to P3L, I have given a guidance that we aim to double the turnover in three years after taking over the company. I think we are well on track to achieve that. We have won a lot of new businesses, and we are now creating capacities to cater to the new businesses from customers that didn't exist before. So, we are well on track to double P3L's business or probably even exceed in the three- year timeframe that I had promised.

Moderator:

or: Thank you. The next question is from the line of Chirag Jain from Emkay Global. Please go ahead.

Chirag Jain : Thank you so much for the opportunity. Sir, you did mention about multiple cost pressures in your opening comments. So, any thoughts in terms of how are we navigating from a margin

standpoint over the next couple of quarters? Would that be largely an automatic pass-through to our OEM customers or there is some sort of negotiation happening and if at all, how are the progress going on that?

Vikram Mohan: The situation is evolving, Mr. Jain. There is a lag factor of six months. So, we are only now getting corrections of FOREX for the Q3 of the last financial year. But having said that, we are not going with the normal route. In this case, we have expedited it and we have requested for supplementary invoicing and price correction to be done immediately. Most of our customers have taken note of it and still figuring out because the entire industry, we have all got together and as a trade body represented through ACMA to the OEMs. But please do understand, the impact is so huge that they cannot pass on the entire thing to the end customer who is the ultimate buyer of the, let's say, a bike, a motorbike. If a motorbike goes up by INR 25,000- INR 30,000, it is going to, demand is going to really soften or probably de-grow. So, I think, personally, it's an evolving process. We have put out an active team that is engaging with our top 10 -12 customers to recover costs. I think it's going to be tripartite. People have to take, there is going to be a price increase in the vehicle. OEMs will absorb some of that shock and I think, considering a long-term partnership with OEMs, we also have to absorb some of that shock. How much is that number going to be and how long is this going to take? It's probably, time will tell. But I think, next quarter, we will have a better idea of how much each of the stakeholders in this pie will take.

Chirag Jain : Thank you. Thank you so much for the detail.

Vikram Mohan: If you ask me can we recover the entire amount from the OEM, I do not think so.

Chirag Jain : Okay. Thank you so much, sir.

Moderator: Thank you. Next question is from the line of Rangan V, an individual investor. Please go ahead.

Rangan V: Good evening, managing director, Mr. Vikram Mohan. I wish Vanita Mohan the best. Are you going to make her the Emeritus Chairman or like that? Regarding the company's performance, I think what we have achieved is, I think we'll be having a very satisfied person. Because, actually, in the COVID period, we set a target, something like that, internal target. I think that was good. But I find the margin on the employees, this one.

Vikram Mohan: Mr. Rangan, can we just take it one question at a time, Mr. Rangan? I would like to thank you yes, 2022, I had given a guidance that for FY26, we will hit the INR 4000 crore mark with about a debt equity ratio of less than 1 :1. I am happy to note we have hit that mark, but with next to no debt. So, I am happy that we have been able to deliver on the promise made to you four years ago, right after COVID, once we recovered. Mrs. Vanita Mohan has stepped down as an active role from PRICOL, and I have taken over as the Chairman of the company. She goes on to become the chairperson of PRICOL Holdings.

Rangan V: Okay, thanks. I don't have anything, because I think I am also satisfied with the work you are doing. Thanks.

Vikram Mohan: Okay. I know you may have another question which I will forward answer, Mr. Rangan, because this is your favorite topic. So, I will take the liberty of my old friend that I have known you for 14-15 years. So, I am going to take the liberty of giving you a third answer also. As for our dividend policy, we were eligible for paying out a higher dividend this year after the interim dividend. But as a matter of caution, our entire Board met and deliberated

on this subject

yesterday. And we believed that, having already declared an interim Golden Jubilee dividend of 200%, we felt it was good to conserve cash, knowing fully well that with all the amount of capital investments and the headwinds ahead of us, it was important to conserve cash. So, this is something that we took a conscious call yesterday. We had the subject of the dividend, and the entire Board, including myself, recommended that we retain it at a 200% dividend for the

FY26, see the performance for the next six months, and then take a call on that subject. I know you probably were intending to ask that question, because that's your favorite subject. So, I thought I will preempt and answer that for the benefit of other investors also.

Rangan V: Yes, very nice. Actually, what you have done is a very extraordinary thing. I know that you have done always nothing to be accomplished now. I am very happy about that. Thank you, sir.

Moderator: Thank you. The next question is from the line of Hitesh Goel from Aurigin Capital. Please go ahead.

Hitesh Goel: Sir, can you tell us what was the exports in FY26? And you have talked about exports being 20% of revenue, right? So, when can we achieve that?

Vikram Mohan: No. Let me clarify. Our desire was exports to be 20% of revenue, and I have always maintained in my earlier call, so that is one area where we failed to deliver. And our goal is to take it to 10% of revenue in the coming years. And as we speak, it stands at around 7% of revenue.

Hitesh Goel: Thank you, sir. Thank you.

Moderator: The next question is from the line of Sahil Sanghvi from Monarch Net worth Capital. Please go ahead.

Sahil Sanghvi: Thank you for the opportunity again. My question is, can you please give us details on the progress of your MOU with BOE Varitronix and also with Domino and the timelines, please, of commencement of commercial sales?

Vikram Mohan: With BOE, work has already commenced internally on doing the backlight module. Work is under progress on the equipment and the machinery and the buildings, and we will be commencing in about 10 to 12 months' production. With Domino, more like 18 months to 24 months is where we will be ready, and the early stages of revenue will start trickling in, right?

With regard to TYW, it's a technological partnership where we are using their select technologies to develop products for our existing customers.

Sahil Sanghvi: Just to follow up, if I may, on the Varitronix, right?

Management: That's BOE.

Sahil Sanghvi: BOE, yes. If I may, so what kind of contracts or what kind of revenue estimates? I mean, if you can give some direction, not the number, but maybe some order book that you have or some visibility.

Vikram Mohan: It's not going to be adding any incremental revenue. It's only a backward integration that's going to strengthen our product offering.

Sahil Sanghvi: Understood. Thank you.

Moderator: Thank you. The next question is from the line of Ashwin Patil from LKP Securities. Please go ahead.

Ashwin Patil: Yes, thanks for taking my question, sir. My question is regarding the AC FMS business which we had guided for a 30 %-35% kind of growth in the last call. So, are we still maintaining that particular outlook? And what would be the outlook for this particular business going forward, sir?

Vikram Mohan: We are working towards 30% growth and particularly with a focus on exports. But the headwinds since the last two, three months, I am not sure we will be able to meet those numbers because the rupee is on a freefall, the crude oil prices have gone for a toss. So, like I said, I wish I were Nostradamus, but I think we need to wait till September to see when the

world economy is going to come back to some degree of normalcy before we hit that strike. Under normal conditions, we should have hit a 30% growth rate year- on-year.
Ashwin Patil: So, what is our growth rate for this y

ear then till now? If less than 30%, then how much is the number, sir?

Vikram Mohan: How much is the number for FY26?

Ashwin Patil: Yes.

Vikram Mohan: I would request Ganesh, our CEO and ED to answer that, please.

P. M Ganesh: FY26, we have achieved a 30% growth rate. Going forward, as our Chairman and Managing Director said, it is a little difficult for us to predict. Maybe after September, we can have a better answer in this.

Ashwin Patil: Okay, so for FY26, it's close to 30%.

P. M Ganesh: That's right.

Ashwin Patil: Okay, sir. Thank you so much.

Moderator: Thank you. Next question is from the line of Preet Pilani from Incred AMC. Please go ahead.

Preet Pilani: Thank you for the opportunity. I just wanted to ask one bookkeeping question. What was our revenue from P3L for this quarter along with the ir margin? And also, if you could mention the revenue of non -brakes in AC FMS segment for the entire year?

Vikram Mohan: I will not be able to give you exactly for this break for the year as it's still a latent state. P3L, Priya n, can you just comment about for the year, how much turnover we closed at?

Priyadarsi Bastia: For the year, P3L generated revenue of INR 924 crores with EBITDA of 9.24%.

Vikram Mohan: But part of this involved a business that had to be transferred back to TVS , which we have also completed the transfer as of February. So, that segment of business of about INR 65 crores will not continue. That was not a polymer business. That was a foaming business which we operated on contract.

Preet Pilani: And on non- brake side in ACFMS segment, non -brakes ?

Vikram Mohan: Bulk of the revenue, 96 %-97% of the revenue comes from non -brakes . Overall, this year, it's about INR 750 crores.

Preet Pilani: Thank you, sir. And one last thing on raw material side. You mentioned that raw material...

Vikram Mohan: Preet, I request you to join the queue, please. That's the protocol we have been following.

Moderator: Thank you, sir. The next question is from the line of V ansh Modi from Swan Investments. Please go ahead.

Vansh Modi: Hi. Thank you for the opportunity and congrats on a great set of numbers. I would just like to request if you could share the segmental numbers in the information cluster segment between the vehicle segments that is.

Vikram Mohan: Please get in touch with our CFO and whatever non- competitive data we will be happy to provide.

Vansh Modi: Okay. Thank you, sir. I will join back in the queue.

Moderator: Thank you. Next question is from the line of Shubham Batra from Ambit AMC. Please go ahead.

Shubham Batra: Hi there. Thanks for taking my question. Congratulations on a strong set of numbers. Sir, just a bookkeeping question. In your standalone books, your other expenses have shot up by 32% on a quarter -on-quarter basis.

Vikram Mohan: Slow, Shubham Batra. Little slow. We're not able to understand you.

Shubham Batra: Sir, in your standalone books, your other expenses have shot up by 32% on a quarter -on-quarter basis. Any particular one- off that you want to call off?

Vikram Mohan: I will request our CFO to answer that, please.

Priyadarsi Bastia: Shubham, the expense, if you compare quarter -on-quarter, yes, it has gone up. Two items which are contributing to that. One is FOREX , which has gone up to INR 95. And the other one is the freight, because the freight cost is in line with the revenue increase. But these two are contributing to the increase.

Vansh Modi: Got it, sir. Thank you.

Moderator: Thank you. The next question is from the line of Aman Agrawal from Carnelian . Please go ahead.

Aman Agrawal: Sir, thank you for the follow -up. My question was on P3L, basically. So, if I see last quarter basis, the number which our CFO Sir gave, we made 11% kind of EBITDA margins in P3L. So, like, can you guide, like, is this something sustainable or do we expect margin to revert back to 10 %-10.5% kin

d of margins in this business, basically?

Vikram Mohan: That's an interesting question and that's a strategic call that I have taken also as chairman of that board. That we will start forwarding, forward investing in P3L in line with PR ICOL's strategy of investing in technology. So, we are setting up a center of excellence in polymer technology. So, we will be forward investing in that. And also for the new plants that are coming up, we will be forward recruiting of personnel to commission those plants. So, there will be a softening of margins over two years before the benefits of all of this start kicking in. So, we will go back to normalized margins of 10% or so and then kick back up going back.

Aman Agrawal: Got it. Thank you, sir. And if I can squeeze in one more question, sir. Are we looking to get any more M&As, basically? Like, we had talked about more deals maybe in plastic division. So, is

there anything we are evaluating and, like, anything we want to close?

Vikram Mohan: Yes, we are but cautiously. Under the current headwinds, we are being very cautious about capital investments. And unless the quality of asset is top class with a good set of customers, with a good balance sheet, with a good management team, and backed by good manufacturing facilities, and coming with a decent ROI, we are being very selective. In fact, we had a very long discussion at the Board meeting yesterday on the various assets that we are considering. And we have taken some calls. And a ctually, active negotiations and due diligence is in progress. That's all I can say at this time.

Aman Agrawal: And, sir, this is on mainly plastic side or some other business segment?

Vikram Mohan: We are evaluating multiple opportunities.

Aman Agrawal: Okay. Thank you, sir. Thank you for answering my question. All the best.

Moderator: Thank you. The next question is from the line of Kush Nahar from Electrum PMS. Please go ahead.

Kush Nahar : Based on the content per vehicle, so what is it today and considering the new products in the pipeline that we have across this segment, how do we see it panning out over the next three to five years?

Vikram Mohan: It's very difficult to answer that question, Mr. N ahar, because you have a INR 4,000 cluster in a TATA car. And then you have a INR 30,000 cluster in a TVS BMW or a BMW motorbike. Or you have a INR 1,000 cluster and then you have INR 3,000 of plastics and INR 1,000 odd of FPM. So, I think a broad- based question like that based on the CC of the vehicle or the OEM is very difficult to answer.

Kush Nahar : So, but directionally considering the profile, do we think and considering the TFT mix that is changing, maybe we can double or 1.5 x to 2x our realization in terms of content per vehicle?

Vikram Mohan: For example, we opened our account with Honda on clusters, on pumps and on plastics, right?

Now, so our content for vehicles from literally very low and Honda is going to go up very high.

TVS, we are already very high , and we are now de- risking by working on other customers. So,

yes, our intent is with about 10 strategic customers to keep increasing our wallet share so that

we are at least 50% higher than what we are today in the next three years.

Kush Nahar : Right, sir. So, just if I can add one more question, what will be the CAPEX figure for the next three years?

Vikram Mohan: That is a good question and in fact, I was wanting to use that as my closing note. I am happy to inform you that we have a very, very healthy pipeline of new business, both domestic and international across all our divisions. Be it for ACFMS or polymer or for D ICVS, we are starting our next major cycle of CAPEX this year as our previous cycle of CAPEX has come to an end and our capacity utilization has reached a peak. In fact, so much so that in plastics, we are unable to grow this year because of lack of capacity, which is why you see the R

OCE at a very high figure compared to what I had given guidance for because of sweating the capital assets. So, we are starting a major cycle of CAPEX . In fact, this year, in itself, we have planned for about between INR 680 crore to INR 700 crores of CAPEX to cater to all of our new businesses that we have won, new plants, new machines, so on and so forth, which will keep propelling us forward and to maintain this growth momentum. So, there will be some amount of debt, as I mentioned, but a very healthy amount of debt. I am always very conservative when it comes to debt. A lot of our investors keep telling us that I am a little risk- averse, but I prefer to remain that way. So, we will have a debt -equity ratio of probably about 0.5 or 0.6, not even hitting 1, and that is how we plan to operate.

Kush Nahar : Right, sir. Thank you.

Moderator: Thank you. Ladies and gentlemen, that was the last question. I now hand the floor back to the management for closing comments.

Vikram Mohan: I would like to thank everyone for participating and for some great questions. I am sorry I could not give a clear answer, especially with regard to the growth, because it has affected

macroeconomic factors, geopolitical factors over which we have no contr ol. But the

management will leave no stone unturned to recover all costs possible and control all costs

possible to maintain earnings. But having said that, there will be some softening of earnings.

This is the voice of not just PRICOL , but t he voice of the industry, and this is going to be a short -

term pain, and we just hope and pray that this entire geopolitical mess comes to an end sooner rather than later, and all of us can focus on strategically growing the business for the mid- to-

long term. We stay committed to our mid -to-long term projections, our investments, and our

recommitment to technology, and in the polymer business, we are going to be investing in technology and converting it from a component maker to a value- added polymer player , and

we do hope that those will also pay dividends, like in our other divisions in the years to come.

Thank you very much for your confidence in the company, and I look forward to connecting

with you on the H1 call six months from now. Thank you. Good evening. Namaskar.

Moderator: Thank you very much, sir. On behalf of PRICOL Limited, that concludes this conference call.

Thank you all for joining us, and you may now disconnect your lines. Thank you.